NEW ISSUE – FULL BOOK-ENTRY-ONLY

RATINGS:
Fitch: "AA-"
Moody's: "Aa3"
Standard & Poor's: "AA-"
(See "RATINGS" herein)

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Department, based on an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series B Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986. In the further opinion of Bond Counsel, interest on the Series B Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that such interest is included in adjusted current earnings when calculating corporate alternative minimum taxable income. Bond Counsel is also of the opinion that interest on the 2013 Bonds is exempt from State of California personal income taxes. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the accrual or receipt of interest on, the 2013 Bonds. See "TAX MATTERS" herein.

$480,000,000
DEPARTMENT OF WATER AND POWER OF THE CITY OF LOS ANGELES
Power System Revenue Bonds

$452,145,000
2013 Series B

$27,855,000
2013 Series C
(Federally Taxable)

Dated: Date of Delivery **Due: As shown on the inside front cover**

This cover page contains certain information for general reference only. It is not intended to be a summary of the security or terms of this issue. Investors are advised to read the entire Official Statement to obtain information essential to the making of an informed investment decision. Capitalized terms used on this cover page not otherwise defined shall have the meanings set forth herein.

The Department of Water and Power of the City of Los Angeles Power System Revenue Bonds, 2013 Series B (the "Series B Bonds") and the Department of Water and Power of the City of Los Angeles Power System Revenue Bonds, 2013 Series C (the "Series C Bonds" and together with the Series B Bonds, the "2013 Bonds") will be issued by the Department of Water and Power of the City of Los Angeles (the "Department") to provide funds to pay costs of Capital Improvements of the Power System and to pay certain Costs of Issuance of the 2013 Bonds. See "APPLICATION OF PROCEEDS."

Interest on the 2013 Bonds is payable on each January 1 and July 1, commencing January 1, 2014.

The 2013 Bonds will be dated the date of original delivery and will mature in the principal amounts and in the years and bear interest at the respective rates of interest per annum, all set forth on the inside front cover. The 2013 Bonds will be issued in fully registered form and will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). Individual purchases of interests in the 2013 Bonds will be made in book-entry form only, in the principal amount of $5,000 or any integral multiple thereof. Purchasers of such interests will not receive physical certificates representing their interests in the 2013 Bonds purchased. Principal of and interest and premium, if any, on the 2013 Bonds are payable directly to DTC by the Treasurer of the City of Los Angeles, as fiscal agent. Upon receipt of such payments, DTC is obligated in turn to remit such payments to the DTC Participants for subsequent disbursement to the Beneficial Owners of the 2013 Bonds, as described herein. Beneficial Owners' rights will be governed as to such payments, the receipt of notices (including any notice of redemption) and other communications and various other matters by the rules and operating procedures applicable to the DTC book-entry system, as described herein. Beneficial interests in the 2013 Bonds may be held through DTC, directly as a participant or indirectly through organizations that are participants in such systems. See APPENDIX C – "DTC BOOK-ENTRY SYSTEM."

The Department currently intends to designate the Series C Bonds as direct payment "Qualified Energy Conservation Bonds" for purposes of the American Recovery and Reinvestment Act of 2009 (the "Recovery Act") and the Hiring Incentives to Restore Employment Act (the "HIRE Act"). The Department also intends to make an irrevocable election to treat the Series C Bonds as direct subsidy bonds. Subject to the Department's compliance with certain requirements under the Recovery Act, the HIRE Act and the Internal Revenue Code of 1986, as amended (the "Code"), the Department expects to receive cash subsidy payments from the United States Treasury relating to the interest payable on the Series C Bonds. Such cash subsidy payments received by the Department will be deposited to the Power Revenue Fund.

The 2013 Bonds are subject to optional and extraordinary optional redemption prior to maturity as described herein. See "THE 2013 BONDS – Redemption of the 2013 Bonds."

The 2013 Bonds will be special obligations of the Department payable only from the Power Revenue Fund and not out of any other fund or moneys of the Department or the City of Los Angeles (the "City"). The 2013 Bonds will not constitute or evidence an indebtedness of the City or a lien or charge on any property or the general revenues of the City. Neither the faith and credit nor the taxing power of the City will be pledged to the payment of the 2013 Bonds. See "SOURCE OF PAYMENT."

Each series of the 2013 Bonds is offered when, as and if issued by the Department and received by the respective Underwriters thereof, subject to the approval of validity by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Department, and to certain other conditions. Certain legal matters will be passed upon for the Department by the Office of the City Attorney of the City and by Orrick, Herrington & Sutcliffe LLP, Disclosure Counsel to the Department, and for the Underwriters by Nixon Peabody LLP. It is expected that the 2013 Bonds, in definitive form, will be available for delivery through the facilities of DTC, on June 4, 2013.

Series B Bonds

Goldman, Sachs & Co.

Barclays **De LaRosa & Co.** **RBC Capital Markets**

BMO Capital Markets **Fidelity Capital Markets** **J.P. Morgan Securities LLC**

Ramirez & Co., Inc. **The Williams Capital Group, L.P.**

Series C Bonds

Goldman, Sachs & Co.

Dated: May 22, 2013

MATURITY SCHEDULE

Department of Water and Power of the City of Los Angeles
Power System Revenue Bonds
2013 Series B

Maturity Date (July 1)	Principal Amount	Interest Rate	Yield	Price	CUSIP† No.
2017	$ 5,000,000	3.000%	0.780%	108.886%	544495ZL1
2017	7,530,000	4.000	0.780	112.889	544495A20
2017	12,535,000	5.000	0.780	116.893	544495A38
2018	7,700,000	5.000	0.970	119.909	544495ZY3
2019	3,905,000	5.000	1.240	121.936	544495ZZ0
2020	9,460,000	5.000	1.500	123.409	544495ZM9
2021	5,985,000	4.000	1.760	116.791	544495ZN7
2021	900,000	5.000	1.760	124.288	544495A61
2022	11,660,000	5.000	2.000	124.782	544495ZP2
2023	17,335,000	5.000	2.200	125.177	544495ZQ0
2024	18,565,000	5.000	2.350*	123.648*	544495ZR8
2025	26,820,000	5.000	2.090**	119.044**	544495A95
2025	505,000	5.000	2.520*	121.943*	544495ZS6
2026	16,315,000	5.000	2.190**	118.322**	544495B29
2026	13,970,000	5.000	2.670*	120.461*	544495ZT4
2027	21,520,000	5.000	2.800*	119.194*	544495ZU1
2028	955,000	3.000	3.050	99.397	544495ZV9
2028	53,080,000	5.000	2.900*	118.231*	544495A79
2029	57,765,000	5.000	2.980*	117.466*	544495ZW7
2030	61,635,000	5.000	3.040*	116.897*	544495A46
2031	1,165,000	3.500	3.500	100.000	544495ZX5
2031	64,440,000	5.000	3.100*	116.331*	544495A87
2032	33,400,000	5.000	3.160*	115.768*	544495A53

* Priced to par call date of July 1, 2023.
** Priced to par call date of July 1, 2020.

Department of Water and Power of the City of Los Angeles
Power System Revenue Bonds
2013 Series C

Maturity Date (July 1)	Principal Amount	Interest Rate	Yield	Price	CUSIP† No.
2037	$27,855,000	4.413%	4.413%	100.000%	544495ZK3

† Copyright 2013, American Bankers Association. CUSIP® is a registered trademark of the American Bankers Association. The CUSIP data herein is provided by the CUSIP Service Bureau, managed on behalf of the American Bankers Association by Standard & Poor's. The CUSIP numbers are not intended to create a database and do not serve in any way as a substitute for CUSIP service. CUSIP numbers have been assigned by an independent company not affiliated with the Department and are provided solely for convenience and reference. The CUSIP number for a specific maturity is subject to change after the issuance of the 2013 Bonds. Neither the Department nor the Underwriters take responsibility for the accuracy of the CUSIP numbers.

DEPARTMENT OF WATER AND POWER
OF THE CITY OF LOS ANGELES
111 North Hope Street
Los Angeles, California 90012

BOARD OF WATER AND POWER COMMISSIONERS

THOMAS S. SAYLES, *President*
ERIC HOLOMAN, *Vice President*
RICHARD F. MOSS
CHRISTINA E. NOONAN
JONATHAN PARFREY

Barbara E. Moschos, *Secretary*

Officers and Executives

Ronald O. Nichols, *General Manager*
Aram H. Benyamin, *Senior Assistant General Manager – Power System*
Gary Wong, *Assistant General Manager – Systems Support Division*
Philip R. Leiber, *Chief Financial Officer*
Ann M. Santilli, *Assistant Chief Financial Officer and Controller*
Mario C. Ignacio, CFA, *Chief Accounting Employee and Assistant Auditor*

General Counsel

Office of the City Attorney of the City of Los Angeles
Carmen Trutanich, *City Attorney*
Richard M. Brown, *General Counsel for Water and Power*

Bond Counsel and Disclosure Counsel
Orrick, Herrington & Sutcliffe LLP

Independent Auditors
KPMG LLP

Financial Advisor
Public Resources Advisory Group

Fiscal Agent for Payment
Treasurer of the City of Los Angeles

No dealer, broker, salesperson or other person has been authorized by the Department of Water and Power of the City of Los Angeles (the "Department") or any Underwriter for the 2013 Bonds to give any information or to make any representations, other than as contained in this Official Statement, and if given or made such other information or representations must not be relied upon as having been authorized by the Department or any such Underwriter.

The information set forth herein has been furnished by the Department and other sources which are believed to be reliable. The information and expressions of opinion contained herein are subject to change without notice and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Department or the Power System since the date hereof.

This Official Statement does not constitute an offer to sell 2013 Bonds in any state to any person to whom it is unlawful to make such an offer in such state. This Official Statement is not a contract with the purchasers of 2013 Bonds.

In connection with the offering of the 2013 Bonds, the Underwriters may overallot or effect transactions which stabilize or maintain the market price of the 2013 Bonds at a level above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time. The Underwriters may offer and sell 2013 Bonds to certain dealers, institutional investors and others at prices lower than the public offering prices stated on the inside cover page hereof and such public offering prices may be changed from time to time by the Underwriters.

The Underwriters have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

Certain statements included or incorporated by reference in this Official Statement constitute "forward-looking statements" within the meaning of federal securities laws. Such statements are based on currently available information, expectations, estimates, assumptions and projections and management's judgment about the electric utility industry and general economic conditions. Such words as "expects", "intends", "plans", "believes", "estimates", "anticipates" or variations of such words or similar expressions are intended to identify forward-looking statements. The forward-looking statements are not guarantees of future performance. Actual results may vary materially from what is contained in a forward-looking statement. Factors which may cause a result different than expected or anticipated include new legislation, unfavorable court decisions, increases in suppliers' prices, particularly prices for purchased power and fuel in connection with the operation of the Power System, changes in environmental compliance requirements, changes in customer power use patterns, natural disasters such as earthquakes, and the impact of weather on operating results. The Department assumes no obligation to provide updates of forward-looking statements.

The 2013 Bonds have not been registered under the Securities Act of 1933, as amended, in reliance upon an exemption contained in such act. The 2013 Bonds have not been registered or qualified under the securities laws of any state.

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OFFICIAL STATEMENT

$480,000,000
Department of Water and Power of the City of Los Angeles
Power System Revenue Bonds

$452,145,000	$27,855,000
2013 Series B	2013 Series C
	(Federally Taxable)

INTRODUCTION

The purpose of this Official Statement, which includes the cover page and the Appendices hereto, is to furnish information with respect to the Department of Water and Power of the City of Los Angeles (the "Department") and its Power System Revenue Bonds, 2013 Series B (the "Series B Bonds") and its Power System Revenue Bonds, 2013 Series C (Federally Taxable) (the "Series C Bonds" and together with the Series B Bonds, the "2013 Bonds") in the aggregate principal amount set forth above. This Introduction is qualified in its entirety by reference to the more detailed information included and referred to elsewhere in this Official Statement. The offering of the 2013 Bonds to potential investors is made only by means of the entire Official Statement. Capitalized terms used in this Official Statement shall have the respective meanings given such terms under the caption "DEFINITIONS" in Appendix D or in Appendix G.

The Department

The Department was created by and exists under The Charter of The City of Los Angeles, adopted in 1925 and replaced by a new charter which became effective July 1, 2000 (the "Charter"). The Department is designated a proprietary department of the City of Los Angeles (the "City"). The Department is the largest municipal utility in the United States and provides electric service through its Power System and water service through its Water System in a service area consisting almost entirely of the City. The Department is governed by the Board of Water and Power Commissioners of the City of Los Angeles (the "Board"). See "THE DEPARTMENT."

Authority for Issuance

The Series B Bonds are being issued pursuant to Section 609 of the Charter, relevant ordinances of the City and Resolution No. 4596, adopted by the Board on February 6, 2001 (the "Master Resolution"), as supplemented by Resolution No. 4861, adopted by the Board on April 2, 2013, constituting the Twenty-Third Supplemental Resolution to the Master Resolution (the "Twenty-Third Supplemental Resolution"). The Series C Bonds are being issued pursuant to Section 609 of the Charter, relevant ordinances of the City and the Master Resolution, as supplemented by Resolution No. 4862, adopted by the Board on April 2, 2013, constituting the Twenty-Fourth Supplemental Resolution to the Master Resolution (the "Twenty-Fourth Supplemental Resolution"). See "THE 2013 BONDS" and Appendix D.

Purpose of the 2013 Bonds

The Department is issuing the Series B Bonds to provide funds to pay costs of Capital Improvements to the City's power system and to pay certain Costs of Issuance of the Series B Bonds. The Department is issuing the Series C Bonds to provide funds to pay costs of Capital Improvements to the City's power system, which are eligible to be financed using proceeds of Qualified Energy

Conservation Bonds and to pay certain Costs of Issuance of the Series C Bonds. See "PLAN OF FINANCE" and "APPLICATION OF PROCEEDS."

Source of Payment

The 2013 Bonds constitute and evidence special obligations of the Department payable as to principal, premium, if any, and interest only from the Power Revenue Fund and not out of any other fund or moneys of the Department or the City. The 2013 Bonds do not constitute or evidence an indebtedness of the City, or a lien or charge on any property or the general revenues of the City. Neither the faith and credit nor the taxing power of the City is or will be pledged to the payment of the 2013 Bonds. See "SOURCE OF PAYMENT."

Designation of Series C Bonds as "Qualified Energy Conservation Bonds"

The Department currently intends to designate the Series C Bonds as direct payment "Qualified Energy Conservation Bonds" for purposes of the American Recovery and Reinvestment Act (the "Recovery Act") and the Hiring Incentives to Restore Employment Act (the "HIRE Act"). The Department also intends to make an irrevocable election to treat the Series C Bonds as direct subsidy bonds. Subject to the Department's compliance with certain requirements under the Recovery Act, the HIRE Act and the Internal Revenue Code of 1986, as amended (the "Code"), the Department expects to receive cash subsidy payments from the United States Treasury equal to 70% of the amount of interest which would have been payable on such Series C Bonds on such interest payment date if such interest were determined at a rate of 4.49%, which rate is equal to the credit rate determined under Section 54(A)(b)(3) of the Code had the Series C Bonds been issued as tax credit bonds on the date of this Official Statement. Such cash subsidy payments received by the Department will be deposited to the Power Revenue Fund.

Parity Obligations

As of March 31, 2013, approximately $7.01 billion in principal amount of debt payable from the Power Revenue Fund was outstanding, comprised of approximately $6.81 billion of revenue bonds and $200 million of commercial paper. Such outstanding Department debt, as well as certain take-or-pay obligations with respect to electric generation and transmission facilities (see "OPERATING AND FINANCIAL INFORMATION – Indebtedness" and "—Take-or-Pay Obligations"), are payable from the Power Revenue Fund on a parity basis with the Bonds. The Department may issue additional Parity Obligations in the future subject to the provisions of the Master Resolution. See "THE MASTER RESOLUTION" and "SOURCE OF PAYMENT – Additional Obligations" and "THE POWER SYSTEM – Projected Capital Improvements."

Continuing Disclosure

In connection with the issuance of the 2013 Bonds, the Department will agree to provide, or to cause to be provided, to the Municipal Securities Rulemaking Board (the "MSRB") through its Electronic Municipal Market Access system ("EMMA"), certain annual financial information and operating data relating to the Department and the Power System, and, in a timely manner, notice of certain events. These covenants are made in order to assist the Underwriters in complying with Rule 15c2-12(b)(5) ("Rule 15c2-12") adopted by the U.S. Securities and Exchange Commission ("SEC") under the Securities Exchange Act of 1934, as amended (the "Exchange Act"). The Department has not failed to comply in all material respects with any previous undertaking with regard to Rule 15c2-12 to provide annual reports or notices of material events for the last five calendar years. See "CONTINUING DISCLOSURE" and Appendix F.

Other Matters

The summaries of and references to all documents, statutes, Charter provisions, resolutions, reports and other instruments referred to herein do not purport to be complete, comprehensive or definitive and each such summary and reference is qualified in its entirety to the referenced document, statute, Charter provision, resolution, report or instrument.

Department Website

The Department maintains a website at www.ladwp.com. Information on such website is not part of this Official Statement and such information has not been incorporated by reference herein and should not be relied upon in deciding whether to invest in a 2013 Bond.

THE MASTER RESOLUTION

The Master Resolution establishes an issue of Bonds, including the Series B Bonds and the Series C Bonds, payable from the Power Revenue Fund and provides certain terms and conditions which shall apply to all such Bonds, including the Series B Bonds and the Series C Bonds. The Series B Bonds are to be issued pursuant to the Master Resolution as supplemented by the Twenty-Third Supplemental Resolution. The Series C Bonds are to be issued pursuant to the Master Resolution as supplemented by the Twenty-Fourth Supplemental Resolution. The Master Resolution provides, among other things, the conditions that must be satisfied for the issuance of Bonds and other Parity Obligations payable from the Power Revenue Fund on a parity with the Bonds, the covenants of the Department with respect to the Bonds, a Bond Service Fund and Redemption Fund for the Bonds, an Expense Stabilization Fund and the terms under which the Master Resolution may be amended, including amendments authorized by the Owners of a majority in aggregate principal amount of all affected Outstanding Bonds. The Master Resolution permits the issuance of Parity Obligations under Issuing Instruments other than the Master Resolution and Supplemental Resolutions. For a summary of certain provisions of the Master Resolution, the Twenty-Third Supplemental Resolution and the Twenty-Fourth Supplemental Resolution, see Appendix D.

PLAN OF FINANCE

The Series B Bonds will be issued by the Department to provide funds to pay the costs of Capital Improvements of the Power System included in the Department's integrated resource plan. The Series C Bonds will be issued by the Department to provide funds to pay the costs of Capital Improvements of the Power System, which are eligible to be financed with proceeds of Qualified Energy Conservation Bonds, including, but not limited to expenditures pursuant to the Department's solar incentive programs and its energy efficiency programs (as further described herein) (the "Series C Projects"). See "THE POWER SYSTEM – Projected Capital Improvements."

APPLICATION OF PROCEEDS

The Department anticipates that the proceeds of the 2013 Bonds will be applied as follows:

	Series B Bonds	Series C Bonds
Sources of Funds		
Principal Amount	$452,145,000	$27,855,000
Net Original Issue Premium	82,166,026	
Total Sources	**$534,311,026**	**$27,855,000**
Uses of Funds		
Costs of Capital Improvements to the Power System	$533,138,035	$27,738,761
Costs of Issuance, including Underwriters' Discount	1,172,991	116,239
Total Uses	**$534,311,026**	**$27,885,000**

THE 2013 BONDS

General

The 2013 Bonds will be dated their date of delivery and will mature in the respective principal amounts on the dates and bear interest at the respective rates of interest per annum, all as set forth on the inside cover hereof. Interest shall be determined on the basis of a 360-day year of twelve 30-day months, payable on January 1 and July 1 of each year, commencing on January 1, 2014.

DTC Book-Entry System

The 2013 Bonds will be issued as book-entry bonds, in fully registered form. The 2013 Bonds will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository for the 2013 Bonds. Individual purchases of interests in 2013 Bonds will be made in the principal amount of $5,000 or any integral multiple thereof. Principal of and interest and premium, if any, on the 2013 Bonds, are payable directly to DTC by the Treasurer of the City of Los Angeles, as Fiscal Agent for payment. Upon receipt of such payments, DTC is obligated in turn to remit such payments to the DTC Participants for subsequent disbursement to the Beneficial Owners of the 2013 Bonds, as described in Appendix C. NEITHER THE DEPARTMENT NOR THE FISCAL AGENT WILL BE RESPONSIBLE OR LIABLE FOR SUCH TRANSFERS OF PAYMENTS, FOR THE PROVIDING OF NOTICES BY DTC, INCLUDING NOTICES OF REDEMPTION, OR FOR MAINTAINING, SUPERVISING OR REVIEWING THE RECORDS MAINTAINED BY DTC, THE DTC PARTICIPANTS OR PERSONS ACTING THROUGH SUCH PARTICIPANTS. For information concerning the DTC book-entry system, see Appendix C.

DTC may discontinue providing its services with respect to the 2013 Bonds at any time by giving notice to the Fiscal Agent and the Department as provided in the Master Resolution and discharging its responsibilities with respect thereto under applicable law. The Department may terminate its participation in the book-entry system of DTC or any other Securities Depository with respect to the 2013 Bonds. In the event that a book entry system with respect to the 2013 Bonds is discontinued, the Department will execute and deliver replacement 2013 Bonds in the form of registered certificates. In addition, the following provisions would apply: the principal of and premium, if any, on the 2013 Bonds will be payable upon surrender thereof at the principal office of the Fiscal Agent in Los Angeles, California and interest on the 2013 Bonds will be payable by check mailed on each interest payment date to the registered Owners thereof as shown on the registration books of the Fiscal Agent as of the applicable

Record Date. The 2013 Bonds will then be transferable and exchangeable on the terms and conditions provided in the Master Resolution. See "THE MASTER RESOLUTION – Termination of Securities Depository" in Appendix D.

Optional Redemption

Series B Bonds.

Maturing on and before July 1, 2023. The Series B Bonds maturing on and before July 1, 2023 will not be subject to redemption prior to maturity at the option of the Department.

Maturing on July 1, 2024. The Series B Bonds maturing on July 1, 2024 will be subject to redemption prior to maturity at the option of the Department, in whole or in part, on any date on or after July 1, 2023, from any source of available funds, at a redemption price equal to the principal amount of such Series B Bonds to be redeemed, plus accrued, unpaid interest to the redemption date, without premium.

Maturing on July 1, 2025.

(a) The Series B Bonds maturing on July 1, 2025 with CUSIP Number 544495A95 will be subject to redemption prior to maturity at the option of the Department, in whole or in part, on any date on or after July 1, 2020, from any source of available funds, at a redemption price equal to the principal amount of such Series B Bonds to be redeemed, plus accrued, unpaid interest to the redemption date, without premium.

(b) The Series B Bonds maturing on July 1, 2025 with CUSIP Number 544495ZS6 will be subject to redemption prior to maturity at the option of the Department, in whole or in part, on any date on or after July 1, 2023, from any source of available funds, at a redemption price equal to the principal amount of such Series B Bonds to be redeemed, plus accrued, unpaid interest to the redemption date, without premium.

Maturing on July 1, 2026.

(a) The Series B Bonds maturing on July 1, 2026 with CUSIP Number 544495B29 will be subject to redemption prior to maturity at the option of the Department, in whole or in part, on any date on or after July 1, 2020, from any source of available funds, at a redemption price equal to the principal amount of such Series B Bonds to be redeemed, plus accrued, unpaid interest to the redemption date, without premium.

(b) The Series B Bonds maturing on July 1, 2026 with CUSIP Number 544495ZT4 will be subject to redemption prior to maturity at the option of the Department, in whole or in part, on any date on or after July 1, 2023, from any source of available funds, at a redemption price equal to the principal amount of such Series B Bonds to be redeemed, plus accrued, unpaid interest to the redemption date, without premium.

Maturing on and after July 1, 2027. The Series B Bonds maturing on and after July 1, 2027 will be subject to redemption prior to maturity at the option of the Department, in whole or in part, on any date on or after July 1, 2023, from any source of available funds, at a redemption price equal to the principal amount of such Series B Bonds to be redeemed, plus accrued, unpaid interest to the redemption date, without premium.

Series C Bonds. The Series C Bonds will be subject to redemption prior to maturity at the option of the Department from any source of available funds, in whole or in part, on any date, at a redemption price equal to 100% of the principal amount of the Series C Bonds to be redeemed plus the Make-Whole Premium (as defined herein), if any, together with accrued, unpaid interest to the date fixed for redemption.

"Make-Whole Premium" means, with respect to any Series C Bond to be redeemed, an amount calculated by a Designated Banking Institution (as defined herein) equal to the positive difference, if any, between:

(1) The sum of the present values, calculated as of the date fixed for redemption of:

(a) Each interest payment that, but for the redemption, would have been payable on the Series C Bond or portion thereof being redeemed on each regularly scheduled Interest Payment Date occurring after the date fixed for redemption through the maturity date of such Series C Bond (excluding any accrued interest for the period prior to the date fixed for redemption); provided, that if the date fixed for redemption is not a regularly scheduled Interest Payment Date with respect to such Series C Bond, the amount of the regularly scheduled interest payment immediately following the date fixed for redemption will be reduced by the amount of interest accrued on such Series C Bond to the date fixed for redemption; plus

(b) The principal amount that, but for such redemption, would have been payable on the maturity date of the Series C Bond or portion thereof being redeemed; minus

(2) The principal amount of the Series C Bond or portion thereof being redeemed.

The present values of the interest and principal payments referred to in (1) above will be determined by discounting the amount of each such interest and principal payment from the date that each such payment would have been payable but for the redemption to the date fixed for redemption on a semiannual basis (assuming a 360-day year consisting of twelve 30-day months) at a discount rate equal to the Comparable Treasury Yield (as defined herein), plus the applicable Redemption Spread.

"Comparable Treasury Yield" means the yield appearing in the most recently published statistical release designated "H.15(519) Selected Interest Rates" under the heading "Treasury Constant Maturities," or any successor publication selected by the Designated Banking Institution that is published weekly by the Board of Governors of the Federal Reserve System and that establishes yields on actively traded United States Treasury securities adjusted to constant maturity, for the maturity corresponding to the remaining term to maturity of the Series C Bond being redeemed. The Comparable Treasury Yield will be determined at least two Business Days but no more than 45 calendar days preceding the applicable date fixed for redemption. If the H.15(519) statistical release sets forth a weekly average yield for United States Treasury securities that have a constant maturity that is the same as the remaining term to maturity of the Series C Bond being redeemed, then the Comparable Treasury Yield will be equal to such weekly average yield. In all other cases, the Comparable Treasury Yield will be calculated by interpolation on a straight-line basis, between the weekly average yields on the United States Treasury securities that have a constant maturity (i) closest to and greater than the remaining term to maturity of the Series C Bond being redeemed; and (ii) closest to and less than the remaining term to maturity of the Series C Bond being redeemed. Any weekly average yields calculated by interpolation will be rounded to the nearest 1/100th of 1%, with any figure of 1/200th of 1% or above being rounded upward.

If, and only if, weekly average yields for United States Treasury securities for the preceding week are not available in the H.15(519) statistical release or any successor publication, then the Comparable

Treasury Yield will be the rate of interest per annum equal to the semiannual equivalent yield to maturity of the Comparable Treasury Issue (expressed as a percentage of its principal amount) equal to the Comparable Treasury Price (each as defined herein) as of the date fixed for redemption.

"Comparable Treasury Issue" means the United States Treasury security selected by the Designated Banking Institution as having a maturity comparable to the remaining term to maturity of the Series C Bond being redeemed that would be utilized, at the time of selection and in accordance with customary financial practice, in pricing new issues of corporate debt securities of comparable maturity to the remaining term to maturity of the Series C Bond being redeemed.

"Designated Banking Institution" means an investment banking institution of national standing which is a primary United States government securities dealer designated by the Department (which may be one of the underwriters of the Series C Bonds).

"Comparable Treasury Price" means, with respect to any date on which a Series C Bond or portion thereof is being redeemed, either (a) the average of five Reference Treasury Dealer quotations for the date fixed for redemption, after excluding the highest and lowest such quotations, and (b) if the Designated Banking Institution is unable to obtain five such quotations, the average of the quotations that are obtained. The quotations will be the average, as determined by the Designated Banking Institution, of the bid and asked prices for the Comparable Treasury Issue (expressed in each case as a percentage of principal amount) quoted in writing to the Designated Banking Institution, at 2:00 p.m. New York City time on a Business Day designated by the Designated Banking Institution that is at least two Business Days but no more than 45 calendar days preceding the applicable date fixed for redemption.

"Reference Treasury Dealer" means a primary United States Government securities dealer in the United States appointed by the Department and reasonably acceptable to the Designated Banking Institution (which may be one of the underwriters of the Series C Bonds).

"Redemption Spread" means either (i) 0.20% per annum in the case of an optional redemption at the option of the Department or (ii) 1.00% per annum in the case of an extraordinary optional redemption related to a Tax Law Change.

Extraordinary Optional Redemption of Series C Bonds

Related to Tax Law Change. The Series C Bonds will be subject to redemption prior to maturity at the option of the Department upon the occurrence of a Tax Law Change (as defined herein), from any source of available funds, as a whole or in part, on any date, at a redemption price equal to 100% of the principal amount of Series C Bonds to be redeemed plus the Make-Whole Premium (using a discount rate equal to the Comparable Treasury Yield plus the applicable Redemption Spread), if any, together with accrued, unpaid interest to the date fixed for redemption.

"Tax Law Change" means legislation has been enacted by the Congress of the United States or passed by either House of the Congress, or a decision has been rendered by a court of the United States, or an order, ruling, regulation (final, temporary or proposed) or official statement has been made by or on behalf of the Treasury Department of the United States, the Internal Revenue Service or other governmental agency of appropriate jurisdiction, the effect of which, as reasonably determined by the Department, would be to suspend, reduce or terminate the payment from the United States Treasury to the Department with respect to the Series C Bonds, or to state or local government issuers generally with respect to obligations of the general character of the Series C Bonds, pursuant to Sections 54D or 6431 of the Code of an amount equal to the lesser of (i) the interest due thereon on each interest payment date or (ii) 70% of the amount of interest which would have been payable on such Series C Bonds on such

interest payment date determined at a rate equal to the credit rate determined under Section 54(A)(b)(3) of the Code had the Series C Bonds been issued as tax credit bonds on the date of this Official Statement (the "Subsidy Payments"); provided, that such suspension, reduction or termination of the Subsidy Payments is not due to a failure by the Department to comply with the requirements under the Code to receive such Subsidy Payments.

No Mandatory Sinking Fund Redemption

Series B Bonds. The Series B Bonds will not be subject to mandatory redemption prior to maturity.

Series C Bonds. The Series C Bonds will not be subject to mandatory redemption prior to maturity.

Notice of Redemption

Notice of the redemption of 2013 Bonds is to be given to the Owners of the 2013 Bonds to be redeemed as provided in the Master Resolution. While Cede & Co. is the registered Owner of the 2013 Bonds, notice of redemption will be given to DTC or its nominee. The Department will not be responsible for providing notices of redemption to DTC Participants or the Beneficial Owners. See Appendix C. Notice of redemption is to be given by first class mail, postage prepaid, not more than 60 days nor less than 30 days before the redemption date to the Owners of the 2013 Bonds to be redeemed (in whole or in part). Pursuant to the terms of the Master Resolution, the Department is also to provide notice of the redemption of 2013 Bonds to the specified securities depositories and to an information service. ***Neither the failure of a Beneficial Owner of a 2013 Bond to receive notice, nor the failure to send a notice of redemption to the securities depositories or an information service, will affect the validity of the proceedings for the redemption of 2013 Bonds.***

The notice of redemption shall specify the maturities of the 2013 Bonds to be redeemed, the redemption date and the place or places where amounts due upon such redemption will be payable and, if less than all of the 2013 Bonds of any maturity are to be redeemed, the letters and numbers or other distinguishing marks of such 2013 Bonds to be redeemed, and, in the case of a 2013 Bond to be redeemed in part only, such notice will also specify the portion of the principal amount thereof to be redeemed. Such notice will further state that on the specified redemption date there will become due and payable upon each 2013 Bond to be redeemed the redemption price thereof, or the redemption price of the specified portion of the principal amount thereof to be redeemed in the case of a 2013 Bond to be redeemed in part only, together with accrued, unpaid interest on the principal amount to be redeemed to the redemption date, and that from and after such date interest on such 2013 Bond, or the portion of such 2013 Bond to be redeemed, shall cease to accrue and be payable.

Conditional Notice

Under the Master Resolution, a notice of redemption of 2013 Bonds, at the option of the Department, may be given on a conditional basis. In the event such conditional notice of redemption is given, if on the date established for such redemption of 2013 Bonds there are not sufficient funds to effect such redemption, the applicable 2013 Bonds will not be redeemed as described in such notice and the 2013 Bonds so called for redemption shall continue to be Outstanding on the terms and conditions contained in such 2013 Bonds, the Master Resolution and the applicable Supplemental Resolution and

shall bear interest and to be subject to further calls for redemption as provided in the Master Resolution and the applicable Supplemental Resolution as if such notice of redemption had not been given.

Selection of Bonds for Redemption

Series B Bonds. Except as otherwise provided with respect to Series B Bonds held in book-entry form, if less than all of the Outstanding Series B Bonds of a maturity are to be redeemed, the Fiscal Agent will select the Series B Bonds of such maturity to be redeemed at random in such manner as the Fiscal Agent in its discretion may deem fair and appropriate; provided, however, that the portion of any Series B Bond of a denomination greater than $5,000 shall be treated as that number of Series B Bonds obtained by dividing the principal amount of such Series B Bonds by $5,000. If less than all of the Series B Bonds of a maturity held in the DTC book-entry system are to be redeemed, the Series B Bonds of such maturity to be redeemed will be selected as provided in the DTC procedures. See Appendix C.

Series C Bonds. Except as otherwise provided with respect to Series C Bonds held in book-entry-only form, if less than all of the Outstanding Series C Bonds of a maturity are to be redeemed, the Fiscal Agent will select the Series C Bonds to be redeemed, from the Outstanding Series C Bonds of such maturity not previously called for redemption, on a pro-rata basis, provided that, so long as the Series C Bonds are held in book-entry-only form, the selection for redemption of such Series C Bonds shall be made in accordance with the operational arrangements of DTC then in effect (which are currently as a "Pro Rata Pass-Through Distribution of Principal"), and, if the DTC operational arrangements do not allow for redemption on a pro-rata basis, the Series C Bonds will be selected for redemption, in accordance with DTC procedures, by lot. The portion of any Series C Bond of a denomination of more than $5,000 to be redeemed will be in the principal amount of $5,000 or any integral multiple thereof. See Appendix C.

If the Series C Bonds are registered in book-entry-only form and so long as DTC or a successor securities depository is the sole registered owner of the Series C Bonds, partial redemptions will be done in accordance with DTC procedures. It is the Department's intent that redemption allocations made by DTC be made in accordance with these same proportional provisions. However, neither the Department nor the Underwriters can provide any assurance that DTC, DTC's direct and indirect participants or any other intermediary will allocate redemptions of the Series C Bonds among beneficial owners on such a proportional basis. If the DTC procedures do not allow for pro-rata redemption as discussed in the paragraph above as of the issue date of the Series C Bonds, then the Series C Bonds will be selected for redemption in accordance with DTC procedures, by lot.

SOURCE OF PAYMENT

Special Obligations of Department

The 2013 Bonds will be special obligations of the Department payable only from the Power Revenue Fund and not out of any other fund or moneys of the Department or the City. The 2013 Bonds will not constitute or evidence an indebtedness of the City or a lien or charge on any property or the general revenues of the City. Neither the faith and credit nor the taxing power of the City will be pledged to the payment of the 2013 Bonds.

Power Revenue Fund

The principal of, premium, if any, and interest on the Bonds, including the 2013 Bonds, is payable from the Power Revenue Fund. The Power Revenue Fund is a separate fund established by the Charter in the City Treasury. All revenues from every source collected by the Department in connection

with its possession, management and control of the Power System are to be deposited in the Power Revenue Fund. All moneys in the Power Revenue Fund are under the control and management of the Board and are kept separate from revenues and moneys of the Water System of the Department. Pursuant to the Master Resolution, the Department has covenanted to pay out of the Power Revenue Fund, without priority, (a) the costs and expenses of operating and maintaining the Power System; (b) the principal, redemption premium, if any and interest on the Outstanding Bonds and other Parity Obligations; and (c) all other obligations payable from the Power Revenue Fund which are not, by their terms, Subordinated Obligations.

Rate Covenant

The Department covenants under the Master Resolution, as required by the Charter, that the Board will fix rates, subject to the approval of the City Council of the City (the "City Council"), for service from the Power System, and collect charges for such service, so as to provide revenues which, together with the other available funds of the Department, shall be at least sufficient to pay, as the same shall become due, the principal of and interest on the Outstanding Bonds, and all other outstanding bonds, notes and other evidences of indebtedness payable out of the Power Revenue Fund, including premiums, if any, due upon the redemption of any thereof, in addition to paying, as the same shall become due, the necessary expenses of operating and maintaining the Power System, and all other obligations and indebtedness payable out of the Power Revenue Fund. The costs and expenses of operating and maintaining the Power System include certain take-or-pay obligations with respect to generation and transmission facilities. See "OPERATING AND FINANCIAL INFORMATION – Take-or-Pay Obligations." During the time the 2013 Bonds remain Outstanding, the City Council is required by the Charter to approve electric rates in an amount sufficient to meet all such revenue requirements. See "ELECTRIC RATES – Rate Setting."

Additional Obligations

No Priority. The Master Resolution provides that the Department may not issue any Obligations that are senior or prior in right to payment from the Power Revenue Fund to the Bonds, including the 2013 Bonds.

Limitations on Parity Obligations. The Master Resolution provides that the Department may, at any time, issue Additional Parity Obligations, provided that the Department obtains or provides a certificate or certificates, prepared by the Department or at the Department's option by a Consultant, showing that the Adjusted Net Income as shown by the books of the Department for any 12 consecutive month period (selected by the Department in its sole discretion) within the 18 consecutive months ending immediately prior to the issuance of such Additional Parity Obligations shall have amounted to at least 1.25 times the Maximum Annual Adjusted Debt Service on all Parity Obligations to be Outstanding immediately after the issuance of the proposed Additional Parity Obligations. For purposes of preparing the certificate or certificates described above, the Department and any Consultant may rely upon financial statements prepared by the Department which have not been subject to audit by an Independent Certified Public Accountant if audited financial statements for the particular 12 month period selected by the Department are not available.

The Master Resolution provides that the Department may enter into certain Qualified Swap Agreements and Credit Support Instruments in connection with Parity Obligations, and issue certain Refunding Parity Obligations, without satisfying such Adjusted Net Income Test. See "CERTAIN DEFINITIONS" and "MASTER RESOLUTION – Conditions to Issuance of Parity Obligations" in Appendix D.

Pursuant to the Master Resolution, Adjusted Net Income means, with respect to the certificate to be delivered in connection with Additional Parity Obligations and for any Calculation Period to which such certificate relates and as calculated by the Department or a Consultant, the Net Income for such Calculation Period plus an amount equal to depreciation, amortization, interest on debt and Unrealized Items for such Calculation Period, in each case determined in accordance with Generally Accepted Accounting Principles, less any portion of such Net Income which has been deposited in the Expense Stabilization Fund, plus at the option of the Department, certain allowance and adjustments as described in the Master Resolution. Pursuant to the Master Resolution, Maximum Annual Adjusted Debt Service means, with respect to a certificate to be delivered in connection with Additional Parity Obligations, as of any date and with respect to the Applicable Parity Obligations, the maximum amount of Debt Service becoming due on the Applicable Parity Obligations in the then current or any future Fiscal Year, as adjusted as provided in the Master Resolution and calculated by the Department or by a Consultant.

Subordinated Obligations

The Master Resolution provides that, without satisfying the tests for the issuance of Additional Parity Obligations, the Department may issue Obligations which are junior and subordinate as to payment from the Power Revenue Fund to the Parity Obligations. See "CERTAIN DEFINITIONS" and "MASTER RESOLUTION – Conditions of Issuance of Subordinated Obligations" in Appendix D.

Other Covenants

In addition to the covenant with respect to rates described above, the Master Resolution includes covenants by the Department with respect to the sale of the Power System, the operation and maintenance of the Power System, restrictions on transfers from the Power Revenue Fund to the City and other matters. See "THE DEPARTMENT – Transfers to the City" herein and "MASTER RESOLUTION – Covenants" in Appendix D.

THE DEPARTMENT

General

The Department is the largest municipal utility in the United States and is a proprietary department of the City. For more information about the City, see Appendix B. The Department controls its own funds and is responsible for providing the electric and water requirements of its service area. The Department provides electric and water service almost entirely within the boundaries of the City. The City encompasses approximately 465 square miles and has a population of approximately 3.81 million residents.

City electric utility operations began in 1917 under the Department of Public Service, which was managed by the Board of Public Service Commissioners, the predecessor to the Board. The Department of Public Service was superseded by the creation of the Department with the adoption of a new City charter in 1925. The Department now operates under the Charter adopted in 2000. The operations and finances of the Water System are separate from those of the Power System.

Charter Provisions

Pursuant to the Charter, the Board is the governing body of the Department and the General Manager of the Department (the "General Manager") administers the affairs of the Department.

The Charter provides that all revenue from every source collected by the Department in connection with its possession, management and control of the Power System is to be deposited in the Power Revenue Fund. The Charter further provides that the Board controls the money in the Power Revenue Fund and makes provision for the issuance of Department bonds, notes and other evidences of indebtedness payable out of the Power Revenue Fund. The procedure relating to the authorization of bonds is governed by Section 609 of the Charter.

Section 245 of the Charter provides that, with certain exceptions, actions of City commissions and boards ("Board Action"), including the Board, do not become final until five consecutive City Council meetings convened in regular session have passed. During those five City Council meetings, the City Council may, on a two-thirds vote, take up the Board Action. If the Board Action is taken up, the City Council may approve or veto the Board Action within 21 calendar days of taking up the Board Action. If the City Council takes no action to assert jurisdiction over the Board Action during those five meetings, the Board Action becomes final at the end of such period.

The Twenty-Third Supplemental Resolution and the Twenty-Fourth Supplemental Resolution have become final.

Board of Water and Power Commissioners

Under the Charter, the Board is granted the possession, management and control of the Power System. Pursuant to the Charter, the Board also has the power and duty to make and enforce all necessary rules and regulations governing the construction, maintenance, operation, connection to and use of the Power System and to acquire, construct, extend, maintain and operate all improvements, utilities, structures and facilities the Board deems necessary or convenient for purposes of the Department. The Mayor of the City appoints, and the City Council confirms the appointment of, members of the Board. The Board is traditionally selected from among prominent business, professional and civic leaders in the City. The members of the Board serve with only nominal compensation. Certain matters regarding the administration of the Department also require the approval of the City Council.

The Board is composed of five members. The current members of the Board are:

THOMAS S. SAYLES, *President*. Mr. Sayles was appointed to the Board by Mayor Antonio Villaraigosa and confirmed by the City Council on June 16, 2009. Mr. Sayles assumed the position of President on January 1, 2011 and was reelected to his position in July 2012. Mr. Sayles was appointed Senior Vice President for University Relations at the University of Southern California effective July 2011. In this capacity, Mr. Sayles provides strategic direction and leadership for the University of Southern California's public relations, outreach and reputation. From March 2009 until July 2011, Mr. Sayles was Vice President for Government and Community Relations at the University of Southern California. Mr. Sayles was responsible for strengthening the university's relationships with its external constituencies, encompassing the communities surrounding the University Park and Health Sciences campuses as well as government officials at the local, state and national levels. Before joining the University of Southern California, Mr. Sayles was senior vice president for government affairs and corporate communications at Rentech, Inc., an alternative-fuels company headquartered in Los Angeles. From 1994 to 2007, he worked for Sempra Energy and its predecessors, Pacific Enterprises and Southern California Gas Company, as vice president of government and community affairs and as senior vice president of consumer marketing. Mr. Sayles previously served the State of California as commissioner of corporations and as secretary of business, transportation and housing. Mr. Sayles also was a deputy attorney general in the California attorney general's office, and an assistant U.S. attorney. On appointment by the then-Governor Gray Davis, Mr. Sayles served on the Governor's Task Force on Diversity and Outreach and on the Commission on Building for the 21st Century. Mr. Sayles has sat on

the boards of Golden State Bancorp (California Federal Bank) and several nonprofit organizations as well as the University of California Board of Regents and California Community Colleges Board of Governors. He is currently a board member for Unified Grocers. Born and raised in south Los Angeles, Mr. Sayles earned a law degree from Harvard Law School and a bachelor's degree "with distinction" from Stanford University, where he was elected to Phi Beta Kappa.

ERIC HOLOMAN, *Vice President*. Mr. Holoman was appointed to the Board by Mayor Antonio Villaraigosa and confirmed by the City Council on May 21, 2010. Mr. Holoman's term will expire on June 30, 2015. Mr. Holoman assumed the position of Vice President of the Board effective January 1, 2011 and was reelected to his position in July 2012. Mr. Holoman is President of Magic Johnson Enterprises. Mr. Holoman manages and directs the corporation's day-to-day operations including strategy, finance and business development. Mr. Holoman has expanded the organization's capital markets presence through partnerships with institutional money management firms Canyon Capital Realty Advisors, Yucaipa Partners and Detroit Venture Partners. Mr. Holoman partners with Yucaipa to oversee and manage the Yucaipa Johnson Corporate Initiatives Fund, which is a small to middle market private equity fund focused on strategic investments in companies located in, or focused on, serving America's urban markets. The Canyon-Johnson Urban Funds are some of the country's largest private real estate funds focused on the development of urban properties in underserved neighborhoods. The newly formed Detroit Venture Partners is a partnership between Dan Gilbert and Magic Johnson Enterprises that funds early-stage technology companies in and around the City of Detroit. Mr. Holoman represents the company's ownership interests in several media portfolio companies including Vibe Holdings, LLC, whose properties include Vibe and Uptown Magazines, Soul Train, and the recently acquired BlackBook Media. Mr. Holoman also serves as Chair of the Operating Committee of Magic Johnson's new television network, Aspire, which launched in June 2012. In addition, Mr. Holoman is responsible for Inner City Broadcasting Corporation including their flagship radio station, WBLS, which is the largest urban market format in the country. Prior to joining Magic Johnson Enterprises, Mr. Holoman worked for Bank of America, first as a Senior Investment Specialist and later as Vice President of High Net Worth Sales for the Private Bank. Mr. Holoman went on to become Senior Vice President and Regional Sales Manager of Wells Fargo Bank's Private Client Services Division and concluded his career at Wells Fargo as head of the private mortgage bank in Los Angeles. Mr. Holoman was appointed to the Los Angeles City Employees' Retirement System ("LACERS") by Mayor James Hahn in 2002 and reappointed by Mayor Antonio Villaraigosa in 2005. Mr. Holoman served as President of LACERS from 2005 through 2009. Mr. Holoman was also past Chair of the Investment Committee of LACERS that oversaw the funds investment strategies. Mr. Holoman recently served on the Federal Reserve Bank of San Francisco, Los Angeles Branch Board of Directors. Mr. Holoman is a past NASD Registered General Securities Principal, Municipal Principal, Options Principal as well as a former Registered Investment Advisor. Mr. Holoman has a degree in Finance from the University of Southern California.

RICHARD F. MOSS, *Commissioner*. Mr. Moss was appointed to the Board by Mayor Antonio Villaraigosa and confirmed by the City Council on March 25, 2011. Mr. Moss was reappointed by the Mayor and reconfirmed by the City Council on September 18, 2012. Mr. Moss is President of the Moss Group, a real estate development and property management company and oversees the firm's day-to-day property management and leasing activities, sets its investment and financial strategies and acts as its general counsel. The Moss Group is one of the largest independent owners of commercial office real estate in the San Fernando Valley. Prior to the Moss Group, in 1990, Mr. Moss associated himself with Fierstein & Sturman Law Corporation in Century City. In 1995, Mr. Moss started his own law firm known as the Law Offices of Richard F. Moss. In 1997, Mr. Moss co-founded Rubin & Moss LLP, a real estate law partnership in Santa Monica. Mr. Moss is involved in numerous community and charitable activities. Mr. Moss is Chairman of Val*Pac, a political action committee focused on business issues affecting the San Fernando Valley and is an officer and board member of the University of California, Santa Cruz ("UCSC") Foundation, which is responsible for UCSC's endowment fund and advises the

Chancellor's office with respect to development policies and goals. Mr. Moss is a member of the National Executive Commission of the Anti-Defamation League. Formerly, Mr. Moss served as a Commissioner of the San Fernando Valley Business Advisory Commission of the State of California, as President of the Board Trustees of Wildwood School, an independent K-12 school, and as a board member of the National Foundation for Ectodermal Dysplasias, an international charity supporting individuals and families affected by, and scientists researching, genetic disorders known as ectodermal dysplasias. Mr. Moss holds a bachelor's degree, with honors, from UCSC, a Master's degree from the University of Chicago and a Juris Doctor degree from Loyola Law School in Los Angeles.

CHRISTINA E. NOONAN, *Commissioner*. Ms. Noonan was appointed to the Board by Mayor Antonio Villaraigosa and confirmed by the City Council on August 10, 2010. Ms. Noonan was re-appointed by the Mayor and re-confirmed by the City Council on August 12, 2011. Ms. Noonan is a Senior Vice President of Jones Lang LaSalle's Los Angeles office. Ms. Noonan develops strategic real estate solutions for her clients by assessing the viability of lease renegotiations, relocations, consolidations, dispositions, building sales and acquisition alternatives. She was featured in "Southern California's Most Powerful Real Estate Women" published by Real Estate Southern California. In 2009 and 2010, the Los Angeles Business Journal listed Ms. Noonan as a finalist candidate for their "Women Making a Difference" awards. Prior to joining Jones Lang LaSalle, Ms. Noonan worked at Cushman Realty Corporation. Before being appointed to the Board, Ms. Noonan served on the Los Angeles Convention Center Board as its President. Ms. Noonan is a member of Commercial Real Estate Women (CREW), the World Affairs Council and Allen Matkins's Women at the Top – Real Estate Roundtable. Ms. Noonan was appointed by Mayor Villaraigosa to the Office of Public Safety Oversight Committee for the City. Ms. Noonan also served on the Board of LA, Inc. and on the Mayor's Trade Advisory Council to promote international business in Los Angeles. Ms. Noonan is involved in many charities, including Aviva, Phoenix House, ALS Association, and she has mentored teens through the Fulfillment Fund organization. Ms. Noonan holds a degree in Psychology from the University of California, Santa Cruz and graduated with Highest Honors.

JONATHAN PARFREY, *Commissioner*. Mr. Parfrey was appointed to the Board by Mayor Antonio Villaraigosa and confirmed by the City Council on January 23, 2009. Mr. Parfrey is the executive director of Climate Resolve (Los Angeles's climate change organization). Mr. Parfrey is currently a visiting lecturer at the UCLA Institute of the Environment and Sustainability. Mr. Parfrey is the immediate past-president of the Los Angeles League of Conservation Voters. Mr. Parfrey is a founding board member of CicLAvia as well as the Los Angeles Regional Collaborative for Climate Action and Sustainability and the Alliance of Regional Collaborative for Climate Adaptation. From 1994 until 2007, Mr. Parfrey served as the Los Angeles director of the Nobel Peace Prize-winning organization, Physicians for Social Responsibility. In 2003, Mr. Parfrey was appointed to then-Governor Arnold Schwarzenegger's Environmental Policy Team. In 1992, he received the Paul S. Delp Award for Outstanding Service, Peace and Social Justice. In 2002 Mr. Parfrey was awarded a Durfee Foundation Fellowship. In 2010, Mr. Parfrey received a Stanton Fellowship and in 2011, he was appointed a Senior Fellow at the University of Southern California Marshall School of Business. Mr. Parfrey holds a bachelor's degree in History from the University of California, Berkeley.

Management of the Department

The management and operation of the Department are under the direction of the General Manager. The Power System is directed by the Department's Senior Assistant General Manager – Power System. The Department's financial affairs are supervised by the Department's Chief Financial Officer. Legal counsel is provided to the Department by the Office of the City Attorney of the City of Los Angeles.

Below are brief biographies of the Department's General Manager, Mr. Ronald Nichols, and other members of the senior management team for the Power System:

RONALD O. NICHOLS, *General Manager*. Mr. Nichols is the General Manager of the Department. Mr. Nichols provides leadership for the Department in providing reliable and competitively priced water and electricity while continuing to maintain and implement environmentally conscious policies and priorities. Mr. Nichols became General Manager of the Department in January 2011. Mr. Nichols has applied his over 37 years of experience in the electric and water utility industry to help guide the major transformation that the Department is undergoing in moving to more strategic and sustainable water and power supplies to meet the needs of its customers. Prior to his position as General Manager of the Department, Mr. Nichols was a managing director in the energy practice of Navigant Consulting, an international consulting organization with over 2,000 employees. Before his position at Navigant, from 1980 to 1997, Mr. Nichols was a co-founder and Senior Vice President of the energy and water utility consulting firm, Resource Management International, which was headquartered in Sacramento. Prior to 1980, Mr. Nichols held positions with the California Department of Water Resources and the California Energy Commission. Mr. Nichols holds a degree in Agricultural Economics and Business Management from the University of California, Davis.

ARAM BENYAMIN, *Senior Assistant General Manager – Power System.* Mr. Benyamin assumed his current post in 2008. Mr. Benyamin has more than 32 years of experience with the Department. Prior to being appointed as the Senior Assistant General Manager of the Power System, Mr. Benyamin was the Manager of the Department's External Generation Division, which includes the Palo Verde Nuclear Generating Station ("PVNGS") and Navajo Generating Station. Mr. Benyamin has also served the Department as a civil engineer, a construction field engineer on the Intermountain Power Project ("IPP"), the Power Design and Construction Division's Construction Manager for Power System projects, the Manager of Electrical Substations Planning and Control Unit, Power Engineering Manager in charge of Capital Infrastructure and Substation Maintenance Planning and Controls Unit and Acting Operating Agent of the Intermountain Generating Station. Mr. Benyamin holds a master's degree in public administration, an M.B.A. degree and a B.S. degree in civil and structural engineering.

GARY WONG, *Assistant General Manager – Systems Support Division*. Prior to his appointment as Assistant General Manager – Systems Support Division on February 1, 2012, Mr. Wong was the Interim Chief Administrative Officer with direct management responsibility for Operations Support Services (Fleet & Aviation Services; Facilities Maintenance/John Ferraro Building Operations & Maintenance; Leadership in Energy and Environmental Design/Facility Design; Business Support Services; and Real Estate), Customer Services, Supply Chain Services, Employee Services, Security Services and Information Technology Services. In his current position, he oversees Operations Support Services, Supply Chain Services, Security Services, Information Technology Services, and Equal Employment Opportunity Services. Mr. Wong has 28 years with the Department. Prior to joining the Department, he worked at the Port of Los Angeles and in private industry. Mr. Wong holds a bachelor's degree in political science from Claremont McKenna College and a masters degree in business administration from the University of Southern California.

PHILIP R. LEIBER, *Chief Financial Officer*. Mr. Leiber assumed his current position on February 1, 2012. Prior to joining the Department, Mr. Leiber served as the Chief Financial Officer for Seattle City Light, a role he held from 2009 through 2012. Previously, Mr. Leiber was the Chief Financial Officer and Treasurer for the California Independent System Operator ("Cal ISO"), where he was employed from 1997 to 2009. Mr. Leiber also served as a manager with Coopers & Lybrand (now PricewaterhouseCoopers) in the Financial Advisory Services area. Mr. Leiber is a certified public accountant in California and a certified treasury professional. Mr. Leiber holds a bachelor's degree in

business administration and a master's degree in accounting from the University of Michigan, and holds a master's degree in Computer Information Systems from the University of Phoenix.

ANN M. SANTILLI, *Assistant Chief Financial Officer and Controller.* Ms. Santilli currently serves as Assistant Chief Financial Officer and Controller of the Department. Prior to holding this position, Ms. Santilli served as Interim Chief Financial Officer from October 2010 through January 2012. Prior to serving as Interim Chief Financial Officer, Ms. Santilli served as Chief Accounting Employee and Assistant Chief Financial Officer and Controller of the Department. She assumed the post as Controller in March 2008, as Assistant Chief Financial Officer in April 2008 and as Chief Accounting Employee in July 2010. Prior to being appointed as the Controller, Ms. Santilli was the Manager of Financial Reporting since 2003. Ms. Santilli has over 25 years of accounting and auditing experience. Ms. Santilli holds a bachelor's degree in business administration from California State University at Northridge and is a certified public accountant in the State and a certified internal auditor.

MARIO C. IGNACIO, CFA, *Chief Accounting Employee and Assistant Auditor.* Mr. Ignacio serves as the Chief Accounting Employee and Assistant Auditor, as well as the Assistant Chief Financial Officer and Treasurer for the Department. Prior to his appointment as Chief Accounting Employee on October 5, 2010, Mr. Ignacio served as the Interim Chief Financial Officer of the Department. Mr. Ignacio has over 21 years of financial management experience emphasizing taxable fixed income investment and debt administration. His responsibilities include directing and managing trust fund portfolios with assets over $1 billion, administering and implementing debt-restructuring activities for the Department and certain Southern California Public Power Authority ("SCPPA") projects, overseeing risk management and control, and monitoring credit for the utility's wholesale marketing activities and natural gas hedging program. Mr. Ignacio holds a bachelor's degree "with distinction" in business administration and accountancy. He holds a master's degree in business administration from the University of Southern California, where he was elected to the Beta Gamma Sigma Honor Society. He is also a Chartered Financial Analyst and a member of the Los Angeles Society of Financial Analysts and the CFA Institute, and was the past president of the Los Angeles Civic Center Chapter of the Association of Government Accountants.

Employees

As of March 31, 2013, the Department assigned approximately 3,558 Department employees to the Power System on a full time basis. Approximately 3,410 additional Department employees support both the Power System and the Water System on a shared basis.

The Department conducts personnel functions in accordance with the Charter-established civil service system (the "Civil Service System") applicable to most Department employees. In accordance with the Civil Service System, the Department makes appointments on the basis of merit through competitive examinations and civil service procedures. The position of General Manager and 14 other management positions are specifically exempted from the Civil Service System.

The City Council approves the wages and salaries paid to all Department employees. In accordance with State law (the Meyers-Milias-Brown Act) and a conforming City ordinance (the Employee Relations Ordinance), the Department recognizes fifteen bargaining units of Department employees. Six labor or professional organizations represent these employees' bargaining units. In the bargaining process the Department and the labor or professional organizations develop memoranda of understanding which set forth wages, hours, overtime and other terms and conditions of employment. The Department entered into ten memoranda of understanding with the International Brotherhood of Electrical Workers ("IBEW") for a period extending through September 30, 2014. IBEW represents more than 90% of the Department's employees through ten bargaining units.

The Department entered into memoranda of understanding with the applicable labor or professional organization representing the five other bargaining units. The Department's memorandum of understanding with the Service Employees International Union expired on September 30, 2011, and its memoranda of understanding with the Management Employees Association and the Association of Confidential Employees expired on September 30, 2012. The Department and the Service Employees International Union, the Management Employees Association and the Association of Confidential Employees are currently negotiating new memoranda of understanding. Since the advent of collective bargaining in 1974, work stoppages have been rare, occurring in 1974, 1981 and 1993.

Retirement and Other Benefits

Retirement, Disability and Death Benefits. The Department has a funded contributory retirement, disability and death benefit insurance plan (the "Plan") covering substantially all of its employees. The Plan is more particularly described in "Note (11) Retirement, Disability, and Death Benefit Insurance Plan" ("Note 11") and the "Required Supplementary Information" of the Department's Power System Financial Statements, attached hereto as Appendix A.

The costs of the Plan are shared by the Power System and the Water System, with the Power System being historically responsible for approximately 68% of Plan costs. As more fully described in Note 11, the Power System made contributions to the Plan of approximately $218 million in fiscal year 2011-12 (with a total Department contribution of approximately $326 million) and $189 million in fiscal year 2010-11 (with a total Department contribution of approximately $282 million).

According to the latest actuarial valuation and review of the Plan, which was completed by The Segal Company on September 19, 2012, as of July 1, 2012, the Plan's actuarial value of assets was approximately $7.57 billion resulting in an estimated unfunded actuarial accrued liability of approximately $2.12 billion. As of July 1, 2011, the Plan's actuarial value of assets was approximately $7.47 billion and the estimated unfunded actuarial accrued liability was approximately $1.83 billion. The Plan had unrecognized investment losses of $259 million as of June 30, 2012. The Plan employs a 5-year smoothing technique to value assets in order to reduce volatility in contribution rates. The impact of this will result in "smoothed" assets that are lower or higher than the market value of the assets depending upon whether the remaining amount to be smoothed is either a net gain or a net loss. If the unrecognized investment losses as of the year ended June 30, 2012 were recognized immediately, required contributions to the Plan would increase from approximately 46.08% of covered payroll to 49.32% of covered payroll. Additionally, if the unrecognized investment losses were recognized immediately in the actuarial value of assets, the funded ratio of the Plan would decrease from 78.1% to 75.4%. Beginning in fiscal year 2010-11, the assumed rate of investment return on the Plan's assets decreased from 8.0% to 7.75%. The rate will be re-evaluated in 2013 to determine if it is still appropriate.

Other Postemployment Benefit (Healthcare) Plan. The Department provides certain healthcare benefits (the "Healthcare Benefits" and together with the Plan, the "Plans") to active and retired employees and their dependents. These Healthcare Benefits are more particularly described in "Note (12) Other Postemployment Benefit (Healthcare) Plan" and the "Required Supplementary Information" of the Department's Power System Financial Statements, attached hereto as Appendix A.

According to the latest actuarial valuation and review of the Plan, which was completed by The Segal Company on November 16, 2012, as of July 1, 2012, the Healthcare Benefits' actuarial value of assets was approximately $1.24 billion resulting in an estimated unfunded actuarial accrued liability of approximately $322 million. As of July 1, 2011, the Healthcare Benefits' actuarial value of assets was approximately $1.13 billion and the estimated unfunded actuarial accrued liability was approximately $418 million. The Healthcare Benefits had unrecognized investment losses of approximately $16.3

million as of June 30, 2012. The Healthcare Benefits employs a 5-year smoothing technique to value assets in order to reduce volatility in contribution rates. The impact of this will result in "smoothed" assets that are lower or higher than the market value of the assets depending upon whether the remaining amount to be smoothed is either a net gain or a net loss. If the unrecognized investment losses as of the year ended June 30, 2012 were recognized immediately, required contributions to the Plan would increase from approximately 5.38% of covered payroll to 7.20% of covered payroll. Additionally, if the unrecognized investment losses were recognized immediately in the actuarial value of assets, the funded ratio of the Healthcare Benefits would decrease from 79.4% to 78.4%. Beginning in fiscal year 2010-11, the assumed rate of investment return on the Healthcare Benefits' assets decreased from 8.0% to 7.75%. The rate will be re-evaluated in 2013 to determine if it is still appropriate.

Transfers to the City

Pursuant to the Charter, the City Council may, subject to the provisions of contractual obligations, direct a transfer of surplus money in the Power Revenue Fund to the City's reserve fund (a "Power Transfer") with the consent of the Board. The Board may withhold its consent if it finds that making the Power Transfer would have a material adverse impact on the Department's financial condition in the year the Power Transfer is to be made. In the event the Board does not approve any year's Power Transfer, the City Administrative Officer is to verify the Department's findings and make a report thereon and recommendations with respect thereto. After receiving such report, and in consultation with the City Council and the Mayor, the Board shall either amend or uphold its preliminary findings.

Pursuant to covenants contained in the Master Resolution, a Power Transfer may not exceed the net income of the prior fiscal year or reduce the Power System's surplus to less than 33-1/3% of total Power System indebtedness. Subject to the restrictions of the Charter and the Master Resolution, the Department's current practice is to approve a Power Transfer in each of its fiscal years (currently July 1 of a year to June 30 of the following year) equal to approximately 8% of the Power System's operating revenues for the preceding fiscal year. The Board has approved transfers totaling $246,534,000 to the City during the 2012-13 fiscal year. In addition, the Power Transfer has been typically conditioned upon the payment by the City of its current bills for power service.

The following table shows the amounts of the Power Transfer in each of the last five fiscal years:

POWER TRANSFERS
FOR FISCAL YEARS ENDED JUNE 30, 2009 – 2013
(in thousands)

Fiscal Year Ended June 30	Amount of Power Transfer
2009	$222,506
2010	220,475
2011	258,815
2012	250,077
2013	246,534*

Source: Department of Water and Power of the City of Los Angeles.
* Of this amount, approximately $184.901 million has been transferred as part of the Power Transfer through April 2013. Approximately $30.817 million will be transferred as part of the Power Transfer during May 2013 and the same amount will be transferred during June 2013.

Insurance

The Department's insurance program currently consists of a combination of commercial insurance policies and self-insurance. The Department carries commercial excess general liability insurance in the amount of $100 million, with generally a $3 million self-insured retention. General liability claims under the self-insured portion of this program are covered under the Department's self-insurance program. As of March 31, 2013, the portion of the Power Revenue Fund set aside for self-insurance had a balance of approximately $122,475,000. The Department annually reviews the amount retained for self-insurance and may adjust the current amount if it deems such adjustment appropriate.

The Department's physical plant coverage does not provide coverage in certain events including terrorism or war. The Department has purchased a Terrorism Limits and Terrorism Risk Insurance Extension Act of 2005 ("TRIEA") Endorsement (the "Endorsement") to its general liability coverage under which coverage is extended to cover losses resulting from certain acts certified by the Secretary of the U.S. Department of the Treasury to be an act of terrorism, as defined in TRIEA. The Endorsement provides that if the total insured losses of all property and casualty insurers reach $100 billion during an applicable period, the Department's insurers will not be liable under the policy for their portions of such losses that exceed such amount.

The Department commercially insures its physical plants wherever situated at replacement cost against physical loss or damage caused by fire and certain other related perils, including flood and losses to boilers and turbine generators caused by explosion or mechanical breakdown. Such insurance is limited to $500 million per occurrence with an aggregate limit for all claims in a single year of $500 million. The physical plant coverage provides for deductibles of $10 million per occurrence for all locations. Other deductibles apply for flood, earthquake and other risks. The Department commercially insures its physical plants located outside California against the risk of physical loss or damage due to earthquakes, but does not so insure its physical plants located in California against the risk of physical loss or damage due to earthquakes. The Department has obtained a waiver of Federal Emergency Management Agency ("FEMA") insurance requirements from the State of California Department of Insurance, which waiver provides that the Department would be eligible for reimbursement as and if available from FEMA in the event of earthquake loss in California.

As a participant in the Navajo Generating Station, PVNGS and associated transmission systems, the Department is a named insured, or additional named insured on various forms of insurance providing protection against loss of property and equipment and for liability claims relating to such facilities. The amounts of coverage are established by participating owners and procured by the operating agents.

The Department manages the insurance program for IPP, the Mead-Adelanto Transmission Project, the Pacific DC Intertie and other facilities and includes these facilities as additional named insureds on various forms of insurance, which are all subject to the limits discussed above.

The Department continuously evaluates its insurance program and may modify the current mix of commercial insurance and self-insurance with respect to Department-owned assets and potential liabilities in operating the Power System.

Investment Policy and Controls

Department's Trust Funds Investment Policy. The majority of the Power System funds are held in the Power Revenue Fund, investments of which are managed by the Treasurer of the City. The funds have been invested as part of the City's investment pool program since 1983. Certain financial assets of the Department that are held in special-purpose trust or escrow funds more fully described in "Note (7) –

Cash, Cash Equivalents, and Investments" in Appendix A ("Trust Funds") with an independent trustee are not included in the City's investment pool program. The Department manages the investment of the Trust Funds in which approximately $620.39 million (investments at fair market value) was on deposit as of March 31, 2013. The Department's investment of such funds complies with the California Government Code in all material respects and such funds are invested according to the Department's Trust Funds Investment Policy (the "Trust Funds Investment Policy"), which sets forth investment objectives and constraints. For more information about the Trust Funds Investment Policy, see "Note (7) – Cash, Cash Equivalents, and Investments" in Appendix A. Such funds consist of debt reduction trust funds, the nuclear decommissioning trust funds, the natural gas trust fund, and the hazardous waste treatment storage and disposal trust fund. These trust funds are being held by U.S. Bank National Association as trustee/custodian. Amounts in the debt reduction trust fund are to be applied to the retirement (including the payment of debt service, purchase, redemption and defeasance) of Power System debt, including obligations to Intermountain Power Agency ("IPA") and SCPPA. As of March 31, 2013, the debt reduction trust fund had a balance of approximately $492.71 million (investments at fair market value).

Under the Trust Funds Investment Policy, the Department's investment program seeks to accomplish three specific goals: (i) preserve the principal value of the funds, (ii) ensure that investments are consistent with each individual fund's liquidity needs and (iii) achieve the maximum yield/return on the investments.

The overall responsibility for managing the Department's investment program for the Trust Funds rests with the Department's Chief Financial Officer, who directs investment activities through the Department's Assistant Chief Financial Officer and Treasurer. An Investment Committee, comprised of the City Controller, a Board member designated by the Board President, the General Manager and the Department's Chief Financial Officer (the "Department Investment Committee") is charged with oversight responsibility. The Trust Funds Investment Policy is adopted by the Board from time to time, and fund activity is reviewed periodically by the Department Investment Committee to ensure its consistency with the overall objectives of the policy, as well as its relevance to current law and financial and economic trends.

The Department's Director of Finance & Risk Control reviews all investment transactions for the Trust Funds on a monthly basis for control and compliance and submits quarterly investment reports that summarize investment income to the Department Investment Committee, the Board and the Mayor for information and evaluation.

POWER SYSTEM TRUST FUND INVESTMENTS

ASSETS AS OF MARCH 31, 2013
(Dollars in Thousands)
(Unaudited)

	Fair Market Value
U. S. Sponsored Agency Issues	$292,794
Medium term notes	121,609
Municipal obligations	57,987
California state bonds	23,440
Other state bonds	23,445
Commercial paper	44,742
Certificates of deposit	30,010
Bankers acceptances	500
Money market funds	25,861
Total	$620,388

Source: Department of Water and Power of the City of Los Angeles.

Department Financial Risk Management Policies

In order to manage certain financial and operational risk, the Board has adopted a number of policies in addition to its Trust Funds Investment Policy. The Board has adopted a Counterparty Evaluation Credit Policy designed to minimize the Department's credit risk with its counterparties. This policy applies to wholesale energy, transmission, physical natural gas and financial natural gas transactions entered into by the Department. Pursuant to this policy the Department assigns credit ratings to such counterparties. The policy requires the use of standardized netting agreements which require such counterparties to net positive and negative exposures to the Department and requires credit enhancement from counterparties that do not meet an acceptable level of risk. Sales to such counterparties are only permitted up to the amount of purchases with a netting agreement and, in certain cases, credit enhancement in place.

The Board has adopted a Retail Natural Gas Risk Management Policy designed to mitigate the Department's exposure to unexpected spikes in the price of natural gas used in the production of electricity to serve retail customers, as authorized by the Charter and the Los Angeles Administrative Code. This policy authorizes Department management to enter into transactions for natural gas subject to specified parameters, such as duration of contract and price and volumetric limits. It also establishes internal controls for natural gas risk management activity. See "THE POWER SYSTEM – Fuel Supply for Department-Owned Generating Units."

The Board has adopted a Wholesale Marketing Energy Risk Management Policy to establish a risk management program designed to manage the Department's exposure to risks resulting from purchases and sales of wholesale energy, transmission services and ancillary services as authorized by the Charter and the Los Angeles Administrative Code. This policy establishes the General Manager's authority to enter into such transactions, identifies approved transaction types and establishes internal controls for wholesale energy risk management activity.

City Investment Policy

The City Treasurer invests temporarily idle cash on behalf of the City, including that of the proprietary departments, such as the Department, as part of a pooled investment program. As of March 31, 2013, the Power System has approximately $585 million of unrestricted cash on deposit and approximately $493 million of restricted cash on deposit with the City. The City's pooled investment program combines general receipts with special funds for investment purposes and allocates interest earnings and losses on a pro-rata basis when the interest is earned and distributes interest receipts based on the previously established allocations. The primary responsibilities of the City Treasurer and the pooled investment program are to protect the principal and asset holdings of the City's portfolio and to ensure adequate liquidity to provide for the prompt and efficient handling of City disbursements.

CITY OF LOS ANGELES POOLED INVESTMENT FUND
ASSETS AS OF JUNE 30, 2012
(Dollars in Thousands)
(Unaudited)

	Amount	Percent of Total	Power System Share
U.S. Treasury Bills	$ 37,004	0.46%	$ 4,117
U.S. Treasury Notes	3,773,466	47.24	419,787
U.S. Sponsored Agency Issues	2,018,682	25.27	224,572
Medium Term Notes	1,318,929	16.51	146,727
Commercial Paper	829,789	10.39	92,312
Short-Term Investment Funds	4,447	0.06	495
Certificates of Deposit	6,000	0.08	667
Total General and Special Pools	**$7,988,318**	**100.00%**	**$888,677**

Source: Department of Water and Power of the City of Los Angeles and Los Angeles Office of Finance.
Note: Department funds held by the City are both unrestricted and restricted funds. Totals may not equal sum of parts due to rounding.

The City's investment operations are managed in compliance with the California Government Code and the City's statement of investment policy, which sets forth permitted investments, liquidity parameters and maximum maturity of investments. The investment policy is reviewed and approved by the City Council on an annual basis. An Investment Advisory Committee, comprised of the City Treasurer (who is also the General Manager of the City's Office of Finance), City Controller, Chief Legislative Analyst, Chief Administrative Officer's office and a contracted financial advisor, is charged with oversight responsibility to ensure conformity with the investment policy. The Association of Public Treasurers of the United States and Canada has certified the City's investment policy.

Monthly reports of investment activity are presented to the Mayor, the City Council and the Department to indicate, among other things, compliance with the investment policy. The City's Office of Finance does not invest in structured and range notes, securities that could result in zero interest accrual if held to maturity, variable rate, floating rate or inverse floating rate investments and mortgage-derived interest or principal-only strips.

The investment policy permits the City's Office of Finance to engage custodial banks to enter into short-term arrangements to lend securities to various brokers. Cash and/or securities (United States Treasuries and Federal Agencies only) collateralize these lending arrangements, the total value of which is at least 102% of the market value of securities loaned out. The securities lending program is limited to

a maximum of 20% of the market value of the City's Office of Finance's pool by the City's investment policy and the California Government Code.

For more information about the investments in the City's Office of Finance pool, See "Note 7 – Cash, Cash Equivalents, and Investments" in Appendix A.

ELECTRIC RATES

Rate Setting

Pursuant to the Charter, the Board, subject to the approval of the City Council by ordinance (as discussed below), fixes the rates for electric service from the Power System ("Electric Rates"). The Charter provides that the Electric Rates shall be fixed by the Board from time to time as necessary. The Charter also provides that the Electric Rates shall, except as authorized by the Charter, be of uniform operation for customers of similar circumstances throughout the City, as near as may be, and shall be fair and reasonable, taking into consideration, among other things, the nature of the uses, the quantity supplied and the value of the service provided. The Charter further provides that rates for electric energy may be negotiated with individual customers, provided that such rates are established by binding contract, contribute to the financial stability of the Power System and are consistent with such procedures as the City Council may establish.

The Board is obligated under the Charter and the rate covenant in the Master Resolution to establish Electric Rates and collect charges in amounts which, together with other available funds, shall be sufficient to service the Department's Power System indebtedness and to meet the Power System's expenses of operation and maintenance. The Charter provides that Electric Rates are subject to the approval of the City Council by ordinance (a "Rate Ordinance"). The Charter further requires that the City Council approve Rate Ordinances for the Electric Rates prescribed in the rate covenant in the Charter, which rate covenant is also included in the Master Resolution.

The Department recently increased rates resulting in annual system average Electric Rate increases of approximately 4.9% for fiscal year 2012-13 and 6.0% for fiscal year 2013-14. The rate increase over these two fiscal years are reflected in the Incremental Electric Rate Ordinance and as a result, effective November 11, 2012, the Department electric retail revenue is funded from the existing Rate Ordinance and the Incremental Electric Rate Ordinance through the following bill factors: (i) Base Rate, (ii) Energy Cost Adjustment Factor (the "ECAF") and Reliability Cost Adjustment Factor (the "RCAF"); and (iii) adjustments under the Incremental Electric Rate Ordinance: (A) Variable Energy Adjustment ("VEA"), (B) Capped Renewable Portfolio Standard Energy Adjustment ("CRPSEA"), (C) Variable Renewable Portfolio Standard Energy Adjustment ("VRPSEA"), (D) Incremental Reliability Cost Adjustment ("IRCA"), and (E) Incremental Base Rates.

Effective November 11, 2012, the Base Rate under the existing Rate Ordinance was capped to remain fixed at the level as of November 3, 2010. The Base Rate is used to fund expenditures including debt service arising from capital projects except projects relating to the Renewable Portfolio Standard ("RPS"), operational and maintenance expense except RPS related, public benefit spending, property tax, and a prorated portion of the Power Transfer.

The ECAF under the existing Rate Ordinance is used to recover expenditures for fuel, purchased power, RPS and energy efficiency-related expenditures. Effective November 11, 2012, under the Incremental Electric Rate Ordinance, the ECAF was designated as the Capped Energy Cost Adjustment and shall not exceed $0.05690/kWh, which was the applicable rate as of November 3, 2010.

The RCAF under the existing Rate Ordinance is used to recover power reliability expenditures. Effective November 11, 2012, under the Incremental Electric Rate Ordinance, the RCAF applied to residential customers was designated as the Residential Capped Reliability Cost Adjustment and was capped at $0.00300/kWh and the RCAF applied to general service customers was designated as the General Service Capped Reliability Cost Adjustment and was capped at $0.96/kW, which were the applicable rates as of November 3, 2010.

The Incremental Electric Rate Ordinance assesses incremental charges to provide funding of expenditures not recovered through the capped charges in the existing Rate Ordinance. Customers pay these incremental charges in addition to the rates specified in the existing Rate Ordinance. These incremental charges include the following: (A) VEA, which recovers costs associated with fuel non-renewable portfolio standard power purchase agreements, economy purchases, legacy ECAF under-collection and Base Rate decoupling from energy efficiency impact; (B) CRPSEA, which recovers costs associated with RPS operations and maintenance, debt service and energy efficiency programs; (C) VRPSEA, which recovers costs associated with RPS market purchases and costs above any operations and maintenance and debt service payments; (D) IRCA, which recovers costs associated with operations and maintenance, debt service expense of the Power System Reliability Program and RCA under-collection; and (E) Incremental Base Rates, which recover costs of providing electric utility service that are not recovered by the above adjustment factors and the Base Rate, including labor costs, real estate costs, costs to rebuild and operate local power plants, equipment costs, operation and maintenance costs, expenditures for jointly owned plants and other inflation-sensitive costs.

See Appendix A – "Note 1(r) – Summary of Significant Accounting Policies – *Revenues*."

Board Adopted Financial Planning Criteria. The Board has directed the Department to use the following criteria when preparing the Power System's financial plans with respect to Electric Rates: (i) maintain minimum debt service coverage at 2.25 times, (ii) maintain a minimum operating cash target of $300 million, and (iii) maintain a debt-to-capitalization ratio of less than 68%. These criteria are subject to ongoing reviews and adjustments by the Board with advice from the Department's financial advisors and were most recently revised with the adoption of the new rates effective November 11, 2012.

Neighborhood Councils. Pursuant to a Memorandum of Understanding, the Department agreed to use its best efforts to undertake a 90-day or 120-day notification and outreach period (depending on the duration of the Department's proposed rate action) with the City's Neighborhood Councils prior to submitting a residential or non-residential retail business customer electric rate increase proposal to the Board for approval. The Neighborhood Councils will use their best efforts to provide written input regarding such rate proposals to the Department within 60 days of receiving the above-discussed notifications.

Office of Public Accountability. Section 683 of the Charter establishes the Office of Public Accountability (the "OPA") with respect to the Department. The primary role of the OPA is providing public, independent analysis to the Board and City Council about Department actions as they relate to water rates and the Electric Rates. The role of the OPA is advisory rather than an approver of Electric Rates. The OPA is headed by an Executive Director appointed by a citizens committee, subject to confirmation by the City Council and Mayor, who serves as the Ratepayer Advocate for the OPA. On February 1, 2012, Dr. Frederick H. Pickel was appointed as Executive Director of the OPA (the "Ratepayer Advocate"). The recent rate action effective November 11, 2012, was supported by the Ratepayer Advocate following his review of the proposed rate changes. The rate action included certain changes proposed by the Ratepayer Advocate. The Ratepayer Advocate also provided a list of additional recommendations for potential implementation by the Department prior to any further rate actions. The

Department is assessing these proposals and is required to report quarterly to the City Council on such assessments and plans for implementation of certain of the recommendations.

Rate Regulation

While changes in the retail Electric Rate ordinance are subject to approval by the City Council, the authority of the Board to impose and collect retail Electric Rates for service from the Power System is not subject to the general regulatory jurisdiction of the California Public Utilities Commission (the "CPUC") or any other State or federal agency. The California Public Utilities Code (the "Public Utilities Code") contains certain provisions affecting all municipal utilities such as the Power System. At this time, neither the CPUC nor any other regulatory authority of the State nor FERC approves the Department's retail Electric Rates. It is possible that future legislative and/or regulatory changes could subject the Department to the jurisdiction of the CPUC or to other limitations or requirements.

Although its retail Electric Rates are not subject to approval by any federal agency, the Department is subject to certain provisions of the Public Utilities Code and the Public Utility Regulatory Policies Act of 1978 ("PURPA"). PURPA applies to the purchase of the output of "qualified facilities" ("QFs") at prices determined in accordance with PURPA. The Energy Policy Act of 2005 repealed the mandatory purchase obligation for utilities (including the Department) when FERC determines that the QFs have access to a competitive sales market and open access transmission. The Department believes that it is currently operating in compliance with PURPA.

Under federal law, FERC has the authority, under certain circumstances and pursuant to certain procedures, to order any utility (municipal or otherwise), including the Department, to provide transmission access to others at cost-based rates. FERC also has licensing authority over various hydroelectric facilities owned and operated by the Department.

Furthermore, with, among other things, the consent of the Department, the transmission facilities owned or controlled by the Department may be included in the California statewide network administered by the Cal ISO. See "THE POWER SYSTEM – Transmission and Distribution Facilities." The California Energy Resources Conservation and Development Commission, commonly referred to as the California Energy Commission (the "CEC"), is authorized to evaluate rate policies for electric energy as related to the goals of the Warren-Alquist State Energy Resources Conservation and Development Act (Public Resources Code Section 25000 *et seq*.) and make recommendations to the Governor of the State, the Legislature and publicly-owned electric utilities. The Department is in the process of updating the Open Access Transmission Tariff, which includes revising the cost-of-service and rate design for the Department's wholesale transmission rates.

Billing and Collections

The Department currently bills residential customers on a bimonthly basis and commercial and industrial customers on a monthly basis. The Department is implementing a new customer billing system and may transition to monthly billing of residential customers after stable operation of that new system. The Department prepares bills covering water and electric charges and non-Department charges (such as sewer services, a sanitation equipment charge and State and local taxes). Payments received by the Department are credited to the billed amounts in the following priority: water charges, electric charges, State and local taxes, sewer service charge and sanitation equipment charge. Payments received are credited first to amounts in arrears and then to the current amounts for each charge in the priority described above. This procedure requires that a customer pay all delinquent charges before payments are applied to current or remaining amounts. Based on its recent experience of delinquencies, the Department expects it will be unable to collect approximately 1.0% of the amounts billed to its customers.

THE POWER SYSTEM

General

The Power System is the nation's largest municipal electric utility with a net maximum plant capacity of 8,524 megawatts ("MWs") and net dependable capacity of 7,475 MWs as of December 31, 2012, and properties with a net book value of approximately $6.57 billion as of December 31, 2012. The Power System's highest load registered 6,177 MWs on September 27, 2010 when temperatures reached the highest ever recorded in the City. Based on the Department's March 2012 Retail Electric Sales and Demand Forecast, the Department anticipated that gross customer electricity consumption would increase from fiscal year 2011-12 to fiscal year 2021-22 at a forecasted rate of approximately 1.3% per year without consideration of the Department's measures to promote energy efficiency and distributed generation. That load growth rate reflects, in the later part of the ten year planning period, increases due in part to fuel switching in the transportation sector including the increase of plug-in hybrid electric vehicles. In the Power System's most recent integrated resource plan and as also reflected in the most recent rate action, significant energy efficiency measures are planned for as a cost effective resource, along with support for customer solar projects. Such measures are anticipated to more than offset gross load growth, resulting in net overall energy consumption that declines slightly by about 0.1% per year over this period. For the operating statistics of the Power System, see "OPERATING AND FINANCIAL INFORMATION – Summary of Operations."

The Department estimated that the Power System's capacity (as of December 31, 2012) and energy (preliminary estimates for calendar year 2012) mix were approximately as follows:

DEPARTMENT GENERATION MIX PERCENTAGES

Resource Type	Capacity Percentage[1]	Energy Percentage[2]
Natural Gas	40%	22%
Large Hydro	19	4
Coal	20	34[5]
Nuclear	5	11
Renewables[3]	16	20
Unspecified Sources of Energy[4]	--	9
Total	100%	100%

(1) Net Maximum Unit Capability as of December 31, 2012.
(2) Energy percentage is based on the Department's preliminary estimate of calendar year 2012 fuel mix. Final results will be submitted as part of the 2012 Annual Power Content Label (APCL) to the California Energy Commission in October 2013.
(3) Eligible renewable resources are in accordance with SBX1-2.
(4) Unspecified sources of energy means electricity from transactions that are not traceable to specific generation sources.
(5) An outage of one IPP coal generation unit contributed to a lower percentage of coal than in previous years (41% in 2011 and 39% in 2010).

The Department anticipates that its generation mix will change in response to statutory and regulatory developments.

Generation and Power Supply

The Power System has a number of generating resources available to it. The following discussion describes the Department's solely owned, jointly owned and contracted generation facilities, as well as fuel and water supplies and spot purchase activities. Currently the Department's base load requirements are fulfilled primarily by generating capacity at IPP, Navajo Generating Station and PVNGS, and balanced with its natural gas, hydroelectric, renewable resources and spot purchases. The following information concerning the capacities of various facilities is as of December 31, 2012.

Department-Owned Generating Units

The Department's solely owned generating facilities, as of December 31, 2012, are summarized in the following table:

DEPARTMENT-OWNED GENERATING FACILITIES

Type of Fuel	Number of Facilities	Number of Units	Net Maximum Capacity (MWs)	Net Dependable Capacity (MWs)
Natural Gas	4[1]	22	3,399	3,313
Large Hydro[2]	1	7	1,247	1,175
Renewables	38	207[3]	454[4]	225
Subtotal	**43**	**236**	**5,100**	**4,713**
Less: Payable to the California Department of Water Resources	–	–	(120)[5]	(55)[5]
Total	**43**	**236**	**4,980**	**4,658**

Source: Department of Water and Power of the City of Los Angeles.
(1) Consists of the four Los Angeles Basin Stations (Haynes, Valley, Harbor and Scattergood) discussed and defined below.
(2) The Castaic Plant (as defined below) is undergoing modernization work scheduled to be completed by 2014.
(3) Includes 21 of the hydro units at the Los Angeles Aqueduct, Owens Valley and Owens Gorge hydro units that qualify under the City's renewable resource definition. Also included are microturbine units at the Lopez Canyon Landfill and Department built photovoltaic solar installations, the Pine Tree Wind Project, and the Linden Wind Energy Project, and a local small hydro plant. Not included are the units that were upgraded at the Castaic Plant. Also not included in this count are the two Scattergood Generating Station gas-fueled units that partially burn digester gas.
(4) Included are the MWs of incremental hydroelectric generation achieved through efficiency improvements at Castaic, as applied for by the Department for certification by the CEC in 2012. Also included are the 16 MWs renewable energy generated at the Scattergood Generating Station by the burning of digester gas from the Hyperion Treatment Plant.
(5) Energy payable to the California Department of Water Resources for energy generated at the Castaic Plant. This amount varies weekly up to a maximum of 120 MWs.

Los Angeles Basin Stations. The Department is the sole owner and operator of four electric generating stations in the Los Angeles Basin (the "Los Angeles Basin Stations"), with a combined net maximum generating capacity of 3,415 MWs and a combined net dependable generating capacity of 3,329 MWs. Natural gas and digester gas are used as fuel for the Los Angeles Basin Stations. Low-sulfur, low-ash residual distillate is used for emergency back-up fuel. See "—Fuel Supply for Department-Owned Generating Units." See also "—Projected Capital Improvements."

Haynes Generating Station. The largest of the Los Angeles Basin Stations is the Haynes Generating Station, located in the City of Long Beach, California. The Haynes Generating Station currently consists of seven generating units with a combined net maximum capacity of 1,556 MWs and a net dependable capacity of 1,525 MWs. A Haynes Generating Station

combined-cycle generating unit includes two combustion turbines and a common steam turbine. The combustion turbines can each operate with the steam turbine independently or together in a two-on-one configuration (and are counted by the Department as three generating units). The Department is in the process of repowering units 5 and 6 with advanced simple-cycle gas turbine units and is scheduled to complete such process by July 2013. See "— Environmental Regulation and Permitting Factors – *Water Quality – Cooling Water Process – State Water Resources Control Board Requirements for Intake Structures; - Regional Requirements for Thermal Discharges at Harbor Generating Station and Haynes Generating Station*" for a discussion of potential permitting and related equipment upgrades with respect to cooling water intake structures and thermal discharges.

Valley Generating Station. The Valley Generating Station is located in the San Fernando Valley and is comprised of a combined-cycle generating unit consisting of two gas turbines with heat recovery steam generators, which supplies one steam turbine (counted as three units) with 576 MWs of net maximum capacity. The total net dependable capacity for the Valley Generating Station is 556 MWs.

The Valley Generating Station also has 50 microturbines located at the Lopez Canyon Landfill in the hills above the City of Sun Valley. The microturbines burn the excess landfill gas and have a 1.2 MWs total combined net capacity. The microturbines are not operational at this time due to insufficient landfill gas production from the Lopez Canyon landfill.

Harbor Generating Station. The Harbor Generating Station is located in Wilmington, California. The Harbor Generating Station is comprised of a combined-cycle generating unit (counted as three units) and five additional peaking combustion turbines for a total of eight generating units. The Harbor Generating Station's net maximum capacity is 466 MWs with a net dependable capacity of 452 MWs. See "– Environmental Regulation and Permitting Factors – *Water Quality – Cooling Water Process– State Water Resources Control Board Requirements for Intake Structures; - Regional Requirements for Thermal Discharges at Harbor Generating Station and Haynes Generating Station*" for a discussion of potential permitting and related equipment upgrades with respect to cooling water intake structures and thermal discharges.

Scattergood Generating Station. The Scattergood Generating Station is located near El Segundo, California and is comprised of three steam generating units with a net maximum capacity of 817 MWs from natural gas and a net dependable capacity of 796 MWs from natural gas. Units 1 and 2 can also burn some digester gas from the adjacent Hyperion Sewage Treatment Plant for producing up to 16 MWs of net maximum capacity. The Department plans to repower 460 MWs of Scattergood Generating Station with a combined-cycle generating unit and a simple-cycle gas turbine unit by December 2015. See "—Environmental Regulation and Permitting Factors – *Water Quality – Cooling Water Process – State Water Resources Control Board Requirements for Intake Structures*" for a discussion of potential permitting and related equipment upgrades with respect to cooling water intake structures.

Castaic Pump Storage Power Plant. The Castaic Pump Storage Power Plant is located near Castaic, California (the "Castaic Plant") at the terminus of the west branch of the California Aqueduct. The Castaic Plant is the Department's largest source of hydroelectric capacity and consists of seven units. The Castaic Plant's net dependable capacity for the seven units is 1,175 MWs. The units are currently being rotated out of service for modernization resulting in a reduced net dependable capacity of 1,175 MWs during the modernization process. The Department intends that other units at the Castaic Plant, in turn, will be rotated out of service for modernization. The modernization process is expected to continue through 2014. See "–

Projected Capital Improvements." This refurbishment is projected to add up to 80 MWs of capacity. FERC licenses pursuant to which the Department operates the Castaic Plant expire in 2022. The Castaic Plant provides peaking and reserve capacity and is normally not a source of energy to the Department's net base load requirements. The Castaic Plant obtains water supply via the water conveyance system (the "State Water Project") operated by the California Department of Water Resources, which has been the subject of recent litigation to which the Department is not a party. It has been alleged that the California Department of Water Resources is illegally "taking" listed species of fish through operation of the State Water Project export facilities and that the California Department of Water Resources should cease operation of the State Water Project pumps. The California Department of Water Resources has altered the operations of the State Water Project to accommodate the listed species, which has had the effect of reduced pumping from the affected waters. Success by plaintiffs in this litigation could influence how the State Water Project is operated and further reduce water flow to the Castaic Plant. The Department cannot predict at this time what effect this litigation will have on the Power System.

Owens Gorge and Owens Valley Hydroelectric Generation. The Owens Gorge and Owens Valley Hydroelectric generating units are located in the Owens Valley, Owens Gorge and along the Los Angeles and California Aqueducts (the "Owens Gorge and Owens Valley Hydroelectric Generation"). The Owens Gorge and Owens Valley Hydroelectric Generation is a network of hydroelectric plants which use water resources of the Los Angeles Aqueduct and three creeks along the Eastern Sierras. The hydroelectric capacity is provided by ten units, with an aggregate net dependable capacity of 111 MWs. The water flow fluctuates from year to year and as a result water flow may be reduced from seasonal norms from time to time. Since 1998 the total aqueduct exports from Owens Valley to the City have gone from approximately 457,000 acre-feet per year to currently 223,000 acre-feet per year. This difference is due to environmental uses in the Owens Valley, including Mono Lake level restoration, Lower Owens River restoration, reduced groundwater pumping and Owens Lake dust mitigation. Consequently, this water use reallocation has resulted in a reduction of downstream hydroelectric generation, which is accounted for in the annual updates of the Power System's integrated resource plan. The Owens Gorge facility is the subject of litigation. See "LITIGATION – Owens Gorge."

San Francisquito Canyon and the Los Angeles and Franklin Reservoirs. The Department also owns and operates eleven units located north of the City along the Los Angeles Aqueduct in San Francisquito Canyon and at the Los Angeles and Franklin Reservoirs. The net aggregate dependable plant capacity of these smaller units is 24.2 MWs under average water conditions.

Jointly-Owned Generating Units and Contracted Capacity Rights in Generating Units

The Department has additional generating resources available as capacity rights resulting from undivided ownership interests in facilities that are jointly-owned with other utilities. These interests, as of December 31, 2012, are summarized in the following chart and discussed below. Each project participant with respect to jointly-owned units is responsible for providing its share of construction, capital, operating and maintenance costs.

Type	Number of Facilities	Department's Net Maximum Capacity Entitlement (MWs)	Department's Net Dependable Capacity Entitlement (MWs)
Coal	2	1,665[(1)]	1,665
Large Hydro	1	491[(2)]	468
Nuclear	1	387[(3)]	380
Renewables/Distributed Generation ("DG")	6,403[(4)]	881	249
Total	**6,407**	**3,424**	**2,762**

Source: Department of Water and Power of the City of Los Angeles.

(1) The Department's IPP entitlement is 48.62% of the maximum net plant capacity of 1,800 MWs. An additional 18.17% portion of the IPP entitlement is subject to variable recall as set forth under "Power Recalls" below. The Department's Navajo Generating Station entitlement is 21.20% of the maximum net plant capacity of 2,250 MWs. See "*Intermountain Power Project*" and "*Navajo Generating Station*" below.

(2) The Department's Hoover Power Plant contract entitlement is 490 MWs, 25.16% of the Hoover total contingent capacity. As of September 2011, reduced lake levels have reduced the Department's available capacity to an annual average of approximately 436 MWs; however, as of June 2012, the Department's available capacity had increased to an annual average of approximately 468 MWs. See "Hoover Power Plant" below.

(3) The Department's PVNGS entitlement is 9.66% of the maximum net plant capacity of 4,003 MWs. See "*Palo Verde Nuclear Generating Station*" below.

(4) The Department's contract renewable resources in-service include landfill gas units at various landfills in the Los Angeles area; biogas fuel purchases out of state; hydro unit locally; wind farms in Oregon, Washington, Utah and Wyoming; and customer solar photovoltaic installations and DG units located in the Los Angeles region.

Intermountain Power Project.

General. The IPP consists of: (i) a two-unit, coal-fired steam-electric generating plant with a net rating of 1,800 MW (the "Intermountain Generating Station") and a switchyard (the "Switchyard"), located near Lynndyl, in Millard County, Utah; (ii) a ±500 kV, direct current transmission line approximately 490 miles in length from and including the Intermountain Converter Station (an alternating current/direct current converter station adjacent to the Switchyard) to and including a corresponding converter station at Adelanto, California (collectively, the "Southern Transmission System") (see "Transmission and Distribution Facilities – *Southern Transmission System*"); (iii) two 50-mile, 345 kV, alternating current transmission lines from the Switchyard to the Mona Switchyard in the vicinity of Mona, Utah and a 144-mile, 230 kV, alternating current transmission line from the Switchyard to the Gonder Switchyard near Ely, Nevada (collectively, the "Northern Transmission System"); (iv) a microwave communications system; (v) a railcar service center located in Springville, in Utah County, Utah (the "Railcar Service Center"); and (vi) certain water rights and coal supplies (which water rights and coal supplies, together with the Intermountain Generating Station, the Switchyard and the Railcar Service Center, are referred to herein collectively as the "Generation Station"). Pursuant to a Construction Management and Operating Agreement between IPA and the Department, IPA appointed the Department as project manager and operating agent responsible for, among other things, administrating, operating and maintaining the IPP. All of the facilities of IPP have been in full

commercial operation since May 1, 1987 and have operated at higher than anticipated capacity and availability levels.

Power Contracts. Pursuant to a Power Sales Contract with IPA (the "IPP Contract") and a Lay-Off Power Purchase Contract with Utah Power & Light Company (now operating as Rocky Mountain Power, "UP&L") and IPA, the Department is entitled to 44.617% of the capacity of the IPP (currently equal to 803 MWs). The existing IPP Contract terminates in 2027 and contains provisions that allow renewal by the Department under certain circumstances, subject to legal and regulatory mandates. As described in "FACTORS AFFECTING THE DEPARTMENT AND THE ELECTRIC UTILITY INDUSTRY," SB 1368 prohibits the Department from making any "long-term financial commitment" in connection with "baseload generation" that does not satisfy greenhouse gas emissions performance standard specified in the bill. Accordingly, the existing IPP contract cannot be renewed by the Department. See "FACTORS AFFECTING THE DEPARTMENT AND THE ELECTRIC UTILITY INDUSTRY – California Climate Change Policy Developments."

Pursuant to the IPP Contract, the Department is required to pay in proportion to its entitlement share the costs of producing and delivering electricity as a cost of purchased capacity. The Department also has available additional capacity in the IPP through an excess power sales agreement with certain other IPP participants (the "IPP Excess Power Sales Agreement"). Under the IPP Excess Power Sales Agreement the Department is entitled to 17.3615% of the capacity of IPP (currently equal to approximately 313 MWs). Pursuant to a Power Purchase Agreement with UP&L (the "UP&L Contract"), the Department purchases capacity and energy equivalent to the capacity and energy made available to UP&L pursuant to its 4% entitlement in the IPP (currently equal to approximately 72 MWs) until 2027, subject to certain renewal rights which are dependent upon certain factors including the renewal of the IPP Contract. Under the UP&L Contract, the Department is obligated to pay to UP&L amounts equal to the amounts UP&L is required to pay IPA under its contract with IPA with respect to the IPP. The IPP Contract and UP&L Contract require the Department to pay for such capacity and energy on a "take-or-pay" basis as operating expenses of the Power System. See "OPERATING AND FINANCIAL INFORMATION – Take-or-Pay Obligations."

In the fiscal year that ended June 30, 2012, the IPP operated at a plant capacity factor of 68.0% and provided approximately 6.75 million megawatt-hours ("MWhs") of energy to the Power System. The capacity factor is lower than the average year because of a five month forced outage on one of the two generating units.

Intermountain Generating Station upon the termination of the IPP Contract. The Department has been in discussions with IPA and other IPP power purchasers with respect to providing for the sale of the generation and transmission entitlements of IPP following the termination of the IPP Contract in 2027. In order to facilitate the continued participation of the Department and other California power purchasers in the IPP, the IPA Board has issued the Second Amendatory Power Sales Contract that would amend the current Power Sales Contract and allow the plant to replace the coal units with combined cycle natural gas units by July 1, 2025. IPA and the Department have also prepared draft Renewal Power Sales Contracts to continue taking power from the Intermountain Generating Station fueled by natural gas for the period of 2027 through 2077. The Board and City Council have approved the Second Amendatory Power Sales Contract. The Department awaits similar approvals of the Second Amendatory Power Sales Contracts from the other IPP power purchasers. The Department is exploring many options with respect to the termination of the IPP Contract and its exit from coal fired power plants. The Department is currently evaluating the financial impact of these several options on the finances and operations of the Department.

Power Recalls. Certain IPP participants have a right under the IPP Excess Power Sales Agreement to recall from the Department up to 18.168% of the capacity of IPP (currently equal to

approximately 327 MWs) for defined future summer or winter seasons or both, following no less than 45 days' notice and up to 43 MWs of such capacity on a seasonal basis following no less than 90 days' notice. Such participants are currently recalling 15 MWs of winter season capacity from the Department. The Department can give no assurance that the capacity of IPP subject to recall from the Department under the Excess Power Sales Agreement will not be recalled.

Fuel Supply. The Department, in its role as the operating agent of IPP, buys coal under contracts to fulfill the supply requirement of approximately six million tons per year. Coal is purchased under a diversified portfolio of contracts that are of short-, medium- and long-term in duration, with pricing based on such factors as the fixed price, the market and cost of production. From now through 2015, the Department has determined that coal presently under contract is sufficient, with the exercise of available options, to meet the IPP's annual coal requirements, with lesser amounts of coal under contract for an additional two years thereafter. The average cost of coal delivered to the Intermountain Generating Station in fiscal year 2011-12 was approximately $44.32 per ton. During the prior fiscal year, the average cost of coal delivered was approximately $38.02 per ton. The Department expects the costs to fulfill IPP's annual coal supply requirements after 2015 will be higher than its current contract costs due to the continual turnover of mining properties in Utah, difficult mining conditions at the remaining mines, increased mining costs due to regulatory oversight, and the continued increase in rail transportation costs, among other things. To be able to continue to operate the IPP in the event of a coal supply disruption, IPA attempts to maintain a coal stockpile at the Intermountain Generating Station that is sufficient to operate the plant at the IPP's current plant capacity factors for a minimum of 60 days. Transportation of coal to the Intermountain Generating Station is provided primarily by rail under agreements between IPA and the Utah Railway and the Union Pacific Railroad companies, and the coal is transported in IPA-owned railcars. Coal can also be transported, to some extent, in commercial trucks.

Navajo Generating Station.

General. The Navajo Generating Station is a coal-fired, electric generating station and consists of three units with a combined capacity of 2,250 MWs located near the City of Page, Arizona. Salt River Project is the operating agent for the Navajo Generating Station. The Department has a 21.2% ownership interest in the Navajo Generating Station, and the Department's share of the Navajo Generating Station capacity amounts to 477 MWs. The existing co-tenancy agreement related to the lease of the facilities terminates in 2019 and may be renewed as provided in such co-tenancy agreement. In response to SB 1368, the Department is negotiating the divestiture of its ownership interest in the Navajo Generating Station. The Power System's most current integrated resource plan recommends that the sale of the Department's ownership interest in the Navajo Generating Station occur in 2015. The timing of the sale will depend on a variety of factors within and outside of the control of the Department, including the ongoing Best Available Retrofit Technology ("BART") review process, as discussed below. The Department's efforts to sell its share of the Navajo Generating Station are ongoing and the Department cannot give any assurance as to if or when a sale will occur.

Water Supply. The Navajo Generating Station uses water from Lake Powell for cooling purposes, pursuant to a Water Service Contract with the United States of America. As a result of drought conditions in the Southwest United States over the last several years, water levels in Lake Powell have dropped significantly at various points and may ultimately fall below the former pipeline intake for the Navajo Generating Station. In order to mitigate this issue, the pipeline was relocated in 2009 to a position at which intake is possible at lower elevations.

Environmental Considerations. The visual range, or visibility impairment, at national parks and wilderness areas is affected by natural and human-caused sources of air pollution. The visibility program of the United States Environmental Protection Agency (the "EPA") arising from the federal Clean Air Act

requires states to address visibility impairment caused by pollutants from certain large industrial sources through a process to establish BART. The Navajo Generating Station has installed pollution control equipment that significantly reduced sulfur dioxide emissions and particulate matter in order to protect visibility and improve air quality. A BART review process was conducted by the EPA to set the level of nitrogen oxide ("NOx") emissions allowed for the Navajo Generating Station as well as the proper emissions control technology. On February 5, 2013, the EPA proposed a source-specific Federal Implementation Plan requiring the Navajo Generating Station to reduce visibility impairment at National Parks and wilderness areas by lowering NOx under the BART provision of the federal Clean Air Act. The EPA is proposing to require the Navajo Generating Station to achieve about 80% reduction of its current overall NOx emission rate. The EPA's comment period on this proposal ends on August 5, 2013. The Department is evaluating the potential impacts of the proposed rule.

Mohave Generating Station.

General. The Mohave Generating Station is located near Laughlin, Nevada. It was a coal-fired electric generating station, consisting of two units with a combined capacity of 1,580 MWs. The Department owns a 10% interest in the Mohave Generating Station. The other co-owners are Southern California Edison Company ("Edison"), Salt River Project and the NV Energy (formerly known as Nevada Power Company).

Operations Ceased. The Mohave Generating Station generating units were removed from service at the end of 2005. There are currently no plans to return the Mohave Generating Station to service as a coal-fired facility. Staff has been reduced and all major plant decommissioning was completed in 2012. Minor cleanup, ground water monitoring and upkeep of the plant site will continue for a number of years after the decommissioning to ensure that the integrity of the coal ash landfill is maintained and that the groundwater is protected from contamination. See "THE POWER SYSTEM – Environmental and Regulatory Factors – *Superfund – Resource Conservation and Recovery Act ("RCRA")*."

Hoover Power Plant.

General. The Hoover Power Plant is located on the Arizona-Nevada border approximately 25 miles east of Las Vegas, Nevada and is part of the Hoover Dam facility, which was completed in 1935 and controls the flow of the Colorado River. The Hoover Power Plant consists of 17 generating units and two service generating units with a total installed capacity of approximately 2,080 MWs. The Department has a power purchase agreement with the United States Department of Energy Western Area Power Administration for 491 MWs of capacity (calculated based on 25.16% of 1,951 MWs of total contingent capacity) and energy from the Hoover Power Plant through September 2017 and, due to the enactment of H.R. 470, "Hoover Power Allocation Act of 2011," the Department expects a renewal power purchase agreement with Western for 496 MWs of capacity (calculated based on 23.92% of 2,074 MWs of total contingent capacity) and energy from the Hoover Power Plant from October 2017 through September 2067. The facility is owned and operated by the United States Bureau of Reclamation.

Drought Conditions. Because of prolonged drought conditions that have resulted in record low lake levels, the Department's capacity entitlement at the Hoover Power Plant has been reduced from time to time.

Environmental Considerations. The lower Colorado River has been included in a critical Habitat Designated Area. This required the Bureau of Reclamation to prepare and file with the United States Fish and Wildlife Service a Biological Assessment on the effect of its operations of the lower Colorado River on endangered species therein. After the Biological Assessment was filed, the United States Fish and Wildlife Service issued a Biological and Conference Opinion regarding the Bureau of Reclamation's

operations and outlined remedial actions to be taken to correct adverse effects to endangered species. Such remedial actions could affect the operation of the Hoover Power Plant, which would in turn affect the Hoover Power Plant customers, including the Department. The Department believes that any impact on future operations will be minor; however there is a possibility that a "worst-case" scenario could reduce the Hoover Power Plant customers' available capacity from the Hoover Power Plant by approximately 75%. The Hoover Power Plant customers, including the Department, together with certain other parties, have implemented a plan in cooperation with the Bureau of Reclamation and the United States Fish and Wildlife Service to mitigate negative effects on the Hoover Power Plant's energy production.

Palo Verde Nuclear Generating Station.

General. PVNGS is located approximately 50 miles west of Phoenix, Arizona. PVNGS consists of three nuclear electric generating units (numbered 1, 2 and 3), with a net maximum capacity of 1,333 MWs (unit 1), 1,336 MWs (unit 2) and 1,334 MWs (unit 3) and a dependable capacity of 1,311 MWs (unit 1), 1,314 MWs (unit 2) and 1,312 MWs (unit 3). PVNGS's combined design capacity is 4,003 MWs and its combined dependable capacity is 3,937 MWs. Each PVNGS generating unit has been operating under 40-year Full-Power Operating Licenses granted by the Nuclear Regulatory Commission (the "NRC"). In April 2011, the NRC approved PVNGS's license renewal application, allowing the three units to extend operation for an additional 20 years until 2045, 2046 and 2047, respectively. The Department is currently seeking approval from the Board and the City Council to renew the participation agreement for PVNGS. Arizona Public Service Company ("APS") is the operating agent for PVNGS. For the fiscal year ended June 30, 2012, PVNGS provided over 3.0 million MWhs of energy to the Power System, representing approximately 11% of the Department's overall energy for this period. The Department has a 5.7% direct ownership interest in the PVNGS (approximately 224 MWs of dependable capacity). The Department also has a 67.0% generation entitlement interest in the 5.91% ownership share of PVNGS that belongs to SCPPA through its "take-or-pay" power contract with SCPPA (totaling approximately 156 MWs of dependable capacity), so that the Department has a total interest of approximately 380 MWs of dependable capacity from PVNGS. Co-owners of PVNGS include APS; the Salt River Project Agricultural Improvement and Power District, a political subdivision of the state of Arizona, and the Salt River Valley Water Users' Association, a corporation (together, the "Salt River Project"); Edison; El Paso Electric Company; Public Service Company of New Mexico; SCPPA and the Department.

Nuclear Regulatory Commission. The NRC has broad authority under federal law to impose licensing and safety-related requirements for the operation of nuclear generation facilities. Events at nuclear facilities of other operators or impacting the industry generally may lead the NRC to impose additional requirements and regulations on existing and new facilities. As a result of the March 2011 earthquake and tsunami that caused significant damage to the Fukushima Daiichi Nuclear Power Plant in Japan, various industry organizations are working to analyze information from the Japan incident and develop action plans for U.S. nuclear power plants. Additionally, the NRC is performing its own independent review of the events at Fukushima Daiichi, including a review of the agency's processes and regulations in order to determine whether the agency should promulgate additional regulations and possibly make more fundamental changes to the NRC's system of regulation.

On March 12, 2012, the NRC issued the first regulatory requirements for all 104 operating reactors located in the United States based on the task force evaluations. The NRC issued three orders that modify operating licenses by requiring the following safety enhancements: (1) mitigation strategies to respond to extreme natural events resulting in the loss of power at plants, (2) ensuring reliable hardened containment vents, and (3) enhancing spent fuel pool instrumentation. The orders require prompt implementation of the safety enhancements and to complete implementation within two refueling outages

or by December 31, 2016, whichever comes first. The NRC also issued a request for information, requesting that each reactor operator reevaluate seismic and flooding hazards at its site using present-day methods and information, conduct walkdowns of its facilities to ensure protection against the hazards in its current design basis, and reevaluate emergency communications systems and staffing levels. On March 20, 2012, the NRC published an advanced notice of public rulemaking related to station blackout conditions. On April 18, 2012, the NRC published an advanced notice of public rulemaking related to strengthening and integrating onsite emergency response capabilities. On May 31, 2012, the NRC staff issued guidance with respect to assessing emergency preparedness communications and staffing and performing seismic and flooding walkdowns. On July 13, 2012, the NRC staff provided the Commission with a paper outlining its proposed actions on the remaining recommendations. On August 30, 2012, the NRC issued implementation guidance for each of the orders issued in March 2012. On January 4, 2013, the NRC issued guidance to enable U.S. nuclear power plant operators to perform the seismic and flooding hazard assessments. The Department is reviewing the potential impacts of this guidance.

The Department does not yet know the extent to which the changes in the regulations, programs, and processes of the NRC as a result of the recommendations of the task force will affect PVNGS operations. The financial and/or operational impacts on PVNGS and the Department may be significant.

In the event of noncompliance with its requirements, the NRC has the authority to impose monetary civil penalties or a progressively increased inspection regime that could ultimately result in the shut-down of a unit, or both, depending upon the NRC's assessment of the severity of the situation, until compliance is achieved. The increased costs resulting from penalties, a heightened level of scrutiny and implementation of plans to achieve compliance with NRC requirements may adversely affect the Department's financial condition, results of operations and cash flows.

Construction and Maintenance. The cooling towers at PVNGS have deteriorated to the point where they must be replaced; however it has been determined that replacement can be deferred until after 2020, and the current towers can be maintained at an annual cost of $1.5 million to the Department. A design analysis of new cooling tower technology is currently being performed to determine the options for future replacement.

PVNGS has completed the installation of a Rapid Refueling Package in all three units at a cost of $9.8 million for the Department to improve the effectiveness during fuel loading and deloading and to help to reduce the refueling outage duration.

PVNGS's cooling water reservoirs and evaporation ponds show significant deterioration with leaks that could allow liquid discharge in violation of PVNGS's aquifer protection permit and thereby impact the continuous operation of PVNGS. A new water reservoir was put into service in 2007 at a cost of $3.6 million for the Department. The old reservoir was relined at a cost of $2.9 million. As a zero discharge facility, all waste water after recycling through the cooling towers is released to the evaporation ponds. The liners of the ponds have developed leaks after more than 20 years of service, and now require replacement. The cost of relining the two evaporation ponds is estimated at $14.3 million for the Department. Since the existing evaporation ponds have almost reached their full capacity, a new evaporation pond was added at a cost of $6.4 million to the Department.

Decommissioning Costs. The owners of PVNGS have created external trusts in accordance with the PVNGS participation agreement and NRC requirements to fund the costs of decommissioning PVNGS. Based on a 2010 estimate of decommissioning costs, which uses the original license expiration date of 2027 and is the most recent estimate available, the Department estimates that its share of the amount required for decommissioning PVNGS relating to the Department's direct ownership interest in PVNGS was approximately 88% funded and that its share of decommissioning costs through SCPPA was

112% funded. The Department's direct share of costs is $135.5 million and SCPPA's share is $144.5 million, of which the Department's portion is $96.8 million or 67%. Under the current funding plan, which was established based on the original license expiration in 2027, the Department estimates that its share of the decommissioning costs relating to the Department's direct ownership interest in PVNGS will be fully funded by accumulated interest earnings by 2022. Such estimates assume 7% per annum in future investment returns and a 5% per annum cost escalation factor. The Department has received and is receiving less than a seven percent investment return on the decommissioning funds. No assurance or guarantee can be given that investment earnings will fully fund the Department's remaining decommissioning obligations at current estimated costs or that the decommissioning costs will not exceed current estimates. For a discussion of the Department's nuclear decommissioning trust fund and other investments held on behalf of the Department, see "THE DEPARTMENT – Investment Policy and Controls."

Nuclear Waste Storage and Disposal. Generally, federal and state efforts to provide adequate interim and long-term storage facilities for low-level and high-level nuclear waste have proven unsuccessful to date. Although federal and state efforts continue with respect to such storage and disposal facilities, the Department is not able to predict the schedule for the permanent disposal of radioactive wastes generated at PVNGS. APS, which currently stores spent nuclear fuel in on-site pools near the units, has advised the Department that until a permanent repository for high-level nuclear waste developed by the federal government becomes available, additional on-site spent fuel storage is required by using dry casks similar to those currently used at other nuclear plants. Since the spent fuel pools ran out of storage capacity, an independent spent fuel storage installation was built to provide additional spent fuel storage at the site while awaiting permanent disposal at a federally developed facility. The installation uses dry cask storage and was designed to accept all spent fuel generated by PVNGS during its lifetime. As of June 30, 2012, 98 casks, each containing 24 spent fuel assemblies, have been put into storage in the independent spent fuel storage installation. Since the event at the Fukushima Dai-ichi nuclear power plant, PVNGS embarked on a program to accelerate the transfer of spent fuel from the spent fuel pools to the dry cask storage facility, thus reducing the heat load inside the spent fuel pools. In addition, PVNGS will soon use the newly designed casks that contain 36 spent fuel assemblies allowing the dry cask storage facility to accept more spent fuel.

APS has indicated it ships all of its low-level radioactive waste to available disposal sites in Utah. In August 1995, a storage facility for low-level radioactive materials was opened at PVNGS to allow temporary on-site storage in case the disposal sites are not available. Any waste not stored at disposal sites in Utah is stored on-site. If it is ever required, the on-site storage facility can be expanded from its current size to accommodate additional waste. APS estimates that the storage facility has sufficient storage capacity to store all low-level radioactive waste produced at PVNGS until the end of operation of PVNGS.

Renewable Power Initiatives

The Department expects to procure a renewable power resource portfolio that satisfies applicable State requirements, the main provisions of which are currently contained in the California Renewable Energy Resources Act ("SBX1-2") and the California Global Warming Solutions Act ("AB32"). See "— Renewable Power Initiatives" and "FACTORS AFFECTING THE DEPARTMENT AND THE ELECTRIC UTILITY INDUSTRY – California Climate Change Policy Developments." For a discussion of certain State legislation and regulations affecting the Department, including AB32, SB 1368, and SBX1-2 see "FACTORS AFFECTING THE DEPARTMENT AND THE ELECTRIC UTILITY INDUSTRY – California Climate Change Policy Developments." Certain components of the Department's renewable power resource portfolio are described below. Wind power, both obtained through power purchase agreements and resources owned by the Department, provided 10% and 11% of

the Department's energy in 2011 and 2012 respectively, or just over one-half of the renewable energy, which comprised 19% and 20% of the total energy mix in 2011 and 2012 respectively.

Large Scale Wind Energy Acquired through Power Purchase Agreements. Through power purchase agreements, the Department has secured large scale wind farm output in a number of areas to provide a diversity of wind power resources. Such wind energy for the Department is being generated in wind farms located in the States of Oregon, Washington, Utah and Wyoming. Such power purchase agreements provide for an aggregate of 733 MWs of wind energy.

Milford Wind Corridor Phase I Project. The Milford Wind Corridor Phase I Project (the "Milford I Project") consists of SCPPA's purchase of all energy generated by a 203.5 MW nameplate capacity wind farm comprised of 97 wind turbines located near Milford, Utah (the "Milford I Facility"), for a term of 20 years (unless earlier terminated) pursuant to a Power Purchase Agreement, by and between SCPPA and Milford Wind Corridor Phase I, LLC. Energy from the Milford I Facility is delivered to SCPPA over an approximately 90 mile, 345 kV transmission line extending from the wind generation site to the IPP Switchyard in Delta, Utah. SCPPA has issued revenue bonds in order to finance the purchase by prepayment of 6,764,301 MWh of energy from the Milford I Facility over the 20-year delivery term. The Department has entered into a power sales agreement with SCPPA that provides for the Department to pay for its 92.5% share of the Milford I Project on a "take-or-pay" basis as an operating expense of the Power System. See "OPERATING AND FINANCIAL INFORMATION – Take-or-Pay Obligations."

Milford Wind Corridor Phase II Project. The Milford Wind Corridor Phase II Project (the "Milford II Project") consists of SCPPA's purchase of all energy generated by a 102 MW nameplate capacity wind farm comprised of 68 wind turbines located near Milford, Utah (the "Milford II Facility"), for a term of 20 years (unless earlier terminated) pursuant to a Power Purchase Agreement, by and between SCPPA and Milford Wind Corridor Phase II, LLC. Energy from the Milford II Facility is delivered to SCPPA over an approximately 88 mile, 345 kV transmission line extending from the wind generation site to the IPP Switchyard in Delta, Utah. SCPPA has issued revenue bonds in order to finance the purchase by prepayment of the energy from the Milford II Facility over the 20-year delivery term. In connection with the issuance of bonds relating to the Milford II Project, the Department has entered into a power sales agreement with SCPPA that provides for the Department to pay for its 95.098% share of the Milford II Project on a "take-or-pay" basis as an operating expense of the Power System. In addition, the Department has purchased the City of Glendale's ("Glendale") 4.902% output entitlement share of Milford II Project's output, subject to Glendale's right to repurchase all or a portion of such output at certain times and under certain circumstances. See "OPERATING AND FINANCIAL INFORMATION – Take-or-Pay Obligations."

Linden Wind Energy Project. The Linden Wind Energy Project (the "Linden Project") consists of SCPPA's acquisition of a 50 MW nameplate capacity wind farm comprised of 25 wind turbines located near the town of Goldendale in Klickitat County, Washington. The Linden Project was developed and constructed by Northwest Wind Partners, LLC ("Northwest Wind"). SCPPA acquired the project from Northwest Wind pursuant to the terms of an asset purchase agreement between SCPPA and Northwest Wind. SCPPA has issued revenue bonds to finance the acquisition of the Linden Project. The Department has entered into a power sales agreement with SCPPA that provides for the Department to pay its 90.00% share of the Linden Project on a "take-or-pay" basis as an operating expense of the Power System. In addition, the Department has purchased Glendale's 10.00% output entitlement share of Linden Project's output, subject to Glendale's right to repurchase all or a portion of such output at certain times and under certain circumstances. See "OPERATING AND FINANCIAL INFORMATION – Take-or-Pay Obligations."

Windy Point/Windy Flats Project. The Windy Point/Windy Flats Project is a 262.2 MW nameplate capacity wind farm comprised of 114 wind turbines located in the Columbia Hills area of Klickitat County, Washington near the city of Goldendale (the "Windy Point Project"). The Windy Point Project is owned and operated by Windy Flats Partners, LLC ("Windy Flats"). Pursuant to a power purchase agreement with Windy Flats, SCPPA has agreed to purchase from Windy Flats all energy from the Windy Point Project for a delivery term of 20 years (unless earlier terminated). SCPPA has issued revenue bonds to finance the prepayment of the purchase of specified quantity of energy from the Windy Point Project. The Department has entered into a power sales agreement with SCPPA that provides for the Department to pay its 92.37% share of the Windy Point Project on a "take-or-pay" basis as an operating expense of the Power System. In addition, the Department has purchased Glendale's 7.63% output entitlement share of Windy Point Project's output. See "OPERATING AND FINANCIAL INFORMATION – Take-or-Pay Obligations."

Large Scale Wind Projects Acquired through an Asset Purchase Agreement or Option to Own. In addition to securing energy from existing wind farms, the Department plans to own a significant amount of renewable generation. Towards this end, the Department has entered into a number of agreements with developers to purchase, or have the option to purchase, certain wind farms. These wind farms are located in the States of Oregon and Washington. Output from such wind farms totals 497 MWs, which is a portion of the 733 MWs of wind energy previously noted.

Pine Tree Wind Project. The Pine Tree Wind Project is a wind generating facility north of Mojave, California, consisting of 90 wind turbines owned and operated by the Department. The Pine Tree Wind Project produces 135 MWs of capacity. However, available capacity will vary because wind in this area tends to blow in the afternoons and evenings and drops off during the daytime hours when the Power System load peaks. As part of normal operating procedures, the Department staff has notified Federal and State authorities concerning mortalities of golden eagles. Since June 2009, the Department staff has found nine golden eagle carcasses in the proximity of the Pine Tree Wind Project. The Department is working cooperatively and collaboratively with the U.S. Fish and Wildlife Service and the California Department of Fish and Game to investigate these deaths. The Department is also conducting advanced monitoring studies and surveys to determine potential causes of the eagle mortalities and mitigation options relating to the golden eagles. The Department is currently investigating the effectiveness of radar technology in detecting golden eagles and other birds of prey at the Pine Tree Wind Project. Golden eagles are a protected species, and the death or injury to a golden eagle in some circumstances can result in fines and penalties, including criminal sanctions. The Department is unable to predict the outcome of this investigation. However, to date there has been no adverse impact on the operations of the Pine Tree Wind Project.

Solar Power Programs. The Department currently has four programs to encourage the development of solar energy in Los Angeles: (i) the Solar Incentive Program in which residential and commercial customers are encouraged to install eligible solar photovoltaic systems with incentive funding provided by the Department; (ii) Department-built solar projects on City-owned properties; (iii) power purchase agreements for large-scale solar projects located outside the Los Angeles Basin built by solar developers; and (iv) a Feed-in-Tariff ("FiT") Program, launched on February 1, 2013, which is expected to result in additional solar photovoltaic generation installed within the Department's service territory and connected to the Department's electric distribution system.

Under the California Solar Initiative ("SB-1") publicly owned electric utilities ("POUs") are required to establish programs supporting the stated goal of the legislation to install 3,000 MWs of photovoltaic capacity in California, and to establish eligibility criteria in collaboration with the CEC for the funding of solar energy systems receiving ratepayer funded incentives. The legislation gives a POU the choice of selecting an incentive based on the installed capacity, starting at no less than $2.80 per watt,

or the equivalent based on the energy produced by the solar energy system, measured in kilowatt-hours. Incentives are required to decrease at a minimum average rate of 7% per year. The Department's incentive payment offerings currently range from $0.75 per watt for residential installations to $1.80 for government/non-profit installations. POUs also have to meet certain reporting requirements regarding installed capacity, number of installed systems, number of applicants and awarded incentives.

The Solar Photovoltaic Incentive Program includes using $313 million of ratepayer funds mandated by SB-1 to administer the program and subsidize customers for customer-owned solar projects that will offset their electricity use. As of March 2013, the Department has committed $227 million in rebate payments or reservations to this program and recently the 100th MW of this program began construction. The Department expects 166 MWs of customer owned net-metered solar by 2016.

The Department currently has 12 MWs of Department–built solar projects on City-owned properties. As one example, the Adelanto Solar Power Project is a 10 MW solar photovoltaic system, which is expected to deliver 515,700 MWhs of energy over the next 25 years, located at the existing Adelanto Switching and Converter Station near Adelanto, California.

In addition, the Pine Tree Solar Project was placed into commercial operation on March 15, 2013. The Pine Tree Solar Project is an 8.5 MW solar photovoltaic system expected to deliver 450,000 MWhs of energy over the next 25 years, located at the Department's existing Pine Tree Wind Farm in the Tehachapi Mountains, California.

The Board has approved two power purchase agreements ("PPAs") for the purchase of renewable energy from 460 MWs of solar photovoltaic projects. One PPA is a 25-year contract with K Road Moapa Solar, LLC for up to 250 MW, delivering up to 706,650 MWhs per year located on Moapa Band of Paiute Indians tribal land north of Las Vegas, Nevada. The second PPA is a 20-year contract through SCPPA for 210 MW of the Copper Mountain Solar 3 Project being developed by an affiliate of Sempra U.S. Gas and Power. Copper Mountain Solar 3 Project is near Boulder City, Nevada and is expected to deliver 420,000 megawatt-hours of renewable energy a year to the Department.

The Department is also exploring public private partnerships for an additional 310 MW of large-scale solar projects in the Mojave Desert and other areas outside the Los Angeles Basin by 2020. This includes the 2,500-acre property purchased from Beacon Solar LLC in 2012, which is adjacent to the Pine Tree Wind Project. Under these programs, the Department would explore PPAs as well as opportunities to build and operate large-scale solar projects. Under the large-scale PPAs, the Department will have the option, after the developer exhausts the federal tax benefits, to purchase the project.

The Department launched its 100 MW FiT Program on February 1, 2013. The FiT Program allows the Department to purchase, through a standard power purchase contract, electricity generated from participants' renewable energy generating sources. Such sources will be located within the Department service territory and connected to the Power System. The energy purchased through the FiT Program is expected to count toward the Department's RPS target. A plan for an additional 50 MW of local renewable energy was approved by the Board in April 2013.

Imperial Valley Transmission Development. The Department has entered into a Transmission Service Agreement with Imperial Irrigation District ("IID") to acquire 100 MWs of transmission rights for a term of three years beginning in February 2014. These transmission rights, along with other transmission rights and the use of the Cal ISO Grid, will allow future delivery of energy from geothermal and/or solar resources to Los Angeles.

Renewable Energy Trust Fund and Energy Efficiency Trust Fund. The Department established the Renewable Energy Trust Fund (the "Renewable Energy Trust Fund") and the Energy Efficiency Trust Fund (the "Energy Efficiency Trust Fund") to fund renewable energy sources and development, and energy efficiency programs including incentives and subsidies for commercial and residential solar power. Deposits to the Renewable Energy Trust Fund and the Energy Efficiency Trust Fund will be made at the direction of the Board.

Green Power Program. The Department offers its Green Power Program to all customers at a premium over standard rates. "Green Power" is produced from renewable resources such as wind energy and geothermal resources, rather than fossil-fueled or nuclear generating plants. This voluntary program includes customer-selected levels of Green Power purchases, subject to specified minimum requirements. Approximately 16,770 Department customers subscribed to the Green Power Program as of March 31, 2013, resulting in 69,000 MWhs of green energy consumed by those customers. The Department is working on Green Power Program improvements that are intended to increase both the number of participants and the amount of green energy purchased through the program.

Geothermal Development. The Department executed a power sales agreement with SCPPA for the Wild Rose Geothermal Energy Project (the "Wild Rose Project"). The Wild Rose Project consists of SCPPA's purchase of all energy generated by a 16.2 MW nameplate capacity binary geothermal power plant comprised of eight drilled commercial wells located in Mineral County, Nevada for an initial delivery term of 20 years starting December 31, 2013. The Department has entered into a power sales agreement with SCPPA that provides the Department a 84.62% share of the Wild Rose Project or 114 GWh of energy annually.

Other Renewable Energy Project Developments. The Department, on its own and through SCPPA, has received proposals from "green" power resources such as solar photovoltaic, wind, biomass, small hydro, solar thermal and geothermal power via solicitations. The Department is also considering opportunities related to utilization of land located in the Owens Valley area of California for wind or geothermal and for improved transmission access to geothermal energy. Additional renewable energy resources will be obtained; however, the costs and schedules for implementation and feasibility of alternative energy projects may vary materially from initial projections. City Council approval may be required for the Department's participation in or acquisition of renewable energy projects.

Energy Efficiency

The Charter authorizes the Department to engage in and finance activities related to the efficient use of energy and a number of State laws expressly require utilities such as the Department to collect and spend funds for these activities. The Department has a commitment to energy efficiency and continues to pursue cost-effective means of reducing or avoiding the need to generate electricity (particularly during peak periods). These activities defer the need to acquire costly new generating facilities, improve the value of electric service to customers and increase the Department's overall load factor, thereby reducing or avoiding negative environmental impacts from power generation. Moreover, State laws enacted in 2005 and 2006 require POUs, such as the Department, in procuring energy, to first implement all available energy efficiency and demand reduction resources that are cost effective, reliable and feasible, and to provide annual reports to customers and to the CEC describing their investment in energy efficiency and demand reduction programs. Assembly Bill 2021, which became a law in 2007, requires IOUs and POUs to identify energy efficiency potential and establish annual efficiency targets so that the State can meet the goal of reducing total forecasted electricity consumption by 10% over the next 10 years. The Department is currently on track to meet or exceed these requirements.

The Department offers numerous programs and services for residential, commercial, industrial and institutional ("CII") customers to encourage the installation and use of energy efficient measures and equipment such as:

- The Chiller Efficiency Program, which provides incentives for customers to replace old electric chillers with new, high-efficiency units to provide space conditioning for larger buildings, has reduced electrical demand since 2001 by more than 55 MWs;

- The Commercial Lighting Efficiency Offer ("CLEO"), which provides rebates for a wide variety of high efficiency lighting measures to retrofit existing buildings (CLEO has achieved over 340 gigawatt hours (GWhs) of energy savings since 2000);

- The Small Business Direct Install ("SBDI") Program that will assist certain small businesses customers (defined as those customers with a peak demand of 30 kW or below) in the City to become more energy efficient; qualifying customers receive a free energy and water assessment and free lighting retrofits, as well as select gas and water retrofits in partnership with the Southern California Gas Company;

- The Energy Efficiency Technical Assistance Program for CII customers that will provide technical and engineering support to help industrial customers identify energy efficiency opportunities and develop qualifying projects that can then take advantage of existing incentive programs;

- The Home Energy Improvement Program, which continues and expands the Department's formerly American Recovery and Reinvestment Act of 2009-funded Weatherization Program to serve primarily low-, moderate- and fixed-income residential customers in single- and multi-family housing with a broad spectrum of energy and water efficiency measures;

- Free pick-up and recycling of old, inefficient refrigerators in an environmentally sound manner and distribution of free, energy efficient refrigerators to nearly 80,000 low-income residential customers; and

- The LED streetlight program that provided a $48 million loan to the City of Los Angeles to enable it to ultimately install over 180,000 highly energy efficient LED streetlights and reduce its consumption of electricity as a result.

Since 2000, the Department has spent approximately $249 million on its energy efficiency programs, and these programs have reduced long-term peak period demand and consumption by approximately 296 MWs and 1,000 GWhs of energy savings. The Department budgeted approximately $127 million for fiscal year 2012-13 and $138 million for fiscal year 2013-14 to renew and expand its commitment to energy efficiency. The Department anticipates continuing or incrementally increasing its expenditures for energy efficiency programs in future years, but will base final portfolio planning after 2014 on the results of the Department's 2013 Energy Efficiency Potential Study.

Fuel Supply for Department-Owned Generating Units

Natural gas (along with biogas) is used to fuel 100% of the Los Angeles Basin Stations. The Los Angeles Basin Stations' fossil fuel requirements for the electric load requirements of its customers in the City (referred to as "native load") were 55.0 billion equivalent cubic feet of natural gas during the fiscal year ended June 30, 2012. The Department determined that acquiring natural gas reserves is advantageous, reasonable and prudent to ensure stable, long-term natural gas supplies to help meet future power generation demands. In June 2005, the Department, the Turlock Irrigation District and SCPPA

(acting on behalf of its member California cities of Anaheim, Burbank, Colton, Glendale and Pasadena) acquired rights in natural gas producing properties from the Anschutz Pinedale Corporation. Under the acquisition agreement, the Department obtained an approximately 74.5% ownership interest in a $300 million acquisition of producing gas leases of property in Sublette County, Wyoming. Despite initial lower production than anticipated due to environmental restrictions, this acquisition met approximately 9% of the Department's average daily natural gas requirements, and through December 31, 2012, has saved the Department an imputed $48.1 million since 2005. An expanded drilling program has increased production from the leases. Due to the availability of low cost natural gas, this drilling program was suspended in August 2012 with eight wells capped. The drilling program is expected to be completed in the event gas prices increase sufficiently.

The Department obtains its remaining natural gas requirements through a competitively bid spot purchase program. The price of natural gas delivered into Southern California has fluctuated over the past few years and the Department expects prices to continue to fluctuate. To mitigate the effects of natural gas price volatility the Department includes as part of the Electric Rates an ECAF rate adjuster. See "ELECTRIC RATES – Rate Setting." In addition, the City Council enacted an ordinance to authorize the Department to enter into financial hedge contracts with respect to natural gas purchases to stabilize fuel costs for native load. See "Note 9 – Derivative Instruments" in Appendix A ("Note 9"). Under this ordinance the Department's General Manager also may enter into gas supply agreements for a period not to exceed ten years, so long as certain conditions are met. The use of natural gas swaps, derivatives and other price hedging arrangements are subject to risk management policies and review procedures established by the Board. The Department has developed a natural gas procurement strategy that includes a program of entering into financial hedges with various counterparties that have permitted terms of up to ten years and are intended to protect the Power System from price risk for up to 75% of its natural gas requirements.

As of December 31, 2012, the Department has entered into financial natural gas hedges in various notional amounts per fiscal year for each fiscal year through fiscal year 2018 with an aggregate notional amount of approximately 23 million MMBtus. These hedges cover approximately 5% to 16% of the Department's average daily natural gas requirements for the fiscal years through 2018. Tables describing the notional amount for each fiscal year and the durations of the hedges, as well as a discussion of the credit, basis and termination risks associated with such hedges, can be found in Note 9.

As a complement to the financial risk management program, the Department purchased 8.3 billion cubic feet ("BCF") of gas at a fixed price ending on December 31, 2013 and 8.3 BCF of gas at a fixed price ending on January 31, 2014, as a physical price hedge. The gas is being delivered into the Department's firm interstate pipeline capacity on the Kern River Pipeline System.

The Department signed two five year, fixed price, landfill gas contracts in August 2009 to contribute towards its RPS targets for renewables implementation. The total volume of gas purchased for delivery over the course of five years, beginning in August 2009, is 24.6 BCF and is expected to contribute 2.6% towards the Department's RPS target and serves as a fixed price gas hedge.

The Department signed a fixed price, landfill gas contract in December 2011 with Shell Energy North America for up to 10,000 MMBtus per day for 118 months beginning January 1, 2012. Energy produced from such gas is expected to be considered qualifying energy for RPS targets. Initial production began at about 6,000 MMBtu per day and increased to about 7,000 MMBtu per day by the end of December 2012. The Department expects production to be approximately 10,000 MMBtus per day by the end of 2013 due to the inclusion of additional landfill sites. This purchase is expected to contribute up to 2.0% toward the Department's RPS target. However, the CEC suspended certification of certain biogas facilities on March 28, 2012, which may delay or otherwise affect the certification for RPS purposes of

the Shell Energy North America contract. The quantity of gas eligible under the Shell Energy North America contract may also be affected by AB 2196. See "FACTORS AFFECTING THE DEPARTMENT AND THE ELECTRIC UTILITY INDUSTRY – California Climate Change Policy Developments – *California Renewable Electric Standard*."

The Department has firm interstate natural gas transportation capacity on the Kern River Pipeline System for two different volumes at different rates, to 2016 and 2018, respectively. The total amount of capacity is sufficient to transport 80% of the average amount of natural gas needed for the Los Angeles Basin Stations under current Department forecasts. In the 2011-12 fiscal year, the capacity was 100% sufficient. Additional interstate pipeline capacity, if needed, is acquired through federally-approved capacity brokering programs or through gas purchases bundled with interstate transportation delivered into the Southern California Gas Company ("SoCalGas") intrastate system.

Intrastate transportation and balancing services are provided to the Department by SoCalGas sufficient to meet 100% of the Los Angeles Basin Stations' requirements under SoCalGas's Basic Transportation Service program ("BTS"). This enables the Department to deliver Kern River Pipeline System gas to the BTS receipt points in California.

Approximately 58% of the Department's projected natural gas needs are price hedged for fiscal year 2013-14 through financial hedges, physical gas supply contracts and gas reserves. This ratio declines gradually such that by fiscal year 2021-22, approximately 14% of projected natural gas needs are hedged. The Department typically hedges a higher percentage of its natural gas needs as the operating year approaches.

Water Supply for Department-Owned Generating Units

Water required for the operation of generating stations owned by the Department is secured from a number of sources. The Harbor Generating Station, Haynes Generating Station and Scattergood Generating Station use Pacific Ocean water for power plant cooling purposes. However, the Department is undertaking a long-term program of replacing the coastal generating units to eliminate the use of ocean water at these three locations in part to meet requirements of the California State Water Resources Control Board limitations on the future use of once-through-cooling for these plants. See "See "– Environmental Factors – *Water Quality – Cooling Water Process– State Water Resources Control Board Requirements for Intake Structures; - Regional Requirements for Thermal Discharges at Harbor Generating Station and Haynes Generating Station*." The Valley Generating Station, which is located inland, utilizes recycled water for cooling.

Spot Purchases

The Department purchases capacity and energy from the Bonneville Power Administration and other Pacific Northwest utilities under short-term "spot" arrangements to be delivered over the Pacific DC Intertie. For further information on the Pacific DC Intertie, see "—Transmission and Distribution Facilities – Pacific DC Intertie and Sylmar Converter Station." These purchases are used by the Department in conjunction with other resources for economical Power System operation. In addition, purchases of economical energy are made from other entities located in the Southwest.

The availability of economical energy on the spot market has fluctuated greatly in recent years. Historically the Department has not been dependent on such purchases to meet its customers' requirements. Although the Department currently continues to find economical spot purchase opportunities (including some for renewable energy), it cannot predict the future availability of power

from either the Pacific Northwest or the Southwest for purchases at prices below the Department's costs for producing power from its own resources.

Cogeneration and Distributed Generation

Currently thermal cogeneration installed in the Department's service area consists primarily of cogeneration projects of industrial and commercial customers. This totals approximately 265 MWs nameplate capacity. Some cogeneration projects sell excess energy to the Department under interconnection agreements.

Distributed generation (the generation of electricity at or near the point of use) within the Department's service area currently consists primarily of cogeneration projects at customer facilities. Distributed generation also includes smaller generating units such as solar photovoltaic cells, fuel cells, micro-turbines and other smaller combustion engines. The Department manages a new technology demonstration program to assess the viability of some of these technologies. The Department also supports the development of new technologies through customer incentive programs. See "—Renewable Power Initiatives" and "—Energy Efficiency Initiatives."

Excess Capacity

The Department uses its extensive transmission network to sell excess generating capacity into the California, Northwest and Southwest energy markets. Net income from those sales is used to reduce costs to the Department's retail customers primarily by being applied to the costs of capital improvements. With equipment outages, retirement of equipment, anticipated load growth and changes in greenhouse gas regulations which impact emission allowances, the Department anticipates that revenue from excess energy sales will be less certain than in the past.

Transmission and Distribution Facilities

Electricity from the Department's power generation sources is delivered to customers over a complex transmission and distribution system. To deliver energy from generating plants to customers, the Department owns and/or operates approximately 19,840 miles of alternating current ("AC") and direct current ("DC") transmission and distribution circuits operating at voltages ranging from 120 volts to 500 kilovolts ("kV"). In addition to using its transmission system to deliver electricity from its power generation resources, the Department transmits energy for others through such system when surplus transmission capacity is available and such transmission is permitted by the Master Resolution. As the operating agent of the Pacific DC Intertie, the Southern Transmission System, the Mead-Adelanto Transmission Project and certain Navajo-McCullough transmission facilities (all such facilities being described below), the Department transmits energy for the co-owners of or participants in these facilities.

Pursuant to Assembly Bill 1890, signed into law on January 1, 1997, as part of the deregulation of the California electric industry, municipal utilities such as the Department, were encouraged, but not required, to transfer operational control of their electric transmission facilities to the Cal ISO. The Department owns and operates in excess of 25% of the transmission facilities in the State. While the Department has not transferred operational control of its transmission facilities to the Cal ISO, the Department interacts with the Cal ISO on a regular basis. The Department serves as the scheduling coordinator for the delivery of that portion of the Department's energy that requires use of any part of the Cal ISO Grid. The Department also coordinates with the Cal ISO with respect to some lines that are jointly owned by the Department and others. The Department is responsible for the costs associated with its use of the Cal ISO Grid. The Department is registered as a participant in wholesale transactions on the

Cal ISO market. In the future, the Department may have more interaction with the Cal ISO in order to transport renewable power and to take advantage of trading opportunities.

Legislation considered from time to time by the U.S. Congress and the State could potentially increase the level of jurisdictional control over the generation, transmission and distribution assets that comprise the Department's Power System and could encourage voluntary participation by the Department in a regional transmission organization. The City opposes any participation in a regional transmission organization that would be mandatory. The Department monitors any potential restrictions regarding control of transmission rates, authority to finance the Power System using bonds and use of the Power System to deliver electric power to the City.

Certain transmission facilities available to the Department are discussed below.

Southern Transmission System. The Southern Transmission System (the "STS") is an approximately 490-mile, ±500 kV DC transmission line from the Intermountain Power Generating Station, near Delta, Utah, to Adelanto, California, together with an AC/DC converter station at each end of the line. The STS is owned by the IPA and is one of three major components of the IPP. The Department entered into a transmission service contract with SCPPA for a 59.5% entitlement in SCPPA's share of the transfer capability of the STS to provide for the transmission of energy from the IPP Converter Station to the Adelanto Converter Station until 2027. After the completion of an upgrade in December 2010 to its capacity, a maximum of 2,400 MWs can be transmitted over the STS. The Department's entitlement in SCPPA's share of the transfer capability of the STS is now approximately 1,428 MWs.

Northern Transmission System. The Northern Transmission System (the "NTS") includes two approximately 50-mile, 345 kV transmission lines from IPP to the Mona Substation in Northern Utah, and one approximately 144-mile, 230 kV transmission line from IPP to the Gonder Substation in Nevada. The NTS was constructed for the delivery of power from IPP to certain municipalities in Utah and certain cooperative purchasers. Capacity on the NTS is available to the Department through the IPP Excess Power Sales Agreement. The Department can have up to a maximum NTS share allocation of 43.141% of the total capacity depending on the generation deemed excess by the 29 Utah municipalities and cooperatives that have access to such power. The capacity from IPP to Mona is 1,400 MW; the capacity from Mona to IPP is 1,200 MW; the capacity from IPP to Gonder is 200 MW; and the capacity from Gonder to IPP is 117 MW.

Pacific DC Intertie and Sylmar Converter Station. The Pacific DC Intertie is an approximately 846-mile, ±500 kV DC transmission system that connects Southern California to the hydroelectric and wind generation resources of the Pacific Northwest. A maximum of 3,100 MWs can be transmitted over the entire Pacific DC Intertie System. The Department owns a 40% interest in the southern portion of the Pacific DC Intertie from the Nevada-Oregon border to its southern terminus at the Sylmar Converter Station in Sylmar, California and is the operating agent of the Sylmar Converter Station. The northern portion of the Pacific DC Intertie is owned by Bonneville Power Administration ("BPA") and extends from the Nevada-Oregon border to BPA's Celilo Station in The Dalles, Oregon.

Devers-Palo Verde No. 1 Transmission Line. The Devers-Palo Verde No. 1 Transmission Line is an approximately 250-mile, 500 kV AC line owned by Edison that connects the PVNGS with the Devers Substation outside Desert Hot Springs, California. As part of an exchange agreement, the Department purchases up to 368 MWs of bi-directional firm transmission service on the Devers-Palo Verde No. 1 Transmission Line from Edison (the "Devers-Palo Verde Agreement") at the rate being charged by the Cal ISO for that same service. The Department has the right to terminate the service upon 12 months written notice.

Mead-Phoenix Transmission Project. The Mead-Phoenix Transmission project is an approximately 256-mile, 500 kV AC transmission line which originates at the Westwing substation in Phoenix, Arizona, connects with the Mead substation near Boulder City, Nevada and terminates at the Marketplace substation nearby. The Mead-Phoenix Transmission Project is owned by SCPPA, APS, M-S-R Public Power Agency, Salt River Project, Western and Startrans IO, L.L.C. The Department has entered into a transmission service contract with SCPPA that obligates the Department until 2030 to pay for its share of the Mead-Phoenix Transmission Project on a "take-or-pay" basis as an operating expense of the Power System. The Department's share is 31.0924% of SCPPA's share of the Westwing-Mead component of the Mead-Phoenix Transmission Project and 17.8313% of SCPPA's share of the Mead-Marketplace component of the Mead-Phoenix Transmission Project. The Department's average share of the Mead-Phoenix Transmission Project components is 24.75% of SCPPA's share of the Mead-Phoenix Transmission Project. Payments associated with the Mead-Phoenix Transmission Project include fixed operating costs and debt service on bonds issued by SCPPA for the Mead-Phoenix Transmission project. See "OPERATING AND FINANCIAL INFORMATION – Take-or-Pay Obligations."

Mead-Adelanto Transmission Project. The Mead-Adelanto Transmission Project is an approximately 202-mile, 500 kV AC transmission line between the Adelanto substation, near Victorville, California and the Marketplace substation, near Boulder City, Nevada. The Mead-Adelanto Transmission Project was constructed by its owners, SCPPA, M-S-R Public Power Agency, Western and Startrans IO, L.L.C., in connection with the Mead-Phoenix Transmission Project. The Department has entered into a transmission service contract with SCPPA that obligates the Department until 2030 to pay for its share of the Mead-Adelanto Transmission Project on a "take-or-pay" basis as an operating expense of the Power System. The Department's share is 35.7% of SCPPA's share of the Mead-Adelanto Transmission Project. Payments associated with the Mead-Adelanto Transmission Project include fixed operating costs and debt service on bonds issued by SCPPA for the project. See "OPERATING AND FINANCIAL INFORMATION – Take-or-Pay Obligations."

Navajo-McCullough Transmission Line. The Navajo-McCullough Transmission Line is a 274-mile, 500 kV AC transmission line that originates at the Navajo Generating Station near Page, Arizona, connects through the Crystal Substation near Las Vegas, Nevada and terminates at the McCullough substation, near Boulder City, Nevada. The Department owns 48.9% of the Navajo-McCullough Transmission Line, which was constructed as a part of the Navajo Generating Station. The Crystal Substation was constructed by NV Energy. NV Energy owns 100% of the Crystal Substation on behalf and for the benefit of the Navajo Generating Station, including the Department.

Eldorado Transmission System. The Eldorado Transmission System's major components are the 59-mile, 500 kV AC Mohave-Eldorado transmission line, the 500 kV Mohave Switchyard, the Eldorado substation and two parallel 15-mile 220 kV AC Eldorado-Mead transmission lines. Pursuant to a System Conveyance and Co-Tenancy Agreement, the Department is a 30.4% co-owner of the Mohave-Eldorado transmission line and 20% owner of the Mohave Switchyard, which are assets associated with the Eldorado Transmission System.

Barren Ridge Renewable Transmission Project ("BRRTP"). The Department's BRRTP involves expansion of the Barren Ridge Switching Station, construction of a new switching station in Haskell Canyon (the "Haskell Switching Station"), constructing a new 61-mile double circuit 230 kV transmission line between these two stations, installing a new 230 kV circuit between Haskell Switching Station and the existing Castaic Power Plant, and the re-conductoring of the existing 230 kV transmission line from Barren Ridge Switching Station to the Rinaldi Substation in the San Fernando Valley. This project will increase the transmission capacity of renewable energy flowing into the Los Angeles Basin from generating facilities in Owens Valley and the Tehachapi Mountains by 2,000 MWs. This project required both an environmental impact statement and environmental impact report in compliance with

state and federal requirements. The environmental impact report, required under State and federal law, was approved by the Board in September 2012. Construction is expected to commence in the spring of 2013 and is expected to be completed by the summer of 2017.

Projected Capital Improvements

The Department has developed a series of Power System integrated resource plans with each plan updating and refining the previous plan. The plans are developed in conjunction with the Department's strategic planning to meet its goals of continuing to provide reliable service to customers, maintaining a competitive price for the Power System's services and providing environmental leadership. Such resource plans act as guidance for the Department in implementing more specific short-term and long-term financial plans. The Power System's most current integrated resource plan was released in January 2013.

Based on the Department's March 2012 Retail Electric Sales and Demand Forecast, the Department anticipated that gross customer electricity consumption would increase from fiscal year 2011-12 to fiscal year 2021-22 at a forecasted rate of approximately 1.3% per year without consideration of the Department's measures to promote energy efficiency and distributed generation. That load growth rate reflects, in the later part of the ten year planning period, increases due in part to fuel switching in the transportation sector including the increase of plug-in hybrid electric vehicles. In the Power System's most recent integrated resource plan and as also reflected in the most recent rate action, significant energy efficiency measures are planned for as a cost effective resource, along with support for customer solar projects. Such measures are anticipated to more than offset gross load growth, resulting in net overall energy consumption that declines slightly by about 0.1% per year over this period. Enhancement and expansion of electric transmission resources will enable access to renewable energy resources. Continued modernization of the Department's Castaic Plant and the repowering of in-basin gas-fired generation with more flexible "quick start units" will assist in integrating intermittent renewable resources into the Power System. Capital investments in the transmission and distribution system, including new business service and electric feeder lines, are required to support future growth. New control and monitoring systems are needed to continue to provide reliable and secure system operations. See " — *Power Reliability Program*" below.

Castaic Power Plant Modernization. The Castaic Plant is being refurbished in a multi-phase process that began in 2004 and includes upgrades to the hydroelectric plant and replacement of turbines, installation of plant automation, installation of generator exciters for all seven units and improvements to the plant relay protection system. This refurbishment is projected to add up to 80 MWs of capacity. See "—Department-Owned Generating Units — *Owens Valley, Owens Gorge and along the Los Angeles and California Aqueducts — Castaic Pump Storage Power Plant*."

Power Reliability Program. A significant power outage in 2006 caused the Department to conduct an evaluation of its electrical infrastructure. These events led to the development of a comprehensive, long-term power reliability program (the "Power Reliability Program") with the following major components: (a) mitigation of problem circuits and stations based on the types of outages specific to the facility, including among other things, timely, permanent repairs of distribution circuits after a failure and fixing poorly performing circuits, (b) proactive maintenance and capital improvements that take into account system load growth and the inspections and routine maintenance that must take place to identify problems before they occur and (c) replacement cycles for facilities that are in alignment with the equipment's life cycle, including replacement of overloaded transformers, as well as replacing aging underground cables, overhead poles and circuits and substation equipment. Capital expenditures for the Power Reliability Program are expected to total approximately $516 million in fiscal year 2013-14 and continue thereafter to achieve and maintain reliability goals.

Projected Capital Expenditures. As indicated in the table below, for fiscal year 2013-2014 through fiscal year 2017-2018, the Department expects to invest approximately $7.8 billion in capital improvements to the Power System.

EXPECTED CAPITAL IMPROVEMENTS TO THE POWER SYSTEM
FIVE-YEAR PERIOD BEGINNING JULY 1, 2013[1]
(in Millions)

	5-Year Totals
Infrastructure	
Various Generation Station Improvements	$ 1,530
Power Reliability Program	3,167
Renewable Portfolio Standard (RPS): Pine Tree Wind Project, Renewable Energy Project Development, Renewable Transmission Projects	1,807
Power Integrated Resource Plan: Haynes and Scattergood Repowering and Castaic Modernization	847
Integrated Support and Other Joint Services: IT, Facilities, Customer Services, Fleet	408
Total Power System Capital Improvements	$7,759

Source: Department of Water and Power of the City of Los Angeles.
(1) Preliminary forecasts, subject to subsequent Board approval.

The table below indicates, for fiscal year 2013-2014 through fiscal year 2017-2018, the expected funding sources for the capital improvements to the Power System expected for such fiscal years.

EXPECTED FUNDING SOURCES FOR CAPITAL IMPROVEMENTS
TO THE POWER SYSTEM
(in Millions)[1]

Fiscal Year Ending (June 30)	Internally Generated Funds	External/Debt Financing	Total Capital Expenditures[2]
2014	$1,220	$ 344	$1,564
2015	505	1,112	1,617
2016	524	870	1,394
2017	552	967	1,519
2018	618	1,047	1,665
	$3,419	$4,340	$7,759

Source: Department of Water and Power of the City of Los Angeles.
(1) Preliminary forecasts, subject to subsequent Board approval.
(2) Net of reimbursements to the Department.

The particular programs and commitments for capital improvements to the Power System are subject to review by Department stakeholders and others. The estimated costs of, and the projected schedule for, the expected capital improvements to the Power System and the Department's other capital projects are subject to a number of uncertainties. The ability of the Department to complete such capital improvements may be adversely affected by various factors including: (i) estimating errors, (ii) design and engineering errors, (iii) changes to the scope of the projects, (iv) delays in contract awards,

(v) material and/or labor shortages, (vi) unforeseen site conditions, (vii) adverse weather conditions, (viii) contractor defaults, (ix) labor disputes, (x) unanticipated levels of inflation, (xi) environmental issues, (xii) the ability to access the capital markets at a particular time and (xiii) delays in approvals of rate increases. No assurance can be made that the proposed projects will not cost more than the current budget for these projects. Any schedule delays or cost increases could result in the need to issue additional obligations and may result in increased costs to the Department. All payments of project costs associated with projected capital improvements are subject to Board approval.

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OPERATING AND FINANCIAL INFORMATION

The Department's service area consists of the City, where over 1.4 million customers are served, and certain areas of Inyo and Mono Counties in California, where approximately 4,106 customers are served. For the six month period ended December 31, 2012, 28% of the Power System's total energy sales (measured in MWhs) for fiscal year 2012-13 were to residential customers, 57% to commercial and industrial customers and the remaining 15% to miscellaneous purchasers. Revenues from the two major customer classes were approximately 33% and 64% of total revenue, respectively.

Summary of Operations

The table below provides certain operating information with respect to the Power System.

POWER SYSTEM
SELECTED OPERATING INFORMATION
(Unaudited)

Operating Statistics	Six Month Period Ended December 31		Fiscal Year Ended June 30				
	2012	2011	2012	2011	2010	2009	2008
Net Energy Load [1]	14,393	11,728	26,559	26,253	26,528	27,447	27,931
Net Hourly Peak Demand (MWs)	5,782	5,907	5,907	6,142	5,707	5,647	6,071
Annual Load Factor (%)	48.47	44.96	51.19	48.79	53.06	55.48	52.37
Electric Energy Generation, Purchases and Interchanges [1]							
Generation [3][4]	8,884	7,714	16,043	15,448	14,016	15,981	16,194
Purchases[4]	6,059	6,173	11,193	11,914	14,299	13,475	13,033
Miscellaneous Energy Receipts	--	--	2	--	--	--	--
Total Energy [1]	14,943	13,887	27,238	27,362	28,315	29,456	29,227
Less:							
Miscellaneous Energy Deliveries [1] [2]	184	40	151	177	146	159	97
Losses and System Uses [1]	1,201	1,171	2,771	1,847	3,108	3,775	3,165
On-System Sales [1]	13,558	12,676	24,316	25,338	25,061	25,522	25,965
Sales of Energy [1]							
Residential	4,110	3,867	7,316	7,230	7,434	7,641	7,665
Commercial and Industrial	8,285	7,968	15,456	15,541	15,485	16,249	16,482
All Other	2,089	845	1,843	2,060	3,396	1,983	1,734
Total	14,484	12,680	24,616	24,831	26,315	25,873	25,881
Number of Customers – (Average, in thousands):							
Residential	1,278	1,267	1,274	1,263	1,252	1,258	1,252
Commercial and Industrial	196	194	195	196	193	193	192
All Other	1	2	2	2	2	1	2
Total	1,471	1,463	1,471	1,461	1,447	1,452	1,446

Source: Department of Water and Power of the City of Los Angeles.

(1) Thousands of MWhs.

(2) Deliveries include BPA AC/DC returns, Pasadena, California, APS, Edison and SCPPA losses, the Navajo Generating Station and Mohave Generating Station start-up and Edison Base Service Pump.

(3) Does not include energy generated at Hoover Power Plant for plant use and for the use of the Bureau of Reclamation and the cities of Boulder City, Nevada; Burbank, California; Glendale, California and Pasadena, California.

(4) Purchases from SCPPA are classified as Generation for quarterly results and Purchases for fiscal year end results.

Financial Information

The tables below provide certain financial information with respect to the Power System.

POWER SYSTEM
SELECTED FINANCIAL INFORMATION
(Dollars in Thousands)
(Unaudited)

	Six Month Period Ended December 31		Fiscal Year Ended June 30[1]				
	2012	**2011**	**2012**	**2011**	**2010**	**2009**	**2008**
Operating Revenues							
Residential	$ 548,425	$ 512,360	$ 976,820	$ 966,436	$1,014,610	$ 887,571	$ 883,503
Commercial and Industrial	1,082,381	1,059,231	2,039,522	2,046,850	2,062,415	1,780,679	1,771,056
Sales for resale[2]	38,063	38,341	36,136	84,262	126,354	50,883	90,375
Other[3]	14,449	14,487	29,202	28,409	31,814	36,802	36,390
Total Operating Revenues	$1,683,318	$1,624,419	$3,081,680	$3,125,957	$3,235,193	$2,755,935	$2,781,324
Average Revenue per KWH Sold							
Residential	0.13	0.13	0.13	0.13	0.14	0.12	0.11
Commercial and Industrial	0.13	0.13	0.13	0.13	0.13	0.11	0.10
Avg. Annual Residential Usage[4]	3	3	6	6	6	6	6
Operating income	$ 332,066	$ 213,304	$ 452,139	$ 430,832	$ 609,893	$ 419,504	$ 323,727
As % of revenues	19.7%	13.1%	14.7%	13.8%	18.9%	15.2%	11.6%
Change in Fund Net Assets[5]	$ 258,547	$ 156,454	$ 368,263	$ 316,456	$ 542,075	$ 372,277	$ 321,660
Change in Fund Net Assets[6]	$ 258,547	$ 156,454	$ 118,186	$ 57,641	$ 321,600	$ 149,771	$ 139,656

Source: Department of Water and Power of the City of Los Angeles.
(1) Derived from the Power System Financial Statements.
(2) Includes sales of power and transmission services to other utilities.
(3) Net of Uncollectible Accounts.
(4) MWh use per residential customer.
(5) Before Power Transfer.
(6) After Power Transfer.

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POWER SYSTEM
SUMMARY OF REVENUES, EXPENSES AND DEBT SERVICE COVERAGE
(Dollars in Thousands)
(Unaudited)

	Six Month Period Ended December 31		Fiscal Year Ended June 30[1]				
	2012	2011	2012	2011	2010	2009	2008
Operating Revenues							
Sales of Electric Energy:							
Residential	$ 548,425	$ 512,360	$ 976,820	$ 966,436	$1,014,610	$ 887,571	$ 883,503
Commercial and industrial	1,082,381	1,059,231	2,039,522	2,046,850	2,062,415	1,780,679	1,771,056
Sales for resale	38,063	38,341	36,136	84,262	126,354	50,883	90,375
Other[2]	14,449	14,487	29,202	28,409	31,814	36,802	36,390
Total Operating Revenues	$ 1,683,318	$1,624,419	$3,081,680	$3,125,957	$3,235,193	$2,755,935	$2,781,324
Operating Expenses							
Production:							
Fuel for Generation	$ 237,063	$ 228,096	$ 403,406	$ 435,812	$ 480,707	$ 449,612	$ 647,814
Purchased Power	447,551	475,394	909,910	853,745	829,177	699,828	690,200
Energy Cost	$ 684,614	$ 703,490	$1,313,316	$1,289,557	$1,309,884	$1,149,440	$1,338,014
Maintenance and Other Operating Expenses	464,942	480,337	922,206	1,018,631	977,550	893,752	838,042
Total Operating Expenses[3]	$ 1,149,556	$1,183,827	$2,235,522	$2,308,188	$2,287,434	$2,043,192	$2,176,056
Income from Operations[3]	$ 533,762	$ 440,592	$ 846,158	$ 817,769	$ 947,759	$ 712,743	$ 605,268
Allowance for funds used during construction	13,569	12,742	32,187	11,806	7,665	14,137	14,894
Other nonoperating income and expenses, net	39,920	53,365	127,081	122,732	131,434	137,259	175,906
Contributions in aid of construction	9,915	11,590	26,731	27,983	13,069	16,824	17,601
Change in Fund Net Assets[4]	$ 597,166	$ 518,289	$1,032,157	$ 980,290	$1,099,927	$ 880,963	$ 813,669
Debt Service							
Interest	143,623	140,283	280,935	277,026	207,700	211,295	207,451
Principal	129,216	61,879	62,158	123,820	101,649	59,062	43,033
Total debt service	$ 272,839	$ 202,162	$ 343,093	$ 400,846	$ 309,349	$ 270,357	$ 250,484
Debt Service Coverage Ratio	N/A	N/A	3.01	2.45	3.56	3.26	3.25
Depreciation, amortization and accretion	$ 201,696	$ 227,288	$ 394,019	$ 386,937	$ 337,866	$ 293,239	$ 281,541
Transfers to the Reserve Fund of the City	$ 0[5]	$ 0[5]	$ 250,077	$ 258,815	$ 220,475	$ 222,506	$ 182,004

Source: Department of Water and Power of the City of Los Angeles.

(1) Derived from the Power System Financial Statements.

(2) Net of Uncollectible Accounts.

(3) Excluding depreciation, amortization, accretion and loss on asset impairment and abandoned projects.

(4) Before depreciation, amortization, accretion, interest, extraordinary loss and the Power Transfer.

(5) Transfers typically occur in the latter half of the fiscal year.

Indebtedness

As of March 31, 2013, a total of approximately $7.01 billion in principal amount of indebtedness payable from the Power Revenue Fund was outstanding, comprised of approximately $6.81 billion of revenue Bonds and $200 million of commercial paper. In connection with the Department's expected capital improvements to the Power System, the Department anticipates that it will issue approximately $4.30 billion of additional debt through June 30, 2018 payable from the Power Revenue Fund. See "THE POWER SYSTEM – Projected Capital Improvements."

In addition, as of March 31, 2013, the Department was obligated on a "take-or-pay" basis under power purchase or transmission capacity contracts for debt service payments (its share representing approximately $2.31 billion principal amount of bonds) and for operating and maintenance costs of the related projects. The Department has entered into, and may in the future enter into additional, "take-or-pay" contracts in connection with renewable energy projects and other projects undertaken by the joint powers agencies in which it participates. The Department's obligations to make payments under such "take-or-pay" contracts are unconditional payment obligations. See "—Take-or-Pay Obligations" for the "take-or-pay" contracts the Department has entered as of March 31, 2013. All such commercial paper and "take-or-pay" contract obligations rank on a parity with the Department's Bonds as to payment from the Power Revenue Fund.

Take-or-Pay Obligations

The Department entered into the IPP Contract and the IPP Excess Power Sales Agreement to purchase up to a 62.16% share of the output of the IPP. The Department has also entered into the UP&L Contract with respect to capacity and energy equal to 4% of the output of the IPP. See "THE POWER SYSTEM – Jointly-Owned Generating Units and Contracted Capability Rights in Generating Units – *Intermountain Power Project*." The Department is also a member of SCPPA and participates in a number of SCPPA projects, including a number of renewable energy projects. See "THE POWER SYSTEM – Renewable Power Initiatives." The Department's obligations to make payments with respect to the IPP and the SCPPA projects in which it participates are unconditional "take-or-pay" payment obligations, obligating the Department to make such payments as operating expenses of the Power System whether or not the applicable project is operating or operable, or the output thereof is suspended, interfered with, reduced, curtailed or terminated in whole or in part. The IPP Contract, the IPP Excess Power Sales Agreement, the UP&L Contract and the agreements with respect to the SCPPA projects contain provisions obligating the Department to pay a share of the cost of any deficit in funds for operating expenses, debt service, other costs related to the project and reserves as a result of a defaulting participant. The Department's participation and share of bond debt service obligation (without giving effect to any provisions requiring the Department to contribute to any deficiencies upon default by another participant) as of March 31, 2013, for each of the foregoing projects are shown in the following table:

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POWER SYSTEM
TAKE-OR-PAY OBLIGATIONS FOR BONDS
As of March 31, 2013
(Dollars in Millions)
(Unaudited)

	Principal Amount of Outstanding Debt	Department Participation	Department Share of Principal Amount of Outstanding Debt
Intermountain Power Agency			
IPP	$1,733[1]	48.62%[2]	$842[3]
Southern California Public Power Authority[4]			
PVNGS	58	67.00[4]	39
Mead-Adelanto Transmission Project	144	35.70[4]	51
Mead-Phoenix Transmission Project	45	24.75[4]	11
Linden Wind Energy Project	132	90.00[4]	119
Milford Wind Corridor Phase I Project	222	92.50[4]	205
Milford Wind Corridor Phase II Project	153	95.10[4]	146
Southern Transmission System	756	59.50[4]	450
Windy Point Project	483	92.37[4]	446
Total	$3,726		$2,309

Source: Department of Water and Power of the City of Los Angeles.
(1) Includes $233.7 million of commercial paper.
(2) Includes the Department's obligations under the IPP Contract (44.617%) and the UP&L Contract (4.0%) as described under the caption "THE POWER SYSTEM – Jointly-Owned Generating Units and Contracted Capability Rights in Generating Units – *Intermountain Power Project*."
(3) The Department is the payee of a note receivable from IPA of outstanding in the approximate principal amount of $858.8 million as of March 31, 2013, due to the Department's prepayment of a portion of its share of IPA's debt.
(4) Equals the Department's share of SCPPA's entitlement.

FACTORS AFFECTING THE DEPARTMENT AND THE ELECTRIC UTILITY INDUSTRY

The following factors affecting the Department and the electric utility industry should be considered when evaluating the Department and considering an investment in 2013 Bonds. The Department cannot predict at this time whether any additional legislation or rules will be enacted which will affect the Power System's operations, and if such laws or rules are enacted, what the costs to the Department might be in the future because of such action. See "THE DEPARTMENT," "ELECTRIC RATES," "THE POWER SYSTEM – Projected Capital Improvements," "OPERATING AND FINANCIAL INFORMATION" and APPENDIX A – "FINANCIAL STATEMENTS" for additional information relating to the Department.

California Climate Change Policy Developments

California (the "State") regulatory agencies such as the California Air Resources Board ("CARB") and the CEC are pursuing a number of regulatory programs designed to reduce greenhouse gas ("GHG") emissions and encourage or mandate renewable energy generation. The following is a summary of certain of these programs. See also "Environmental Regulation and Permitting" below.

California Global Warming Solutions Act of 2006 and Regulations ("AB32"). On September 27, 2006, then-Governor Schwarzenegger signed into law the California Global Warming Solutions Act of 2006 (the "Global Warming Solutions Act"). This law requires a 25% cut in GHG emissions from within California by 2020 in order to reduce such emissions back to 1990 levels. The Global Warming Solutions Act also delegates rulemaking authority to California state agencies, including CARB, and authorized CARB to adopt "market-based approaches," such as cap-and-trade regulation.

On October 20, 2011, CARB adopted Resolution 11-32 approving cap-and-trade regulations, which became effective on January 1, 2012 (the "Cap-and-Trade Regulations"). The Cap-and-Trade Regulations impose a "cap" for cumulative GHG emissions from all of the regulated entities. The aggregate GHG emissions will intentionally be capped at levels below the levels of emissions required to sustain electricity and industrial production from sources producing GHG emissions at historical levels or at levels projected in the absence of the Cap-and-Trade Regulations. Starting in 2013, the Cap-and-Trade Regulation will impose a declining cap on aggregate emissions by covered entities—including those in the electricity generating sector. The cap applies to aggregate emissions from generation within the State of California, and attributable to electricity imported into California. The Cap-and-Trade Regulations require electric utilities, including the Department, and major industrial sources of GHG emissions to obtain and submit to CARB allowances or offsets with respect to GHG emissions for each year, commencing 2013. Covered entities must submit allowances or offsets in an aggregate amount equal to their total GHG emissions. The Department is a covered entity, and must submit allowances for its GHG emissions relating to its California generation activities, as well as for imported electricity from dedicated out-of-state resources such as the IPP. In addition, the Department may indirectly bear compliance costs for independent generators that must purchase allowances for their generation.

CARB is to issue a number of allowances each year equal to the number of metric tons of GHG emissions represented by the cap for such year. Each electricity distribution utility subject to the Cap-and-Trade Regulations will be required to submit allowances equal to the GHG emissions from their facilities and relating to electricity imported from out-of-state sources. By setting the aggregate cap on allowances at levels below projected GHG emissions levels from sources producing GHG emissions, CARB's intention is to raise the cost of using fossil fuels reducing the use of such fuels and GHG emissions.

Allowances will be distributed by CARB. Some covered entities, including the Department, are entitled to receive administrative allocations of allowances for some of their expected GHG emissions at no cost. Other entities (particularly investor-owned utilities) must bid for allowances at auctions conducted by CARB or purchase allowances or offsets in the open market. Entities that emit GHGs at levels above those for which they receive administrative allocations, if any, must purchase the additional allowances they require at the CARB auctions or from other covered entities with surplus allowances. The minimum price that may be bid at CARB auctions in 2013 is $10 per metric ton. The minimum price is to be escalated each year by approximately 5%.

Two auctions have been conducted so far under the Cap-and-Trade Regulations and others are expected to be held approximately quarterly. At the auction conducted in November 2012, the price for 2013-vintage allowances was $10.09 per metric ton. The settlement price for 2013-vintage allowances at the February 2013 auction was $13.62 per metric ton. Prices at subsequent auctions are expected to rise further.

The Department's administrative allocations will decline in years after 2013 by approximately 2% per year, on average. The Department must purchase allowances at auction or in the market to cover additional GHG emissions over and above its administrative allowances.

The Department has participated in the first two CARB allowance auctions. The Department believes that participation in the first two auctions, along with its budgeted future purchases of allowances, adequately supplement the Department's administrative allowances to authorize the Department's generation and purchase of electricity that is subject to the Cap-and-Trade Regulations for 2013. The Department also believes that the costs of compliance with the Cap-and-Trade Regulations will be substantially covered by existing rate adjustments and anticipated rate increases.

Future prices for GHG allowances under the Cap-and-Trade Regulations cannot be predicted with certainty but are expected to rise as the cap decreases. If adequate numbers of allowances cannot be obtained at auctions or in the market, regulated entities, such as the Department, will need to implement strategies for ensuring reliable system operations while complying with limitations on GHG emissions imposed by the Cap-and-Trade Regulations, including increasing reliance upon lower GHG emitting resources.

There are uncertainties concerning the future administration of the Cap-and-Trade Regulations that could affect the Department. For example, CARB is considering regulations prohibiting "resource shuffling," which is using a plan to obtain credit for reducing GHG emissions in connection with delivery of electricity when those reductions do not in fact occur. The concept of resource shuffling could be applied to prohibit a covered entity from shifting its procurement from a relatively high-intensity GHG emitting source, such as IPP, to a lower emitting source if the original source continues operating.

GHG Emissions Performance Standard and Financial Commitment Limits. In September 2006, SB 1368 (Chapter 598, Statutes of 2006) was signed into law. In the case of POUs such as the Department, SB 1368 required the CEC to adopt a GHG emissions performance standard ("EPS") for generating facilities. Accordingly, in August 2007, the CEC adopted regulations setting the EPS at 1,100 pounds per MWh. The EPS applies to "covered procurements" entered into by POUs.

On January 12, 2012, the CEC adopted an Order Instituting Rulemaking ("OIR") in response to a petition filed by two environmental organizations, which requested a rulemaking proceeding to review whether the practices of POUs meet the requirements of SB 1368 and the EPS. The OIR focuses on the following four issues: whether to (i) establish a filing requirement for all POU investments in non-EPS compliant facilities regardless of whether the investment is a "covered procurement;" (ii) establish criteria for the term "covered procurement" and/or further define the terms "designed and intended to extend the life of one or more generating units by five years or more" and "routine maintenance;" (iii) make changes to the regulations pursuant to Public Utilities Code Section 8341(f), which requires the CEC and CARB to reevaluate the EPS when an enforceable GHG emissions limit applicable to POUs is established and in operation; and (iv) make any other changes to carry out the requirements of SB 1368.

On July 9, 2012, the CEC issued Tentative Conclusions and Requests for Additional Information based on the workshop discussion and related comments. Following the framework of the four above-listed issues from the OIR, the CEC presented tentative conclusions and identified topics that warrant further review and consideration. First, with respect to the need for a filing requirement for POU investments in non-EPS compliant facilities, the CEC concluded that while current POU decision-making processes are consistent with the EPS, there is arguably a need for more transparency. In order to review how to achieve greater transparency without imposing onerous financial and administrative burdens on POUs, the CEC requested information from the POUs regarding the processes and procedures in which POU investment decisions are made. Second, with respect to the need to establish criteria for the term "covered procurement" and/or to further define the terms "designed and intended to extend the life" and "routine maintenance," the CEC concluded there is no basis for such modifications. Third, with respect to the need to reevaluate the EPS pursuant to Public Utilities Code Section 8341(f), the CEC consulted with CARB and agreed with CARB's conclusion that the GHG cap-and-trade regulations do not establish

an "emissions limit" applicable to POUs and that the reevaluation of the EPS regulations is therefore not triggered. Fourth, with respect to any other changes to carry out the requirements of SB 1368, CEC invited comments (which were due on July 27, 2012) on whether the current EPS of 1,100 pounds per MWh should be revised.

On August 31, 2012, the CEC issued a Request for Reply Comments to certain issues raised by the comments and information received in response to the Tentative Conclusions and Requests for Additional Information. The CEC stated that it believes it is important to provide an opportunity for parties to submit reply comments with respect to the issues of whether to establish a filing requirement for all POU investments in non-EPS compliant facilities and whether to lower the current EPS of 1,100 pounds per MWh to an EPS of 825-850 pounds per MWh, which was proposed by two environmental organizations. All comments and requested information were required to be filed with the CEC by September 14, 2012. The CEC stated that it believes it has sufficient information to develop final decisions on whether to establish criteria or to further define terms and whether to make changes pursuant to Public Utilities Code Section 8341(f).

SB 1368 also prohibits publicly owned utilities from making any "long-term financial commitment" in connection with "baseload generation" that does not satisfy the EPS. Generally, a "long term financial commitment" is any new or renewed power purchase agreement with a term of five years or more, the purchase of an interest in a new power plant or any investment, other than routine maintenance, in an existing power plant that extends the life of the plant by more than five years or results in an increase in its rated capacity. "Baseload generation" means a power plant that is intended to operate at an annualized capacity factor of 60 percent or more.

California Renewable Electric Standard. In 2002, SB1078 established the California Renewable Portfolio Standard Policy ("RPS Policy") which required retail sellers of electricity regulated by the CPUC to procure 20% of retail sales from renewable energy by 2017. The RPS Policy encouraged, but did not require, local publicly owned electric utilities, such as the Department, to meet the same goal. The RPS Policy is implemented by CARB, the CEC and the CPUC (collectively, the "Commissions"). In 2006, SB107 modified the RPS Policy by requiring retail sellers of electricity regulated by the CPUC to procure 20% of retail sales from renewable energy by 2010 instead of the original 2017. In November 2008, then Governor Schwarzenegger issued Executive Order S-14-08, which established a renewable energy target for retail sellers of electricity to achieve 33% renewable energy by 2020**.** On December 11, 2008, CARB approved the Climate Change Scoping Plan, which includes a GHG emission reduction measure to implement the goals of Executive Order S-14-08 and achieve a 33% renewable energy target by 2020.

On September 15, 2009, then-Governor Schwarzenegger issued Executive Order S-21-09, which directed CARB to develop under its AB32 authority a regulation that would require, among others, publicly owned utilities to achieve the 33% renewable energy target by 2020. On September 23, 2010, CARB adopted by regulation the Renewable Electricity Standard policy ("RES Policy"), which requires electricity providers, including all California publicly owned utilities such as the Department, to achieve a renewable energy target of 33% by 2020. The RES Policy sets forth compliance intervals under which the regulated entities, including the Department, must meet the following progressive interim renewable energy targets: 20% from 2012 through 2014, 24% from 2015 through 2017, 28% from 2018 through 2019, and 33% from 2020 and annually thereafter. In the adopting resolution for the RES Policy, CARB indicated that it proposes to modify the regulation so that the initial compliance interval will not be an enforceable renewable requirement but will instead be used to monitor progress towards meeting the renewable goals and incentivize over compliance for use in meeting future compliance intervals. CARB also stated that the RES Policy builds upon and does not supersede any obligations that apply to retail sellers of electricity under the existing RPS Policy.

The adopting resolution for the RES Policy also states that CARB will consider amendments to the RES Policy if the CPUC approves the use of tradable renewable energy credits ("TRECs") as an additional compliance tool for the RPS Policy. On January 14, 2011, the CPUC issued Decision 11-01-025 under Rulemaking 06-02-012, which authorizes the use of TRECs as a compliance tool for the RPS Policy. Under Decision 11-01-025, retail sellers of electricity subject to the RPS Policy can buy, sell and trade renewable energy credits separately from their underlying energy and use those TRECs for compliance with the RPS Policy; however, a temporary cap ending in December 2013 was imposed on retail sellers subject to the RPS Policy that limits the amount of TRECs such sellers can use to satisfy their annual procurement compliance to no more than 25%. The CPUC stated in Decision 11-01-025 that it intends to work with CARB and the CEC to coordinate their roles and harmonize the RES and RPS policies with respect to renewable energy programs in California.

On April 12, 2011, Governor Brown signed into law the California Renewable Energy Resources Act, or SBX 1-2. The new law directs the governing board of each local publicly owned electric utility, such as the Department, to develop and implement a renewable energy resources procurement plan and an enforcement program to ensure that SBX 1-2 objectives are met. SBX 1-2 establishes procurement targets for three compliance periods to be implemented by the procurement plan. The first compliance period is from January 1, 2011 to December 31, 2013, during which an average of 20% of the utility's retail sales must be procured from eligible renewable energy resources. During the second compliance period, from January 1, 2014 to December 31, 2016, the utility must make reasonable progress each year to ensure it achieves 25% of retail sales from eligible renewable energy resources by December 31, 2016. Similarly, during the third compliance period, from January 1, 2017 to December 31, 2020, reasonable progress each year must be made to ensure the utility's retail sales achieve 33% from eligible renewable energy resources by December 31, 2020.

SBX 1-2 establishes enforcement authority over local publicly owned utilities and establishes penalties for noncompliance. SBX 1-2 directs the CEC to design and implement an accounting system to verify compliance with its standards, establish a system to track and verify renewable energy credits, and to certify the eligibility of renewable energy credits. SBX 1-2 also establishes criteria for renewable energy credits. For example, renewable energy credits cannot be created for electricity generated pursuant to any electricity purchase contract with a retail seller or a local publicly owned electric utility executed before January 1, 2005, unless the contract contains explicit terms and conditions specifying the ownership or disposition of those credits. SBX 1-2 also addresses the issue of the extent to which a renewable energy facility must be located in California or deliver power to California and how those factors affect the creation and use of renewable energy credits associated with energy generated at a particular facility. SBX 1-2 establishes requirements on this issue that differ from the CPUC approach discussed above and the Department is analyzing the impact of the new requirements on the Department.

In September 2012, the Governor signed into law AB 2196, which sets forth certain conditions related to the use of landfill gas, digester gas or other renewable fuels, and AB 1900, which establishes a system to begin to allow for the landfill gas pipeline injection within California.

The CEC is currently developing regulations to enforce SBX 1-2 on POUs. Further, the CEC is revising its existing RPS Eligibility Guidebooks to incorporate the changes implemented by SBX 1-2, AB 2196 and AB 1900. The revisions to the CEC's Renewables Portfolio Standard Eligibility Guidebook, 7th Edition, and revisions to the Overall Program Guidebook, Sixth Edition, are expected to be adopted by the CEC on April 30, 2013. The regulations specifying procedures for enforcement against POUs are not yet in place. The proposed regulations, to enforce SBX1-2 on POUs, are expected to be approved by October 2013. The impact to the Department cannot be fully ascertained until the CEC implements its final regulations relating to POUs and revises its RPS Eligibility Guidebook. The first compliance period under SBX 1-2 is from January 1, 2011 to December 31, 2013.

See "THE POWER SYSTEM – Renewable Power Initiatives" below for a description of the Department's existing renewable energy projects. See also "THE POWER SYSTEM – Projected Capital Improvements" for a description of the City's renewable energy portfolio policy.

Renewable Energy Policy Development. Executive Order S-21-09 also provides that CARB may delegate policy development and implementation to the Commissions, that CARB is to consult with the Cal ISO and other balancing authorities on impacts on reliability, renewable integration requirements and interactions with wholesale power markets in carrying out the provisions of Executive Order S-21-09, and that CARB is to establish the highest priority for those resources with the least environmental costs and impacts on public health that can be developed most quickly and that support reliable, efficient and cost-effective electricity system operations including resources and facilities located throughout the Western Interconnection.

SB 1389 requires that the CEC prepare a biennial integrated energy policy report that contains an integrated assessment of major energy trends and related issues facing California and provide policy recommendations to conserve resources, protect the environment, ensure reliable, secure and diverse energy supplies, enhance the State's economy and protect public health and safety.

In October 2012, the CEC posted the draft version of the 2012 Integrated Energy Policy Report in which the CEC identifies recommendations for policies on energy and environmental matters. Among those policy recommendations, the following may have a material effect on the Department: (i) continue efforts to implement the RPS of 33%; (ii) continue to support the development of combined heat and power facilities; and (iii) continue to support the State's policy to phase out the use of once-through-cooling water processes at power plants. See "– Environmental Regulation and Permitting Factors – *Water Quality – Cooling Water Process – State Water Resources Control Board*" below).

Environmental Regulation and Permitting Factors

General. Numerous environmental laws and regulations affect the Power System's facilities and operations. The Department monitors its compliance with laws and regulations and reviews its remediation obligations on an ongoing basis. The following topics highlight some of the major environmental compliance issues affecting the Power System:

Air Quality – Nitrogen Oxide (NOx) Emissions. The Department's Los Angeles Basin Stations generating station facilities are subject to the Regional Clean Air Incentives Market ("RECLAIM") NOx regulations adopted by the South Coast Air Quality Management District (the "SCAQMD"). In accordance with these regulations, SCAQMD established annual NOx allocations for stationary source facilities based on historical emissions. These allocations are in the form of RECLAIM trading credits ("RTCs"). Facilities that exceed their allocated RTCs must reconcile those emissions by purchasing RTCs from the RECLAIM market. The Department has a program of installing emission controls and purchasing RTCs, as necessary, to meet its emission requirements. The Los Angeles Basin Stations are all equipped with emission control equipment.

As a result of the installation of NOx control equipment and the repowering of existing units, the Department has sufficient RTCs to meet its native load requirements for normal operations. See also " – *Air Quality – Federal Actions on Greenhouse Gases*" and "– *Air Quality – National Ambient Air Quality Standards.*"

Air Quality – State Actions on Greenhouse Gas Emissions. See "*– California Climate Change Policy Developments*."

Air Quality – Federal Actions on Greenhouse Gases.

Regulatory Actions Under the Clean Air Act. The United States Environmental Protection Agency (the "EPA") has taken steps to regulate GHG emissions under existing law. On April 2, 2007, the U.S. Supreme Court issued a decision in *Massachusetts v. EPA* holding that the EPA has the authority to regulate GHG emissions under the federal Clean Air Act. Air pollutants, including GHGs, which are regulated by actually controlling emissions under any Clean Air Act program must be taken into account when considering permits issued under other programs, such as the Prevention of Significant Deterioration ("PSD") Permit Program or the Title V Permit Program. A PSD permit is required before commencement of construction of new major stationary sources or major modifications of such sources and contains requirements including but not limited to the application of best available control technologies ("BACT"). Title V permits must be applied for within one year a source becomes subject to the program. Title V permits are operating permits for major sources that consolidate all Clean Air Act requirements (arising, for example, under the Acid Rain, New Source Performance Standards, National Emission Standards for Hazardous Air Pollutants, and/or PSD programs) into a single document, provide for review of the documents by the EPA, state agencies and the public, and contain monitoring, reporting and certification requirements.

On May 13, 2010, the EPA issued a final rule for determining the applicability of the PSD and Title V programs to GHG emissions from major stationary sources. The rule, known as the "Tailoring Rule," establishes criteria for identifying facilities required to obtain PSD permits and the emissions thresholds at which permitting and other regulatory requirements apply. The applicability threshold levels established by this rule include both a mass-based calculation and a metric known as the carbon dioxide equivalent, or CO_2e ("CO_2e"), which incorporates the global warming potential for each of the six individual gases that comprise the collective GHG defined by EPA.

The Tailoring Rule requires sources subject to PSD and/or Title V permits to address GHG emissions in new permit applications or renewals. Construction or modification of major sources will become subject to PSD requirements for their GHG emissions if the construction or modification results in a net increase in the overall mass of GHG emissions exceeding a certain amount of tons per year ("tpy") on a CO_2e basis. New and modified major sources required to obtain a PSD permit would be required to conduct a BACT review for their GHG emissions. On November 10, 2010, the EPA issued guidance on the technologies or operations that would constitute BACT for GHGs. The Department will need to comply with these requirements when it repowers its aging power plants. The time, cost and engineering necessary for compliance with the Tailoring Rule will be included in the overall project schedule.

With respect to Title V requirements under the first step of the Tailoring Rule, effective January 2, 2011, sources required to have Title V permits for non-GHG pollutants were required to address GHGs as part of their Title V permitting. The second step of the Tailoring Rule became effective July 1, 2011, and is applicable to new facilities or modifications to existing facilities that exceed certain GHG emission thresholds, even if the facility is not subject to PSD for non-GHG emissions. The second phase requirements would apply to any new, major sources the Department constructs, as well as to any major modifications of existing facilities, depending on their levels of emissions of both GHG and non-GHG pollutants.

On July 12, 2012, the EPA's final rule for the third step in the Tailoring Rule was published. The final rule maintains the applicability thresholds for GHG-emitting sources at the current levels and

includes two permitting streamlining approaches to improve the administration of the PSD and Title V permitting programs. The Department has existing Title V operating permits. Existing Title V operating permits will be required to be amended to incorporate any federal GHG applicable regulatory requirements (e.g. GHG BACT requirements) and associated monitoring, recordkeeping and reporting requirements when they are renewed.

On June 26, 2012, the United States Court of Appeals for the D.C. Circuit found that petitioners did not have standing to challenge, among other rules, the Tailoring Rule. The court also upheld two other EPA rules relating to the regulation of GHG emissions under the federal Clean Air Act. In December 2012, the D.C. Circuit denied the petitioners' request for reconsideration. Several petitions for certiorari have been filed with Supreme Court of the United States. The Department cannot predict the ultimate outcome of the litigation.

In addition to the PSD permit program, EPA is also in the process of developing a GHG regulatory program under the New Source Performance Standards ("NSPS") provisions of the Clean Air Act. On December 23, 2010, the EPA entered a settlement agreement and agreed to issue NSPS and emissions guidelines for GHG emissions from new and modified fossil fuel fired electric generating units ("EGUs"). On April 13, 2012, the EPA published in the federal register its proposed rule for GHG NSPS for new EGUs and had indicated it planned to issue a final rule in March 2013; however, the EPA has missed the date and the rule finalization timeframe is now undetermined. New electric utilities greater than 25 MW would be subject to an output-based standard of 1,000 lb/MWh, on a 12-month annual average, based on the performance of natural gas combined-cycle technology. The Department's repowering projects are expected to comply with the standards as currently proposed. At this time, the EPA is not proposing NSPS for existing EGUs, but the EPA may issue more rulemakings in order to meet the terms of the settlement agreement.

Air Quality – Litigation on Greenhouse Gases. Regulation of GHGs is being litigated in courts throughout the United States. In particular, there were pending cases alleging that GHG emissions from electric generation are causing a public nuisance and should be abated by electric generation facilities. The Department cannot currently predict how GHG emissions issues will arise in connection with pending or future permit proceedings or whether litigation based on climate change issues will adversely affect the Department's construction and development plans.

See also, "THE POWER SYSTEM — General," "—Department-Owned Generating Units," "—Power Jointly Owned Generating Units and Contracted Capacity Rights in Generating Units," "—Projected Capital Improvements – Renewable Portfolio Standard," "—Energy Efficiency Initiatives" and "—Renewable Power Initiatives."

Air Quality – Mercury. The Clean Air Act provides for a comprehensive program for the control of hazardous air pollutants, including mercury. On February 16, 2012, EPA published the final rule to reduce emissions of toxic air pollutants from fossil-fuel-fired EGUs and to revise the NSPS for fossil-fuel-fired EGUs. The final rule, known as the Mercury and Air Toxics ("MATS") rule, requires coal-fired electric generation plants to achieve high removal rates of mercury, acid gases and other metals from air emissions. To achieve these standards, coal units with no pollution control equipment installed (uncontrolled coal units) will have to make capital investments and incur higher operating expenses. Coal units with existing controls that do not meet the required standards may need to upgrade existing controls or add new controls to comply.

The MATS rule requires generating stations to comply with the new standards three years after the rule takes effect, with specific guidelines for an additional one or two years in limited cases. The rule took effect on April 16, 2012. The EPA has granted reconsideration of several issues in the MATS Rule

relating to new sources. The EPA issued a partial stay of the MATS Rule as part of the reconsideration process, which stayed the effective date of the Rule until November 2, 2012, but only for requirements related to new sources. The EPA published the notice of final action on the reconsideration with respect to new sources in the Federal Register on April 24, 2013, but has delayed final action to the startup and shutdown provisions that impact new and existing sources.

It is unlikely that IPP will be required to install control technology to reduce its hazardous air pollutants ("HAPS"). IPP already utilizes wet scrubbers and fabric filters that significantly reduce HAPS. However, the Department will be examining other possible options to meet the requirements in the most effective manner. IPP will be subject to new testing, monitoring, work practice standards and reporting requirements to demonstrate compliance with the new emissions limits that will have financial impacts. The Department is continuing to determine the financial impacts to IPP.

In the midst of uncertainty with respect to federal regulation of mercury emissions, the State of Utah adopted minimum performance criteria for existing electric generating units and offset requirements for potential increases in mercury emissions from new or modified electric generating units. Utah's minimum performance criteria include a rule, effective January 1, 2012, that coal-fired power plants, such as IPP, meet a mercury emissions limit of 0.00000065 lb/MMBtu or have at least a 90% mercury removal efficiency. The Department believes it is in compliance with the Utah mercury standard.

Under Section 114 of the Clean Air Act, the EPA has the authority to request from any person who owns or operates an emission source, information and records about operation, maintenance, emissions, and other data relating to such source for the purpose of developing regulatory programs, determining if a violation occurred (such as the failure to undergo new source review), or carrying out other statutory responsibilities. If such violations are found to have occurred, the EPA or other enforcement authorities could require the installation of new pollution control equipment in addition to modifications that have already been completed or planned and could require the payment of fines and penalties.

On September 28, 2010, the EPA sent a letter to the Department and IPA requesting information with respect to the IPP pursuant to Section 114(a) of the Clean Air Act. The request for information indicated that the purpose of the request is to determine whether the IPP is in compliance with the Clean Air Act, but the letter did not allege any specific violations. IPA has provided information in response to the request.

Air Quality – National Ambient Air Quality Standards. The Clean Air Act requires that the EPA establish National Ambient Air Quality Standards for certain air pollutants. When a NAAQS has been established for a pollutant, each state must identify areas in its state that do not meet the EPA standard (known as "non-attainment areas") for that pollutant and develop regulatory measures in its state implementation plan to reduce or control the emissions of that pollutant in order to meet the standard and become an "attainment area."

When an area is designated as a non-attainment area for a pollutant, stricter restrictions on the emissions of that pollutant are imposed, and it can be more difficult and costly to obtain permits for new major sources or major modifications to existing sources.

The SCAQMD periodically prepares an overall plan, also known as an Air Quality Management Plan, which include control measures to meet federal air quality standards and/or incorporate the latest technical planning information. SCAQMD adopted its AQMP for 2012, which is a regional and multi-agency effort. The Department is currently assessing the impacts of the AQMP's proposed control

measures included in the 2012 AQMP on its plans for new facilities or major modifications to existing facilities.

Water Quality – Cooling Water Process

General. Once-through-cooling is the process where water is drawn from a source, pumped through equipment at a power plant to provide cooling and then discharged. A cooling process is necessary for nearly every type of traditional electrical generating station and the once-through-cooling process is used by many electrical generating stations located next to large bodies of water. In once-through-cooling, the water is not chemically changed in the cooling process; however the water temperature can increase. The water drawn into the intake and the thermal discharges are regulated by the federal Clean Water Act and similar state law.

EPA Requirements. On April 20, 2011, the EPA publicly posted for a comment period a new proposed rule related to Section 316(b) of the Clean Water Act ("Rule 316(b)") in the Federal Register, proposing requirements for cooling water intake structures for all existing power generating facilities that withdraw more than two million gallons per day of water from waters of the United States and use at least 25% of the water they withdraw exclusively for cooling purposes, and is a point source. Under the proposed rule, an owner or operator of an existing facility would be able to choose one of two compliance options for impingement mortality ("IM"): (1) monitoring to demonstrate that specified performance standards for impingement mortality of fish and shellfish have been met, or (2) demonstrate that intake velocity meets specified design criteria; however, IM compliance must be met eight years after the effective date of Rule 316(b). For entrainment mortality, the proposed rule allows a compliance schedule based on the best professional judgment by the permitting authority and establishes requirements for studies and information as part of the permit application and establishes a process by which site-specific BACT would be implemented at each facility. As part of a settlement agreement, a final rule had to be issued by July 2012; however, on July 17, 2012, the parties to the underlying litigation signed a modified settlement agreement, which extends the deadline for the final rule to June 27, 2013. The language for the final rule is still subject to change. The Department will need an exemption or some relief from the eight year IM compliance date. The Department is evaluating the potential impacts of this proposed rule on its facilities.

State Water Resources Control Board. The State Water Resources Control Board's statewide policy with respect to the Clean Water Act Section 316(b) became effective on October 1, 2010 when published as Section 2922 of Title 23 of the California Code of Regulations ("Regulation Section 2922"). The new regulation requires all facilities subject to the Clean Water Act Section 316(b) to either use Track 1, which requires the use of closed cycle cooling or flow reduction commensurate to that of closed cycle cooling – a minimum of 93% flow reduction; or Track 2, which entails demonstrating that Track 1 is infeasible and requires compliance measured on a unit by unit basis with the use of "alternate" technologies where IM and entrainment reduction must be 83.7%. In the interim, Regulation Section 2922 requires the installation of large organism exclusion devices and the cessation of intake flows if not engaging in power-generating activities or critical system maintenance. The owner or operator of such facilities must further mitigate any interim impacts commencing five years after the effective date of Regulation Section 2922 until final compliance is achieved. The Department owns three coastal generating stations that utilize once-through-cooling, that provide approximately 85% of the Department's in-basin generation and 39% of the total generating plant capacity owned by the Department, which are subject to the new Regulation Section 2922.

On July 19, 2011, the State Water Resources Control Board adopted an amendment to Regulation Section 2922 that accelerated the compliance dates for three coastal units and extended the compliance dates until 2024 for two coastal units and 2029 for the remaining four coastal units. The new

compliance schedule allows for both grid reliability and a financially sustainable path forward while making the equipment upgrades necessary to remove the coastal generating stations' units from utilizing once-through-cooling. The total estimated outlay for the accelerated schedule of compliance by 2020 would have cost approximately $2.2 billion.

Regional Requirements – Thermal Discharges at Harbor Generating Station and Haynes Generating Station. The California State Water Resources Control Board's Water Quality Control Plan for Control of Temperature in the Coastal and Interstate Waters and Enclosed Bay and Estuaries of California (the "California Thermal Plan") has different thermal criteria for discharges into estuaries and bays than it does for discharges into the ocean. The water discharges from Harbor Generating Station and Haynes Generating Station were originally permitted as ocean discharges. In January 2003, however, the Los Angeles Regional Water Quality Control Board ("LARWQCB") informed the Department that it (i) reclassified the Harbor Generating Station discharge as an enclosed bay discharge and that (ii) it intends to reclassify the Haynes Generating Station discharge as an estuary discharge. Accordingly, the Harbor Generating Station NPDES permit was renewed by the LARWQCB in July 2003, with the new enclosed bay classification and the associated, more stringent, permit limits. Based on the notice of intent to reclassify the Haynes Generating Station discharge and planned changes to be made to the Haynes Generating Station's flow volume, the Department has completed a hydrological model of the Lower San Gabriel River. Haynes discharges into the San Gabriel River, which in turn flows into the ocean. The hydrological study was designed to evaluate the accuracy of the LARWQCB's claim that Haynes Generating Station discharges into an estuary and concluded that the estuary classification is not accurate. The Department has submitted objections to the proposed permit reclassification and they are currently pending before the LARWQCB. If the Department's objections are unsuccessful and the Haynes Generating Station discharge is reclassified as an estuarine discharge, the Haynes Generating Station would be unable to comply with the California Thermal Plan without a permit variance. If the Department is unable to obtain a permit variance, the Haynes Generating Station facility could be limited or unable to operate.

Superfund. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, as amended, as well as California statutes, impose strict liability for cleanup costs upon those who generate or dispose of hazardous substances and hazardous wastes. The Department's past disposal practices may result in Superfund liability as previously approved disposal methods or sites become candidates for Superfund classification. In addition, under these statutes, the Department may be held liable for cleanup activities on property that it owns and operates, even if the conditions requiring cleanup existed before the Department's occupancy of a site. As a result, the Department may incur substantial, but presently unknown, costs as a participant in the cleanup of sites contaminated with hazardous substances or wastes.

Resource Conservation and Recovery Act ("RCRA"). In 2000, the EPA issued a regulatory determination that coal combustion waste disposed in landfills and surface impoundments is a regulated solid waste that is exempt from hazardous waste regulations. After issuing the regulatory determination, the EPA collected new information and conducted additional analyses in support of developing related regulations and made this information available for public comment in August 2007. Due to the failure of the coal ash impoundment at a coal-fired power plant facility in Tennessee that occurred in December 2008, the EPA is now considering all regulatory options for coal combustion waste regulation, including regulation as a hazardous waste under Subtitle C of RCRA and imposing surface impoundment integrity requirements. In connection with the EPA's consideration of additional regulatory requirements, the Department, as operating agent of IPP, received and responded to an information collection request from the EPA in 2009. The EPA also conducted site assessments at many facilities with coal combustion waste impoundments, including IPP, in 2010.

On June 21, 2010, the EPA published a proposed rule describing the two possible regulatory options it is considering under RCRA for the disposal of coal ash generated from the combustion of coal by electric utilities and independent power producers. Under either option, the EPA would regulate the construction of impoundments and landfills, and seek to ensure both the physical and environmental integrity of disposal facilities.

Under the first proposed regulatory option, the EPA would list coal ash destined for disposal in landfills or surface impoundments as "special wastes" subject to regulation under Subtitle C of RCRA. Subtitle C regulations set forth the EPA's hazardous waste regulatory program, which regulates the generation, handling, transport and disposal of wastes. The proposed rule would create a new category of waste under Subtitle C, so that coal ash would not be classified as a hazardous waste, but would be subject to many of the regulatory requirements applicable to such wastes. Under this option, coal ash would be subject to technical and permitting requirements from the point of generation to final disposal. Generators, transporters, and treatment, storage and disposal facilities would be subject to federal requirements and permits. The EPA is considering various options for reducing the risks of environmental releases from coal combustion waste disposal facilities, including liners, groundwater monitoring, fugitive dust controls, financial assurance, corrective action, closure of units, and post-closure care, all following the approach applied to hazardous wastes. This first option also proposes requirements for dam safety and stability for surface impoundments, land disposal restrictions, treatment standards for coal ash, and a prohibition on the disposal of treated coal ash below the natural water table. The first option would not apply to certain narrowly-defined beneficial reuses of coal ash. The first option proposes more extensive and stringent requirements than the second option discussed below and would result in significantly higher compliance costs as compared to the second option.

Under the second proposed regulatory option, the EPA would regulate the disposal of coal ash under Subtitle D of RCRA, the regulatory program for non-hazardous solid wastes. Under this option, the EPA is considering issuing national minimum criteria to ensure the safe disposal of coal ash, which would subject disposal units to location standards, liner requirements, groundwater monitoring and corrective action standards for releases, closure and post-closure care requirements, and requirements to address the stability of surface impoundments, all in substantial parallel to the requirements imposed upon municipal landfills. Existing surface impoundments would not have to close or install composite liners and could continue to operate for their useful life. The second option would not regulate the generation, storage, or treatment of coal ash prior to disposal, and no federal permits would be required.

The proposed rule also states that the EPA is considering listing coal ash as a hazardous substance under the Comprehensive Environmental Responsibility, Compensation and Liability Act ("CERCLA"), and includes proposals for alternative methods to adjust the statutory reportable quantity for coal ash. The extension of CERCLA to coal ash could significantly increase potential liability for cleanup of past and future coal ash disposal.

The EPA has not decided which regulatory approach it will take with respect to the management and disposal of coal ash. If the EPA chooses to regulate coal combustion waste as a hazardous waste, the Department may incur significant additional costs. The Department cannot predict the potential scope or impact of any such regulations at this time. The EPA stated in its fall 2010 regulatory agenda that the date of final action on these proposed rules has not been determined yet. In response to the EPA's related information collection activities with respect to the IPP, the Department has estimated that the proposed coal combustion waste rules could cost between $40 million and $500 million in capital costs and up to $110 million current present value in annual operating costs, depending on the final form of the rules and the manner in which the State of Utah will implement such rules.

Electric and Magnetic Fields. A number of studies have been conducted regarding the potential long-term health effects resulting from exposure to electric and magnetic fields created by high voltage transmission and distribution equipment. Additional studies are being conducted to determine the relationship between electric and magnetic fields and certain adverse health effects, if any. At this time, it is not possible to predict the extent of the costs and other impacts, if any, which the electric and magnetic fields concerns may have on electric utilities, including the Department.

For additional information regarding environmental matters, see "—Jointly-Owned Generating Units and Contracted Capacity Rights in Generating Units," "– Hoover Power Plant – Environmental Considerations" and "—Jointly-Owned Generating Units and Contracted Capacity Rights in Generating Units – Palo Verde Nuclear Generating Station – Nuclear Waste Storage and Disposal."

Energy Regulatory Factors

Developments in the California Energy Market

In the late 1990s, California restructured its electricity market so that regulated retail suppliers were required to purchase their customers' supply needs through a centralized, wholesale market. In the centralized market, an administrator collected sellers' price bids and purchasers' estimates of demand. The administrator then determined the price for the most costly unit that was needed to meet demand, and all transactions occurred at that price. The wholesale market was structured as a "spot" market in which prices were set and purchases were made on a short-term basis shortly before supply was needed. California also capped the price at which regulated retail suppliers could sell electricity to their customers. During portions of 2000 and 2001, wholesale market prices in California became highly volatile and, for sustained periods, significantly exceeded the capped retail prices. Demand did not decline in response to high wholesale prices because retail price were capped. This situation resulted in the deterioration of the creditworthiness of two large, retail suppliers, Pacific Gas & Electric Company ("PG&E") and Edison, and PG&E eventually declared bankruptcy. Certain other marketers, power suppliers and power plant developers experienced downgrades of their credit ratings. PG&E emerged from bankruptcy on April 12, 2004. The credit ratings of PG&E and Edison have improved since the dislocations of the California energy markets in 2000 and 2001.

The volatility in wholesale prices that California experienced in 2000 and 2001 was due to a number of factors, including flaws in the structure of the wholesale market and unlawful manipulation of the wholesale market. As discussed below, the wholesale market in California has since been redesigned, and Congress has established mechanics for policing wholesale markets.

Volatility in electricity prices in California may nevertheless return due to a variety of factors that affect the supply and demand for electric energy in the western United States. These factors include, but are not limited to, the adequacy of generation resources to meet peak demands, the availability and cost of renewable energy, the impact of greenhouse emission legislation and regulations, fuel costs and availability, weather effects on customer demand, transmission congestion, the strength of the economy in California and surrounding states and levels of hydroelectric generation within the region (including the Pacific Northwest). Volatility in electricity prices may contribute to greater volatility in the Power System's Power Revenue Fund from the sale (and purchase) of electric energy and, therefore, could materially affect the financial condition of the Power System. To mitigate price volatility and the Department's exposure on the spot market, the Department undertakes resource planning activities and plans for its resource needs. Of particular note, the Department has power supply contracts and other arrangements relating to its system supply of power that are of specified durations. See "THE POWER SYSTEM – Generation and Power Supply."

Future Regulation of the Electric Utility Industry

The electric utility industry is highly regulated and is also regularly subject to reform. The most recent reforms and proposals are aimed at reducing emissions of greenhouse gases from combustion of fossil fuels and reducing impacts from using ocean water for power plant cooling. The Department is unable to predict future reforms to the electric utility industry or the impact on the Department of recent reforms and proposals. In particular, the Department is unable to predict the outcome of proposals on greenhouse gasses and the associated impact on the operations and finances of the Power System or the electric utility industry.

Energy Policy Act of 1992

The Energy Policy Act of 1992 ("EPAct 1992") made fundamental changes in federal regulation of the electric utility industry, particularly in the area of transmission access under sections 211, 212 and 213 of the Federal Power Act, 16 U.S.C. § 791a et seq. The purpose of these changes, in part, was to bring about increased competition among wholesale suppliers. As amended, sections 211, 212 and 213 authorize the Federal Energy Regulatory Commission ("FERC") to compel a transmission provider to provide transmission service upon application by an electricity supplier. FERC's authority includes the authority to compel the enlargement of transmission capacity as necessary to provide the service. The service must be provided at rates, charges, terms and conditions that are set by FERC. Electric utilities that are owned by municipalities or other public agencies are "transmitting utilities" that may be subject to an order under sections 211, 212 and 213. EPAct 1992 prohibits FERC from requiring "retail wheeling" under which a retail customer that was located in one utility's service area could obtain electricity from another source. An order by FERC to provide transmission might adversely affect the Power System by, and among other things, increasing the Department's cost of owning and operating transmission facilities and/or by reducing the availability of the Department's transmission resources for the Department's own use.

Energy Policy Act of 2005

The Energy Policy Act of 2005 ("EPAct 2005") addresses a wide array of matters that could affect the entire electric utility industry, including the Department.

EPAct 2005 authorizes FERC to compel "open access" to the transmission systems of certain utilities that are not generally regulated by FERC, including municipal utilities if the utility sells more than four million megawatt hours of electricity per year. This category includes the Department. Under open access, a transmission provider must allow all customers to use the system under standardized rates, terms and conditions of service (there is no need for a customer to apply to FERC as under the EPAct 1992). FERC may compel open access in this context unless the order would violate a private activity bond rule for purposes of section 141 of the Code (as defined below). To date, FERC has not established generic rules that would require unregulated utilities such as the Department to provide open access. Rather, FERC has chosen to take a case-by-case approach. Under EPAct 2005, FERC may not require municipal utilities such as the Department to join regional transmission organizations ("RTOs"), in which participating utilities allow an independent entity to oversee operation of the utilities' transmission facilities. FERC has stated, however, that FERC expects such utilities to participate in regional processes for transmission planning and that FERC will pursue associated complaints against such utilities on a case-by-case basis.

EPAct 2005 requires FERC to conclude its investigation into allegations of overcharges during the California energy crisis in 2000 and 2001 and to submit a report to Congress. The Department has settled with the State and other parties on matters relating to the California energy crisis.

EPAct 2005 provides for criminal penalties for manipulative energy trading practices.

EPAct 2005 repealed the Public Utility Holding Company Act of 1935, which prohibited certain mergers and consolidations involving electric utilities. EPAct 2005 gives FERC and state regulators access to books and records within holding companies that include regulated public utilities. In addition, FERC may oversee inter-affiliate transactions within such holding company systems. These provisions of EPAct 2005 are referred to as "PUHCA 2005." PUHCA 2005 does not apply to the Department but generally accommodates more combinations of assets within the electric utility industry.

EPAct 2005 requires the creation of national and regional electric reliability organizations to establish and enforce, under FERC's supervision, mandatory standards for the reliable operation of the bulk power system. The standards are designed to increase system reliability and to minimize blackouts. FERC has designated NERC as the national electric reliability organization. FERC has designated WECC as the regional reliability organization for utilities in the West, including the Department. Failure to comply with NERC and WECC standards exposes a utility such as the Department to significant fines and penalties. NERC and WECC may audit the Department's compliance with the reliability standards and, as indicated above, impose fines and penalties for non-compliance.

Under EPAct 2005, California IOUs were required to offer, to each of their classes of customers, a time-based rate schedule that would enable customers to manage their energy use through advanced metering and communications technology.

EPAct 2005 authorizes FERC to compel the siting of certain transmission lines if FERC determines that a state has unreasonably withheld approval.

EPAct 2005 promotes increased imports of liquefied natural gas and includes incentives to support the development of renewable energy technologies. EPAct 2005 also extends for 20 years the Price-Anderson Act, which provides certain protection from liability for nuclear power issues and provides incentives for the construction of new nuclear plants.

The Department is unable to determine at this time the full long-term impact that EPAct 2005 will have on the operations and finances of the Power System or on the electric utility industry in general.

Changing Laws and Requirements

On both the state and federal levels, legislation is introduced frequently that would have the effect of further regulating environmental impacts relating to energy, including the generation of energy using conventional and unconventional technologies. Issues raised in recent legislative proposals have included implementation of energy efficiency and renewable energy standards, addressing transmission planning, siting and cost allocation to support the construction of renewable energy facilities, cyber-security legislation that would allow FERC to issue interim measures to protect critical electric infrastructure, a federal cap-and-trade program to reduce GHG emissions, and renewable energy incentives that could provide grants and credits to municipal utilities to invest in renewable energy infrastructure. It is possible that the 113th Congress (2012-14) will pass legislation addressing similar issues.

The Department is unable to predict at this time whether any of these or other legislative proposals will be enacted into law and, if so, the impact they may have on the operations and finances of the Power System or on the electric utility industry in general.

In addition to state and federal legislation, citizen initiatives in California can lead and have led to substantive restrictions upon governmental agencies, both in terms of raising revenue and management of

governmental entities generally. Articles XIIIC and XIIID of California's state constitution provided limits on the ability of governmental agencies to increase certain fees and charges. Such articles were adopted pursuant to measures qualified for the ballot pursuant to California's constitutional initiative process. While Articles XIIIC and XIIID do not affect the Power System's rates and charges, from time to time other initiative measures could be adopted by California voters. The adoption of any such initiatives might place limitations on the ability of the Department to increase revenues.

Other General Factors

The electric utility industry in general has been, or in the future may be, affected by a number of other factors which could impact the financial condition and competitiveness of many electric utilities, including the Department, and the level of utilization of generating and transmission facilities. In addition to the factors discussed herein, such factors include, among others:

- Effects of compliance with rapidly changing environmental, safety, licensing, regulatory and legislative requirements;
- Changes resulting from conservation and demand-side management programs on the timing and use of electric energy;
- Effects on the integration and reliability of the power supply from the increased usage of renewables;
- Changes resulting from a national energy policy;
- Effects of competition from other electric utilities (including increased competition resulting from mergers, acquisitions and strategic alliances of competing electric and natural gas utilities and from competitive transmitting of less expensive electricity from much greater distances over an interconnected system) and new methods of, and new facilities for, producing low-cost electricity;
- The repeal of certain federal statutes that would have the effect of increasing the competitiveness of many investor-owned utilities;
- Increased competition from independent power producers and marketers, brokers and federal power marketing agencies;
- "Self-generation" or "distributed generation" (such as microturbines, solar technology and fuel cells) by industrial and commercial customers and others;
- Issues relating to the ability to issue tax-exempt obligations, including restrictions on the ability to sell to nongovernmental entities electricity from generation projects and transmission line service from transmission projects financed with outstanding tax-exempt obligations;
- Effects of inflation on the operating and maintenance costs of an electric utility and its facilities;

- Changes from projected future load requirements;
- Increases in costs and uncertain availability of capital;
- Shifts in the availability and relative costs of different fuels (including the cost of natural gas);
- Sudden and dramatic increases in the price of energy purchased on the open market that may occur in times of high peak demand in an area of the country experiencing such high peak demand, such as has occurred in California;
- Inadequate risk management procedures and practices with respect to, among other things, the purchase and sale of energy and transmission capacity;
- Other legislative changes, voter initiatives, referenda and statewide propositions;
- Effects of changes in the economy, population and demand of customers in the Department's service area;
- Effects of possible manipulation of the electric markets; and
- Natural disasters or other physical calamities, including but not limited to, earthquakes.

Any of these factors (as well as other factors) could have an adverse effect on the financial condition of any given electric utility, including the Department, and likely will affect individual utilities in different ways.

Seismic Activity

The City and the Owens River and Mono Basin areas are located in regions of seismic activity. The principal earthquake fault in the Los Angeles area is the San Andreas Fault, which extends an estimated 700 miles from north of the San Francisco area to the Salton Sea. At its nearest point to the City, the San Andreas Fault is about 35 miles north of the Los Angeles Civic Center.

In April 2008, the Uniform California Earthquake Rupture Forecast (the "Earthquake Forecast") was issued by the Working Group on California Earthquake Probabilities. Organizations sponsoring the Working Group on California Earthquake Probabilities include the U.S. Geological Survey, the California Geological Survey and the Southern California Earthquake Center. According to the Earthquake Forecast, the probability of a magnitude 6.7 or larger earthquake over the next 25 years striking the greater Los Angeles area is 67%. For the entire California region, the fault with the highest probability of generating at least one magnitude 6.7 quake or larger is the San Andreas Fault (59% in the next 25 years). Earthquake probabilities for many parts of the State are similar to those in previous studies, but the new probabilities calculated for the Elsinore and San Jacinto Faults in southern California are about half those previously determined. For the far northwestern part of the State, a major source of earthquakes is the offshore 750-mile-long Cascadia Subduction Zone, the southern part of which extends about 150 miles into the State. For the next 25 years there is a 10% probability of a magnitude 8 to 9 quake somewhere along that zone. There are hundreds of other faults throughout Southern California that could also cause damaging earthquakes.

While it is impossible to accurately predict the cost or effect of a major earthquake on the Power System or to predict the effect of such an earthquake on the Department's ability to provide continued uninterrupted service to all parts of the Department's service area, there have been various studies conducted to assist the Department in assessing seismic risks. Based on these studies, the Department completed numerous projects designed to mitigate seismic risks and seismically strengthen Power System infrastructure and facilities. Projects include landslide repairs and bank replacements, the placement of spare transformers and the installation of generating peaking units at the Valley Generating Station and Haynes Generating Station to provide peaking capacity and the ability for generating units to go from a shutdown condition to an operating condition and start delivering power without assistance from the power grid. No studies have been conducted or commissioned by the Department outside of California. See "THE DEPARTMENT – Insurance."

LITIGATION

General

A number of claims and suits are pending against the Department with respect to the Power System for alleged damages to persons and property and for other alleged liabilities arising out of its operations. Certain of these suits are described below. In the opinion of the Department, any ultimate liability which may arise from any of the pending claims and suits is not expected to materially impact the Power System's financial position, results of operations, or cash flows.

Owens Gorge

In 1991, a penstock broke at one of the Department's hydroelectric plants, causing flooding at the Owens Gorge. In May 1991, the Mono County District Attorney's Office filed a civil enforcement action entitled *People v. Los Angeles Department of Water and Power and State Water Resources Control Board, et al.*, in Mono County Superior Court (Case No. 10088), seeking an order for the Department to restore stream flows in the Owens Gorge in efforts to reestablish fisheries. Such order, if granted, would reduce the amount of water available for hydroelectric generation at the Owens Gorge and Owens Valley Hydroelectric Developments. Representatives of the State, Mono County and the Department have reached a tentative agreement in principle regarding the set of stream flows necessary to restore the Owens Gorge and the actions to be taken to comply with California Fish and Game Code Section 5937 in order to preserve and protect certain fish species, and are undertaking environmental studies prior to finalizing their agreement. The final agreement must be approved by the Board. Under the proposed agreement, restored stream flows are likely to reduce the amount of hydroelectric power available from Owens Gorge and Owens Valley Hydroelectric Developments. This action is not related to the Department's lower Owens River restoration project, which reintroduced water to a portion of the lower Owens River in December 2006. See "THE POWER SYSTEM—Department-Owned Generating Units—*Owens Gorge and Owens Valley Hydroelectric Developments*."

Dairy Cow Litigation

In 2002 and 2003, the Department received a number of claims from dairies and dairy farmers located in Utah and California. The claims generally allege that since 1987, "stray voltage" emitted from the IPP facilities through the ground and ground water damaged the dairy herds, including causing higher than normal death rates, a reduction in milk production and an impairment to the cows' immune systems. The Department denied all of the claims.

In February 2005, claimants filed a lawsuit in the Utah state court, entitled *Gunn Hill Dairy Properties, LLC, et al. v. Los Angeles Department of Water and Power, et al.*, Case No. 050700157,

naming the Department, the IPA and others as defendants (the "Utah Dairy Case"). The Utah plaintiffs seek compensatory damages in excess of $250,000,000. The court has now set a trial date beginning September 30, 2013 to try the claims of six of the plaintiff dairies.

The Department is named in the Utah Dairy Case in both its own capacity and as operating agent for IPA. Electrical tests performed by the Department's experts reveal no current or voltage attributable to the IPP facilities on the Plaintiffs' farms and the Department believes that their claims are without merit. In the event that damages are awarded to the Plaintiffs against IPA, any part of the award not otherwise covered by insurance may be apportioned among utilities that purchase IPP capacity in accordance with their entitlement shares.

Tesoro Refinery Litigation

On September 22, 2010, the Court of Appeal of the State of California issued its decision in the case of City of Los Angeles v. Tesoro Refining and Marketing Company (No. B217790). The case involved providing power to the oil refinery (the "Refinery") of Tesoro Refining and Marketing Company ("Tesoro") in connection with the Tesoro's development of facilities to self-serve the electric requirements of the Refinery, which requires the provision of stand-by service at a single voltage level. The Refinery straddles the service territory, and was a partial requirements customer, of both the Department and Edison, with each utility providing service at different voltage levels. The court disagreed with the City's position that the California Constitution and the Charter provided the City the right to sell all power consumed within the City limits. The court relied on a 1955 California Supreme Court case as authority for the principles that the regulation of private utilities is a statewide concern which the State has delegated to the PUC and not a municipal affair subject to city charters. The court relied on the same case as authority for the principle that the franchise powers of cities are limited to authorizing the use of public streets and other public property and do not extend to regulating the business of an entity in providing utility service. The court concluded that neither the California Constitution nor the Charter prohibited Tesoro from buying electricity from Edison at a point outside the City, transporting that electricity over the Refinery's internal wiring, and using that electricity in those portions of the Refinery located within the City. The City submitted a petition for review of the decision to the California Supreme Court, but the California Supreme Court has denied such petition.

Given Tesoro's self-generation plan, the Department does not expect that the decision in the litigation will have a material adverse effect on the financial condition of the Power System. The Department cannot predict what effect the precedent of the decision to this litigation will have on the Power System with respect to other instances of entities providing electric service on private property within the City, that is service which does not require the use of any public streets or other public property. The issues raised by the litigation may apply more broadly than just to the Department.

City Lawsuit Against Certain Underwriters

On July 23, 2008, the City filed a complaint in the Superior Court for the County of Los Angeles, California, Case Number BC394944, which named a number of defendants, some of which serve, or have affiliates that serve, as underwriters of bonds issued by the Department. The complaint alleges that the defendants conspired to manipulate the municipal derivatives market by various means to decrease the returns the City earned on municipal derivatives instruments, including guaranteed investment contracts and swaps. The complaint was removed to federal district court in the Central District of California on August 25, 2008 and subsequently transferred for pre-trial coordination with other related actions in the Multidistrict Litigation ("MDL") pending in the Southern District of New York, MDL No. 1950, Master Docket Number 08-CV-02516 (VM). On April 26, 2010, the court presiding over the MDL denied certain defendants' motions to dismiss the City's complaint. The case is now proceeding into the

discovery phase. Neither the City nor the derivative provider affiliates of such underwriters can predict the outcome of the lawsuit. The Department is not a party to the municipal derivatives litigation; however the Department has filed a complaint against several bond insurance providers alleging among other things, fraud and deceit. There can be no assurance that the Department will not become a party to the pending litigation or other similar litigation against any of the municipal derivative provider affiliates of the underwriters of bonds issued by the Department.

CERTAIN LEGAL MATTERS

The validity of the 2013 Bonds and certain other legal matters are subject to the approval of Orrick, Herrington & Sutcliffe LLP, bond counsel to the Department ("Bond Counsel"). See "TAX MATTERS." The form of the opinion to be delivered by Bond Counsel is attached hereto as Appendix E. Bond Counsel undertakes no responsibility for the accuracy, completeness, or fairness of this Official Statement. Certain legal matters in connection with the 2013 Bonds will be passed upon for the Department by the Office of the City Attorney of the City and by Orrick, Herrington & Sutcliffe LLP, Disclosure Counsel to the Department, and for the Underwriters by Nixon Peabody LLP. Bond Counsel will receive compensation from the Department contingent upon the sale and delivery of the 2013 Bonds.

TAX MATTERS

Series B Bonds

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Department, based on an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series B Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the "Code") and is exempt from State of California personal income taxes. Bond Counsel is of the further opinion that interest on the Series B Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that such interest is included in adjusted current earnings when calculating corporate alternative minimum taxable income. A complete copy of the proposed form of opinion of Bond Counsel is set forth in Appendix E.

To the extent the issue price of any maturity of the Series B Bonds is less than the amount to be paid at maturity of such Series B Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Series B Bonds), the difference constitutes "original issue discount," the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Series B Bonds which is excluded from gross income for federal income tax purposes and State of California personal income taxes. For this purpose, the issue price of a particular maturity a series of the Series B Bonds is the first price at which a substantial amount of such maturity of the Series B Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Series B Bonds accrues daily over the term to maturity of such Series B Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Series B Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Series B Bonds. Beneficial Owners of the Series B Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Series B Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Series B Bonds in the original offering to the public at the first price at which a substantial amount of such Series B Bonds is sold to the public.

Series B Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) ("Premium Bonds") will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner's basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Series B Bonds. The Department has made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Series B Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Series B Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Series B Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken) or events occurring (or not occurring), or any other matters coming to Bond Counsel's attention after the date of issuance of the Series B Bonds may adversely affect the value of, or the tax status of interest on, the Series B Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

Although Bond Counsel is of the opinion that interest on the Series B Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of interest on, the Series B Bonds may otherwise affect a Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Series B Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from State income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. As one example, the Obama Administration's proposed 2014 budget includes a legislative proposal which, for tax years beginning after December 31, 2013, would limit the exclusion from gross income of interest on obligations like the Series B Bonds to some extent for taxpayers who are individuals and whose income is subject to higher marginal income tax rates. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Series B Bonds. Prospective purchasers of the Series B Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel is expected to express no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Series B Bonds for federal income tax purposes. It is not binding on the Internal Revenue Service ("IRS") or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the Department, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. Under the

Master Resolution the Department has covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Series B Bonds ends with the issuance of the Series B Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Department or the Beneficial Owners regarding the tax-exempt status of the Series B Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the Department and its appointed counsel, including the Beneficial Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the Department legitimately disagrees, may not be practicable. Any action of the IRS, including but not limited to selection of the Series B Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues, may affect the market price for, or the marketability of, the Series B Bonds, and may cause the Department or Beneficial Owners to incur significant expense.

Series C Bonds

The following discussion summarizes certain U.S. federal tax considerations generally applicable to holders of the Series C Bonds that acquire their Series C Bonds in the initial offering. The discussion below is based upon laws, regulations, rulings, and decisions in effect and available on the date hereof, all of which are subject to change, possibly with retroactive effect. Prospective investors should note that no rulings have been or are expected to be sought from the IRS with respect to any of the U.S. federal income tax consequences discussed below, and no assurance can be given that the IRS will not take contrary positions. Further, the following discussion does not deal with all U.S. federal income tax consequences applicable to any given investor, nor does it address the U.S. federal income tax considerations applicable to categories of investors some of which may be subject to special taxing rules (regardless of whether or not such persons constitute U.S. Holders), such as certain U.S. expatriates, banks, REITs, RICs, insurance companies, tax-exempt organizations, dealers or traders in securities or currencies, partnerships, S corporations, estates and trusts, investors that hold their Series C Bonds as part of a hedge, straddle or an integrated or conversion transaction, or investors whose "functional currency" is not the U.S. dollar. Furthermore, it does not address (i) alternative minimum tax consequences or (ii) the indirect effects on persons who hold equity interests in a holder. In addition, this summary generally is limited to investors that acquire their Series C Bonds pursuant to this offering for the issue price that is applicable to such Series C Bonds (i.e., the price at which a substantial amount of the Series C Bonds are sold to the public) and who will hold their Series C Bonds as "capital assets" within the meaning of Section 1221 of the Code.

As used herein, "U.S. Holder" means a beneficial owner of a Series C Bond that for U.S. federal income tax purposes is an individual citizen or resident of the United States, a corporation or other entity taxable as a corporation created or organized in or under the laws of the United States or any state thereof (including the District of Columbia), an estate the income of which is subject to U.S. federal income taxation regardless of its source or a trust where a court within the United States is able to exercise primary supervision over the administration of the trust and one or more United States persons (as defined in the Code) have the authority to control all substantial decisions of the trust (or a trust that has made a valid election under U.S. Treasury Regulations to be treated as a domestic trust). As used herein, "Non-U.S. Holder" generally means a beneficial owner of a Series C Bond (other than a partnership) that is not a U.S. Holder. If a partnership holds Series C Bonds, the tax treatment of such partnership or a partner in such partnership generally will depend upon the status of the partner and upon the activities of the partnership. Partnerships holding Series C Bonds, and partners in such partnerships, should consult their own tax advisors regarding the tax consequences of an investment in the Series C Bonds (including their status as U.S. Holders or Non-U.S. Holders).

For U.S. Holders

In the opinion of Bond Counsel, based upon an analysis of existing laws, regulations, rulings and court decisions and assuming compliance with certain covenants, interest on the Series C Bonds is exempt from State of California personal income taxes. Interest on the Series C Bonds is not excluded from gross income for federal income tax purposes under Section 103 of the Code. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or accrual or receipt of interest on, the Series C Bonds.

The Series C Bonds are not expected to be treated as issued with original issue discount ("OID") for U.S. federal income tax purposes because the stated redemption price at maturity of the Series C Bonds is not expected to exceed their issue price, or because any such excess is expected to only be a de minimis amount (as determined for tax purposes).

Prospective investors that are not individuals or regular C corporations who are U.S. persons purchasing the Series C Bonds for investment should consult their own tax advisors as to any tax consequences to them from the purchase, ownership and disposition of the Series C Bonds.

Disposition of the Bonds. Unless a nonrecognition provision of the Code applies, the sale, exchange, redemption, defeasance, retirement (including pursuant to an offer by the Department) or other disposition of a Series C Bond, will be a taxable event for U.S. federal income tax purposes. In such event, in general, a U.S. Holder of a Series C Bond will recognize gain or loss equal to the difference between (i) the amount of cash plus the fair market value of property received (except to the extent attributable to accrued but unpaid interest on the Series C Bond which will be taxed in the manner described above) and (ii) the U.S. Holder's adjusted tax basis in the Series C Bond (generally, the purchase price paid by the U.S. Holder for the Series C Bond). Any such gain or loss generally will be capital gain or loss. In the case of a noncorporate U.S. Holder of the Series C Bonds, the maximum marginal U.S. federal income tax rate applicable to any such gain will be lower than the maximum marginal U.S. federal income tax rate applicable to ordinary income if such U.S. holder's holding period for the Series C Bonds exceeds one year. The deductibility of capital losses is subject to limitations.

For Non-U.S. Holders

Interest. Subject to the discussion below under the heading "Information Reporting and Backup Withholding," payments of principal of, and interest on, any Series C Bond to a Non-U.S. Holder, other than (1) a controlled foreign corporation, as such term is defined in the Code, which is related to the Department through stock ownership and (2) a bank which acquires such Series C Bond in consideration of an extension of credit made pursuant to a loan agreement entered into in the ordinary course of business, will not be subject to any U.S. withholding tax provided that the beneficial owner of the Series C Bond provides a certification completed in compliance with applicable statutory and regulatory requirements, which requirements are discussed below under the heading "Information Reporting and Backup Withholding," or an exemption is otherwise established.

Disposition of the Bonds. Subject to the discussion below under the heading "Information Reporting and Backup Withholding," any gain realized by a Non-U.S. Holder upon the sale, exchange, redemption, retirement (including pursuant to an offer by the Department) or other disposition of a Series C Bond generally will not be subject to U.S. federal income tax, unless (i) such gain is effectively connected with the conduct by such Non-U.S. Holder of a trade or business within the United States; or (ii) in the case of any gain realized by an individual Non-U.S. Holder, such holder is present in the United States for 183 days or more in the taxable year of such sale, exchange, redemption, retirement (including pursuant to an offer by the Department) or other disposition and certain other conditions are met.

U.S. Federal Estate Tax. A Series C Bond that is held by an individual who at the time of death is not a citizen or resident of the United States will not be subject to U.S. federal estate tax as a result of such individual's death, provided that at the time of such individual's death, payments of interest with respect to such Series C Bond would not have been effectively connected with the conduct by such individual of a trade or business within the United States.

Information Reporting and Backup Withholding. U.S. information reporting and "backup withholding" requirements apply to certain payments of principal of, and interest on the Series C Bonds, and to proceeds of the sale, exchange, redemption, retirement (including pursuant to an offer by the Department) or other disposition of a Series C Bond, to certain noncorporate holders of Series C Bonds that are United States persons. Under current U.S. Treasury Regulations, payments of principal and interest on any Series C Bonds to a holder that is not a United States person will not be subject to any backup withholding tax requirements if the beneficial owner of the Series C Bond or a financial institution holding the Series C Bond on behalf of the beneficial owner in the ordinary course of its trade or business provides an appropriate certification to the payor and the payor does not have actual knowledge that the certification is false. If a beneficial owner provides the certification, the certification must give the name and address of such owner, state that such owner is not a United States person, or, in the case of an individual, that such owner is neither a citizen nor a resident of the United States, and the owner must sign the certificate under penalties of perjury. If a financial institution, other than a financial institution that is a qualified intermediary, provides the certification, the certification must state that the financial institution has received from the beneficial owner the certification set forth in the preceding sentence, set forth the information contained in such certification, and include a copy of such certification, and an authorized representative of the financial institution must sign the certificate under penalties of perjury. A financial institution generally will not be required to furnish to the IRS the names of the beneficial owners of the Series C Bonds that are not United States persons and copies of such owners' certifications where the financial institution is a qualified intermediary that has entered into a withholding agreement with the IRS pursuant to applicable U.S. Treasury Regulations.

In the case of payments to a foreign partnership, foreign simple trust or foreign grantor trust, other than payments to a foreign partnership, foreign simple trust or foreign grantor trust that qualifies as a withholding foreign partnership or a withholding foreign trust within the meaning of applicable U.S. Treasury Regulations and payments to a foreign partnership, foreign simple trust or foreign grantor trust that are effectively connected with the conduct of a trade or business within the United States, the partners of the foreign partnership, the beneficiaries of the foreign simple trust or the persons treated as the owners of the foreign grantor trust, as the case may be, will be required to provide the certification discussed above in order to establish an exemption from withholding and backup withholding tax requirements. The current backup withholding tax rate is 28% (subject to future adjustment).

In addition, if the foreign office of a foreign "broker," as defined in applicable U.S. Treasury Regulations pays the proceeds of the sale of a Bond to the seller of the Series C Bond, backup withholding and information reporting requirements will not apply to such payment provided that such broker derives less than 50% of its gross income for certain specified periods from the conduct of a trade or business within the United States, is not a controlled foreign corporation, as such term is defined in the Code, and is not a foreign partnership (1) one or more of the partners of which, at any time during its tax year, are U.S. persons (as defined in U.S. Treasury Regulations Section 1.1441-1(c)(2)) who, in the aggregate hold more than 50% of the income or capital interest in the partnership or (2) which, at any time during its tax year, is engaged in the conduct of a trade or business within the United States. Moreover, the payment by a foreign office of other brokers of the proceeds of the sale of a Series C Bond, will not be subject to backup withholding unless the payer has actual knowledge that the payee is a U.S. person. Principal and interest so paid by the U.S. office of a custodian, nominee or agent, or the payment by the U.S. office of a broker of the proceeds of a sale of a Series C Bond, is subject to backup

withholding requirements unless the beneficial owner provides the nominee, custodian, agent or broker with an appropriate certification as to its non-U.S. status under penalties of perjury or otherwise establishes an exemption.

Circular 230

Under 31 C.F.R. part 10, the regulations governing practice before the IRS (Circular 230), the Department and its tax advisors are (or may be) required to inform prospective investors that:

i. any advice contained herein is not intended or written to be used, and cannot be used, by any taxpayer for the purpose of avoiding penalties that may be imposed on the taxpayer;

ii. any such advice is written to support the promotion or marketing of the Bonds and the transactions described herein; and

iii. each taxpayer should seek advice based on the taxpayer's particular circumstances from an independent tax advisor.

RATINGS

Moody's Investors Service ("Moody's"), Standard & Poor's Rating Service, a Division of the McGraw-Hill Companies, Inc. ("S&P"), and Fitch Ratings ("Fitch") have assigned the 2013 Bonds ratings of "Aa3," "AA-" and "AA-,"respectively. Such credit ratings reflect only the views of such organizations and any desired explanation of the significance of such credit ratings should be obtained from the rating agency furnishing the same, at the following addresses, which are current as of the date of this Official Statement: Moody's Investors Service, 1 World Trade Center, 250 Greenwich Street, 23rd Floor, New York, New York 10007; Standard & Poor's Rating Service, 55 Water Street, New York, New York 10041; Fitch Ratings, One State Street Plaza, New York, New York 10004. Generally, a rating agency bases its credit rating on the information and materials furnished to it and on investigations, studies and assumptions of its own. There is no assurance that the ratings will remain in effect for any given period of time or that any such rating will not be revised, either downward or upward, or withdrawn entirely, or a positive, negative or stable outlook announced, by the applicable rating agency, if, in its judgment, circumstances so warrant. The Department undertakes no responsibility to bring to the attention of the Owners of the 2013 Bonds any announcement regarding the outlook of any rating agency with respect to the 2013 Bonds. Any downward revision or withdrawal of a rating, or announcement of negative outlook may affect the market price for, or the marketability of, the 2013 Bonds. Maintenance of ratings will require periodic review of current financial data and other updating information by assigning agencies.

CONTINUING DISCLOSURE

The Department will covenant for the benefit of Owners and Beneficial Owners of the 2013 Bonds to provide certain financial information and operating data relating to the Power System (the "Annual Report") by not later than 270 days following the end of the Department's fiscal year (which fiscal year currently ends on June 30), commencing with the Annual Report for the fiscal year ended June 30, 2013, and to provide notices of the occurrence of certain enumerated events. The Annual Report and the notices of material events will be filed by the Department with the MSRB through the EMMA system. The specific nature of the information to be contained in the Annual Report and the notices of material events is summarized in APPENDIX F – "FORM OF CONTINUING DISCLOSURE CERTIFICATE." These covenants will be made in order to assist the underwriters for the 2013 Bonds in complying with Rule 15c2-12. The Department has not failed to comply in all material respects with any previous

undertaking with regard to Rule 15c2-12 to provide annual reports or notices of material events for the last five calendar years.

UNDERWRITING OF THE 2013 BONDS

The Department has entered into a contract for the purchase of the Series B Bonds with Goldman, Sachs & Co., as representative of the underwriters listed on the front cover of this Official Statement (the "Series B Underwriters"), pursuant to which the Series B Underwriters have agreed, subject to certain conditions, to purchase the Series B Bonds from the Department at a purchase price of $533,138,035.36, which represents the aggregate principal amount of the Series B Bonds plus a net original issuance premium of $82,166,026.30 less an underwriters' discount of $1,172,990.94. The initial public offering prices of the Series B Bonds may be changed from time to time by the Series B Underwriters. The purchase contract relating to the Series B Bonds provides that (i) the Series B Underwriters will purchase all of the Series B Bonds if any of the Series B Bonds are purchased and (ii) the obligation to make such purchase is subject to certain terms and conditions set forth in such purchase contract including, among others, the approval of certain legal matters by counsel.

The Department has entered into a contract for the purchase of the Series C Bonds with Goldman, Sachs & Co. (the "Series C Underwriter" and, together with the Series B Underwriters, the "Underwriters"), pursuant to which the Series C Underwriter has agreed, subject to certain conditions, to purchase the Series C Bonds from the Department at a purchase price of $27,738,760.64, which represents the aggregate principal amount of the Series C Bonds less an underwriter's discount of $116,239.36. The initial public offering prices of the Series C Bonds may be changed from time to time by the Series C Underwriter. The purchase contract relating to the Series C Bonds provides that (i) the Series C Underwriter will purchase all of the Series C Bonds if any of the Series C Bonds are purchased and (ii) the obligation to make such purchase is subject to certain terms and conditions set forth in such purchase contract including, among others, the approval of certain legal matters by counsel.

In addition, certain of the Underwriters have entered into distribution agreements with other broker-dealers that are not Underwriters for the distribution of 2013 Bonds at the initial public offering prices. Such agreements generally provide that the relevant Underwriter will share a portion of its underwriting compensation or selling concession with the relevant broker-dealer.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include securities trading, commercial and investment banking, financial advisory, investment management, principal investment, hedging, financing and brokerage services. Certain of the Underwriters and their respective affiliates have, from time to time, performed, and may in the future perform, various financial advisory and investment banking services for the Department, for which they received or will receive customary fees and expenses.

In the ordinary course of their various business activities, the Underwriters and their respective affiliates may make or hold a broad array of investments and actively trade debt and equity securities (or related derivative securities) and financial instruments (which may include bank loans and/or credit default swaps) for their own account and for the accounts of their customers and may at any time hold long and short positions in such securities and instruments. Such investment and securities activities may involve securities and instruments of the Department.

The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

FINANCIAL ADVISOR

Public Resources Advisory Group (the "Financial Advisor") has assisted the Department with various matters relating to the planning, structuring and delivery of the 2013 Bonds. The Financial Advisor has not been engaged, nor has it undertaken, to make an independent verification or assume responsibility for the accuracy, completeness or fairness of the information contained in this Official Statement. The Financial Advisor is an independent financial advisory firm and is not engaged in the business of underwriting or distributing municipal securities or other public securities.

INDEPENDENT AUDITORS

The financial statements of the Power System as of June 30, 2012 and 2011, and for the years then ended, are included in this Official Statement as Appendix A. These financial statements have been audited by KPMG LLP, independent auditors, as stated in their report appearing therein.

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MISCELLANEOUS

The covenants and agreements of the Department for the benefit of the Owners of the 2013 Bonds are set forth in the Master Resolution, the Twenty-Third Supplemental Resolution and the Twenty-Fourth Supplemental Resolution, and reference is made to such resolutions for a statement of the rights of the Owners of the 2013 Bonds and the covenants and obligations of the Department. All references to the 2013 Bonds are qualified in their entirety to the definitive form thereof and the information with respect thereto included in the Master Resolution, the Twenty-Third Supplemental Resolution and the Twenty-Fourth Supplemental Resolution.

This Official Statement is not a contract with the Owners of any of the 2013 Bonds.

The summaries of and references to all documents, statutes, reports and other instruments referred to herein do not purport to be complete, comprehensive, or definitive and each such summary and reference is qualified in its entirety by reference to each document, statute, report, or instrument.

Any statements in this Official Statement involving matters of opinion and all estimates, whether or not expressly so stated, are intended as such and not as representations of facts and are not to be construed as representations that they will be realized.

The Board has authorized the execution and delivery of this Official Statement by its President and the Department's Chief Financial Officer.

/s/ Thomas S. Sayles
President
Board of Water and Power Commissioners
of the City of Los Angeles

/s/ Philip Leiber
Chief Financial Officer
Department of Water and Power
of the City of Los Angeles

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APPENDIX A

FINANCIAL STATEMENTS

LOS ANGELES DEPARTMENT OF WATER AND POWER

POWER SYSTEM

Financial Statements and
Required Supplementary Information

June 30, 2012 and 2011

(With Independent Auditors' Report Thereon)

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LOS ANGELES DEPARTMENT OF WATER AND POWER
POWER SYSTEM

Financial Statements and
Required Supplementary Information

June 30, 2012 and 2011

(With Independent Auditors' Report Thereon)

LOS ANGELES DEPARTMENT OF WATER AND POWER
POWER SYSTEM

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KPMG LLP
Suite 2000
355 South Grand Avenue
Los Angeles, CA 90071-1568

Independent Auditors' Report

The Board of Water and Power Commissioners
Department of Water and Power
City of Los Angeles:

We have audited the accompanying financial statements of the City of Los Angeles' Department of Water and Power's Power Revenue Fund (Power System), an enterprise fund of the City of Los Angeles, California, as of June 30, 2012 and 2011, as listed in the table of contents. These financial statements are the responsibility of the Los Angeles Department of Water and Power's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes consideration of internal control over financial reporting as a basis for designing audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Power System's internal control over financial reporting. Accordingly, we express no such opinion. An audit also includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As discussed in note 1 to the financial statements, the financial statements of the Power System are intended to present the financial position, the changes in financial position and cash flows of only that portion of the business-type activities of the City of Los Angeles, California that are attributable to the transactions of the Power System. They do not purport to, and do not, present fairly the financial position of the City of Los Angeles, California as of June 30, 2012 and 2011, the changes in its financial position or, where applicable, its cash flows for the years then ended, in conformity with U.S. generally accepted accounting principles.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Power System as of June 30, 2012 and 2011, and changes in its financial position and its cash flows for the years then ended, in conformity with U.S. generally accepted accounting principles.

In accordance with *Government Auditing Standards*, we have also issued our report dated November 30, 2012, on our consideration of the Power System's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of those reports is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit

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performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audits.

U.S. generally accepted accounting principles require that the management's discussion and analysis and the required supplementary information on pages 3-12 and 70 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

KPMG LLP

November 30, 2012

The following discussion and analysis of the financial performance of the City of Los Angeles' (the City) Department of Water and Power's (the Department) Power Revenue Fund (the Power System) provides an overview of the financial activities for the fiscal years ended June 30, 2012 and 2011. Descriptions and other details pertaining to the Power System are included in the notes to the financial statements. This discussion and analysis should be read in conjunction with the Power System's financial statements, which begin on page 13.

Using This Financial Report

This annual financial report consists of the Power System's financial statements and required supplementary information and reflects the self-supporting activities of the Power System that are funded primarily through the sale of energy, transmission, and distribution services to the public it serves.

Balance Sheets, Statements of Revenues, Expenses, and Changes in Fund Net Assets, and Statements of Cash Flows

The financial statements provide an indication of the Power System's financial health. The balance sheets include all of the Power System's assets, deferred outflows, and liabilities, using the accrual basis of accounting, as well as an indication about which assets can be utilized for general purposes, and which net assets are restricted as a result of bond covenants and other commitments. The statements of revenues, expenses, and changes in fund net assets report all of the revenues and expenses during the time periods indicated. The statements of cash flows report the cash provided by and used in operating activities, as well as other cash sources and uses, such as investment income and cash payments for bond principal and capital additions and betterments.

The following table summarizes the financial condition and changes in fund net assets of the Power System as of and for the fiscal years ended June 30, 2012, 2011, and 2010:

Table 1 – Condensed Schedule of Assets, Liabilities, and Fund Net Assets

(Amounts in millions)

		As of June 30		
Assets		**2012**	**2011**	**2010**
Utility plant, net	$	8,114	7,431	6,979
Restricted investments		639	634	683
Other noncurrent assets		2,100	2,534	2,364
Current assets		1,684	1,847	1,623
Deferred outflows on derivative instruments		91	74	84
	$	12,628	12,520	11,733
Liabilities and Fund Net Assets				
Long-term debt, net of current portion	$	6,354	6,498	5,711
Other long-term liabilities		302	248	355
Current liabilities		917	838	788
		7,573	7,584	6,854
Fund net assets:				
Invested in capital assets, net of related debt		1,533	1,307	1,387
Restricted		1,525	1,417	1,507
Unrestricted		1,997	2,212	1,985
Total fund net assets		5,055	4,936	4,879
	$	12,628	12,520	11,733

Note: Certain prior year amounts have been reclassified to conform to the current year's presentation.

Table 2 – Condensed Schedule of Revenues, Expenses, and Changes in Fund Net Assets

(Amounts in millions)

	Year ended June 30		
	2012	2011	2010
Operating revenues:			
Residential	$ 977	966	1,015
Commercial and industrial	2,040	2,047	2,062
Sales for resale	36	84	126
Other	29	29	32
Total operating revenues	3,082	3,126	3,235
Operating expenses:			
Fuel for generation and purchased power	(1,313)	(1,290)	(1,310)
Maintenance and other operating expenses	(1,317)	(1,405)	(1,315)
Total operating expenses	(2,630)	(2,695)	(2,625)
Operating income	452	431	610
Nonoperating revenues (expenses):			
Investment income	78	82	106
Federal bond subsidies	35	28	—
Other nonoperating revenues and expenses, net	14	12	25
Debt expenses	(237)	(265)	(212)
Total nonoperating expenses	(110)	(143)	(81)
Income before capital contributions and transfers	342	288	529
Capital contributions	27	28	13
Transfers to the reserve fund of the City of Los Angeles	(250)	(259)	(220)
Increase in fund net assets	119	57	322
Beginning balance of fund net assets	4,936	4,879	4,557
Ending balance of fund net assets	$ 5,055	4,936	4,879

Assets

Utility Plant

During fiscal years 2012 and 2011, the Power System capitalized $503 million and $557 million of additions, respectively, including transfers from construction work in progress to utility plant in service. Of the

$503 million, $294 million, or 59% is related to distribution plant assets and mostly attributable to our Power Reliability Program (PRP) to improve distribution system reliability including replacement of aging poles, crossarms, cables, station equipment, and transformers. Other distribution system additions included construction of new business line facilities and installation of meters related to the Automatic Meter Infrastructure (AMI). In addition, $128 million or 26% is mostly related to generation plant assets including improvements to generator units at in-basin stations and construction of Adelanto Photovoltaic System. In addition, $57 million, or 11% is related to general plant assets including purchases of transportation equipment, improvements to general facilities, and installation of fiber optics. Of the $557 million during fiscal year 2011, $356 million, or 64% was related to distribution plant assets and mostly attributable to our Power Reliability Program (PRP), installation of new business line facilities, and meters. In addition, $90 million or 16% is mostly related to generation plant assets including station improvements at the in-basin generating stations. In addition, $88 million, or 16% is related to general plant assets including a new joint service center, communication/mainframe hardware equipment, and general office building improvements.

Construction work in progress increased by $526 million in fiscal year 2012 and increased by $254 million in fiscal year 2011. The 2012 increases are mostly attributable to generation system assets including repowering of Haynes generating station units 5 & 6, construction of Pine Tree Photovoltaic System, and improvements at in-basin generating stations. In addition, general plant increases is attributable to the Customer Information System (CIS) replacement. The 2011 increases were attributable to similar projects.

Additional information regarding the Power System's utility plant assets can be found in note 4 to the accompanying financial statements.

The tables that follow summarize the generating resources available to the Department as of June 30, 2012. These resources include those owned by the Department (either solely or jointly with other utilities) as well as resources available through long-term purchase agreements. Generating station capacity is measured in megawatts (MWs).

Table 3 – Department-Owned Generation Facilities

Type of fuel	Notional amount (Number of facilities)	Number of units	Net maximum capability (MWs)	Net dependable capability (MWs)
Natural gas	4 [1]	22	3,399	3,313
Large hydro	1	7 [2]	1,247	1,175
Renewables	37	206 [3]	444 [4]	222
Subtotal	42	235	5,090	4,710
CDWR	—	—	(120) [5]	(56)
Total	42	235	4,970	4,654

[1] Consists of the following generating stations: Harbor Station, Haynes Station, Scattergood Station, and Valley Station.

(2) The Castaic Plant currently has six (1,075 MWs) out of seven units available due to ongoing modernization work scheduled to be completed by 2014.

(3) The Department-owned renewable resources in-service include the Los Angeles Aqueduct, Owens Valley, and Owens Gorge small hydro units that qualify under the Department's renewable resource definition. Also included are microturbine units at the Lopez Canyon Landfill and Department built photovoltaic solar installations, the Pine Tree Wind Project, Linden Wind Farm, and a local small hydro plant. Not included in the counts are the units that were upgraded at the Castaic Plant. Also not included are the two Scattergood gas-fueled units that partially burn digester gas in which the output related to the digester gas also qualifies under the Department's renewable resource definition.

(4) Included are the 30 MWs of qualify renewable capacity addition at the Castaic Plant. Also included are the 16 MWs of renewable energy generated at the Scattergood Station by burning digester gas from the Hyperion Treatment Plant.

(5) Energy payable to the California Department of Water Resources (CDWR) for energy generated at the Castaic Plant. This amount varies weekly up to maximum of 120 MWs.

Table 4 – Jointly Owned and Contracted Facilities

Type	Number of facilities	Net maximum capability (MWs)	Net dependable capability (MWs)
Large hydro	1	491 (1)	468
Nuclear	1	387 (2)	380
Coal	3	1,652 (3)	1,652
Renewables/DG	5,534 (4)	887	258
Total	5,539	3,417	2,758

(1) The Department's Hoover Plant contract entitlement is 25.16% of the Hoover total contingent capacity of 1,951 MWs. Current reduced lake level has reduced available capacity to about 468 MWs annual average.

(2) The Department's Palo Verde Station (PVNGS) entitlement is 9.66% of the maximum net plant capability of 4,003 MWs.

(3) The Department's current Intermountain Station (IPP) entitlement is 66.79% of the maximum net plant capability of 1,800 MWs. A portion of the IPP entitlement is subject to variable recall. The Department's Navajo Station entitlement is 21.20% of the maximum net plant capability of 2,250 MWs. The Mohave Station generating units were removed from service at the end of 2005.

(4) The Department's contracted renewable resources in-service include units at several landfill sites in the Los Angeles area; biogas fuel purchases outside of California; local hydro unit; wind farms in Wyoming, Oregon, Utah, and Washington; customer solar photovoltaic installations locally, and customer distributed generation (DG) units located in Los Angeles also provide energy resources.

Liabilities and Fund Net Assets

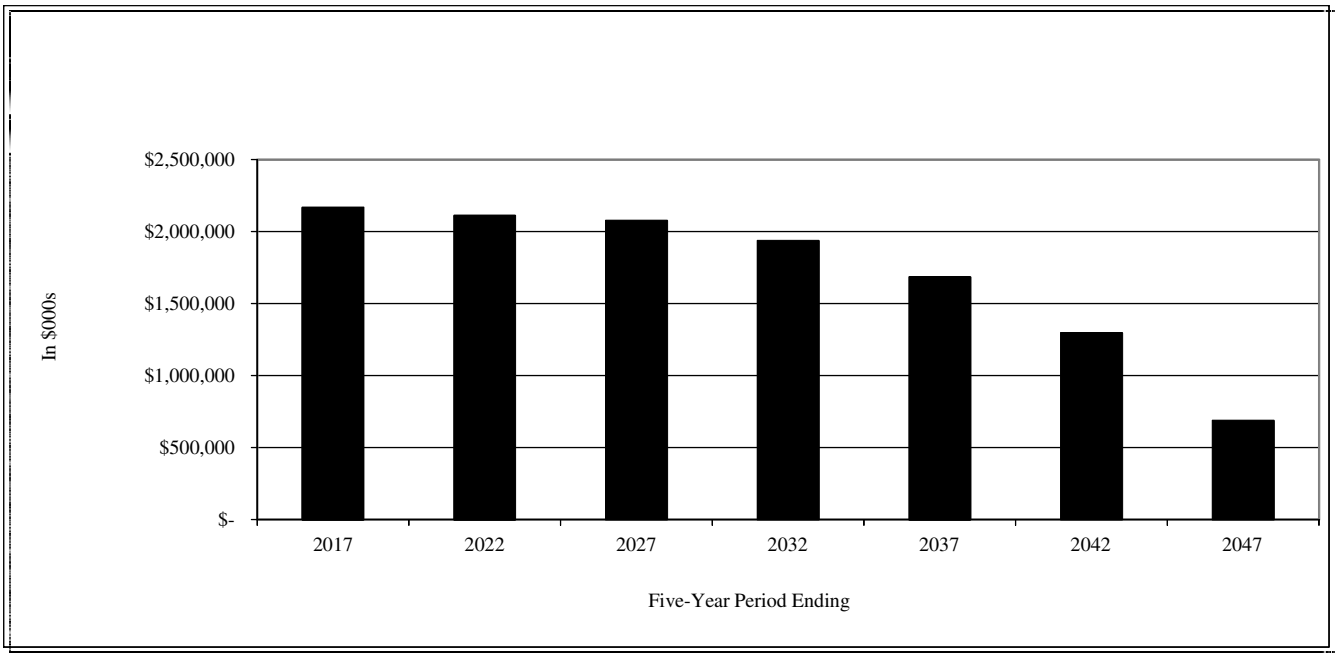
Long-Term Debt

As of June 30, 2012, the Power System's total outstanding long-term debt balance was approximately $6.601 billion. The decrease of $76 million over the prior year's balance resulted from the scheduled maturities of $62 million and $14 million amortized premiums, discounts, and debt-related costs (including net loss on refundings).

As of June 30, 2011, the Power System's total outstanding long-term debt balance was approximately $6.677 billion. The increase of $725 million over the prior year's balance resulted from the sale of $1.684 billion of the Power System revenue bonds less the refunding of $833 million revenue bonds and scheduled maturities of $126 million.

Outstanding principal, plus scheduled interest as of June 30, 2012, is scheduled to mature as shown in the chart below:

Chart: Debt Service Requirements



In addition, the Power System had $490.4 million and $485.6 million on deposit in trust funds restricted for the use of debt reduction as of June 30, 2012 and 2011, respectively.

In October 2012, Standard & Poor's Rating Services, Moody's Investors Service, and Fitch Ratings affirmed the Power System's bond rating of AA-, Aa3, and AA-, respectively, due to the Power System's broad revenue stream and a competitive power supply portfolio that has historically provided competitive retail electricity rates and evident strategic focus on positioning the utility to improve system reliability while meeting state mandated

greenhouse emission rules and renewable energy standards. Additional information regarding the Power System's long-term debt can be found in note 10 to the financial statements.

Changes in Fund Net Assets

Operating Revenues

The operating revenues of the Power System are generated from wholesale and retail customers. There are four major customer categories of retail revenue. These categories include residential, commercial, industrial, and other, which includes public street lighting. Table 5 summarizes the percentage contribution of retail revenues from each customer segment in fiscal years 2012 and 2011:

Table 5 – Revenue and Percentage of Revenue by Customer Class

(Amounts in thousands)

	Fiscal year 2012		Fiscal year 2011	
	Revenue	Percentage	Revenue	Percentage
Type of customer:				
Residential	$ 976,820	32%	$ 966,436	32%
Commercial	1,803,794	59	1,785,452	59
Industrial	235,728	8	261,398	8
Other	29,202	1	28,409	1
	$ 3,045,544	100%	$ 3,041,695	100%

While commercial customers consume the most electricity, residential customers represent the largest customer class. As of June 30, 2012 and 2011, the Power System had approximately 1.5 million customers. As shown in Table 6, 1.3 million, or 87% and 86%, of total customers were in the residential customer class in fiscal years 2012 and 2011, respectively.

Table 6 – Number of Customers and Percentage of Customers by Customer Class

(Amounts in thousands)

	Fiscal year 2012		Fiscal year 2011	
	Number	Percentage	Number	Percentage
Type of customer:				
Residential	1,274	87%	1,263	86%
Commercial	183	12	184	13
Industrial	12	1	12	1
Other	2	—	2	—
	1,471	100%	1,461	100%

Fiscal Year 2012

Retail revenues remained stable and wholesale revenues decreased $48 million from fiscal year 2011. The decrease in whole revenue was mainly due to $38 million of whole revenue being designated as deferred revenue and transferred to the Rate Stabilization Account. Retail consumption of energy decreased 27 gigawatt hours, or less than 1% year over year while wholesale consumption decreased 271 gigawatt hours.

Fiscal Year 2011

Retail revenues decreased by $67 million and wholesale revenues decreased $42 million from fiscal year 2010. The decrease in revenue is mainly due to lower consumption despite a one-time increase of 0.6 cents/kWh in the Energy Cost Adjustment Factor effective July 1, 2010. Retail consumption of energy decreased 255 million KWhs year over year while wholesale consumption decreased 256,967 MWhs.

Operating Expenses

Fuel for generation and purchased power are two of the largest expenses that the Power System incurs each fiscal year. Fuel for generation expense includes the cost of fuel that is used to generate energy. The majority of fuel costs include the cost of natural gas, coal, and nuclear fuel.

Purchased power expense includes the cost of buying power on the open market and paying the current portion of the Power System's purchased power contracts. Under these purchase power contracts, the Department has an entitlement to the energy that is produced at various generating stations and an entitlement to the use of various transmission facilities. Most of these contracts require the Department to pay for these services regardless of whether the energy or transmission is used. These types of contracts are referred to as "take-or-pay" contracts.

Depreciation expense is computed using the straight-line method based on service lives for all projects completed after July 1, 1973, and for all office and shop structures, related furniture and equipment, and transportation and construction equipment. Depreciation for facilities completed prior to July 1, 1973 is computed using the 5% sinking fund method based on estimated service lives. The Department uses the composite method of depreciation and, therefore, groups assets into composite groups for purposes of calculating depreciation expense. Estimated service lives range from 5 to 75 years. Amortization expense for computer software is computed using the straight-line method over 5 years.

The table below summarizes the Power System's operating expenses during fiscal years 2012 and 2011:

Table 7 – Operating Expenses and Percentage of Expense by Type of Expense

(Amounts in thousands)

	Fiscal year 2012		Fiscal year 2011	
	Expense	Percentage	Expense	Percentage
Type of expense:				
Fuel for generation	$ 403,406	15%	$ 435,812	16%
Purchased power	909,910	35	853,745	32
Other operating expenses	617,456	23	699,588	26
Maintenance	304,750	12	319,043	12
Depreciation and amortization	394,019	15	386,937	14
	$ 2,629,541	100%	$ 2,695,125	100%

Fiscal Year 2012

Fiscal year 2012 operating expenses were $66 million lower as compared to fiscal year 2011, driven primarily by an $82 million decrease in other operating expenses. Fuel and Purchased Power expenses increased $24 million due to a year-over-year increase of $56 million in renewable generation expenditures.

The $82 million decrease in other operating expenses can be primarily attributed to a decrease of $70 million in the expensing of demand side management (energy efficiency) and solar incentive program expenditures. Demand side management and solar programs for customers are treated as regulatory assets and therefore, these expenditures are now capitalized and amortized over the expected useful life. Maintenance expenses decreased $14 million year over year, primarily due to lower transmission plant and steam plant maintenance costs. The $7.1 million increase in depreciation and amortization expense is primarily due to capital improvements in Steam Production plant, as well as additional amortization expense from the regulatory assets mentioned above.

Fiscal Year 2011

Fiscal year 2011 operating expenses were $69.8 million higher as compared to fiscal year 2010, driven primarily by a $49.1 million increase in depreciation expense. Fuel and Purchased Power expenses decreased $20.3 million due to lower retail sales and decreased wholesale generation activities despite a year-over-year increase of $114.2 million in renewable generation expenditures.

The $29.5 million increase in other operating costs can be primarily attributed to an increase of $18.8 million in overhead line and miscellaneous distribution expenses and a $10.4 million increase customer accounting and collection expenses. Maintenance expenses increased $11.6 million year over year, primarily due to higher transmission plant and distribution plant maintenance costs.

Nonoperating Revenues and Expenses

Fiscal Year 2012

The major nonoperating activities of the Power System for fiscal year 2012 included the transfer of $250 million to the City's General Fund, interest income earned on investments of $78 million, $35 million in federal bond subsidies, and $237 million in debt expenses.

The transfer to the City is based on 8% of the previous year's operating revenues. Operating revenues for fiscal year 2011 were $3.1 billion, which generated a city transfer of $250 million.

The $4 million decrease in interest income is due to declining market interest rates coupled with decreases in funds held in the related restricted investments.

The $7 million increase in federal bond subsidies is directly related to interest payment subsidies that are received from the U.S. Treasury.

The $7 million decrease in interest on debt is mainly due to the debt refinancing undertaken by the Power System during fiscal 2011.

Fiscal Year 2011

The major nonoperating activities of the Power System for fiscal year 2011 included the transfer of $259 million to the City's General Fund, interest income earned on investments of $82 million, $28 million in federal bond subsidies, and $265 million in debt expenses.

The transfer to the City is based on 8% of the previous year's operating revenues. Operating revenues for fiscal year 2010 were $3.2 billion, which generated a city transfer of $259 million.

The $25 million decrease in interest income is due to declining market interest rates coupled with decreases in funds held in the related restricted investments.

The $28 million increase in federal bond subsidies is directly related to interest payment subsidies that are received from the U.S. Treasury.

The increase in debt expense is mainly due to the interest expense related to the 2010 Series A, B, C, and D Bonds issued at end of fiscal year 2010 and during fiscal year 2011.

LOS ANGELES DEPARTMENT OF WATER AND POWER
POWER SYSTEM

Balance Sheets

June 30, 2012 and 2011

(Amounts in thousands)

Assets and Deferred Outflows	2012	2011
Noncurrent assets:		
Utility plant:		
Generation	$ 4,318,819	4,192,467
Transmission	1,046,800	1,022,010
Distribution	6,338,353	6,045,053
General	1,318,063	1,271,714
	13,022,035	12,531,244
Accumulated depreciation	(6,462,915)	(6,086,691)
	6,559,120	6,444,553
Construction work in progress	1,211,851	685,485
Nuclear fuel, at amortized cost	49,687	44,328
Natural gas field, net	293,006	256,622
	8,113,664	7,430,988
Restricted investments	639,121	634,408
Cash and cash equivalents – restricted	20,730	552,704
Long-term notes and other receivables, net of current portion	838,755	903,055
Underrecovered costs	312,373	294,226
Deferred debits	296,223	179,162
Net pension asset	—	14,386
Net postretirement asset	631,479	590,686
Total noncurrent assets	10,852,345	10,599,615
Current assets:		
Cash and cash equivalents – unrestricted	417,895	561,414
Cash and cash equivalents – restricted	395,225	308,879
Cash collateral received from securities lending transactions	—	69,534
Customer and other accounts receivable, net of $20,000 allowance for losses	352,856	340,518
Current portion of long-term notes receivable	65,593	102,307
Due from Water System	—	3,267
Accrued unbilled revenue	173,233	156,079
Materials and fuel	169,839	154,490
Prepayments and other current assets	109,293	150,265
Total current assets	1,683,934	1,846,753
Total assets	12,536,279	12,446,368
Deferred outflows on derivative instruments	91,296	73,770
Total assets and deferred outflows	$ 12,627,575	12,520,138

(Continued)

LOS ANGELES DEPARTMENT OF WATER AND POWER
POWER SYSTEM

Balance Sheets

June 30, 2012 and 2011

(Amounts in thousands)

Fund Net Assets and Liabilities		2012	2011
Fund net assets:			
Invested in capital assets, net of related debt	$	1,533,344	1,307,325
Restricted:			
Debt service		620,688	549,511
Capital projects		123,627	120,008
Other postemployment benefits		631,479	590,686
Pension benefits		—	14,386
Other purposes		148,949	142,684
Unrestricted		1,996,651	2,211,952
Total fund net assets		5,054,738	4,936,552
Long-term debt, net of current portion		6,354,469	6,497,714
Other noncurrent liabilities:			
Accrued liabilities		8,767	10,487
Deferred credits		139,876	123,160
Accrued workers' compensation claims		43,475	40,300
Derivative instrument liabilities		91,296	73,770
Net pension liability		18,209	—
Total other noncurrent liabilities		301,623	247,717
Current liabilities:			
Current portion of long-term debt		246,582	178,885
Accounts payable and accrued expenses		341,942	266,692
Accrued interest		139,872	129,874
Accrued employee expenses		102,271	97,340
Deferred credits		21,100	95,830
Due to Water Services		64,978	—
Obligations under securities lending transactions		—	69,534
Total current liabilities		916,745	838,155
Total liabilities		7,572,837	7,583,586
Total liabilities and fund net assets	$	12,627,575	12,520,138

See accompanying notes to financial statements.

LOS ANGELES DEPARTMENT OF WATER AND POWER
POWER SYSTEM

Statements of Revenues, Expenses, and Changes in Fund Net Assets

Years ended June 30, 2012 and 2011

(Amounts in thousands)

	2012	2011
Operating revenues:		
Residential	$ 976,820	966,436
Commercial and industrial	2,039,522	2,046,850
Sales for resale	36,136	84,262
Other	53,036	55,901
Uncollectible accounts	(23,834)	(27,492)
	3,081,680	3,125,957
Operating expenses:		
Fuel for generation	403,406	435,812
Purchased power	909,910	853,745
Maintenance and other operating expenses	922,206	1,018,631
Depreciation and amortization	394,019	386,937
	2,629,541	2,695,125
Operating income	452,139	430,832
Nonoperating revenues (expenses):		
Investment income	77,747	81,847
Federal bond subsidies	35,143	28,069
Other nonoperating income	17,571	16,999
	130,461	126,915
Other nonoperating expenses	(3,380)	(4,183)
	127,081	122,732
Debt expenses:		
Interest on debt	269,875	276,897
Allowance for funds used during construction	(32,187)	(11,806)
	237,688	265,091
Income before capital contributions and transfers	341,532	288,473
Capital contributions	26,731	27,983
Transfers to the reserve fund of the City of Los Angeles	(250,077)	(258,815)
Increase in fund net assets	118,186	57,641
Fund net assets:		
Beginning of period	4,936,552	4,878,911
End of period	$ 5,054,738	4,936,552

See accompanying notes to financial statements.

LOS ANGELES DEPARTMENT OF WATER AND POWER
POWER SYSTEM

Statements of Cash Flows

Direct Method

Years ended June 30, 2012 and 2011

(Amounts in thousands)

	2012	2011
Cash flows from operating activities:		
Cash receipts:		
Cash receipts from retail customers	$ 3,010,267	3,021,564
Cash receipts from retail customers for other agency services	593,026	615,957
Cash receipts from interfund services provided	476,406	448,390
Cash disbursements:		
Cash payments to employees	(547,522)	(512,045)
Cash payments to suppliers	(1,471,947)	(1,642,853)
Cash payments for interfund services used	(572,341)	(571,847)
Cash payments to other agencies for fees collected	(591,684)	(585,948)
Other operating cash payments	(44,595)	(106,739)
Net cash provided by operating activities	851,610	666,479
Cash flows from noncapital financing activities:		
Payments to the reserve fund of the City of Los Angeles	(250,077)	(258,815)
Interest paid on noncapital revenue bonds	—	(1,044)
Net cash used in noncapital financing activities	(250,077)	(259,859)
Cash flows from capital and related financing activities:		
Additions to plant and equipment, net	(1,093,491)	(857,112)
Capital contributions	25,167	32,129
Principal payments and maturities on long-term debt	(62,157)	(173,820)
Proceeds from issuance of bonds and revenue certificates	—	898,975
Debt interest payments	(270,937)	(248,214)
Federal bond subsidies	35,143	28,069
Net cash used in capital and related financing activities	(1,366,275)	(319,973)
Cash flows from investing activities:		
Purchases of investment securities	(1,224,872)	(1,680,327)
Sales and maturities of investment securities	1,220,159	1,728,579
Proceeds from notes receivable	64,300	78,191
Investment income	116,008	86,199
Net cash provided by investing activities	175,595	212,642
Net (decrease) increase in cash and cash equivalents	(589,147)	299,289
Cash and cash equivalents:		
Cash and cash equivalents at July 1 (including $861,583 and $699,853 reported in restricted accounts, respectively)	1,422,997	1,123,708
Cash and cash equivalents at June 30 (including $415,955 and $861,583 reported in restricted accounts, respectively)	$ 833,850	1,422,997

(Continued)

LOS ANGELES DEPARTMENT OF WATER AND POWER
POWER SYSTEM

Statements of Cash Flows

Indirect Method

Years ended June 30, 2012 and 2011

(Amounts in thousands)

		2012	2011
Reconciliation of operating income to net cash provided by operating activities:			
Operating income	$	452,139	430,832
Adjustments to reconcile operating income to net cash provided by operating activities:			
Depreciation and amortization		394,019	386,937
Depletion expense		29,064	14,398
Amortization of nuclear fuel		13,248	11,974
Provision for losses on customer and other accounts receivable		23,834	27,492
Changes in assets and liabilities:			
Customer and other accounts receivable		(36,155)	(25,331)
Accrued unbilled revenue		(17,154)	2,758
Underrecovered costs		(18,147)	(43,846)
Materials and fuel		(15,349)	3,513
Deferred debits		(117,061)	(19,162)
Due from Water System		3,267	4,009
Net pension asset		14,386	38,944
Accounts payable and accrued expenses		81,921	23,916
Accrued liabilities		—	(1,553)
Deferred credits		(58,014)	(92,802)
Due to Water Services		64,978	—
Net pension liability		18,209	—
Net other postemployment benefit liability		(40,793)	(57,213)
Prepayments and other		59,218	(38,387)
Net cash provided by operating activities	$	851,610	666,479

Note: Certain prior year amounts have been reclassified to conform to the current year's presentation.

See accompanying notes to financial statements.

(1) Summary of Significant Accounting Policies

The Department of Water and Power of the City of Los Angeles (the Department) exists as a separate proprietary department of the City of Los Angeles (the City) under and by virtue of the City Charter enacted in 1925 and as revised effective July 2000. The Department's Power Revenue Fund (the Power System) is responsible for the generation, transmission, and distribution of electric power for sale in the City. The Power System is operated as an enterprise fund of the City.

(a) Method of Accounting

The accounting records of the Power System are maintained in accordance with U.S. generally accepted accounting principles (GAAP) for governmental entities. The financial statements have been prepared using the economic resources measurement focus and the accrual basis of accounting. The Power System is accounted for as an enterprise fund and applies all applicable Governmental Standards Board (GASB) pronouncements in its accounting and reporting. In addition, the Power System follows Financial Accounting Standards Board (FASB) pronouncements issued on or before November 30, 1989, unless those pronouncements conflict with or contradict GASB pronouncements.

The financial statements of the Power System are intended to present the financial position, and the changes in the financial position, and cash flows of only that portion of the business-type activities and each major fund of the City of Los Angeles, California that is attributable to the transactions of the Power System. They do not purport to, and do not, present fairly the financial position of the City of Los Angeles, California as of June 30, 2012 and 2011, the changes in its financial position or, where applicable, its cash flows for the years then ended, in conformity with GAAP.

The Department's rates are determined by the Board of Water and Power Commissioners (the Board) and are subject to review and approval by the Los Angeles City Council (City Council). As a regulated enterprise, the Department utilizes Statement of Financial Accounting Standards (SFAS) No. 71, *Accounting for the Effects of Certain Types of Regulation*, which requires that the effects of the rate-making process be recorded in the financial statements. Such effects primarily concern the time at which various items enter into the determination of changes in fund net assets. Accordingly, the Power System records various regulatory assets and liabilities to reflect the Board's actions. Regulatory liabilities are recorded in deferred credits and regulatory assets are included as deferred debits and under recovered costs on the balance sheets. Management believes that the Power System meets the criteria for continued application of SFAS No. 71, but will continue to evaluate its applicability based on changes in the regulatory and competitive environment (see notes 3 and 14(d)i).

(b) Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(c) Utility Plant

The costs of additions to utility plant and replacements of retired units of property are capitalized. Costs include labor, materials, an allowance for funds used during construction (AFUDC), and allocated indirect charges, such as engineering, supervision, transportation and construction equipment, retirement plan contributions, healthcare costs, and certain administrative and general expenses. The costs of maintenance, repairs, and minor replacements are charged to the appropriate operations and maintenance expense accounts.

(d) Intangibles

The Department follows GASB No. 51, *Accounting and Financial Reporting for Intangible Assets* (GASB No. 51), which requires that an intangible asset be recognized in the balance sheet only if it is considered identifiable. Additionally, it establishes a specified-conditions approach to recognize intangible assets that are internally generated. Effectively, outlays associated with the development of such assets are capitalized until certain criteria are met. Outlays incurred prior to meeting these criteria are expensed as incurred. The Power System capitalized internally generated software costs in 2012 and 2011. The capitalized amounts are included in construction work in progress on the balance sheets.

(e) Impairment of Long-Lived Assets

The Department follows GASB Statement No. 42, *Accounting and Financial Reporting for Impairment of Capital Assets and for Insurance Recoveries* (GASB No. 42). Governments are required to evaluate prominent events or changes in circumstances affecting capital assets to determine whether impairment of a capital asset has occurred. A capital asset is considered impaired when its service utility has declined significantly and unexpectedly. Under GASB No. 42, impaired capital assets that will no longer be used by the government should be reported at the lower of carrying value or fair value. Impairment losses on capital assets that will continue to be used by the government should be measured using the method that best reflects the cause of the diminished service utility of the capital asset.

(f) Depreciation and Amortization

Depreciation expense is computed using the straight-line method based on service lives for all projects completed after July 1, 1973, and for all office and shop structures, related furniture and equipment, and transportation and construction equipment. Depreciation for facilities completed prior to July 1, 1973 is computed using the 5.0% sinking fund method based on estimated service lives. The Department uses the composite method of depreciation and, therefore, groups assets into composite groups for purposes of calculating depreciation expense. Estimated service lives range from 5 to 75 years. Amortization expense for computer software is computed using the straight-line method over five years. Depreciation and amortization expense as a percentage of average depreciable utility plant in service was 3.1% and 3.2% for fiscal years 2012 and 2011, respectively.

(g) Nuclear Decommissioning

The Department owns a 5.70% direct ownership interest in the Palo Verde Nuclear Generating Station (PVNGS). In addition, through its participation in the Southern California Public Power Authority (SCPPA), the Department is party to a contract for an additional 3.95% of the output of PVNGS. Nuclear decommissioning costs associated with the Power System's output entitlement are included in purchased power expense (see note 6).

Decommissioning of PVNGS is expected to commence subsequent to the year 2044, since the Nuclear Regulatory Commission (the NRC) approved a request for license extension in April 2011. However, the owners of PVNGS have not yet amended the participation agreement to extend the term of the agreement to cover the license extension of PVNGS. The total cost to decommission the Power System's direct ownership interest in PVNGS is estimated to be $139 million in 2011 dollars. This estimate is based on an updated site specific study prepared by an independent consultant in 2010. As of June 30, 2012 and 2011, the Power System has recorded $143.2 million and $139.6 million, respectively, to accumulated depreciation to provide for the decommissioning liability.

Prior to December 1999, the Power System contributed $70.2 million to external trusts established in accordance with the PVNGS participation agreement and NRC requirements. During fiscal year 2000, the Department suspended contributing additional amounts to the trust funds, as management believes that contributions made, combined with reinvested earnings, will be sufficient to fully fund the Department's share of decommissioning costs. The Department will continue to reinvest its investment income on the trust investments into the decommissioning trusts. The Department reinvested $3.6 million and $2.2 million of investment income in fiscal years 2012 and 2011, respectively. Decommissioning funds, which are included in restricted investments, totaled $123.6 million and $120.0 million as of June 30, 2012 and 2011 (at fair value), respectively. The Department's current accounting policy recognizes any realized and unrealized investment earnings from nuclear decommissioning trust funds as a component of accumulated depreciation.

(h) Nuclear Fuel

Nuclear fuel is amortized and charged to fuel for generation on the basis of actual thermal energy produced relative to total thermal energy expected to be produced over the life of the fuel. Under the provisions of the Nuclear Waste Policy Act of 1982, the federal government assesses each utility with nuclear operations, including the Power System, $1 per megawatt hour of nuclear generation. The Power System includes this charge as a current year expense in fuel for generation. See note 14 for discussion of spent nuclear fuel disposal.

(i) Natural Gas Field

In July 2005, the Power System acquired approximately a 74.5% ownership interest in gas properties located in Pinedale, Wyoming. The Power System uses the successful efforts method of accounting for its investment in gas producing properties. Costs to acquire the mineral interest in gas producing properties, to drill and equip exploratory wells that find proven reserves, and to drill and equip development wells are capitalized. Costs to drill exploratory wells that do not find proven reserves

are expensed. Capitalized costs of gas producing properties are depleted by the unit-of-production method based on the estimated future production of the proved developed producing wells.

Depletion expense related to the gas field is recorded as a component of fuel for generation expense. During fiscal years 2012 and 2011, the Power System recorded $29.1 million and $14.4 million of depletion expense, respectively.

(j) Cash and Cash Equivalents

As provided for by the State of California Government Code (the Code), the Power System's cash is deposited with the City Treasurer in the City's general investment pool for the purpose of maximizing interest earnings through pooled investment activities. Cash and cash equivalents in the City's general investment pool are reported at fair value and changes in unrealized gains and losses are recorded in the statements of revenues, expenses, and changes in fund net assets. Interest earned on such pooled investments is allocated to the participating funds based on each fund's average daily cash balance during the allocation period. The City Treasurer invests available funds of the City and its independent operating departments on a combined basis. The Power System classifies all cash and cash equivalents that are restricted either by creditors, the Board, or by law, as restricted cash and cash equivalents on the balance sheets. The Power System considers its portion of pooled investments in the City's pool to be cash and cash equivalents and the unspent construction funds as long-term restricted cash as cash equivalents.

At June 30, 2012 and 2011, restricted cash and cash equivalents include the following (amounts in thousands):

	June 30	
	2012	**2011**
Bond redemption and interest funds	$ 271,328	194,986
Self-insurance fund	123,897	113,893
Cash and cash equivalents – current portion	395,225	308,879
Construction funds – classified as long-term restricted cash	20,730	552,704
Total restricted cash and cash equivalents	$ 415,955	861,583

(k) Materials and Fuel

Materials and supplies are recorded at average cost. Fuel is recorded at lower of cost or market, on an average cost basis.

(l) Accrued Unbilled Revenue

Accrued unbilled revenue is the receivable for estimated energy sales during the period for which service has been provided but the customer has not been billed.

(m) Restricted Investments

Restricted investments include primarily commercial paper, U.S. government and governmental agency securities, and corporate bonds. Investments are reported at fair value and changes in unrealized gains and losses are recorded in the statements of revenues, expenses, and changes in fund net assets except for Nuclear Decommissioning Trust Funds. The stated fair value of investments is generally based on published market prices or quotations from major investment dealers (see note 7).

(n) Accrued Employee Expenses

Accrued employee expenses include accrued payroll and an estimated liability for vacation leave, sick leave, and compensatory time, which is accrued when employees earn the rights to the benefits. Below is a schedule of accrued employee expenses as of June 30, 2012 and 2011 (amounts in thousands):

		2012	2011
Type of expenses:			
Accrued payroll	$	26,254	23,767
Accrued vacation		48,689	47,649
Accrued sick leave		11,845	11,534
Compensatory time		15,483	14,390
Total	$	102,271	97,340

(o) Debt Expenses

Debt premium, discount, and issue expenses are deferred and amortized to debt expense using the effective-interest method over the lives of the related debt issues. Gains and losses on refundings related to bonds redeemed by proceeds from the issuance of new bonds are amortized to interest expense using the effective-interest over the shorter of the life of the new bonds or the remaining term of the bonds refunded.

(p) Accrued Workers' Compensation Claims

Liabilities for unpaid workers' compensation claims are recorded at their net present value (see note 13).

(q) Customer Deposits

Customer deposits represent deposits collected from customers upon opening of new accounts. These deposits are obtained when the customer does not have a previously established credit history with the Department. Original deposits plus interest are paid to the customer once a satisfactory payment history is maintained, generally after one to three years.

The Department's Water Revenue Fund (Water System) is responsible for collection, maintenance, and refunding of these deposits for all the Department customers, including those of the Power System. As such, the Water System's balance sheets include a deposit liability of $77 million as of

June 30, 2012 and 2011, for all customer deposits collected. In the event that the Water System defaults on refunds of such deposits, the Power System would be required to pay amounts it owes its customers.

(r) Revenues

The Power System's rates are established by a rate ordinance, which is approved by the City Council. The Power System sells energy to the City's other departments at rates provided in the ordinance. The Power System recognizes energy costs in the period incurred and accrues for estimated energy sold but not yet billed.

Effective October 1, 2006, the Energy Cost Adjustment Factor (ECAF), which is a billing factor defined in the electric rate ordinance, was unfrozen. This change allows the Power System to increase or decrease the factor on a quarterly basis in compliance with the ordinance. While this change allows the Power System to fully recover fuel costs, purchased power costs, and other costs outlined in the ordinance, the difference between the amount billed to customers, and the value of the costs allowed to be recovered through the factor create an over/underrecovered amount. Costs that are underrecovered will be recovered in future periods. Amounts overrecovered will be factored into future quarterly rates. As of June 30, 2012 and 2011, the amount of underrecovered costs, including the ECAF and the Reliability Cost Adjustment Factor was $312.4 million and $294.2 million, respectively. These balances are recorded as noncurrent assets on the balance sheets.

Operating revenues are revenues derived from activities that are billable in accordance with the electric rate ordinance approved by the City Council.

(s) Capital Contributions

Capital contributions and other grants received by the Department for constructing utility plant and other activities are recognized when all applicable eligibility requirements, including time requirements, are met.

(t) Allowance for Funds Used during Construction (AFUDC)

An AFUDC charge represents the cost of borrowed funds used for the construction of utility plant. Capitalized AFUDC is included as part of the cost of utility plant and as a reduction of debt expenses. As of June 30, 2012 and 2011, the average AFUDC rates were 6.0% and 5.2%, respectively.

(u) Use of Restricted and Unrestrictive Resources

The Power System's policy is to use unrestricted resources prior to restricted resources to meet expenses to the extent that it is prudent from an operational perspective. Once it is not prudent, restricted resources will be utilized to meet intended obligations.

(v) Reclassifications

Certain prior year amounts have been reclassified to conform to the current year's presentation.

(2) Recent Accounting Pronouncements

(a) GASB Statement No. 59

In fiscal year 2011, the Department adopted GASB Statement No. 59, *Financial Instruments Omnibus* (GASB No. 59). This statement updates and improves existing standards regarding financial reporting and disclosure requirements of certain financial instruments and external investment pools for which significant issues have been identified in practice. The provisions of this Statement are effective for financial statements for periods beginning after June 15, 2010. There was no impact to net assets as of July 1, 2010 as a result of implementation of this pronouncement.

(b) GASB Statement No. 62

In December 2010, the GASB issued Statement No. 62, *Codification of Accounting and Financial Reporting Guidance Contained in Pre-November 30, 1989 FASB and AICPA Pronouncements* (GASB No. 62). The requirements in this Statement will improve financial reporting by contributing to the GASB's efforts to codify all sources of generally accepted accounting principles for state and local governments so that they derive from a single source. The requirements of this Statement are effective for financial statements for periods beginning after December 15, 2011, with retroactive application for all periods presented. The Power System has determined there will be no material impact of this pronouncement on the financial statements.

(c) GASB Statement No. 63

In June 2011, the GASB issued Statement No. 63, *Financial Reporting of Deferred Outflows of Resources, Deferred Inflows of Resources, and Net Position* (GASB No. 63). The requirements of this Statement will improve financial reporting by standardizing the presentation of deferred outflows of resources and deferred inflows of resources and their effects on a government's net position. It alleviates uncertainty about reporting those financial statement elements by providing guidance where none previously existed. The provisions of this Statement are effective for financial statements for periods beginning after December 15, 2011. The Power System has determined there will be no material impact of this pronouncement on its deferred outflows that are reported on the balance sheets.

(d) GASB Statement No. 64

In June 2011, the GASB issued Statement No. 64, *Derivative Instruments: Application of Hedge Accounting Termination Provisions – an amendment of GASB Statement No. 53* (GASB No. 64). The objective of this Statement is to clarify whether an effective hedging relationship continues after the replacement of a swap counterparty or a swap counterparty's credit support provider. This Statement sets forth criteria that establish when the effective hedging relationship continues and hedge accounting should continue to be applied. The provisions of this Statement are effective for financial statements for periods beginning after June 15, 2011. The Power System has determined there will be no material impact of this pronouncement on its hedging derivatives accounted for under GASB Statement No. 53, *Accounting and Financial Reporting for Derivative Instruments* (GASB No. 53).

(e) GASB Statement No. 65

In March 2012, the GASB issued Statement No. 65, *Items Previously Reported as Assets and Liabilities* (GASB No. 65). The requirements of this Statement establishes accounting and financial reporting standards that reclassify, as deferred outflows of resources or deferred inflows of resources, certain items that were previously reported as assets and liabilities and recognizes, as outflows of resources or inflows of resources, certain items that were previously reported as assets and liabilities. It will improve financial reporting by clarifying the appropriate use of the financial statement elements deferred outflows of resources and deferred inflows of resources to ensure consistency in financial reporting. The provisions of this Statement are effective for financial statements for periods beginning after December 15, 2012. The Power System has determined there will be no impact of this pronouncement on its deferred outflows that are reported on the balance sheets.

(f) GASB Statement No. 67

In June 2012, the GASB issued Statement No. 67, *Financial Reporting for Pension Plans—an amendment of GASB Statement No. 25* (GASB No. 67). The requirements of this Statement will improve financial reporting primarily through enhanced note disclosures and schedules of required supplementary information that will be presented by the pension plans that are within its scope. The new information will enhance the decision-usefulness of the financial reports of these pension plans, their value for assessing accountability, and their transparency by providing information about measures of net pension liabilities and explanations of how and why those liabilities changed from year to year. The provisions of this Statement are effective for financial statements for periods beginning after June 15, 2013. The Power System is currently evaluating the impact of this pronouncement on financial statements.

(g) GASB Statement No. 68

In June 2012, the GASB issued Statement No. 68, *Accounting and Financial Reporting for Pension Plans—an amendment of GASB Statement No. 27* (GASB No. 68). This Statement establishes standards for measuring and recognizing liabilities, deferred outflows of resources, and deferred inflows of resources, and expense/expenditures. For defined benefit pensions, this Statement identifies the methods and assumptions that should be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. The provisions of this Statement are effective for financial statements for periods beginning after June 15, 2014. The Power System is currently evaluating the impact of this pronouncement on financial statements.

(3) Regulatory Matters

(a) Federal Regulation of Transmission Access

The Energy Policy Act of 1992 made fundamental changes in the federal regulation of the electric utility industry, particularly in the area of transmission. As amended by the Energy Policy Act, Sections 211, 212, and 213 of the Federal Power Act (FPA) provide the Federal Energy Regulatory Commission (FERC) authority, upon application by any electric utility, federal power marketing agency, or other person or entity generating electric energy for sale or resale, to require a

transmitting utility to provide transmission services (including any enlargement of transmission capacity necessary to provide such services) to the applicant at rates, charges, terms, and conditions set by FERC based on standards and provisions in the FPA. Under the Energy Policy Act, electric utilities owned by municipalities and other public agencies, which own or operate electric power transmission facilities that are used for the sale of electric energy at wholesale rates are "transmitting utilities" subject to the requirements of Sections 211, 212, and 213.

FERC has encouraged in the past the voluntary formation of regional transmission organizations (RTOs) independent from owners of generation and other market participants that will provide transmission access on a nondiscriminatory basis to buyers and sellers of power. Investor-owned utilities (IOUs) and publicly owned utilities (POUs) have been encouraged to participate in the formation and operation of RTOs, but POUs are not, at this time, being ordered by FERC to participate. FERC has adopted a "go slow" approach to the issue of RTO formation in the western United States; it is contemporaneously engaged in a wholesale overhaul of the California market design, referred to initially as the Market Design 2002 proceeding and lately as the Market Redesign and Technology Update (MRTU) proceeding. These FERC proceedings will have potential impacts on every electric utility doing business in California. MRTU involves a comprehensive overhaul of the electricity markets administered by California Independent System Operator (CAISO), including the areas of transmission congestion management, trading and scheduling energy in the day ahead, or spot market, improved market power mitigation, and pricing transparency measures and system improvements to increase operational efficiency and enhance reliability, among other things. MRTU was implemented on April 1, 2009. At this time, there is no material impact on the Department. In addition, CAISO has announced its intention to implement further market changes over the next several years.

(b) Federal Energy Legislation of 2005

On August 8, 2005, the Energy Policy Act of 2005 (EPAct) was enacted, the first comprehensive energy legislation in over a decade. One of the most significant provisions of EPAct empowers the Federal Energy Regulatory Commission (FERC) to certify an Electric Reliability Organization (ERO) to improve the reliability of the nation's "bulk power system" through mandatory and enforceable electric reliability standards (in contrast to the long-standing voluntary system). The definition of "bulk power system" does not include facilities used in the local distribution of electric energy. The ERO is to file any proposed reliability standard or modification with FERC. "Reliability standards" are a set of criteria and requirements relating to the reliable operation of the bulk-power system. Such a standard includes requirements for the operation of existing transmission facilities or the design of planned additions or modifications (to the extent necessary) to provide for reliable operation. It does not include, and the ERO may not impose, any requirement to enlarge existing or to construct new transmission or generation facilities. All users, owners, and operators of the bulk-power system are required to comply with the electric reliability standards. The ERO may impose a penalty on a user, owner, or operator for violating a reliability standard, and FERC may order compliance with such a standard and impose a penalty if it finds that a user, owner, or operator is about to engage in an act that would violate a reliability standard.

Based on EPAct authority vested upon the FERC, the FERC approved the North American Electric Reliability Corporation (NERC) as the ERO. Currently, there are more than 100 mandatory NERC and Western Electricity Coordinating Council (WECC) reliability standards, all of which are subject to penalties ranging from $1,000 to $1,000,000, depending on the impact of the violation to reliability and other factors. The Department has implemented a NERC/WECC Reliability Standards Compliance Program to proactively prevent, monitor, and stop potential violations to these standards.

EPAct authorizes FERC to require nondiscriminatory access to transmission facilities owned by municipal, cooperative, and other transmission companies not currently regulated by FERC, unless exercising this authority would violate a private activity bond rule for purposes of Section 141 of the Internal Revenue Code of 1986. FERC is prohibited from requiring any such entities to join RTOs. EPAct also allows FERC to issue permits for the construction of new transmission facilities when states have been unable or unwilling to act and allows load-serving entities to use the firm transmission rights, or equivalent tradable or financial transmission rights, in order to deliver output or purchased energy to the extent required to meet its service obligations. EPAct does not relieve a load-serving entity from any obligation under state or local law to build transmission or distribution facilities adequate to meet its service obligations, or to abrogate preexisting firm transmission service contracts.

EPAct directs FERC to establish, by rule, incentive-based rates for transmission no later than August 2006 and requires FERC to establish market transparency rules for the electric wholesale market (entities that have a de minims market presence are exempt from the rules). EPAct instructs that the market transparency rules must provide for the timely dissemination of information about the availability and prices of wholesale electric energy and transmission service to FERC, state commission, buyers and sellers of wholesale electric energy, users of transmission services, and the public. Within 180 days of EPAct's enactment, FERC and the Commodity Futures Trading Commission are required to enter into a memorandum of understanding regarding information sharing pursuant to these rules.

In addition, EPAct prohibits any person from willfully and knowingly reporting false information to any federal agency on the price of wholesale electricity or availability of transmission capacity, or using (directly or indirectly) any manipulative device in contravention of any FERC rule. EPAct increases civil and criminal penalties, modifies the procedures for review of FERC orders under the FPA, and changes the refund date under the FPA to be effective as of the date an applicable complaint is filed. EPAct also establishes an entity's right to a refund if (i) it makes a short-term sale of electric energy through an organized market in which the rates for the sale are set by a FERC-approved tariff (not by a contract) and (ii) the sale violates the terms of the tariff or applicable FERC rule in effect at the time of the sale.

The Department currently complies with the mandatory NERC/WECC Reliability Standards and with the statutory transmission and market requirements from FERC, and uses other FERC transmission policy as guidance for LADWP's own transmission policy.

(c) Final Rule on Transmission Planning and Cost Allocation – FERC Order No. 1000 (RM10-23-000)

On July 21, 2011, the FERC issued its Final Rule on Transmission Planning and Cost Allocation by Transmission Owning and Operating Public Utilities, denominated as Order No. 1000 (Docket No. RM10-23-000). The Final Rule, which largely mirrors FERC's proposed rule issued in June 2010, requires public utility transmission providers to:

- develop and participate in a regional planning process that produces a regional transmission plan;
- consider state and federal public policy requirements in transmission planning processes;
- eliminate, with certain exceptions, rights of first refusal contained in FERC-approved tariffs, or contracts that entitle an incumbent utility to build transmission facilities identified in the regional transmission planning processes;
- develop regional cost allocation methods for transmission projects selected in regional transmission plans; and
- coordinate with each neighboring planning region to develop procedures for coordination of planning and methods of cost allocation for interregional transmission projects.

The Final Rule reflects an ambitious effort by FERC to modify its policies in a manner that will result in more efficient and cost-effective transmission planning and support investment in transmission infrastructure. The Final Rule, however, leaves many of the critical details to be worked out at the regional and interregional levels, and subsequently, to be reviewed by FERC in the form of compliance filings.

The Final Rule urges, but does not require, government-owned utilities such as the Department and cooperative utilities to participate in regional transmission planning and cost allocation. FERC indicates that if "nonjurisdictional" transmission owners do not comply with Order No. 1000, they may not meet reciprocity requirements, and thus may have access to third-party transmission services limited.

LADWP is expected to join a regional planning entity to proactively participate in this process, without commitment to cost allocation, as has been clarified and allowed by FERC.

(d) Dodd-Frank Wall Street Reform and Consumer Protection Act

On July 21, 2010, the "Dodd-Frank Wall Street Reform and Consumer Protection Act" (Dodd-Frank) was signed into law. Dodd-Frank was enacted to minimize systemic risk to the U.S. financial system, in part by establishing new rules related to swaps and other derivatives. First, Dodd-Frank generally requires that parties to swap transactions provide collateral for their swaps. This "margining" requirement means that a party to a swap must set aside cash or other collateral to secure its obligations under the swap. Second, Dodd-Frank generally requires that swap transactions be conducted or "cleared" through financial intermediaries. This clearing requirement means that parties generally cannot enter into a swap that is customized to the needs of the parties, as is typically

the case for public power and other electric utilities. Dodd-Frank did, however, provide exceptions to both the margining and clearing requirements for "end users" that are using swaps to hedge commercial risks. A third requirement of Dodd-Frank is to impose reporting requirements on swap transactions, including additional reporting for end-user transactions. Finally, Dodd-Frank imposed additional limitations on swaps with "special entities," including public power and other governmental entities, to ensure that these special entities are being properly advised and dealt with fairly in consummating swap transactions. These rules require that a swap counterparty ensure that a special entity has an independent swap advisor and impose on the advisor a duty to act in the best interests of the special entity.

The CFTC has recently finalized a swap dealer definition exempting entities doing less than $3 billion ($8 billion during a transition period) in swaps from being regulated as a "swap dealer", and has further exempted transactions done between not–for–profit utilities from being considered swaps. Unfortunately, the swap dealer definition also includes a $25 million sub-threshold over a 12-month period for entities doing business with "special entities" (e.g., governmental entities such as LADWP) that will cause counterparties that do not want to be swap dealers (e.g., natural gas producers, independent generators, and utility companies) to severely limit their swap activities with government-owned utilities to avoid reaching the $25 million threshold.

Various organizations representing the "special entities" have requested the CFTC to exclude government-owned utilities' swap transactions related to utility operations from counting towards the $25 million de minimus threshold, and rather be subjected to the overall $3 billion threshold. As of this writing, the CFTC has not yet acted on this request.

The overall impact of these CFTC rulings on LADWP cannot be predicted at this time.

(4) Utility Plant

The Power System had the following activities in utility plant during fiscal year 2012 (amounts in thousands):

	Balance July 1, 2011	Additions	Retirements and disposals	Transfers	Balance June 30, 2012
Nondepreciable utility plant:					
Land and land rights	$ 166,137	—	—	—	166,137
Construction work in progress	685,485	665,133	—	(138,767)	1,211,851
Nuclear fuel	44,328	18,607	(13,248)	—	49,687
Natural gas field	256,622	65,448	(29,064)	—	293,006
Total nondepreciable utility plant	1,152,572	749,188	(42,312)	(138,767)	1,720,681
Depreciable utility plant:					
Generation	4,155,019	52,106	(2,047)	76,292	4,281,370
Transmission	942,278	10,792	(35)	14,033	967,068
Distribution	6,001,869	255,548	(240)	37,992	6,295,169
General	1,265,941	46,054	(10,154)	10,450	1,312,291
Total depreciable utility plant	12,365,107	364,500	(12,476)	138,767	12,855,898
Accumulated depreciation:					
Generation	(2,471,119)	(126,647)	2,047	—	(2,595,719)
Transmission	(365,076)	(24,897)	35	—	(389,938)
Distribution	(2,498,732)	(193,288)	240	—	(2,691,780)
General	(751,764)	(43,868)	10,154	—	(785,478)
Total accumulated depreciation	(6,086,691)	(388,700)	12,476	—	(6,462,915)
Total utility plant, net	$ 7,430,988	724,988	(42,312)	—	8,113,664

Depreciation and amortization expense during fiscal year 2012 was $394.0 million.

The Power System had the following activities in utility plant during fiscal year 2011 (amounts in thousands):

	Balance July 1, 2010	Additions	Retirements and disposals	Transfers	Balance June 30, 2011
Nondepreciable utility plant:					
Land and land rights	$ 165,730	407	—	—	166,137
Construction work in progress	431,491	434,434	—	(180,440)	685,485
Nuclear fuel	44,295	12,007	(11,974)	—	44,328
Natural gas field	231,397	39,623	(14,398)	—	256,622
Total nondepreciable utility plant	872,913	486,471	(26,372)	(180,440)	1,152,572
Depreciable utility plant:					
Generation	4,067,327	40,679	(2,382)	49,395	4,155,019
Transmission	920,584	8,138	(10)	13,566	942,278
Distribution	5,645,415	277,681	134	78,639	6,001,869
General	1,187,783	49,350	(10,032)	38,840	1,265,941
Total depreciable utility plant	11,821,109	375,848	(12,290)	180,440	12,365,107
Accumulated depreciation:					
Generation	(2,354,131)	(119,370)	2,382	—	(2,471,119)
Transmission	(334,852)	(30,234)	10	—	(365,076)
Distribution	(2,303,632)	(194,966)	(134)	—	(2,498,732)
General	(722,652)	(39,144)	10,032	—	(751,764)
Total accumulated depreciation	(5,715,267)	(383,714)	12,290	—	(6,086,691)
Total utility plant, net	$ 6,978,755	478,605	(26,372)	—	7,430,988

Depreciation and amortization expense during fiscal year 2011 was $386.9 million.

(5) Jointly Owned Utility Plant

The Power System has direct interests in several electric generating stations and transmission systems, which are jointly owned with other utilities. As of June 30, 2012 and 2011, utility plant includes the following amounts related to the Power System's ownership interest in each jointly owned utility plant (amounts in thousands, except as indicated):

	Ownership interest	Share of capacity (MWs)	Utility plant in service June 30, 2012		Utility plant in service June 30, 2011	
			Cost	Accumulated depreciation	Cost	Accumulated depreciation
Palo Verde Nuclear Generating Station	5.7%	224	$ 602,408	374,273	593,723	360,094
Navajo Generating Station	21.2	477	345,952	312,378	344,338	302,801
Mohave Generating Station	10.0	—	64,639	57,852	62,763	57,852
Pacific Intertie DC Transmission Line	40.0	1,240	186,301	54,171	183,531	52,941
Other transmission systems	—	Various	89,205	52,027	91,292	49,595
			$ 1,288,505	850,701	1,275,647	823,283

The Power System will incur certain minimal operating costs related to the jointly owned facilities, regardless of the amount or its ability to take delivery of its share of energy generated. The Power System's proportionate share of the operating costs of the joint plants is included in the corresponding categories of operating expenses.

(6) Purchase Power Commitments

As of June 30, 2012, the Power System has entered into a number of energy and transmission service contracts, which involve substantial commitments as follows (amounts in thousands, except as indicated):

	Agency	Agency share	The Power System's interest in agency's share		
			Interest	Capacity (MWs)	Outstanding principal
Intermountain Power Project	IPA	100.0%	63.0%	1,125	$ 916,295
Palo Verde Nuclear Generating Station	SCPPA	5.9	67.0	151	46,297
Mead-Adelanto Project	SCPPA	68.0	36.0	313	58,073
Mead-Phoenix Project	SCPPA	17.8 – 22.4	25.0	148	12,538
Southern Transmission System	SCPPA	100.0	60.0	1,429	483,815
Milford I Wind	SCPPA	100.0	93.0	188	212,417
Windy Point	SCPPA	100.0	92.0	242	462,219
Linden Wind Energy	SCPPA	100.0	90.0	45*	122,234
Milford II Wind	SCPPA	100.0	95.0	97	149,746

* For the first three years, Power System will receive 100% (50 MWs), unless City of Glendale exercises its option to take 10%.

IPA – The Intermountain Power Agency (IPA) is an agency of the State of Utah established to own, acquire, construct, operate, maintain, and repair the Intermountain Power Project (IPP). The Power System serves as the project manager and operating agent of IPP.

SCPPA – The Southern California Public Power Authority is a California Joint Powers Agency that finances the construction or acquisition of generation, transmission and renewable energy projects.

The above agreements require the Power System to make certain minimum payments, which are based primarily upon debt service requirements. In addition to average annual fixed charges of approximately $357 million during each of the next five years, the Power System is required to pay for operating and maintenance costs related to actual deliveries of energy under these agreements (averaging approximately $526 million annually during each of the next five years). The Power System made total payments under these agreements of approximately $751 million and $678 million in fiscal years 2012 and 2011, respectively. These agreements are scheduled to expire from 2027 to 2035.

The Power System earned fees under the IPP project manager and operating agent agreements totaling $18.9 million and $20.8 million in fiscal years 2012 and 2011, respectively.

(a) Long-Term Notes Receivable

Under the terms of its purchase power agreement with IPA, the Department is charged for its output entitlements based on its share of IPA's costs, including debt service. During fiscal year 2000, the Department restructured a portion of this obligation by transferring $1.11 billion to IPA in exchange for long-term notes receivable. The funds transferred were obtained from the debt reduction trust funds and through the issuance of new variable rate debentures (see notes 7 and 10). IPA used the proceeds from these transactions to defease and to tender bonds with par values of approximately $618 million and $611 million, respectively.

On September 7, 2000, the Department paid $187 million to IPA in exchange for additional long-term notes receivable. IPA used the proceeds to defease bonds with a face value of $198 million.

On July 20, 2005, the Department paid $97 million to IPA in exchange for additional long-term notes receivable. IPA used the proceeds to defease bonds with a face value of $92 million.

The IPA notes are subordinate to all of IPA's publicly held debt obligations. The Power System's future payments to IPA will be partially offset by interest payments and principal maturities from the subordinated notes receivable. The net IPA notes receivable balance totaled $904 million and $1.005 billion as of June 30, 2012 and 2011, respectively.

The IPA notes pay interest and principal monthly and mature on July 1, 2023. The interest rates range from 1.9% to 14.2%, subject to adjustments related to IPA bond refundings.

(b) Energy Entitlement

The Department has a contract through 2017 with the U.S. Department of Energy for the purchase of available energy generated at the Hoover Power Plant. The Department's contractual share of

contingent capacity at Hoover is 491 MW (maximum rated capability). The cost of power (approximately 455 MW of capacity and 599,000 MWH of energy) purchased under this contract, including the Lower Colorado River Basin Development Fund Contribution Charge, was approximately $18 million and $17 million as of June 30, 2012 and 2011, respectively.

On December 20, 2011, the President signed H.R. 470, the "Hoover Power Allocation Act of 2011," into law. The legislation reallocates, for 50 more years, power from the Hoover Dam Power Plant to existing contractors while creating an additional pool of 5% power for new entrants.

The Department has a contract through 2026 with SCPPA for the purchase of available energy generated at the Pebble Springs Wind Project located in Gilliam County, Oregon. The Power System's share of capacity at Pebble Springs is approximately 69 MWs (maximum capacity). The cost of power purchased under this contract was $18 million as of June 30, 2012 and 2011.

(c) Electricity Swap and Forward Contracts

In order to obtain the highest market value on energy that is sold into the wholesale market, the Department monitors the sales price of energy, which varies based on which hub the energy is to be delivered. There are three primary hubs within the Department's transmission region: Palo Verde, California Oregon Border, and Mead. The Department enters into various locational swap transactions with other electric utilities in order to effectively utilize its transmission capacity and to achieve the most economical exchange of energy purchased and sold.

The Department procures renewable energy resources located remotely. These resources provide intermittent and limited source of energy and these resources are not directly connected to the Department's transmission system. In order to receive firm renewable energy, the Department entered into a green for green energy exchange with the same or different Renewable Energy Credit source.

The Department enters into power and natural gas forward contracts in order to meet the electricity requirements to serve its customers. To assist the Department in achieving its Renewable Portfolio Standards (RPS) goal of 20%, some of the forward purchases made are renewable energy and biomethane gas.

The Department does not enter into swap and forward transactions for trading purposes. All of these transactions are intended to be used in the Department's normal course of operations. The Department is exposed to risk of nonperformance if the counterparties default or if the swap agreements are terminated.

As of June 30, 2012, the Power System had the following Electricity Swap and Forward Contracts, which are not recorded in the Power System's financial statements based on the criteria in GASB No. 53 (amounts in thousands):

Description	Notional amount (total contract quantities)	Contract price range dollar per unit	First effective date	Last termination date	Fair value	Cash paid at inception
Electricity swaps:						
Purchases	325,760 MW	$ 29.00 – 34.75	07/01/12	12/31/12	$ (10,101)	—
Sales	325,760 MW	33.31 – 35.50	07/01/12	12/31/12	10,953	—
Forward contracts:						
Electricity	260,274 MW	12.00 – 47.98	07/01/12	06/30/13	604	—
Natural gas	50,314,600 MMBtu	5.49 – 10.85	07/01/12	10/31/21	(295,805)	—

As of June 30, 2011, the Power System had the following Electricity Swap and Forward Contracts, which are not recorded in the Power System's financial statements (amounts in thousands):

Description	Notional amount (total contract quantities)	Contract price range dollar per unit	First effective date	Last termination date	Fair value	Cash paid at inception
Electricity swaps:						
Purchases	264,960 MW	$ 44.20 – 46.90	07/01/11	12/31/11	$ (816)	—
Sales	264,960 MW	46.70 – 49.40	07/01/11	12/31/11	1,478	—
Forward contracts:						
Electricity	600,160 MW	9.52 – 75.67	07/01/11	12/31/11	(2,328)	—
Natural gas	26,782,400 MMBtu	5.28 – 9.80	07/01/11	07/31/14	(91,108)	—

(7) Cash, Cash Equivalents, and Investments

(a) Restricted and Other Investments

A summary of the Power System's restricted and other investments is as follows (amounts in thousands):

	June 30	
	2012	2011
Restricted and other investments:		
Restricted investments:		
Debt Reduction Trust Funds	$ 490,444	485,609
Nuclear Decommissioning Trust Funds	123,627	120,008
Natural Gas Trust Fund	268	129
Hazardous Waste Treatment Trust Fund	2,177	2,165
SCPPA Palo Verde investment	22,605	26,497
Total restricted investments	$ 639,121	634,408

The Power System also has $0 and $69,534 of cash collateral received from securities lending transactions in the City's securities lending program as of June 30, 2012 and 2011, respectively (see notes 7(b) and 8).

All restricted and other investments are to be used for a specific purpose as follows:

Debt Reduction Trust Funds

The debt reduction trust funds were established during fiscal year 1997 to provide for the payment of principal and interest on long-term debt obligations and purchased power obligations arising from the Department's participation in IPP and SCPPA (see note 6). The Department has transferred funds from purchased power precollections into these trust funds. Funds from operations may also be transferred by management as funds become available.

Nuclear Decommissioning Trust Funds

Nuclear decommissioning trust funds will be used to pay the Department's share of decommissioning PVNGS at the end of its useful life (see note 1).

Natural Gas Trust Fund

The natural gas trust fund was established to serve as depository to pay for costs and to post margin or collateral in connection with contracts for the purchase and delivery of financial transactions for natural gas. These transactions are entered into to stabilize the natural gas portion of the Department's fuel for generation costs.

Hazardous Waste Treatment Storage and Disposal Trust Fund

The hazardous waste treatment storage and disposal trust fund was established to provide financial assurance for closure of the Main Street treatment and disposal facility.

SCPPA Palo Verde Investment

The SCPPA Palo Verde investment is a fixed rate investment held by SCPPA to be drawn down over the next six years to pay for purchased power obligations arising from the Department's participation in the SCPPA Palo Verde project. The fixed interest rate is 4.97% and the maturity date is June 25, 2017.

As of June 30, 2012, the Power System's securities lending cash collateral and restricted investments and their maturities are as follows (in thousands):

		Investment maturities				
Investment type	**Fair value**	**1 to 30 days**	**31 to 60 days**	**61 to 365 days**	**366 days to 5 years**	**Over 5 years**
U.S. agencies	$ 358,744	—	—	6,374	288,421	63,949
Medium-term corporate notes	113,650	388	1,004	35,215	77,043	—
Commercial paper	39,726	4,999	—	34,727	—	—
Certificates of deposit	35,022	11,001	—	24,021	—	—
California local agency bonds	42,614	5,000	—	16,287	21,327	—
California state bonds	8,718	—	—	—	8,718	—
Bankers' acceptances	505	—	—	505	—	—
Money market funds	17,537	17,537	—	—	—	—
SCPPA Palo Verde investment	22,605	—	—	—	22,605	—
	$ 639,121	38,925	1,004	117,129	418,114	63,949

As of June 30, 2011, the Power System's securities lending cash collateral and restricted investments and their maturities are as follows (in thousands):

		Investment maturities				
Investment type	**Fair value**	**1 to 30 days**	**31 to 60 days**	**61 to 365 days**	**366 days to 5 years**	**Over 5 years**
U.S. agencies	$ 393,849	5,005	—	—	313,479	75,365
Medium-term corporate notes	43,335	5,484	5,546	10,931	21,374	—
Commercial paper	95,775	16,804	23,297	55,674	—	—
Certificates of deposit	27,005	12,000	10,001	5,004	—	—
Municipal commercial paper	5,000	—	5,000	—	—	—
California local agency bonds	23,543	12,775	—	6,686	4,082	—
California state bonds	—	—	—	—	—	—
Bankers' acceptances	500	—	500	—	—	—
Money market funds	18,904	18,904	—	—	—	—
SCPPA Palo Verde investment	26,497	—	—	—	—	26,497
	$ 634,408	70,972	44,344	78,295	338,935	101,862

i. Interest Rate Risk

The Department's investment policy limits the maturity of its investments to a maximum of 30 years for U.S. government agency securities; 5 years for medium-term corporate notes, California local agency obligations, and California state obligations and municipal bonds; 270 days for commercial paper; 397 days for certificates of deposit; 180 days for bankers' acceptances; and 45 days for repurchase agreements purchased with cash collateral from securities lending agreements.

ii. Credit Risk

Under its investment policy and the Code, the Department is subject to the prudent investor standard of care in managing all aspects of its portfolios. The prudent investor standard requires that the Department "…shall act with care, skill, prudence, and diligence under the circumstances then prevailing, including, but not limited to, the general economic conditions and the anticipated needs of the agency, that a prudent person acting in a like capacity and in familiarity with those matters would use in the conduct of funds of a like character and with like aims, to safeguard the principal and maintain the liquidity needs of the agency."

The U.S. government agency securities in the portfolio consist of securities issued by government-sponsored enterprises, which are not explicitly guaranteed by the U.S. government. Of the U.S. government agency securities in the portfolio as of June 30, 2012, $330,708,464 (92%) was rated with either the highest or second highest possible credit ratings by the Nationally Recognized Statistical Rating Organizations (NRSROs) that rated them and $28,035,284 (8%) was not rated. As of June 30, 2011, the U.S. government securities in the portfolio carried the highest possible ratings by all of the NRSROs that rated them.

The Department's investment policy specifies that medium-term corporate notes must be rated in a rating category of "A" or its equivalent or better by a NRSRO. Of the Power System's investments in corporate notes as of June 30, 2012, $8,067,221 (7%) was rated in the category of AAA, $59,342,325 (52%) was rated in the category of AA and $45,848,830 (40%) was rated in the category of A by at least one NRSRO. The remaining $387,999 (less than 1%) of investments in corporate notes were not rated. Of the Power System's investments in corporate notes as of June 30, 2011, $38,748,005 (89%) was rated in the category of AA and $4,112,825 (10%) was rated in the category of A by at least one NRSRO. The remaining $474,169 (1%) of investments in corporate notes were not rated.

The Department's investment policy specifies that commercial paper must be of the highest ranking or of the highest letter and number rating as provided for by at least two NRSROs. As of June 30, 2012 and 2011, all of the Power System's investments in commercial paper were rated with at least the highest letter and number rating as provided by at least two NRSROs.

The Department's investment policy specifies that negotiable certificates of deposit must be of the highest ranking or letter and number rating as provided for by at least two NRSROs and that for nonnegotiable certificates of deposit, the full amount of principal and interest is insured by the Federal Deposit Insurance Corporation (FDIC) or National Credit Union Administration. As of June 30, 2012, the Power System's investments in certificates of deposits included $34,021,657 of negotiable certificates of deposit with at least the highest letter and number rating as provided by at least two NRSROs and $1,000,000 of nonnegotiable certificates of deposit fully insured by the FDIC. As of June 30, 2011, the Power System's investments in certificates of deposits included $26,005,303 of negotiable certificates of deposit with at least the highest letter and number rating as provided by at least two NRSROs and $1,000,000 of nonnegotiable certificates of deposit fully insured by the FDIC. The

Department's investment policy specifies that California local agency obligations, which include municipal commercial paper, must be rated in a rating category of "A" or its equivalent or better by a NRSRO. Of the Power System's investments in California municipal commercial paper as of June 30, 2011, $5,000,000 (100%) was rated with the highest short-term letter and number rating by two NRSROs. Of the Power System's investments in California local agency bonds as of June 30, 2012, $6,034,780 (14%) was rated in the category of AAA; $17,101,513 (40%) was rated in the category of AA; $6,205,572 (15%) was rated in the category of A; and $13,272,640 (31%) was rated with the highest short-term ranking as provided by at least one NRSRO. Of the Power System's investments in California local agency bonds as of June 30, 2011, $9,767,100 (41%) was rated in the category of AAA; $6,744,355 (29%) was rated in the category of AA; $2,026,557 (9%) was rated in the category of A; and $5,004,500 (21%) was rated with the highest short-term ranking as provided by at least one NRSRO.

The Department's investment policy specifies that State of California obligations must be rated in a rating category of "A" or its equivalent or better by a NRSRO. As of June 30, 2012, all of the Power System's investments in State of California Obligations were rated in the rating category of A by at least one NRSRO. As of June 30, 2011, the Power System did not hold any investments in State of California obligations.

The Department's investment policy specifies that banker's acceptances must be of the highest ranking or letter and number rating as provided for by at least two NRSROs. As of June 30, 2012 and 2011, all of the Power System's investments in banker's acceptances were rated with the highest letter and number rating as provided by three NRSROs.

The Department's investment policy specifies that money market funds may be purchased as allowed under the Code, which requires that the fund must have either 1) attained the highest ranking or highest letter and numerical rating provided by not less than two NRSROs or 2) retained an investment advisor registered or exempt from registration with the Securities and Exchange Commission with not less than five years' experience in managing money market mutual funds with assets under management in excess of $500 million. As of June 30, 2012 and 2011, each of the money market funds in the portfolio had the highest possible ratings by at least two NRSROs.

iii. Concentration of Credit Risk

The Department's investment policy specifies that there is no percentage limitation on the amount that can be invested in U.S. government agency securities, except that a maximum of 30% of the cost value of the portfolio may be invested in the securities of any single U.S. government agency issuer.

Of the Power System's total investments as of June 30, 2012, $121,438,988 (19%) was invested in securities issued by the Federal National Mortgage Association; $88,677,400 (14%) was invested in securities issued by the Federal Home Loan Mortgage Corporation; $85,555,628 (13%) was invested in securities issued by the Federal Home Loan Bank; and $35,036,448 (5%) was invested in securities issued by the Federal Farm Credit Bank.

Of the Power System's total investments as of June 30, 2011, $147,535,173 (23%) was invested in securities issued by the Federal National Mortgage Association; $128,982,034 (20%) was invested in securities issued by the Federal Home Loan Mortgage Corporation; and $101,033,649 (16%) was invested in securities issued by the Federal Home Loan Bank.

(b) Pooled Investments

The Power System's cash, cash equivalents, and its collateral value of the City's securities lending program (SLP) are included within the City Treasury's general and special investment pool (the Pool). As of June 30, 2012 and 2011, the Power System's share of the City's general and special investment pool was $833,850,000 and $1,492,530,000, which represents approximately 10% and 17% of the Pool, respectively.

The cash balances of substantially all funds on deposit in the City Treasury are pooled and invested by the City Treasurer for the purpose of maximizing interest earnings through pooled investment activities but safety and liquidity still take precedence over return. Interest earned on pooled investments is allocated to the participating funds based on each fund's average daily deposit balance during the allocation period with all remaining interest allocated to the General Fund. Investments in the City Treasury are stated at fair value based on quoted market prices except for commercial paper and money market investments that have remaining maturities of one year or less at time of purchase, which are reported at amortized cost.

Pursuant to California Government Code Section 53607 and the Los Angeles City Council File No. 94-2160, the City Treasury shall render to the City Council a statement of investment policy (the Policy) annually. City Council File No. 09-3050 was adopted on January 27, 2010 as the City's investment policy. This Policy shall remain in effect until the Los Angeles City Council and the Mayor approve a subsequent revision. The Policy governs the City's pooled investment practices. The Policy addresses soundness of financial institutions in which the City Treasurer will deposit funds and types of investment instruments permitted by California Government Code Sections 53600-53635 and 16429.1.

Examples of investments permitted by the Policy are obligations of the U.S. Treasury and government agencies, commercial paper notes, certificates of deposit (CD) placement service, bankers' acceptances, medium-term notes, mutual funds, money market mutual funds, and the State of California Local Agency Investment Fund.

At June 30, 2012, the investments held in the City Treasury's General and Special Investment Pool Programs and their maturities are as follows (in thousands):

		Investment Maturities				
Type of Investments	**Amount**	**1 to 30 Days**	**31 to 60 Days**	**61 to 365 Days**	**366 Days To 5 Years**	**Over 5 Years**
U.S. Treasury Notes	$ 3,773,466	1,988	—	62,617	3,689,504	19,357
U.S. Treasury Bills	37,004	28,035	6,009	2,960	—	—
U.S. Sponsored Agency Issues	2,018,682	164,006	562,587	207,749	1,073,235	11,105
Medium term notes	1,318,929	14,500	—	195,072	1,109,357	—
Commercial paper	829,790	741,152	88,638	—	—	—
Certificates of deposit	6,000	—	—	6,000	—	—
Short term investment funds	4,447	4,447	—	—	—	—
Total general and special pools	$ 7,988,318	954,128	657,234	474,398	5,872,096	30,462

Interest Rate Risk. The Policy limits the maturity of its investments to five years for the U.S. Treasury and government agency securities, medium term notes, CD placement service, collateralized bank deposits, mortgage pass-through securities, and bank/time deposits; one year for repurchase agreements; 270 days for commercial paper; 180 days for bankers' acceptances, and 92 days for reverse repurchase agreements. The Policy also allows City funds with longer-term investments horizons, to be invested in securities that at the time of the investment have a term remaining to maturity in excess of five years, but with a maximum final maturity of thirty years.

Credit Risk. The Policy establishes minimum credit ratings requirement for investments. There is no credit quality requirement for local agency bonds, U.S. Treasury Obligations, State of California Obligations, California Local Agency Obligations, and U.S. Sponsored Agencies (U.S. government sponsored enterprises) securities. The City's $2.0 billion investments in U.S. government sponsored enterprises consist of securities issued by the Federal Home Loan Bank – $581.8 million, Federal National Mortgage Association – $602.4 million, Federal Home Loan Mortgage Corporation – $646.1 million, Federal Farm Credit Bank – $124.0 million, and Tennessee Valley Authority – $64.4 million. Of the City's $2.0 billion investments in U.S. Sponsored Agencies securities, $1,253.9 million were rated "AA+" by S&P and "Aaa" by Moody's; $764.8 million were not rated individually by S&P nor Moody's (issuers of these securities are rated "A-1+" by S&P and "P-1" by Moody's).

Medium term notes must be issued by corporations organized and operating within the United States or by depository institutions licensed by the United States or any state and operating within the United States. Medium term notes must have at least an "A" rating. The City's $1.3 billion investments in medium term notes consist of securities issued by banks and corporations that comply with these requirements and were rated "A" or better by S&P and "A3" or better by Moody's. Subsequent to purchase, two issuers representing $27.5 million (2.1%) in investments were downgraded to "BBB+" by S&P.

Commercial paper issues must have a minimum of "A-1" or equivalent rating. If the issuer has issued long-term debt, it must be rated "A" without regard to modifiers. Issuing corporation must be

organized and operating within the United States and have assets in excess of $500.0 million. Of the City's $829.8 million investments in commercial paper, $709.8 million were rated A-1+/A-1 by S&P and P-1 by Moody's; $120.0 million were not rated individually by S&P nor Moody's. The issuers of the certificates of deposit were not rated.

Concentration of Credit Risk. The Policy does not allow more than 40% of its investment portfolio be invested in commercial paper and bankers' acceptances, 30% in certificates of deposit and medium term notes, 20% in mutual funds, money market mutual funds and mortgage pass-through securities. The Policy further provides for a maximum concentration limit of 10% in any one issuer of commercial paper as well as in any one mutual fund, and 30% in bankers' acceptances of any one commercial bank. There is no percentage limitation on the amount that can be invested in the U.S. government agencies. The City's pooled investments comply with these requirements. GAAP requires disclosure of certain investments in any one issuer that represent 5% or more of total investments. Of the City's total pooled investments as of June 30, 2012, $581.8 million (7%) was invested in securities issued by the Federal Home Loan Bank, $646.1 million (8%) was invested in securities issued by Federal Home Loan Mortgage Corporation, and $602.4 million (8%) was invested in securities issued by Federal National Mortgage Association.

At June 30, 2011, the investments held in the City Treasury's General and Special Investment Pool Programs and their maturities are as follows (in thousands):

		Investment maturities				
Type of investments	**Amount**	**1 to 30 Days**	**31 to 60 Days**	**61 to 365 Days**	**366 Days to 5 years**	**Over 5 years**
U.S. Treasury notes	$ 3,541,794	—	—	38,482	3,490,201	13,111
U.S. Treasury bills	92,789	5,984	15,864	70,941	—	—
U.S. Sponsored Agency Issues	2,563,178	455,933	110,660	782,630	1,212,938	1,017
Medium-term notes	1,126,648	—	—	148,980	977,668	—
Commercial paper	607,177	388,945	130,749	87,483	—	—
Certificates of deposit	8,000	—	—	8,000	—	—
Short-term investment funds	22,425	22,425	—	—	—	—
Securities lending cash collateral:						
U.S. Treasury notes	406,157	—	—	—	406,157	—
U.S. Sponsored Agency Issues	259,335	—	—	—	259,335	—
Total general and special pools	$ 8,627,503	873,287	257,273	1,136,516	6,346,299	14,128

Interest Rate Risk. The Policy limits the maturity of its investments to five years for the U.S. Treasury and government agency securities, medium-term notes, CD placement service, collateralized bank deposits, mortgage pass-through securities, and bank/time deposits; one year for repurchase agreements; 270 days for commercial paper; 180 days for bankers' acceptances, and 92 days for reverse repurchase agreements. The Policy also allows City funds with longer-term investments horizons, to be invested in securities that at the time of the investment have a term remaining to maturity in excess of five years, but with a maximum final maturity of thirty years.

Credit Risk. The Policy establishes minimum credit ratings requirements for investments. There is no credit quality requirement for local agency bonds, U.S. Treasury Obligations, State of California Obligations, California Local Agency Obligations, and U.S. Sponsored Agencies (U.S. government sponsored enterprises) securities. The City's $2.6 billion investments in U.S. government sponsored enterprises consist of securities issued by the Federal Home Loan Bank – $866.0 million, Federal National Mortgage Association – $748.1 million, Federal Home Loan Mortgage Corporation – $738.9 million, Federal Farm Credit Bank – $164.4 million, Tennessee Valley Authority – $37.9 million, and Federal Agricultural Mortgage Corporation – $7.8 million. Of the City's $2.6 billion investments in U.S. Sponsored Agencies securities, $1,733.9 million are rated "AAA" by S&P and "Aaa" by Moody's; $821.5 million are not rated individually by S&P nor Moody's (issuers of these securities are rated "A-1+" by S&P and "P-1" by Moody's); and $7.8 million are not rated. In August 2011, Standard & Poor's lowered the long-term U.S. debt credit rating from "AAA" to "AA+." This downgrade affects the credit risk associated with the City's investments in certain U.S. Sponsored Agencies securities.

Medium-term notes must be issued by corporations organized and operating within the United States or by depository institutions licensed by the United States or any state and operating within the United States. Medium-term notes must have at least an "A" rating. The City's $1.1 billion investments in medium-term notes consist of securities issued by banks and corporations that comply with these requirements and were rated "A" or better by S&P and "A3" or better by Moody's.

Commercial paper issues must have a minimum of "A-1" or equivalent rating. If the issuer has issued long-term debt, it must be rated "A" without regard to modifiers. Issuing corporation must be organized and operating within the United States and have assets in excess of $500.0 million.

The City's $607.2 million investments in commercial paper comply with these requirements and were rated "A-1+/A-1" by S&P and "P-1" by Moody's.

The issuers of the certificates of deposit were not rated.

Concentration of Credit Risk. The Policy does not allow more than 40% of its investment portfolio be invested in commercial paper and bankers' acceptances, 30% in certificates of deposit and medium-term notes, 20% in mutual funds, money market mutual funds, and mortgage pass-through securities. The Policy further provides for a maximum concentration limit of 10% in any one issuer of commercial paper as well as in any one mutual fund, and 30% in bankers' acceptances of any one commercial bank. There is no percentage limitation on the amount that can be invested in the U.S. government agencies. The City's pooled investments comply with these requirements. GAAP requires disclosure of certain investments in any one issuer that represent 5% or more of total investments. Of the City's total pooled investments as of June 30, 2011, $866.0 million (10%) was invested in securities issued by the Federal Home Loan Bank, $738.9 million (9%) was invested in securities issued by Federal Home Loan Mortgage Corporation, and $748.1 million (9%) was invested in securities issued by Federal National Mortgage Association.

(8) Securities Lending Transactions

The Power System participates in an SLP. As of June 30, 2012 and 2011, amounts held in the City of Los Angeles Program are as follows (collateral amounts in thousands):

Program	June 30 2012	June 30 2011
City of Los Angeles Program	$ —	69,534

General Investment Pool Program

The Power System participates in the City's SLP through the pooled investment fund. The Department recognizes its proportionate share of the cash collateral received for securities loaned and the related obligation for the general investment pool. Securities lending is permitted and limited under provisions of California Government Code Section 53601. The City Council approved the SLP on October 22, 1991 under Council File No. 91–1860, which complies with the California Government Code. The objectives of the SLP in priority order are: safety of loaned securities and prudent investment of cash collateral to enhance revenue from the investment program. The SLP is governed by a separate policy and guidelines.

The City's custodial bank acts as the securities lending agent. In the event a counterparty defaults by reason of an act of insolvency, the bank shall take all actions which it deems necessary or appropriate to liquidate permitted investment and collateral in connection with such transaction and shall make a reasonable effort for two business days (Replacement Period) to apply the proceeds thereof to the purchase of securities identical to the loaned securities not returned. If during the Replacement Period the collateral liquidation proceeds are insufficient to replace any of the loaned securities not returned, the bank shall, subject to payment by the City of the amount of any losses on any permitted investments, pay such additional amounts as necessary to make such replacement.

Under the provisions of the SLP, and in accordance with the California Government Code, no more than 20% of the market value of the General Investment Pool (the Pool) is available for lending. The City receives cash as collateral on loaned securities, which is reinvested in securities permitted under the Policy. In accordance with the California Government Code, the securities lending agent marks to market the value of both the collateral and the reinvestments daily. Except for open loans where either party can terminate a lending contract on demand, term loans have a maximum life of 92 days. Earnings from securities lending accrue to the Pool and are allocated on a pro rata basis to all Pool participants.

During the fiscal year 2012, collateralizations on all loaned securities were compliant with the required 102% of the market value. The City can sell collateral securities only in the event of borrower default. The lending agent provides indemnification for borrower default. There were no violations of legal or contractual provisions and no borrower or lending agent default losses during the fiscal year. There was no credit risk exposure to the City because the amounts owed to the borrowers exceeded the amounts borrowed. Loaned securities are held by the City's agents in the City's name and are not subject to custodial credit risk. On May 31, 2012, the City temporarily suspended its SLP due to ongoing Request for Proposals (RFP) for a securities lending agent. The City will likely resume its SLP upon execution of a contract with a selected agent.

(9) Derivative Instruments

In June 2008, GASB issued GASB No. 53. The statement specifically requires governments to measure and report most derivative instruments at fair value in their financial statements that are prepared using the economic resources measurement focus and the accrual basis of accounting. The requirement of reporting the derivative instruments at fair value on the face of the basic financial statements gives the users of those statements a clearer look into the risks their governments are sometimes exposed to when they enter into these transactions and how those risks are managed. The statement also addresses hedge accounting requirements and improves disclosures, providing a summary of the government's derivative instrument activity, its objectives for entering into derivative instruments, and their significant terms and risks. The Power System implemented GASB No. 53 in the 2010 fiscal year.

In accordance with GASB No 53, the Power System records the fair value of its hedging derivative instruments, financial natural gas hedges, on the statement of net assets. As of June 30, 2012 and 2011, the fair values of the financial natural gas hedges were approximately $(91.3) million and approximately $(73.8) million, respectively.

(a) Financial Natural Gas Hedges

The Department enters into natural gas hedging contracts in order to stabilize the cost of gas needed to produce electricity to serve its customers. It is designed to cap gas prices over a portion of the forecasted gas requirements.

The Department does not speculate when entering into financial transactions. Financial hedges are variable to fixed rate swaps and are layered by volumetric averaging. The Department is exposed to financial settlement risk if the counterparties default and/or the agreements are terminated.

As of June 30, 2012, the Power System's financial natural gas hedges by fiscal year are the following (amounts in thousands):

Derivative description	Notional amount (Total contract quantities*)	Contract price range dollar per unit	First effective date	Last termination date	Fair value	Cash paid at derivative inception
Financial natural gas:						
FY 2012-13	$ 6,387,500	5.96 – 8.31	07/01/12	06/30/13	$ (24,631)	—
FY 2013-14	5,027,000	6.37 – 8.31	07/01/13	06/30/14	(17,221)	—
FY 2014-15	5,384,500	6.37 – 9.38	07/01/14	06/30/15	(18,412)	—
FY 2015-16	4,488,000	6.42 – 9.85	07/01/15	06/30/16	(15,312)	—
FY 2016-17	3,197,500	6.61 – 9.83	07/01/16	06/30/17	(10,317)	—
FY 2017-18	2,190,000	6.76 – 7.14	07/01/17	06/30/18	(5,403)	—
Total	$ 26,674,500	5.96 – 9.85	07/01/11	06/30/18	$ (91,296)	—

* Contract quantities in MMBtu – Million British Thermal Units.

As of June 30, 2011, the Power System's financial natural gas hedges by fiscal year were the following (amounts in thousands):

Derivative description	Notional amount (Total contract quantities*)	Contract price range dollar per unit	First effective date	Last termination date	Fair value	Cash paid at derivative inception
Financial natural gas:						
FY 2011-12	$ 8,240,000	5.53 – 8.27	07/01/11	06/30/12	$ (21,267)	—
FY 2012-13	6,387,500	5.96 – 8.31	07/01/12	06/30/13	(14,355)	—
FY 2013-14	5,027,000	6.37 – 8.31	07/01/13	06/30/14	(10,712)	—
FY 2014-15	5,384,500	6.37 – 9.38	07/01/14	06/30/15	(11,357)	—
FY 2015-16	4,488,000	6.42 – 9.85	07/01/15	06/30/16	(8,865)	—
FY 2016-17	3,197,500	6.61 – 9.83	07/01/16	06/30/17	(5,320)	—
FY 2017-18	2,190,000	6.76 – 7.14	07/01/17	06/30/18	(1,894)	—
Total	$ 34,914,500	5.53 – 9.85	07/01/11	06/30/18	$ (73,770)	—

* Contract quantities in MMBtu – Million British Thermal Units.

The fair value of the natural gas hedges decreased by $17.5 million and is reported as a deferred outflow on the statement of net assets. All fair values were estimated using forward market prices available from broker quotes and exchanges.

(b) Credit Risk

The Power System is exposed to credit risk related to nonperformance by its wholesale counterparties under the terms of contractual agreements. In order to limit the risk of counterparty default, the Department has implemented a Wholesale Marketing Counterparty Evaluation Policy, which was amended and renamed as Counterparty Evaluation Credit Policy (the Counterparty Policy), and was approved by the Board on May 6, 2008. Under the new policy, the scope has been expanded beyond physical power to include transmission, physical natural gas, and financial natural gas. Also, the credit limit structure has been categorized into short-term and long-term structures where the short-term structure is applicable to transactions with terms of up to 18 months and the long-term structure to cover transactions beyond 18 months.

The Policy includes provisions to limit risk including: the assignment of internal credit ratings to all Department's counterparties based on counterparty and/or debt ratings; the use of expected default frequency equivalent credit rating for short-term transactions; the requirement for credit enhancements (including advance payments, irrevocable letters of credit, escrow trust accounts, and parent company guarantees) for counterparties that do not meet an acceptable level of risk; and the use of standardized agreements, which allow for the netting of positive and negative exposures associated with a single counterparty.

As of June 30, 2012, the 10 financial natural gas hedge counterparties were rated by Moody's as follows: three at Aa3, three at A2, three at A3, and one at Baa1. The counterparties were rated by S&P as follows: two at AA-, two at A+, four at A, and two at A-. As of June 30, 2011, the 11

financial natural gas hedge counterparties were rated by Moody's as follows: two at Aa1, one at Aa2, two at Aa3, three at A1, and three at A2. The counterparties were rated by S&P as follows: one at AA, three at AA-, two at A+, and five at A.

Based on the International Swap Dealers Association agreements, the Department or the counterparty may be required to post collateral to support the financial natural gas hedges subject to credit risk in the form of cash, negotiable debt instruments (other than interest-only and principal-only securities), or eligible letters of credit. Collateral posted is held by a custodian. As of June 30, 2012 and 2011, the fair values of the financial natural gas hedges are within the credit limits and collateral posting was not required.

(c) Basis Risk

The Department is exposed to basis risk between the financial natural gas hedges, which are settled monthly at NW Rocky Mountains Index, and the hedged gas deliveries, which are daily spot purchases at Kern River, Opal prices. However, these pricing points are in the same region and are highly correlated.

(d) Termination Risk

The Power System or its counterparties may terminate the contractual agreements if the other party fails to perform under the terms of the contract. No termination events have occurred and there are no out-of-the-ordinary termination events contained in contractual documents.

(10) Long-Term Debt

Long-term debt outstanding as of June 30, 2012 and 2011 consists of revenue bonds and refunding revenue bonds due serially in varying annual amounts as follows (amounts in thousands):

Bond issues	Date of issue	Effective-interest rate	Fiscal year of last scheduled maturity	Principal outstanding 2012	Principal outstanding 2011
Issue of 2001, Series B	06/05/01	Variable	2035	$ 580,800	580,800
Issue of 2001, Series C1	11/15/01	4.788	2017	2,003	2,976
Issue of 2002, Series A	08/22/02	Variable	2036	388,500	388,500
Issue of 2002, Series C2	11/22/02	4.375	2018	8,094	8,208
Issue of 2003, Series A1	07/31/03	3.409	2017	184,955	224,150
Issue of 2003, Series A2	08/19/03	4.662	2032	515,830	515,830
Issue of 2003, Series B	08/28/03	5.013	2036	128,225	128,225
Issue of 2004, Series C3	04/07/04	4.298	2020	7,229	7,369
Issue of 2005, Series A1	12/28/05	4.700	2041	544,285	556,170
Issue of 2005, Series A2	12/28/05	4.700	2031	315,195	315,195
Issue of 2006, Series C4	03/01/06	4.040	2017	5,204	6,339
Issue of 2007, Series A1	10/18/07	4.659	2040	333,630	334,630
Issue of 2007, Series A2	10/18/07	4.638	2033	191,125	191,125
Issue of 2008, Series A1	11/25/08	5.583	2039	200,000	200,000
Issue of 2008, Series A1	11/25/08	5.039	2033	343,420	350,000
Issue of 2009, Series A	02/19/09	4.773	2040	121,355	122,260
Issue of 2009, Series B	06/02/09	4.563	2025	172,125	172,125
Issue of 2010, Series A	06/02/10	3.898	2041	616,000	616,000
Issue of 2010, Series B	06/02/10	3.015	2023	50,800	51,030
Issue of 2010, Series C	08/25/10	2.188	2028	139,775	139,775
Issue of 2010, Series D	12/02/10	4.342	2046	760,200	760,200
Issue of 2011, Series A	06/30/11	2.715	2023	694,130	694,130
Total principal amount				6,302,880	6,365,037
Revenue certificates				200,000	200,000
Unamortized premiums, discounts, and debt-related costs (including net loss on					

interest and of future annual aggregate bond interest and principal maturities. Revenue bonds and refunding bonds are collateralized by the future revenues of the Power System.

(a) Long-Term Debt Activity

The Power System had the following activity in long-term debt for the fiscal years ended June 30, 2012 and 2011 (amounts in thousands):

	Balance, July 1, 2011	Additions	Reductions	Balance, June 30, 2012	Current portion
Long-term debt:					
Bonds	$ 6,476,599	—	(75,549)	6,401,050	226,582
Revenue certificates	200,000	—	—	200,000	20,000
Total	$ 6,676,599	—	(75,549)	6,601,050	246,582

	Balance, July 1, 2010	Additions	Reductions	Balance, June 30, 2011	Current portion
Long-term debt:					
Bonds	$ 5,751,444	1,684,277	(959,122)	6,476,599	158,885
Revenue certificates	200,000	—	—	200,000	20,000
Total	$ 5,951,444	1,684,277	(959,122)	6,676,599	178,885

(b) New Issuances

Fiscal Year 2012

The Power System did not issue any new money or refunding Power System Revenue Bonds for fiscal year 2012.

Fiscal Year 2011

In August 2010, the Power System issued $139.8 million of Power System Revenue Bonds, 2010 Series C. The net proceeds of $138.7 million, net of $1.1 million cost of issuance and underwriter's discount, were deposited into the construction fund to be used for renewable energy projects. The Power 2010 Series C Bonds, designated as direct payment new Clean Renewable Energy Bonds (CREBs) and Qualified Energy Conservation Bonds (QECBs), enabled the Department to receive subsidy payments from the U.S. Treasury equal to 3.37% representing 70.00% of the tax credit rate of 4.81% (the credit rate determined under Section 54(A)(b)(3) of the Internal Revenue Code of 1986). The financing provided a weighted average life of 16.9 years, an average coupon rate of 5.52% and an effective interest rate of 2.21% (net of the tax subsidy). The Power System received subsidy payments totaling $250,563 for the CREBs and $3,749,727 for the QECBs during the fiscal year ended June 30, 2011. These subsidies are recorded as federal bond subsidies on the Statements of Revenue, Expenses, and Changes in Fund Net Assets.

In December 2010, the Power System issued $760.2 million of Power System Revenue Bonds, 2010 Series D. The net proceeds of $755.7 million (net of underwriter's discount of $4.5 million) were deposited into the construction fund to be used for capital improvements.

Lastly, in June 2011, the Power System issued $694.13 million of Power System Revenue Bonds, 2011 Series A, the proceeds of which were used to refund $765.55 million of Power System Revenue Bonds, 2001 Series A, SubSeries A-1 and A-2 and $60.87 million of Power System Revenue Bonds, 2003 Series B. In addition to bond proceeds, the Department contributed $50 million to the financing. The refinancing resulted in $102.1 million in net present value savings (excluding Department contribution) over the next five years and a net loss for accounting purposes of $12.6 million, which was deferred and is being amortized over the life of the new bonds.

(c) Outstanding Debt Defeased

The Power System defeased certain revenue bonds in prior years by placing cash or the proceeds of new revenue bonds in irrevocable trusts to provide for all future debt service payments on the old bonds. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the Power System's financial statements.

At June 30, 2012, the following revenue bonds outstanding are considered defeased (amounts in thousands):

Bond issues		Principal outstanding
Second issue of 1993	$	7,500
Refunding issue of 1994		18,065
Issue of 1994		5,020
	$	30,585

(d) Variable Rate Bonds

As of June 30, 2012 and 2011, the Power System had $969.3 million in variable rate bonds. The variable rate bonds currently bear interest at weekly and daily rates ranging from 0.15% to 0.17% as of June 30, 2012 and 0.05% to 0.06% as of June 30, 2011. The Power System can elect to change the interest rate period of the bonds with certain limitations. The bondholders have the right to tender the bonds to the tender agent on any business day with seven days' prior notice. The Power System has entered into standby and line of credit agreements with a syndicate of commercial banks in an initial amount of $580.8 million and $388.5 million to provide liquidity for the variable rate bonds. The extended standby agreements expire in January 2015 for the $580.8 million and in June 2014 for the $388.5 million.

Under the agreements, the $580.8 million variable rate bonds will bear interest that is payable quarterly at the greatest of: (a) the Prime Rate plus 1.00% (b) the Federal Funds Rate plus 2.00% and (c) 7.50%, while the $388.5 million variable rate bonds will bear interest that is payable quarterly at the greatest of: (a) the Prime Rate plus 2.00%; (b) the Federal Funds Rate plus 2.00%; (c) the Daily

One-Month LIBOR plus 0.5%; and (d) 7.50%. The unpaid principal of each liquidity advance made by the liquidity provider is payable in ten equal semi-annual installments ninety days immediately following the related liquidity advance. At its discretion, the Power System has the ability to convert the outstanding bonds to fixed rate obligations, which cannot be tendered by the bondholders.

The variable rate bonds have been classified as long-term on the balance sheets as the liquidity facilities give the Power System the ability to refinance on a long-term basis and the Power System intends to either renew the facility or exercise its right to tender the debt as a long-term financing. The portion that would be due in the next fiscal year in the event that the outstanding variable rate bonds were tendered and purchased by the commercial banks under the standby agreements has been included in the current portion of long-term debt and was $96.9 million at both June 30, 2012 and 2011.

(e) Revenue Certificates

As of June 30, 2012 and 2011, the Power System has outstanding $200 million of commercial paper bearing interest at an average rate of 0.19%. The commercial paper matures not more than 270 days from the date of issuance.

The Department entered into a letter of credit and reimbursement agreement (the Agreement) with a commercial bank in the amount of $200 million to provide liquidity and credit support for the Department's commercial paper program. The agreement secures the payment when due of the principal and interest on commercial paper issued on or after August 27, 2010. Drawings on the agreement will represent advances to the Department and will bear interest that is payable monthly at the highest of (i) the Prime Rate plus 1.00%, (ii) Federal Funds Rate plus 2.00%, (iii) the Daily One-Month LIBOR plus 3.00%, and (iv) 7.00%. The unpaid principal of each advance is payable in ten equal semiannual installments, commencing on the date six months after the advance. The Agreement terminates on August 26, 2013.

The revenue certificates have been classified as long-term debt on the balance sheets as the Agreement gives the Power System the ability to refinance on a long-term basis and the Power System intends to either renew the Agreement or exercise its option to draw on the Agreement. The portion that would be due in the next fiscal year in the event that the outstanding revenue certificates were advanced by the commercial bank under the Agreement has been included in the current portion of long-term debt and was $20 million at both June 30, 2012 and 2011.

(f) Scheduled Principal Maturities and Interest

Scheduled annual principal maturities and interest are as follows (amounts in thousands):

		Principal	Interest and amortization
Fiscal year(s) ending June 30:			
2013	$	129,651	293,596
2014		131,575	289,208
2015		142,578	283,579
2016		145,865	277,503
2017		149,235	271,543
2018 – 2022		809,930	1,267,252
2023 – 2027		986,947	1,079,650
2028 – 2032		1,109,184	821,078
2033 – 2037		1,100,130	580,834
2038 – 2042		976,645	318,356
2043 – 2047		621,140	63,479
Total requirements	$	6,302,880	5,546,078

Interest and amortization is net of $98.17 million of unamortized discount/premium and gain/loss due to issuances of new and refunding bonds.

The maturity schedule presented above reflects the scheduled debt service requirements for all of the Power System's long-term debt. The schedule is presented assuming that the tender options on the variable rate bonds, as discussed on the previous page, will not be exercised and that the full amount of the revenue certificates will be renewed. Should the bondholders exercise the tender options and the Power System convert all of the revenue certificates under the line of credit, the Power System would be required to redeem the $1,169.3 million in variable rate bonds outstanding over the next six years, as follows: $116.93 million in fiscal year 2013, $233.86 million in each of the fiscal years 2014 through 2017, and $116.93 million in fiscal year 2018. Accordingly, the balance sheets recognize the possibility of the exercise of the tender options and reflect the $116.93 million that could be due in fiscal year 2013 as a current portion of long-term debt payable. Interest and amortization include interest requirements for variable rate bonds, using the variable debt interest rate in effect at June 30, 2012 of 0.144%.

(11) Retirement, Disability, and Death Benefit Insurance Plan

The Department has a funded contributory retirement, disability, and death benefit insurance plan covering substantially all of its employees. The Water and Power Employees' Retirement, Disability, and Death Benefit Insurance Plan (the Plan) operates as a single-employer defined benefit plan to provide pension benefits to eligible department employees and to provide disability and death benefits from the respective insurance funds. Plan benefits are generally based on years of service, age at retirement, and the employee's highest 12 consecutive months of salary before retirement. Active participants who joined the

Plan on or after June 1, 1984 are required to contribute 6% of their annual covered payroll. Participants who joined the Plan prior to June 1, 1984 contribute an amount based upon an entry-age percentage rate. The Department contributes $1.10 for each $1.00 contributed by participants plus an actuarially determined annual required contribution (ARC) as determined by the Plan's independent actuary, taking into consideration the amount of net pension asset or obligation currently recorded on the balance sheet. The required contributions are allocated between the Power System and the Water System based on the current year labor costs.

The Retirement Board of Administration (the Retirement Board) is the administrator of the Plan. The Plan is subject to provisions of the Charter of the City and the regulations and instructions of the Board. The Plan is an independent pension trust fund of the City.

Plan amendments must be approved by both the Retirement Board and the Board. The Plan issues separately available financial statements on an annual basis. Such financial statements can be obtained from the Department of Water and Power Retirement Office, 111 N. Hope, Room 357, Los Angeles, California 90012.

The annual pension cost (APC) and net pension asset for the Department's Plan consist of the following (amounts in thousands):

	Year ended June 30	
	2012	**2011**
Annual required contribution	$ 363,886	329,178
Interest on net pension asset	(8,719)	(10,409)
Adjustment to annual required contribution	13,211	15,772
APC (including $127.8 million and $106.5 million of amounts capitalized in fiscal years 2012 and 2011, respectively)	368,378	334,541
Department contributions	(326,200)	(282,377)
Change in net pension asset	42,178	52,164
Net pension asset at beginning of year	(52,102)	(104,266)
Net pension asset at end of year	$ (9,924)	(52,102)

The Power System's allocated share of the Plan's APC and net pension asset consists of the following (amounts in thousands):

		Year ended June 30	
		2012	**2011**
Annual required contribution	$	247,443	223,841
Interest on net pension asset		(5,929)	(7,078)
Adjustment to annual required contribution		8,983	10,725
APC (including $78.7 million and $62.7 million of amounts capitalized in fiscal years 2012 and 2011, respectively)		250,497	227,488
Power System contributions		(217,902)	(188,544)
Change in net pension asset		32,595	38,944
Net pension asset at beginning of year		(14,386)	(53,330)
Net pension liability (asset) at end of year	$	18,209	(14,386)

ARCs are determined through actuarial valuations using the entry-age normal actuarial cost method. The actuarial value of assets in excess of the Department's Actuarial Accrued Liability (AAL) is being amortized by level contribution offsets over rolling 15-year periods effective July 1, 2000.

In accordance with actuarial valuations, the Department's required contribution rates are as follows:

Fiscal year	Normal cost	Deficit amortization	Contribution rate
2012	15.08%	25.18%	41.82%
2011	14.68	22.34	38.45

The significant actuarial assumptions include an investment rate of return of 7.75%, projected inflation adjusted salary increases of 4.25%, and cost-of-living increases of 3.00%. The actuarial value of assets is determined using techniques that smoothen the effects of short-term volatility in the market value of investments over a five-year period. Plan assets consist primarily of corporate and government bonds, common stocks, mortgage-backed securities, and short-term investments.

Trend information for fiscal years 2012, 2011, and 2010 for the Power System is as follows (amounts in thousands):

Year ended June 30	Net pension liability (asset)	Percentage of APC contributed	APC
2012	$ 18,209	87%	$ 250,497
2011	(14,386)	83	227,488
2010	(53,330)	88	146,735

(a) Disability and Death Benefits

The Power System's allocated share of disability and death benefit plan costs and administrative expenses totaled $20 million and $13 million for fiscal years 2012 and 2011, respectively.

(b) Funded Status and Funding Progress Based on Latest Actuarial Study

On September 18, 2012, the latest actuarial study as of July 1, 2012 was completed for the Department for fiscal 2013. As of July 1, 2012, the Department's actuarial value of assets was $7.57 billion and AAL for benefits was $9.69 billion, resulting in an Unfunded Actuarial Accrued Liability (UAAL) of $2.12 billion. The covered payroll (annual payroll of active employees covered by the Plan) was $887 million, and the ratio of the UAAL to the covered payroll was 239%.

As of July 1, 2011, the Department's actuarial value of assets was $7.5 billion and AAL for benefits was $9.3 billion, resulting in a UAAL of $1.8 billion. The covered payroll (annual payroll of active employees covered by the Plan) was $870.2 million, and the ratio of the UAAL to the covered payroll was 211%.

As of July 1, 2010, the Department's actuarial value of assets was $7.2 billion and AAL for benefits was $8.9 billion, resulting in a UAAL of $1.7 billion. The covered payroll (annual payroll of active employees covered by the Plan) was $856.1 million, and the ratio of the UAAL to the covered payroll was 193%.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the salary increases. Amounts determined regarding the funded status of the Plan and the ARCs of the Department are subject to continual revision as actual results are compared with past expectations and new estimates are made for the future. The schedule of funding progress, presented as required supplementary information, presents information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the AAL for benefits.

(12) Other Postemployment Benefit (Healthcare) Plan

(a) Plan Description

The Department provides certain other postemployment benefits (OPEB), such as medical and dental plans, to active and retired employees and their dependents. The healthcare plan is administered by the Department. The Retirement Board and the Board have the authority to approve provisions and obligations. Eligibility for benefits for retired employees is dependent on a combination of age and service of the participants pursuant to a predetermined formula. Any changes to these provisions must be approved by the Retirement Board and the Board. The total number of active and retired Department participants entitled to receive benefits was approximately 16,340 and 16,758 for the fiscal years ended June 30, 2012 and 2011, respectively.

The health plan is a single-employer defined benefit plan. During fiscal year 2007, the Retiree Health Benefits Fund (the Fund) was created to fund the postemployment benefits of the Department. The Fund is administered as a trust and has its own financial statements. Such financial statements can be obtained from the Department of Water and Power Retirement Office, 111 N Hope, Room 357, Los Angeles, California 90012.

(b) Funding Policy

The Department pays a monthly maximum subsidy of $1,518 for medical and dental premiums depending on the employee's work location and benefits earned. Participants choosing plans with a cost in excess of the subsidy they are entitled to are required to pay the difference.

Although no formal funding policy has been established for the future benefits to be provided under this plan, the Department has made significant contributions into the Fund. In fiscal year 2012, the Department transferred $37.5 million into the Fund and paid an additional $64.1 million in retiree medical premiums. In fiscal year 2011, the Department transferred $75 million in cash into the Fund and paid an additional $65.6 million in retiree medical premiums. The Power System's portion of these amounts was $69.1 million and $95.6 million for 2012 and 2011, respectively.

(c) Annual OPEB Cost and Net OPEB Obligation

The annual OPEB cost (expense) is calculated based on the employer ARC, an amount actuarially determined in accordance with the parameters of GASB Statement No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost under each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed 30 years.

The following table shows the components of the Department's annual OPEB cost for the year, the amount actually contributed to the Plan, and changes in the net OPEB asset (amounts in thousands):

		Year ended June 30	
		2012	**2011**
Annual required contribution	$	53,691	68,705
Interest on net OPEB asset		(69,046)	(62,322)
Adjustment to annual required contribution		56,975	50,081
Annual OPEB costs		41,620	56,464
Contributions made		(101,610)	(140,590)
Change in net OPEB asset		(59,990)	(84,126)
Net OPEB asset – beginning of year		(863,884)	(779,758)
Net OPEB asset – end of year	$	(923,874)	(863,884)

The following table shows the components of the Power System's share in annual OPEB cost for the year, the amount actually contributed to the Plan, and changes in the net OPEB asset (amounts in thousands):

		Year ended June 30	
		2012	**2011**
Annual required contribution	$	36,510	46,720
Interest on net OPEB asset		(46,952)	(42,379)
Adjustment to annual required contribution		38,743	34,054
Annual OPEB costs		28,301	38,395
Contributions made		(69,094)	(95,609)
Change in net OPEB asset		(40,793)	(57,214)
Net OPEB asset – beginning of year		(590,686)	(533,472)
Net OPEB asset – end of year	$	(631,479)	(590,686)

The Department's annual OPEB cost, the percentage of ARC contributed to the Plan, and the net postemployment asset for fiscal years 2012, 2011, and 2010 were as follows (amounts in thousands):

		2012	2011	2010
Annual OPEB cost	$	41,620	56,464	46,400
Percentage of OPEB costs contributed		244%	249%	346%
Net postemployment asset at end of year	$	923,874	863,884	779,758

The Power System's share in the annual OPEB cost, the percentage of ARC contributed to the Plan, and the net retirement asset for fiscal years 2012, 2011, and 2010 were as follows (amounts in thousands):

		2012	2011	2010
Annual OPEB cost	$	28,301	38,395	31,552
Percentage of OPEB costs contributed		244%	249%	346%
Net postemployment asset at end of year	$	631,479	590,686	533,472

(d) Funded Status and Funding Progress Based on Latest Actuarial Study

On September 18, 2012, the latest actuarial study as of July 1, 2012 was completed for fiscal 2013. As of July 1, 2012, the Department's actuarial value of assets was $1.25 billion and AAL for benefits was $1.57 billion, resulting in a UAAL of $0.32 billion. The covered payroll (annual payroll of active employees covered by the Plan) was $887 million, and the ratio of the UAAL to the covered payroll was 36%.

As of July 1, 2011, the Department's actuarial value of assets was $1.1 billion, and AAL for benefits was $1.6 billion, resulting in a UAAL of $418 million. The covered payroll (annual payroll of active employees covered by the Plan) was $870 million, and the ratio of the UAAL to the covered payroll was 73%.

As of July 1, 2010, the Department's actuarial value of assets was $987 million, and AAL for benefits was $1.6 billion, resulting in a UAAL of $644 million. The covered payroll (annual payroll of active employees covered by the Plan) was $856 million, and the ratio of the UAAL to the covered payroll was 75%.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the Plan and ARCs of the Department are subject to continual revision

as actual results are compared with past expectations and new estimates are made for the future. The schedule of funding progress, presented as required supplementary information, presents information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the AAL for benefits.

(e) Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan understood by the Department and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the Department and the plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in AAL and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the July 1, 2011 actuarial valuation, the entry-age normal cost method was used. The actuarial assumptions include 7.75% discount rate, which represents the expected long-term return on plan assets, an annual healthcare cost trend rate of 9.00% initially, reduced by decrements to an ultimate rate of 5.00% over 10 years. Both rates include a 3.50% inflation assumption. The actuarial value of assets was determined using techniques that spread UAAL being amortized as a level percentage of projected payroll over a closed 24-year period.

In the July 1, 2010 actuarial valuation, the entry-age normal cost method was used. The actuarial assumptions include 7.75% discount rate, which represents the expected long-term return on plan assets, an annual healthcare cost trend rate of 10.00% initially, reduced by decrements to an ultimate rate of 5.00% over 10 years. Both rates include a 3.75% inflation assumption. The actuarial value of assets was determined using techniques that spread UAAL being amortized as a level percentage of projected payroll over a closed 25-year period.

(f) Healthcare Reform Legislation

The Patient Protection and Affordable Care Act (PPACA) was signed into law on March 23, 2010. One key provision of the PPACA is the assessment of the excise tax on high cost plans (Cadillac Plans) beginning in 2018. Under this act, a 40% excise tax applies to plans with costs exceeding certain annual thresholds ($11,850 for single; $30,950 for families for early retirees). Significant uncertainties exist regarding the impact of the excise tax on high cost plans without further regulatory guidance. Management estimated the potential impact of this tax on the liability is based on unadjusted thresholds and assuming the tax is shared between the Department and its participants in the same way that the current costs are shared. The estimated impact of the 40% excise tax provision on high cost plans beginning in 2018, under the healthcare reform, is reflected in the actuarial report as July 1, 2010 and going forward.

(13) Other Long-Term Liabilities

(a) Other Long-Term Liabilities

The Power System has the following other long-term liabilities:

		Balance July 1, 2011	Additions	Reductions	Balance June 30, 2012	Current portion
Accrued liabilities	$	10,487	—	(1,720)	8,767	—
Deferred credits:						
Purchased power	$	140,995		(95,830)	45,165	21,100
Rate stabilization		75,000	38,000	—	113,000	—
Other		2,995		(184)	2,811	—
	$	218,990	38,000	(96,014)	160,976	21,100
Accrued workers' compensation claims	$	40,300	—	3,175	43,475	—
Derivative instrument liabilities	$	73,770	17,526	—	91,296	—

		Balance July 1, 2010	Additions	Reductions	Balance June 30, 2011	Current portion
Accrued liabilities	$	12,040	—	(1,553)	10,487	—
Deferred credits:						
Purchased power	$	234,569	—	(93,574)	140,995	95,830
Rate stabilization		75,000	—	—	75,000	—
Other		2,223	772	—	2,995	—
	$	311,792	772	(93,574)	218,990	95,830
Accrued workers' compensation claims	$	40,692	—	(392)	40,300	—
Derivative instrument liabilities	$	84,268	—	(10,498)	73,770	—

(b) Deferred Credits

The Department has deferred credits that are related to revenues collected from customers, but have not been earned. These funds are deferred and recognized as costs related to these deferrals are incurred.

Purchased Power Deferrals

During fiscal year 2006, the Board approved the suspension of deferring precollected purchased power costs and the reversal of the precollected purchased power costs recorded in prior years. The amount reversed is the cost of energy from IPP less the amount designated in rates for out-of-market purchased power costs. The reversal of the deferred credit is credited to retail sales. During fiscal years 2012 and 2011, the Power System reversed $95.8 million and $93.6 million, respectively, related to precollected purchase power costs. At June 30, 2012 and 2011, $45.1 million and $140.9 million, respectively, remain as part of deferred credits related to precollected purchased power costs.

Rate Stabilization Account

In April 2008, the City Council approved an amendment to the electric rate ordinance, which required the balance of the Rate Stabilization Account to be maintained separately from the Energy Cost Adjustment Account. The ordinance also directed that the deferred amount within the Energy Cost Adjustment Account be the beginning balance of the Rate Stabilization Account. During fiscal year 2012, $38 million was deferred from current year sales for resale. As of June 30, 2012 and 2011, the balance in the Rate Stabilization Fund, was $113 million and $75 million, respectively.

(c) Accrued Workers' Compensation Claims

Liabilities for unpaid workers' compensation claims are recorded at their present value when they are probable of occurrence and the amount can be reasonably estimated. The liability is actuarially determined, based on an estimate of the present value of the claims outstanding and an amount for claim events incurred but not reported based upon the Department's loss experience, less the amount of claims and settlements paid to date. The discount rate used to calculate this liability at its present value was 4% at June 30, 2012 and 2011. The Department has third-party insurance coverage for workers' compensation claims in excess of $1 million.

Overall indicated reserves for workers' compensation claims, for both the Water System and the Power System, undiscounted, have increased from $69 million as of June 30, 2011 to $74 million as of June 30, 2012. The increase is mainly attributable to a increase in the number of cases filed at the Department. Workers' compensation claims typically take longer than one year to settle and close out. The entire discounted liability is shown as long-term on the balance sheets as of June 30, 2012 and 2011.

Changes in the Department's undiscounted liability since June 30, 2010 are summarized as follows (amounts in thousands):

		June 30		
		2012	2011	2010
Balance at beginning of year	$	69,155	69,692	53,037
Current year claims and changes in estimates		26,769	19,541	34,771
Payments applied		(21,624)	(20,078)	(18,116)
Balance at end of year	$	74,300	69,155	69,692

The Power System's portion of the discounted reserves as of June 30, 2012 and 2011 is $43.5 million and $40.3 million, respectively.

(14) Commitments and Contingencies

(a) Transfers to the Reserve Fund of the City of Los Angeles

Under the provisions of the City Charter, the Power System transfers funds at its discretion to the reserve fund of the City. Pursuant to covenants contained in the bond indentures, the transfers may not be in excess of the increase in fund net assets before transfers to the reserve fund of the City of the prior fiscal year. Such payments are not in lieu of taxes and are recorded as a transfer in the statements of revenues, expenses, and changes in fund net assets.

The Department authorized total transfers of $250 million and $259 million in fiscal years 2012 and 2011, respectively, from the Power System to the reserve fund of the City.

(b) Palo Verde Nuclear Generating Station (PVNGS) Matters

As a joint project participant in PVNGS, the Department has certain commitments with respect to nuclear spent fuel and waste disposal. Under the Nuclear Policy Act, the Department of Energy (the DOE) is to develop facilities necessary for the storage and disposal of spent fuel and to have the first such facility in operation by 1998; however, the development of the repository designated at Yucca Mountain in the state of Nevada was postponed indefinitely for political reasons after DOE spent some billions of dollars conducting feasibility studies. A Blue Ribbon Committee was formed by the federal government to look at other alternatives for nuclear waste disposal, but thus far, it still has not come up with any solutions.

Capacity in existing fuel storage pools at PVNGS was exhausted in 2003. A Dry Cask Storage Facility (also called the Independent Spent Fuel Storage Facility) was built and completed in 2003 at a total cost of $33.9 million (about $3.3 million for the Department). The facility has the capacity to store all the spent fuel generated by the plant until the end of its life in 2027. With the current operating license extension granted by the Nuclear Regulatory Commission, PVNGS is allowed to operate until 2047. The Dry Cask Storage Facility will be expanded as needed to accommodate additional spent fuel until it is removed by DOE.

The Department accrues for current nuclear fuel storage costs as a component of fuel expense as the fuel is burned. The Department's share of spent nuclear fuel costs related to its indirect interest in PVNGS is included in purchased power expense.

Because of the DOE's inability to provide a disposal site, the PVNGS operating agent filed damages actions against the DOE to recover costs incurred by the PVNGS participants. A settlement was reached in August 2010 in the amount of $30.2 million from DOE of which $1.7 million is the Department's share of the settlement which covers costs incurred up to 2006. Additional cost recovery is being pursued for the period post 2006.

The Price Anderson Act (the Act) requires that all utilities with nuclear generating facilities share in payment for claims resulting from a nuclear incident. Participants in PVNGS currently insure potential claims and liability through commercial insurance with a $375 million limit; the remainder of the potential liability is covered by the industrywide retrospective assessment program provided under the Act. This program limits assessments to a maximum of $118 million for each licensee for each nuclear incident occurring at any nuclear reactor in the United States; payments under the program are limited to $18 million per incident, per year. Based on the Department's 5.70% direct interest and its 3.96% indirect investment interest through SCPPA, the Department would be responsible for a maximum assessment of $11 million per incident, limited to payments of $2 million per incident annually.

The NRC guidelines require improved security in immediate areas surrounding the reactor buildings. PVNGS enlarged the protected area with inclusion of an outage support facility, a new warehouse, a minor vehicle maintenance facility, and a fuel depot to reduce vehicular traffic in and out of the protected area. The estimated cost for these facilities is approximately $6.3 million to the Department.

In response to the nuclear event in Fukushima, Japan, the NRC may require PVNGS to increase the redundancy in its power supply to emergency cooling systems and accelerate the transfer of spent fuel from the pool to the dry cask storage. The Department cannot predict what new requirements will be mandated by the NRC and the resulting costs to the Department.

(c) Environmental Matters

Numerous environmental laws and regulations affect the Power System's facilities and operations. The Department monitors its compliance with laws and regulations and reviews its remediation obligations on an ongoing basis. The following topics highlight some of the major environmental compliance issues affecting the Power System:

Air Quality – Nitrogen Oxide (NOx) Emissions

The Power System's generating station facilities are subject to the Regional Clean Air Incentives Market (RECLAIM) NOx emission reduction program adopted by the South Coast Air Quality Management District (SCAQMD). In accordance with this program, SCAQMD established annual NOx allocations for NOx RECLAIM facilities based on historical emissions and type of emission sources operated. These allocations are in the form of RECLAIM trading emission credits (RTCs).

Facilities that exceed their allocations may buy RTCs from other companies that have emissions below their allocations. The Department has a program of installing emission controls and purchasing RTCs, as necessary, to meet its emission requirements.

As a result of the installation of NOx control equipment and the repowering of existing units, the Department has sufficient RTCs to meet its native load requirements for normal operations.

Air Quality – Greenhouse Gas Emissions

In September 2006, the state of California adopted two new laws designed to reduce greenhouse gas (GHG) emissions in California. The first, Assembly Bill 32, the California Global Warming Solutions Act of 2006, requires the California Air Resources Board (ARB) to develop regulations to reduce statewide GHG emissions back to 1990 levels by 2020. In 2007, the ARB established California's 1990 GHG emissions baseline, and developed a mandatory reporting regulation to require California sources to report their GHG emissions annually starting with 2008 data. In December 2008, the ARB adopted a Climate Change Scoping Plan which identifies nearly 70 potential strategies and measures to achieve the state's GHG emissions reduction goal. Subsequently, the ARB adopted regulations to implement a number of the emission reduction measures identified in the Scoping Plan.

The Scoping Plan includes the following emission reduction measures applicable to the electricity sector: 1) increase renewable energy to 33%, 2) expand energy efficiency programs, 3) reduce SF6 emissions from gas insulated electrical switchgear, and 4) establish a GHG cap-and-trade program. The cap-and-trade program sets a statewide cap on GHG emissions beginning in January 2013, with the cap declining two to three percent per year from 2013 to 2020. The cap-and-trade program covers GHG emissions from all electricity generated in California or imported from other states, in-state industrial and manufacturing facilities, as well as natural gas and transportation fuels consumed in California.

The second bill adopted by the state of California is designed to reduce greenhouse gas emissions from the generation of electricity consumed in California. Senate Bill 1368 requires the California Public Utilities Commission (CPUC) and the California Energy Commission (CEC) to establish a greenhouse gas emissions performance standard and implement regulations governing long-term financial commitments in base load generation made by load serving entities (LSEs) including publicly-owned electric utilities (POUs). These regulations are intended to prohibit any California LSE from entering into or renewing a long-term financial commitment with a base load generating resource that exceeds the greenhouse gas emissions performance standard, currently set at 1,100 pounds carbon dioxide per megawatt hour of electricity generated. This means that when existing contracts with high-emitting generating resources expire, those resources will be replaced by lower emitting generating resources that comply with the greenhouse gas emissions performance standard.

At the federal level, several legislative bills have been proposed or introduced, but none have passed Congress. As such, a federal cap-and-trade program is unlikely to be established in the same time frame (2012) as a state cap-and-trade program, but may be considered in future years. However, the United States Environmental Protection Agency (EPA) adopted its Prevention of Significant Deterioration (PSD) and Title V Greenhouse Gas Tailoring Rule in June 2010. The Power System's

in-basin repowering projects requiring PSD permits after January 2, 2011 would be impacted as they would be required to submit a GHG Best Available Control Technology (BACT) analysis. EPA is expected to issue its GHG BACT guidance for public review later this year. Also, the Power System's generating stations will need to amend their Title V operating permits to incorporate any GHG requirements when the permits are renewed.

EPA Coal Combustion Residuals Proposed Rules

On June 21, 2010, the US Environmental Protection Agency (EPA) proposed to establish federal standards to regulate coal combustion residuals (coal ash). The two options being considered are to designate coal ash as either hazardous or non-hazardous. The hazardous waste proposal would phase out the disposal of ash in wet storage ponds. The nonhazardous designation would set federal guidelines for state disposal that require the installation of additional liners on new wet storage pond. Both options set new requirements for storing and monitoring the waste in dry landfills.

The worst case scenario impact at the Intermountain Power Plant would be $483 million in capital cost plus $110 million in annual operating cost for the hazardous option if the existing landfill has to be removed and coal ash has to be disposed of at an offsite facility. For the nonhazardous option, the impact would be $62 million in capital cost plus $2 million in annual operating cost.

For Mohave Power Plant, the worst case scenario impact would be $230 million in capital cost for the hazardous option if the existing landfill has to be removed and disposed of at an offsite facility. For the nonhazardous option, the impact would be $6 million in capital cost plus $0.25 million in annual operating cost.

For the above facilities, the costs translate into electric rate impacts of about 1.4 percent for the hazardous option and 0.18 percent for the nonhazardous option.

At this time, the EPA is still analyzing over half a million comments received following the rule proposal. The EPA is also gathering additional data prior to finalizing the rules and the time frame is still unknown at the present time.

Power Plant Once-Through Cooling Water Systems

Once-through cooling (OTC) is the process where water is drawn from a source, pumped through equipment to provide cooling, and then discharged. Some type of cooling process is necessary for nearly every type of traditional electrical generating station, and the OTC process is utilized by many electrical generating stations located next to large bodies of water. Typically, the water used for cooling is not chemically changed in the process although its temperature is increased.

Due to the Second Circuit Court's decision to remand most of Environmental Protection Agency (EPA's) 316(b) Rule finalized in July 2004, EPA suspended this Rule and is in the process of drafting a new rule. EPA's proposed new rule for existing facilities was released in the federal register for comments on April 20, 2011 for a 120-day comments period, The newly proposed rule requirements applies to cooling water intake structures for all existing power generating facilities that withdraw more than 2 million gallons per day of water from waters of the United States and use

at least 25% of the water they withdraw exclusively for cooling purposes. Under this proposed rule, an owner or operator of an existing facility would be able to choose one of two compliance options for impingement mortality (IM): (1) monitoring to demonstrate that specified performance standards for impingement mortality of fish and shellfish have been met or (2) demonstrate that intake velocity meets specified design criteria. IM compliance must be met 8 years after the effective date of the Rule. For entrainment mortality, the proposed rule requires entrainment studies and allows for compliance on a site specific basis. As part of a settlement agreement, a final rule had to be issued by July 2012; however, on July 17, 2012, the parties to the underlying litigation signed a modified settlement agreement, which extends the deadline for the Final Rule to June 27, 2013. The language for the Final Rule is still subject to change. On June 11, 2012, the EPA published a Notice of Data Availability (NODA), for a 30-day comment period, that would allow relief to the IM compliance. The Department will need an exemption or some relief from the eight year IM compliance date. In addition, on June 12, 2012, the EPA published a second NODA regarding the willingness to pay for quantifying the non-use benefits of reducing impingement and entrainment. The Department is evaluating the potential impacts of the proposed rule on its facilities.

In the absence of EPA's 316(b) Rule, the California State Water Resources Control Board (State Board) decided to move forward and adopted their own Statewide 316 b Policy (Policy) on May 4, 2010. The Policy became effective on October 1, 2010. This policy requires the Department's coastal power plants to reduce OTC by 93% – equivalent to wet cooling towers using seawater. This is referred to as the Track 1 compliance path. If the Track 1 compliance path is found to be infeasible, with concurrence from the State Board, a Track 2 compliance path can be pursued, which requires that the cooling water intake structure (CWIS) achieve an impingement mortality and entrainment (IM/E) reduction level of 90% of the Track 1 compliance standard or 83.7% on a unit-by-unit basis. The Department has made a decision to pursue the Track 1 compliance path, in order to comply with the Policy and completely eliminate the use of OTC. Recently, the Department was successful in having the Policy amended to extend the compliance dates, for six out of the nine remaining OTC units, to 2024 for Scattergood, and 2029 for Haynes and Harbor. The other four OTC units are on schedule, due to an AQMD settlement, to be repowered with eliminating OTC by 2013 and 2015, respectively. The Amendment to the Policy was adopted on July 19, 2011. The Amendment requires the Department to submit additional information responsive to the Statewide Advisory Committee on Cooling Water Intake Structures (SACCWIS) resolution by December 31, 2012. Depending upon the information submitted by LADWP and no later than December 31, 2013, the State Board will consider modifications to the 2029 compliance dates. Furthermore, the Amendment requires implementation of interim measures, these measures include a proposal to study new and/or viable existing technologies to reduce impingement and entrainment. The proposal must be submitted to the State Board no later than December 31, 2015. Upon approval of the proposal, the interim measures must be in place no later than December 31, 2020. These interim measures will include the funding of a mitigation project or the use of screens or an equivalent alternative measure at each OTC unit or intake until the facility is in full compliance.

In addition, other regulatory changes have been made that could significantly impact operations at the Haynes and Harbor Generating Stations. The Regional Water Quality Control Board reclassified the body of water that the OTC water is discharged to an enclosed bay for the Harbor Generating Station, and sent a letter of intent to reclassify the receiving water body of water as an estuary for the Haynes Generating Station discharge. Even though the Haynes Generating Station will be repowering existing units, should there be a reclassification for the water body discharges at the Haynes Generating Station, there will be requirements that cannot be met with its existing cooling or future repowered configuration. The Department is in the process of reviewing the regulations and conducting studies. Once the studies are reviewed, the Department will determine an appropriate course of action.

Pollution and Remediation Obligations

The Department follows GASB Statement No. 49, *Accounting and Financial Reporting for Pollution and Remediation Obligations* (GASB No. 49). This statement addresses accounting and financial reporting standards for pollution (including contamination) remediation obligations, which are obligations to address the current or potential detrimental effects of existing pollution by participating in pollution remediation activities such as site assessments and cleanups. The scope of the statement excludes pollution prevention or control obligations with respect to current operations, and future pollution remediation activities that are required upon retirement of an asset, such as landfill closure and postclosure care and nuclear power plant decommissioning. The Power System's obligations were approximately $21 million as of June 30, 2012 and 2011.

(d) Litigation

i. Capital Facilities Fee Claims

In June 2007, the Department received a tentative decision in favor of the state and a number of local government agencies that are electric customers of the Department that claimed that the Department has rates that include a capital facilities' charge that violates the state's statute. However, in October 2008, the Department settled the case and recorded the $160 million settlement amount. Additionally, as permitted by SFAS No. 71, *Accounting for the Effects of Certain Types of Regulation*, the Board approved to defer all potential costs associated with the resolution of this litigation and establish a corresponding long-term deferred debit to be recovered through future revenues over a period of up to 10 years, if necessary.

ii. Other

A number of claims and suits are also pending against the Department for alleged damages to persons and property and for other alleged liabilities arising out of its operations. In the opinion of management, any ultimate liability, which may arise from these actions, is not expected to materially impact the Power System's financial position, results of operations, or cash flows as of June 30, 2012.

(e) Risk Management

The Power System is subject to certain business risks common to the utility industry. The majority of these risks are mitigated by external insurance coverage obtained by the Power System. For other significant business risks, however, the Power System has elected to self-insure. Management believes that exposure to loss arising out of self-insured business risks will not materially impact the Power System's financial position, results of operations, or cash flows as of June 30, 2012.

(f) Credit Risk

Financial instruments, which potentially expose the Power System to concentrations of credit risk, consist primarily of retail and wholesale receivables. The Power System's retail customer base is concentrated among commercial, industrial, residential, and governmental customers located within the City. Although the Power System is directly affected by the City's economy, management does not believe significant credit risk exists at June 30, 2012, except as provided in the allowance for losses. The Power System manages its credit exposure by requiring credit enhancements from certain customers and through procedures designed to identify and monitor credit risk.

(g) Subsequent Events – Bond Sales

On October 4, 2012, the Power System issued $104.1 million of Power System Revenue Bonds, 2012 Series A. The net proceeds of $123.9 million (net of $19.8 million issue premium and underwriter's discount) were used to refund certain outstanding Power System Revenue Bonds, 2003 Series B amounting to $119.9 million which will be redeemed at a redemption price equal to 100 percent of the principal on July 1, 2013, and pay certain costs of issuance. The 2012 Series A Bonds have maturities ranging from 2014 through 2035 and those maturing on or after July 1, 2023 are subject to redemption prior to maturity at the option of the Department, as a whole or in part, on any date on or after July 1, 2022, at par. The financing provided an all-in true interest cost of 2.94% with an average life of 13.8 years. The refinancing resulted in $25.6 million net present value savings equivalent to 21.3% of the refunded bonds' par amount, and a net loss for accounting purposes of $4.8 million, which was deferred and is being amortized over the life of the new bonds.

On October 10, 2012, the Power System issued $350 million of Power System Revenue Bonds, 2012 Series B. The net proceeds of $398.6 million (net of $48.6 million issue premium and underwriter's discount) were deposited into the construction fund to be used to finance the budgeted Power System's Capital Improvement Program for Fiscal Year 2012-2013 and pay certain costs of issuance. The financing provided an all-in true interest cost of 4.16% with an average life of 28.6 years. The 2012 Series B Bonds have maturities ranging from 2038 through 2043 and all the bonds are optionally redeemable on or after July 1, 2022, at par.

Also, on October 11, 2012, the Power System issued $300 million of Power System Revenue Bonds, 2012 Series C. The net proceeds of $334.7 million (net of $34.7 million issue premium and underwriter's discount) were deposited into the construction fund to be used to finance the budgeted Power System's Capital Improvement Program for Fiscal Year 2012-2013 and pay certain costs of issuance. The financing provided an all-in true interest cost of 0.96% with an average life of 3.2 years. The 2012 Series C Bonds are optionally redeemable on or after October 1, 2015, at par.

(h) Subsequent Event – Rate Action

In October 2012, the Los Angeles City Council, approved two years of revenue increases for the Power System. System average rates will increase approximately 4.9% and 6% for fiscal years 2012-13 and 2013-14, respectively.

LOS ANGELES DEPARTMENT OF WATER AND POWER
POWER SYSTEM

Required Supplementary Information

(Unaudited)

June 30, 2012

Pension Plan – Schedule of Funding Progress

The following schedule provides information about the Department's overall progress made in accumulating sufficient assets to pay benefits when due, prior to allocations to the Water System and the Power System (amounts in thousands):

Actuarial valuation date July 1	Actuarial value of assets	Actuarial accrued liability (AAL)	Unfunded AAL (UAAL)	Funded ratio	Covered payroll	UAAL as a percentage of covered payroll
2012	$ 7,573,886	9,692,603	2,118,717	78%	$ 886,539	239%
2011	7,465,184	9,297,204	1,832,020	80	870,203	211
2010	7,244,430	8,893,618	1,649,189	81	856,090	193

Postemployment Healthcare Plan – Schedule of Funding Progress

The following schedule provides information about the Department's overall progress made in accumulating sufficient assets to pay benefits when due, prior to allocations to the Water System and the Power System (amounts in thousands):

Actuarial valuation date July 1	Actuarial value of assets	Actuarial accrued liability (AAL)	Unfunded AAL (UAAL)	Funded ratio	Covered payroll	UAAL as a percentage of covered payroll
2012	$ 1,244,039	1,566,059	322,020	79%	$ 886,539	36%
2011	1,132,929	1,550,896	417,967	73	870,203	48
2010	987,476	1,631,916	644,440	61	856,090	75

See accompanying independent auditors' report.

APPENDIX B

DEMOGRAPHIC AND ECONOMIC INFORMATION FOR THE CITY OF LOS ANGELES

The City of Los Angeles, California (the "City") is the second most populous city in the United States with an estimated 2011 population of 3.8 million persons. Los Angeles is the principal city of a metropolitan region stretching from the City of Ventura to the north, the City of San Clemente to the south, the City of San Bernardino to the east, and the Pacific Ocean to the west.

Founded in 1781, Los Angeles was for its first century a provincial outpost under successive Spanish, Mexican and American rule. The City experienced a population boom following its linkage by rail with San Francisco in 1876. Los Angeles was selected as the Southern California rail terminus because its natural harbor seemed to offer little challenge to San Francisco, home of the railroad barons. But what the region lacked in commerce and industry, it made up in temperate climate and available real estate, and soon tens and then hundreds of thousands of people living in the Northeastern and Midwestern United States migrated to new homes in the region. Agricultural and oil production, followed by the creation of a deep water port, the opening of the Panama Canal, and the completion of the City-financed Owens Valley Aqueduct to provide additional water, all contributed to an expanding economic base. The City's population climbed to 50,000 persons in 1890, and then swelled to 1.5 million persons by 1940. During this same period, the motor car became the principal mode of American transportation, and the City developed as the first major city of the automotive age. Following World War II, the City became the focus of a new wave of migration, with its population reaching 2.4 million persons by 1960.

The City and its surrounding metropolitan region have continued to experience growth in population and in economic diversity. The City's 470 square miles contain 11.5% of the area and about 39% of the population of the County of Los Angeles (the "County"). Tourism and hospitality, professional and business services, direct international trade, entertainment (including motion picture and television production), and wholesale trade and logistics all contribute significantly to local employment. Emerging industries are largely technology driven, and include biomedical, digital information technology, and environmental technology. The County is a top-ranked county in manufacturing in the nation. Important components of local industry include apparel, computer and electronic components, transportation equipment, fabricated metal, and food. Fueled by trade with the Pacific Rim countries, the Ports of Los Angeles and Long Beach combined rank first in the nation in volume of cargo shipped and received. As home to the film, television and recording industries, as well as important cultural facilities, the City serves as a principal global cultural center.

Economic and Demographic Information

The economic and demographic information provided below has been collected from sources that the City considers to be reliable. Because it is difficult to obtain timely economic and demographic information, the City's economic condition may not be fully apparent in all of the publicly available local and regional economic statistics provided herein. In particular, the economic statistics provided herein may not fully capture the negative impact of current economic conditions.

Population

Table 1 summarizes City, County, and State of California (the "State") population, estimated as of January 1 of each year. The population estimates for 2005 and later incorporate 2010 Census counts as the benchmark and, as a result, the population estimates are noticeably lower from the previously published estimates.

Table 1
CITY, COUNTY AND STATE POPULATION STATISTICS

	City of Los Angeles	Annual Growth Rate[1]	County of Los Angeles	Annual Growth Rate[1]	State of California	Annual Growth Rate[1]
1980	2,968,579	-	7,477,421	-	23,667,836	-
1985	3,216,900	1.67%	8,121,000	1.72%	26,113,000	2.07%
1990	3,476,000	1.61	8,832,500	1.75	29,558,000	2.64
1995	3,544,966	0.40	9,103,896	0.61	31,617,770	1.39
2000	3,679,600	0.76	9,477,651	0.82	33,721,583	1.33
2005	3,769,130	0.49	9,816,153	0.71	35,869,173	1.27
2010	3,794,586	0.14	9,822,121	0.05	37,223,900	0.61
2011	3,806,411	0.31	9,847,712	0.26	37,427,946	0.55
2012	3,825,297	0.50	9,884,632	0.37	37,678,563	0.67

[1] For five-year time series, figures represent average annual growth rate for each of the five years.

Source: State of California, Department of Finance, Report 84 E-4 Population Estimates for California Counties and Cities, January 1, 1976 through January 1, 1980; Report 90 E-4 Population Estimates for California State and Counties January 1, 1981 to January 1, 1990; E-4 Historical Population Estimates for City, County and the State, 1991-2000, with 1990 and 2000 Census Counts. E-4 Population Estimates for Cities, Counties and the State, 2001-2010, with 2000 and 2010 Census Counts, September 2010. State of California, Department of Finance, E-1 Population Estimates for Cities, Counties and the State with Annual Percent Change — January 1, 2010 and 2011. Sacramento, California, May 2012.

Industry and Employment

Table 2 summarizes the average number of employed and unemployed residents of the City and the County, based on the annual "benchmark," an annual revision process in which monthly labor force and payroll employment data, which are based on estimates, are updated based on detailed tax records. The "benchmark" data is typically released in March for the prior calendar year. Historically, the City's unemployment rate has been higher than both the County's and the State's rates.

The California Employment Development Department has reported preliminary unemployment figures for April 2012 of 11.5% statewide, 11.0% for Los Angeles County, and 12.2% for the City (not seasonally adjusted)

Table 2
ESTIMATED AVERAGE ANNUAL EMPLOYMENT AND UNEMPLOYMENT OF RESIDENT LABOR FORCE

Civilian Labor Force[1]	2007	2008	2009	2010	2011
City of Los Angeles					
Employed	1,788,900	1,764,200	1,676,600	1,647,900	1,669,800
Unemployed	107,100	159,000	243,700	266,900	261,800
Total	1,895,900	1,923,200	1,920,300	1,914,700	1,931,500
County of Los Angeles					
Employed	4,625,600	4,565,500	4,335,200	4,291,500	4,318,900
Unemployed	246,900	`369,500	569,000	619,100	605,500
Total	4,872,500	4,934,800	4,904,300	4,910,5000	4,924,400
Unemployment Rates					
City	5.6%	8.3%	12.7%	13.9%	13.6%
County	5.1	7.5	11.6	12.6	12.3
State	5.4	7.2	11.3	12.4	11.7
United States	4.6	5.8	9.3	9.6	8.9

(1) March 2011 Benchmark report; not seasonally adjusted.

Source: California Employment Development Department, Labor Market Information Division for the State and County; U.S. Bureau of Labor, Department of Labor Statistics for the U.S. Note: Based on surveys distributed to households; not directly comparable to Industry Employment data reported in Table 3. Items may not add to totals due to rounding

Table 3 summarizes the California Employment Development Department's estimated average annual employment for the County, which includes full-time and part-time workers who receive wages, salaries, commissions, tips, payment in kind, or piece rates. Separate figures for the City are not maintained. Percentages indicate the percentage of the total employment for each type of employment for the given year. For purposes of comparison, the most recent employment data for the State is also summarized.

The Trade, Transportation and Utilities sector was the largest employment sector in the County in 2011, employing 19.7% of wage and salary workers. Government, at 14.9%, was the second highest employment sector in the County, followed by Professional and Business Services, which employed 14.2% of wage and salary workers.

Table 3
LOS ANGELES COUNTY
ESTIMATED INDUSTRY EMPLOYMENT AND LABOR FORCE[1]

	County				State of California	
	2000	% of Total	2011	% of Total	2011	% of Total
Agricultural	7,700	0.2%	5,500	0.1%	385,300	2.7%
Natural Resources and Mining	3,400	0.1	4,000	0.1	28,500	0.2
Construction	131,700	3.2	103,500	2.7	553,700	3.8
Manufacturing	612,200	15.0	365,400	9.6	1,245,800	8.6
Trade, Transportation and Utilities	786,000	19.3	748,000	19.7	2,662,900	18.4
Information	243,700	6.0	195,600	5.1	432,400	3.0
Financial Activities	222,800	5.5	209,400	5.5	761,500	5.3
Professional and Business Services	587,900	14.4	540,400	14.2	2,126,300	14.7
Educational and Health Services	418,500	10.2	534,800	14.1	1,833,600	12.7
Leisure and Hospitality	344,700	8.4	392,800	10.3	1,530,300	10.6
Other Services	140,000	3.4	135,000	3.6	486,900	3.4
Government	581,300	14.2	565,200	14.9	2,398,700	16.6
Total[2]	4,079,800	100.0%	3,799,600	100.0%	14,445,700	100.0%

(1) The California Economic Development Department has converted employer records from the Standard Industrial Classification coding system to the North American Industry Classification System.
(2) Totals may not equal sum of parts due to independent rounding.

Note: Based on surveys distributed to employers; not directly comparable to Civilian Labor Force data reported in Table 2.

Source: California Employment Development Department, Labor Market Information Division. Based on March 2011 Benchmark report released March 9, 2012.

Major Employers

The top 25 major non-governmental employers in the County are listed in Table 4. The employees of these non-governmental employers represent approximately 6.9% of the labor force (based on total employment in 2011). In addition, government employment represents approximately 14.9% of the labor force (see Table 3 – Estimated Industry Employment and Labor Force).

Table 4
LOS ANGELES COUNTY
2011 MAJOR NON-GOVERNMENTAL EMPLOYERS

Employer	Product/Service	Employees
Kaiser Permanente	Non-profit health care plan	33,600
Northrop Grumman Corp.	Defense contractor	21,000
University of Southern California	Private university	16,180
Target Corp.	Retailer	15,000
Ralphs/Food 4 Less (division of Kroger Co.)	Grocery retailer	13,500*
Cedars-Sinai Medical Center	Medical center	12,068
Bank of America Corp.	Banking and financial services	12,000*
Boeing Co.	Integrated aerospace and defense systems	11,520
Providence Health & Services Southern California	Healthcare	10,616
Home Depot	Home improvement specialty retailer	10,250
Vons	Retail grocer	10,152
Wells Fargo	Diversified financial services	9,723
Edison International	Electric utility	9,171
AT&T Inc.	Telecommunications	8,500
California Institute of Technology	Private university, operator of Jet Propulsion Laboratory	8,400
ABM Industries Inc.	Facility services, janitorial, parking, security, engineering and lighting	8,300
FedEx Corp.	Shipping and logistics	8,000
Catholic Healthcare West	Hospitals	7,192
JP Morgan Chase	Banking and financial services	6,500
Amgen Inc.	Biotechnology	6,200
Costco Wholesale	Membership chain of warehouse stores	5,605
American Apparel Inc.	Apparel manufacturer and retailer	5,000
Toyota Motor Sales USA Inc.	Auto manufacturer	4,914
UPS	Transportation and freight	4,761
99 Cents Only Stores	Retailer	4,503

* Business Journal estimate.

Source: Los Angeles Business Journal, Weekly Lists, originally published September 5, 2011.

Personal Income

The U.S. Census Bureau defines personal income as the income received by all persons from all sources, and is the sum of "net earnings," rental income, dividend income, interest income, and transfer receipts. "Net earnings" is defined as wage and salary, supplements to wages and salaries, and proprietors' income, less contributions for government social insurance, before deduction of personal income and other taxes.

Table 5 summarizes the latest available estimate of personal income for the County, State and United States.

Table 5
COUNTY, STATE AND U.S.
PERSONAL INCOME

Year and Area	Personal Income (thousands of dollars)	Per Capita Personal Income (dollars)
2006		
County	$ 385,724,212	$39,610
State	1,495,533,388	41,518
United States	11,256,516,000	37,725
2007		
County	$ 400,366,343	$41,273
State	1,566,400,134	43,211
United States	11,900,562,000	39,506
2008		
County	$ 417,454,378	$42,881
State	1,610,319,843	44,003
United States	12,451,660,000	40,947
2009		
County	$ 394,980,563	$40,356
State	1,526,531,367	41,301
United States	11,916,773,000	38,846
2010		
County	$ 410,674,615	$41,791
State	1,587,403,857	42,514
United States	12,353,577,000	39,937
2011*		
County	n/a	n/a
State	$ 1,676,564,972	$44,481
United States	12,981,741,000	41,663

* On April 25, 2012, the Bureau of Economic Analysis (BEA) released estimates of personal income at the County level for 2010.

Source: U.S. Department of Commerce, Bureau of Economic Analysis, updated as of May 25, 2012.

Retail Sales

As the largest city in the County, the City accounted for $34.8 billion (or 29.7%) of the total $116.9 billion in County taxable sales for 2010. Table 6 sets forth a history of taxable sales for the City for calendar years 2006 through 2010, 2010 being the last full year for which data is currently available.

The City experienced a 5.9% increase in sales tax receipts during Fiscal Year 2010-11, suggesting growth in taxable sales. Sales tax receipts are projected to increase by 3.3 for Fiscal Year 2011-12.

Table 6
CITY OF LOS ANGELES
TAXABLE SALES
(in thousands)

	2006	2007	2008	2009	2010
Apparel stores	$ 1,798,035	$ 1,897,411	$ 2,097,824	$ 2,404,735	$ 2,551,905
General merchandise stores	3,932,407	3,952,550	3,542,908	2,448,694	2,534,482
Food stores	1,736,111	1,834,470	1,888,581	2,126,677	2,123,626
Eating and drinking establishments	5,282,931	5,632,290	5,743,366	5,437,781	5,637,405
Home furnishings and appliances	1,300,167	1,294,546	1,338,890	1,566,716	1,590,667
Building materials and farm implements	2,430,287	2,252,227	1,924,786	1,700,820	1,711,735
Auto dealers and auto supplies	4,158,144	4,077,862	3,302,737	2,760,647	2,865,868
Service stations	4,292,157	4,494,346	5,159,799	3,621,498	4,114,016
Other retail stores	5,002,642	5,070,023	4,383,989	3,425,579	3,451,949
Retail stores total	29,932,881	30,505,725	29,382,881	25,493,148	26,581,623
All other outlets[1]	9,440,519	9,626,679	9,909,316	8,098,716	8,233,833
TOTAL ALL OUTLETS[2]	$39,373,400	$40,132,404	$39,292,197	$33,591,864	$34,815,457

(1) Primarily manufacturing and wholesale businesses.
(2) Items may not add to totals due to rounding.

Source: California State Board of Equalization, Research and Statistics Division.

Residential Construction Activity

Table 7 provides a summary of residential building permit valuations and the number of new units in the City by calendar year.

Table 7
CITY OF LOS ANGELES
RESIDENTIAL BUILDING PERMIT VALUATIONS AND NEW UNITS

	2007	2008	2009	2010	2011
Valuation[1]					
Residential [2]	$ 2,079	$ 1,280	$ 604	$ 878	$1,131
Miscellaneous [3]	4	17	11	15	26
Total Valuation	$ 2,083	$ 1,297	$ 615	$ 893	$1,157
Number of Units:					
Single family [4]	2,032	1,070	781	772	726
Multi-family [5]	7,724	5,333	1,892	3,374	5,258
Subtotal Residential	9,756	6,403	2,673	4,146	5,984
Miscellaneous [6]	746	278	185	370	390
Total Units	10,502	6,681	2,858	4,516	6,374

(1) In millions of dollars. "Valuation" represents the total valuation of all construction work for which the building permit is issued.
(2) Valuation permits issued for Single-Family Dwellings, Duplexes, Apartment Buildings, Hotel/Motels and Condominiums.
(3) Valuation of permits issued for "Addition Creating New Units - Residential" and "Alterations Creating New Units – Residential."
(4) Number of dwelling units permitted for Single-Family Dwellings and Duplexes.
(5) Number of dwelling units permitted for new Apartment Buildings, Hotel/Motels and Condominiums.
(6) Number of dwelling units added includes "Addition Creating New Units - Residential" and "Alterations Creating New Units - Residential."

Source: City of Los Angeles, Department of Building and Safety.

Commercial Real Estate Markets in Los Angeles

Table 8 shows the most recent information available regarding vacancy rates for nonresidential space in downtown Los Angeles and the remainder of the Los Angeles Metropolitan Area.

Table 8
LOS ANGELES METROPOLITAN AREA
NON-RESIDENTIAL VACANCY RATES[1]

Year	Downtown	Suburban	Metropolitan	Industrial Availability
2007	13.2%	8.7%	9.4%	7.4%
2008	14.4	10.1	10.7	9.9
2009	16.6	15.7	15.8	8.3
2010	17.7	17.6	17.6	7.7
2011	17.3	17.4	17.4	6.8

[1] Fourth quarter of year.

Source: California Department of Finance, California Economic Indicators.

Education

The Los Angeles Unified School District ("LAUSD") administers public instruction for kindergarten through 12th grade ("K-12"), adult, and occupational schools in the City and all or significant portions of a number of smaller neighboring cities and unincorporated territory. The LAUSD, which now encompasses approximately 710 square miles (making it significantly larger than the City at 470 square miles), was formed in 1854 as the Common Schools for the City of Los Angeles, and became a unified school district in 1960. The LAUSD is governed by a seven-member Board of Education, elected by district to serve alternating four-year terms.

There are many public and private colleges and universities located in the City. Major colleges and universities located within the City include the University of California at Los Angeles, the University of Southern California, California State University at Los Angeles, California State University at Northridge, Occidental College and Loyola Marymount University. There are seven community colleges located within the City.

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APPENDIX C

DTC BOOK-ENTRY SYSTEM

The information in this section regarding DTC and its book-entry system has been obtained from DTC's website, for use in securities offering documents, and the Department takes no responsibility for the accuracy or completeness thereof or for the absence of material changes in such information after the date hereof.

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the 2013 Bonds. The 2013 Bonds will be issued as fully-registered securities, registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered bond certificate will be issued for each maturity of each series of 2013 Bonds, each in the aggregate principal amount of such series and maturity and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the 2013 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the 2013 Bonds on DTC's records. The ownership interest of each actual purchaser of each 2013 Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct and Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the 2013 Bonds are to be accomplished by entries made on the books of Direct or Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the 2013 Bonds, except in the event that use of the book-entry system for the 2013 Bonds is discontinued.

To facilitate subsequent transfers, all 2013 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co. or such other name as may be

requested by an authorized representative of DTC. The deposit of 2013 Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the 2013 Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants and by Direct Participants and Indirect Participants to Beneficial Owners, will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of 2013 Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the 2013 Bonds, such as redemptions, tenders, defaults and proposed amendments to the 2013 Bond documents. For example, Beneficial Owners of 2013 Bonds may wish to ascertain that the nominee holding the 2013 Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of the notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the 2013 Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor such other DTC nominee) will consent or vote with respect to the 2013 Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Department as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the 2013 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions and dividend payments on the 2013 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Department or the Fiscal Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, nor its nominee, the Fiscal Agent, or the Department, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Department or the Fiscal Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC and disbursement of such payments to the Beneficial Owners shall be responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the 2013 Bonds at any time by giving reasonable notice to the Department or the Fiscal Agent. Under such circumstances, in the event that a successor depository is not obtained, 2013 Bond certificates are required to be printed and delivered.

The Department may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, 2013 Bond certificates will be printed and delivered to DTC.

APPENDIX D

SUMMARY OF CERTAIN PROVISIONS OF THE BOND RESOLUTIONS

The following is a brief summary of certain provisions of the Bond Resolutions not previously discussed in this Official Statement. Such summary is not intended to be definitive, and reference is made to each Bond Resolution in its entirety for the complete terms thereof. Capitalized terms used in this summary that are not otherwise defined in this Official Statement have the meanings ascribed to such terms in the Bond Resolutions, as applicable.

CERTAIN DEFINITIONS

"Accountant's Certificate" means a certificate signed by an Independent Certified Public Accountant of recognized national standing selected by the Department.

"Accreted Value" means, with respect to any Capital Appreciation Obligation and as of any date, the Initial Amount thereof plus the interest accrued thereon from its delivery date, compounded at the approximate interest rate with respect to such Capital Appreciation Obligation specified in or pursuant to the Issuing Instrument authorizing the issuance of such Capital Appreciation Obligation on each date specified therein. The applicable Accreted Value at any date will be the amount set forth in the Accreted Value Table as of such date, if such date is a compounding date, and if not, will be determined by straight-line interpolation with reference to such Accreted Value Table.

"Accreted Value Table" means, with respect to Capital Appreciation Obligations, the table denominated as such in, and to which reference is made in, the Issuing Instrument authorizing the issuance of such Capital Appreciation Obligations.

"Additional Bonds" means Bonds issued in accordance with the terms and conditions of the Master Resolution for the purpose of providing for the payment of the Costs of Capital Improvements.

"Additional Parity Obligations" means Parity Obligations, including Additional Bonds, issued for the purpose of providing for the payment of the Costs of Capital Improvements and satisfying the conditions set forth in the Master Resolution.

"Adjusted Net Income" means, with respect to a certificate to be delivered in connection with Additional Parity Obligations and for any Calculation Period to which such certificate relates and as calculated by the Department or a Consultant, the Net Income for such Calculation Period plus an amount equal to depreciation, amortization, interest on debt and Unrealized Items for such Calculation Period, in each case determined in accordance with Generally Accepted Accounting Principles, less any portion of such Net Income which has been deposited in the Expense Stabilization Fund, plus at the option of the Department, any or all of the following: (i) an allowance for any estimated increase in such Net Income from any revenue producing additions or improvements to or extensions of the Power System, made but not in service during the applicable Calculation Period or to be made with the proceeds of the Additional Parity Obligations with respect to which such certificate relates, with the proceeds of other Obligations theretofore issued by the Department and available for such purpose or with other available funds of the Department reserved by the Department for such purpose, such allowance to be in an amount equal to the estimated additional average annual Net Income to be derived from such additions, improvements and extensions during the twelve month period after placing such addition, improvement or extension in service, all as shown by a certificate of the Department or a Consultant; (ii) an allowance for any increases in rates and charges which relate to the Power System and which have been approved by the Board and the City Council but which during all or any part of the Calculation Period were not in effect,

such allowance to be in an amount equal to seventy-five percent (75%) of the amount by which the Net Income for the Calculation Period would have increased if such increase in rates and charges had been in effect for that portion of the Calculation Period during which such increase was not in effect; and (iii) the amount withdrawn from the Expense Stabilization Fund during such Calculation Period.

"Applicable Parity Obligations" means, with respect to a certificate to be delivered in connection with Additional Parity Obligations and as of the date of such certificate, all of the Parity Obligations Outstanding on such date plus the Additional Parity Obligations proposed to be issued.

"Assistant Auditor" means an Assistant Auditor of the Department.

"Auditor" means the Auditor of the Department.

"Authorized Denominations" means, with respect to the 2013 Bonds, $5,000 or any integral multiple of thereof.

"Authorized Department Representative" means the President or Vice President of the Board, the General Manager, the Auditor and each Assistant Auditor and any other officer of the Department duly authorized to act as an Authorized Department Representative for purposes of the Bond Resolution by resolution of the Board or written authorization of the General Manager.

"Balloon Indebtedness" means, with respect to any Series of Obligations twenty-five percent (25%) or more of the principal of which matures on the same date or within a 12-month period (with Sinking Fund Installments on Term Obligations deemed to be payments of matured principal), that portion of such Series of Obligations which matures on such date or within such 12-month period. For purposes of this definition, the principal amount maturing on any date shall be reduced by the amount of such indebtedness which is required, by the documents governing such indebtedness, to be amortized by prepayment or redemption prior to its stated maturity date.

"Beneficial Owner" means, with respect any Book-Entry Bond, the beneficial owner of such Bond as determined in accordance with the applicable rules of the Securities Depository for such Book-Entry Bonds.

"Board" means the Board of Water and Power Commissioners of the City of Los Angeles.

"Bond" means any of the Department Water and Power of the City of Los Angeles Power System Revenue Bonds authorized pursuant to the Master Resolution and a Supplemental Resolution.

"Bond Register" means the registration books for the ownership of Bonds maintained by the Fiscal Agent pursuant to the Master Resolution.

"Bond Service Fund" means the Power System Revenue Bonds Bond Service Fund established pursuant to the Master Resolution.

"Bondowner" or "Owner" means, with respect to a Bond, the registered owner of such Bond in the Bond Register.

"Book-Entry Bonds" means, with respect to the 2013 Bonds, the 2013 Bonds registered in the name of DTC's nominee, as the initial Securities Depository, or any successor Securities Depository for the 2013 Bonds, as the registered owner thereof.

"Business Day" means, unless otherwise provided with respect to a Series of Bonds in the Supplemental Resolution authorizing the issuance of such Series, any day, other than a Saturday, Sunday or other day on which the New York Stock Exchange or banks are authorized or obligated by law or executive order to close in the State of New York or State of California or any city in which the Principal Office of any Paying Agent or any Credit Provider for such Series of Bonds is located.

"Calculation Period" means, with respect to any certificate to be provided pursuant to the Master Resolution in connection with Additional Parity Obligations, any twelve consecutive month period within the eighteen consecutive months ending immediately prior to the issuance of the Additional Parity Obligations to which such certificate relates.

"Capital Appreciation Obligations" means any Obligations the interest on which is compounded and not scheduled to be paid until the maturity or prior redemption of such Obligations.

"Capital Improvement" means any addition, betterment, replacement, renewal, extension or improvement of or to the Power System, including, without limitation, the acquisition of land or any interests therein, which under Generally Accepted Accounting Principles are chargeable to a capital account and capital costs for the extension, reinforcement, enlargement or other improvement of facilities or property, or the acquisition of interests therein, whether or not included as part of the Power System, determined by the Department to be necessary or convenient in connection with the utilization of the Power System.

"Charter" means The Charter of The City of Los Angeles.

"Chief Financial Officer" means: (i) the Chief Financial Officer of the Department; and (ii) in the event that at the applicable time of performance of an action under the Bond Resolution there is a vacancy in the office of Chief Financial Officer, or the Chief Financial Officer is outside the City, the Chief Accounting Employee of the Department.

"City" means the City of Los Angeles, a chartered city, duly organized and existing under and by virtue of the Constitution and laws of the State of California.

"City Council" means the Council of the City established pursuant to the Charter.

"Code" means the Internal Revenue Code of 1986, as amended from time to time. Each reference to a section of the Code in the Master Resolution, the Twenty-Third Supplemental Resolution and the Twenty-Fourth Supplemental Resolution shall be deemed to include United States Treasury Regulations thereunder applicable to the Series B Bonds issued pursuant to the Twenty-Third Supplemental Resolution and the Series C Bonds issued pursuant to the Twenty-Fourth Supplemental Resolution or the use of proceeds thereof, and also includes all amendments and successor provisions unless the context clearly requires otherwise.

"Commercial Paper Program" means a program of short-term Obligations having the characteristics of commercial paper in that such Parity Obligations have a stated maturity not later than 270 days from their date of issue and that maturing Obligations of such program may be paid with the proceeds of renewal short-term Obligations.

"Consultant" means a consultant, consulting firm, engineer, architect, engineering firm, architectural firm, accountant or accounting firm retained by the Department to perform acts, prepare certificates or otherwise carry out the duties provided for a Consultant in the Master Resolution or any Supplemental Resolution. Such consultant, consulting firm, engineer, architect, engineering firm or

architectural firm shall be nationally recognized within its profession for work of the character required. Such accountants or accounting firm shall be Independent Certified Public Accountants licensed to practice in the State of California.

"Cost" means, with respect to any Capital Improvement, all costs and expenses of planning, designing, acquiring, constructing, installing and financing such Capital Improvement, placing such Capital Improvement in operation, disposal of such Capital Improvement, and obtaining governmental approvals, certificates, permits and licenses with respect thereto heretofore or hereafter paid or incurred by the Department. Payment of Cost shall include the reimbursement to the Department for any of the costs included in this definition of Cost paid by the Department which have not previously been reimbursed to the Department and which are not to be reimbursed from contributions in aid of construction. The term Cost shall include, but shall not be limited to, funds required for: (a) costs of preliminary investigation and development, the performance or acquisition of feasibility and planning studies, and the securing of regulatory approvals, as well as costs for land and land rights, engineering and contractors' fees, labor, materials, equipment, utility services and supplies, legal fees and financing expenses; (b) working capital and reserves therefor in such amounts as shall be determined by the Department; (c) interest accruing in whole or in part on Parity Obligations prior to and during construction of a Capital Improvement or any portion thereof, and for such additional period as the Department may determine; (d) the deposit or deposits from the proceeds of the Bonds in any funds or accounts which deposit or deposits are required by the Master Resolution or any Supplemental Resolution; (e) the payment of principal, premium, if any, and interest when due (whether at the maturity of principal or at the due date of interest or upon redemption or otherwise) of any note or other evidence of indebtedness the proceeds of which were applied to any of the costs of a Capital Improvement described in the Master Resolution; (f) training and testing costs which are properly allocable to the acquisition, placing in operation, or construction of a Capital Improvement; (g) all costs of insurance applicable to the period of construction and placing a Capital Improvement in operation; (h) all costs relating to injury and damage claims arising out of the acquisition or construction of a Capital Improvement less proceeds of insurance; (i) legally required or permitted federal, state and local taxes and payments in lieu of taxes applicable to the period of construction and placing a Capital Improvement in operation; (j) amounts due the United States of America as rebate of investment earnings with respect to the proceeds of Parity Obligations or as penalties in lieu thereof; (k) amounts payable with respect to capital costs for the expansion, reinforcement, enlargement or other improvement of facilities determined by Department to be necessary in connection with the utilization of a Capital Improvement and the costs associated with the removal from service or reductions in service of any facilities as a result of the expansion, reinforcement, enlargement or other improvement of such facilities or the construction of a Capital Improvement; (l) Costs of Issuance of any Parity Obligations; (m) fees and expenses pursuant to any lending or credit facility or agreement applicable to the period for construction and placing a Capital Improvement in operation; and (n) all other costs incurred by the Department and properly allocable to the acquisition, construction, or placing in operation of a Capital Improvement or any portion thereof.

"Costs of Issuance" means all items of expense directly or indirectly payable by or reimbursable to the Department and related to the original authorization, execution, sale and delivery of Parity Obligations, including but not limited to advertising and printing costs, costs of preparation and reproduction of documents, including disclosure documents and documents relating to the sale of such Parity Obligations, initial fees and charges (including counsel fees) of any fiscal agent, any paying agent and any Credit Provider, legal fees and charges, financial advisor fees and expenses, fees and expenses of other consultants and professionals, rating agency fees, fees and charges for preparation, execution, transportation and safekeeping of Parity Obligations and any other cost, charge or fee in connection with the authorization, issuance, sale or original delivery of Parity Obligations.

"Credit Provider" means any municipal bond insurance company, bank or other financial institution or organization which is performing in all material respects its obligations under any Credit Support Instrument for some or all of the Parity Obligations.

"Credit Provider Bonds" means any Bonds purchased with funds provided under a Credit Support Instrument for so long as such Bonds are held by or for the account of, or are pledged to, the applicable Credit Provider in accordance with the applicable Supplemental Resolution.

"Credit Provider Reimbursement Obligations" means obligations of the Department to pay from the Power Revenue Fund amounts under a Credit Support Agreement, including without limitation amounts advanced by a Credit Provider pursuant to a Credit Support Instrument as credit support or liquidity for Parity Obligations and the interest with respect thereto.

"Credit Support Agreement" means, with respect to any Credit Support Instrument, the agreement or agreements (which may be the Credit Support Instrument itself) between the Department and the applicable Credit Provider, as originally executed or as it may from time to time be replaced, supplemented or amended in accordance with the provisions thereof, providing for the reimbursement to the Credit Provider for payments under such Credit Support Instrument, and the interest thereon, and includes any subsequent agreement pursuant to which a substitute Credit Support Instrument is provided, together with any related pledge agreement, security agreement or other security document.

"Credit Support Instrument" means a policy of insurance, a letter of credit, a stand-by purchase agreement, revolving credit agreement or other credit arrangement pursuant to which a Credit Provider provides credit or liquidity support with respect to the payment of interest, principal or the Purchase Price of any Parity Obligations.

"Crossover Date" means, with respect to a Series of Refunding Parity Obligations constituting Crossover Refunding Obligations, the date on which the proceeds of the sale of such Refunding Parity Obligations are to be applied to the payment of the principal of and premium, if any, on the Parity Obligations to be refunded with the proceeds of such Refunding Parity Obligations in accordance with the applicable Crossover Refunding Instructions.

"Crossover Refunding Escrow" means, with respect to any Series of Refunding Parity Obligations constituting Crossover Refunding Obligations, a trust or escrow fund or account established with an Escrow Agent into which proceeds of the sale of such Series of Refunding Parity Obligations and, if necessary, other available funds have been deposited in an amount sufficient to pay when due, or to purchase bonds, notes or other evidences of indebtedness the scheduled payments of principal of and interest on which will provide moneys at the times and in amounts sufficient to pay when due, the applicable Crossover Refunding Requirements in accordance with the applicable Crossover Refunding Instructions.

"Crossover Refunding Instructions" means, with respect to a Series of Refunding Parity Obligations which constitute Crossover Refunding Obligations, a certificate order, escrow deposit agreement, or other direction from an Authorized Department Representative to the Escrow Agent for the applicable Crossover Refunding Escrow to apply amounts in the applicable Crossover Refunding Escrow to the payments of principal and interest scheduled to be made on the Crossover Refunding Obligations to and including the applicable Crossover Date and on such Crossover Date to apply moneys in the applicable Crossover Refunding Escrow to the payment or redemption of the Parity Obligations to be refunded or, in the event that the conditions to such payment or redemption contained in the Issuing Instrument authorizing the issuance of such Crossover Refunding Obligations are not satisfied, to the

payment or redemption of the Crossover Refunding Obligations on the terms and conditions set forth in such Issuing Instrument.

"Crossover Refunding Obligations" means Refunding Parity Obligations as to which a Crossover Refunding Escrow has been established and which are payable, prior to the application of moneys in the applicable Crossover Refunding Escrow to the payment or redemption of the Parity Obligations to be refunded, only from amounts in such Crossover Refunding Escrow.

"Crossover Refunding Requirements" means, with respect to a Series of Parity Refunding Obligations constituting Crossover Refunding Obligations and the Parity Obligations to be refunded with the proceeds of the sale of such Refunding Parity Obligations, moneys sufficient to pay when due: (i) the scheduled principal of and interest on the Series of Parity Refunding Obligations coming due on and before the applicable Crossover Date (other than as a result of the failure to apply moneys in the applicable Crossover Refunding Escrow to the refunding of the Parity Obligations to be refunded with the proceeds of the sale of such Refunding Parity Obligations on the Crossover Date); (ii) the principal of, premium, if any, and interest on such Refunding Parity Obligations which are payable in accordance with the applicable Crossover Refunding Instructions in the event the amounts in the applicable Crossover Refunding Escrow are not applied to the payment or redemption of the Parity Obligations to be refunded with the proceeds of the sale of such Refunding Parity Obligations; and (iii) the principal of and premium, if any, on the Parity Obligations to be refunded with the proceeds of the sale of the Refunding Parity Obligations coming due in accordance with the applicable Crossover Refunding Instructions.

"Debt Service" means, for any Fiscal Year, the sum of (a) the interest payable during such Fiscal Year on all Outstanding Parity Obligations, assuming that all Outstanding Serial Parity Obligations are retired as scheduled and that all Outstanding Term Parity Obligations are redeemed or paid from Sinking Fund Installment as scheduled, (b) that portion of the principal amount of all Outstanding Serial Parity Obligations maturing on each principal payment date which falls in such Fiscal Year, including the Final Compounded Amount of any Capital Appreciation Obligations which are Series Parity Obligations, (c) that portion of the principal amount of all Outstanding Term Parity Obligations required to be redeemed or paid from Sinking Fund Installments becoming due during such Fiscal Year (together with the redemption premiums, if any, thereon), including the Accreted Value of any Capital Appreciation Obligations which are Term Parity Obligations.

"Defeasance Securities" means any of the following securities, if and to the extent the same are at the time any legal investments for funds of the Department: (i) any bonds or other obligations which as to principal and interest constitute direct obligations of, or obligations unconditionally guaranteed by, the United States of America, including obligations of any agency or corporation which has been or may hereafter be created pursuant to an Act of Congress as an agency or instrumentality of the United States of America to the extent unconditionally guaranteed by the United States of America; and (ii) any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local government unit of any such state (a) which are rated "AAA" by Standard and Poor's, "AAA" by Fitch or "Aaa" by Moody's, (b) which are not callable prior to maturity or as to which irrevocable instructions have been given to the trustee, fiscal agent or other fiduciary for such bonds or other obligations by the obligor to give due notice of redemption and to call such bonds or other obligations for redemption on the date or dates specified in such instructions, (c) which are secured as to principal and interest and redemption premium, if any, by a fund consisting only of cash or bonds or other obligations of the character described in clause (i) hereof which fund may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the redemption date or dates specified in the irrevocable instructions referred to in subclause (b) of this clause (ii), as appropriate, and (d) as to which the principal of and interest on the bonds and obligations of the character described in clause (i) hereof which have been deposited in such

fund, along with any cash on deposit in such fund, have been verified by an Accountant's Certificate as being sufficient to pay principal of and interest and redemption premium, if any, on the bonds or other obligations described in this clause (ii) on the maturity date or dates thereof or on the redemption date or dates specified in the irrevocable instructions referred to in subclause (b) of this clause (ii), as appropriate.

"Delivery Certificate" means, with respect to a Series of Bonds or any Subseries thereof, a certificate of an Authorized Department Representative establishing certain terms and conditions for such Series or Subseries and specifying the application of the proceeds of such Series or Subseries, all as authorized by the Supplemental Resolution authorizing such Series of Bonds.

"Electronic" means, with respect to notice, notice through the internet or a time-sharing terminal.

"Escrow Agent" means the Fiscal Agent or a bank or trust company organized under the laws of any state of the United States, or a national association, appointed by the Department to hold in trust moneys set aside for either: (i) the payment or redemption of, or interest installments on, a Bond or Bonds, or any portion thereof, deemed paid and defeased pursuant to Article IX of the Master Resolution; or (ii) the payment of the principal, premium, if any, or interest on Crossover Refunding Bonds or the Parity Obligations to be refunded with the proceeds of the sale of such Crossover Refunding Bonds.

"Expense Stabilization Fund" means the Power System Expense Stabilization Fund established pursuant to the Master Resolution.

"Favorable Opinion of Bond Counsel" means, with respect to any action requiring such an opinion, an Opinion of Bond Counsel to the effect that such action will not, in and of itself, adversely affect the Tax-Exempt status of interest on the Bonds or such portion thereof as shall be specified in the provisions of the Master Resolution or the Supplemental Resolution requiring such an opinion.

"Fiduciary" means, with respect to each Series of Bonds, the Fiscal Agent, and each Paying Agent and Escrow Agent for such Series of Bonds.

"Final Compounded Amount" means the Accreted Value of any Capital Appreciation Obligation on its maturity date.

"Fiscal Agent" means, the agent appointed by the Department pursuant to the Master Resolution to perform the duties and obligations ascribed to the Fiscal Agent with respect to each Series of Bonds pursuant to the applicable Supplemental Resolution.

"Fiscal Year" means the period beginning on July 1 of each year and ending on the next succeeding June 30, or any other twelve-month period selected and designated as the official Fiscal Year of the Department.

"Fitch" means Fitch Ratings and any successor entity rating Parity Obligations at the request of the Department.

"General Manager" means the General Manager of the Department.

"Generally Accepted Accounting Principles" means generally accepted accounting principles set forth in the opinions and pronouncements of the Accounting Principles Board of the American Institute of Certified Public Accountants applicable to a government-owned utility applying all statements and interpretations issued by the Governmental Accounting Standards Board and statements and pronouncements of the Financial Accounting Standards Board which are not in conflict with the

statements and interpretations issued by the Governmental Accounting Standards Board or in such other statements by such other entity as may be approved by a significant segment of the accounting profession, that are applicable to the circumstances as of the date of determination.

"Independent Certified Public Accountant" means any firm of certified public accountants appointed by the Department, and each of whom is independent pursuant to the Statement on Auditing Standards No. 1 of the American Institute of Certified Public Accountants.

"Initial Amount" means the Accreted Value of a Capital Appreciation Obligation on its date of issuance and delivery to the original purchaser thereof.

"Interest Account" means the account by that name in the Bond Service Fund established pursuant to the Master Resolution.

"Issuing Instrument" means any resolution, indenture, trust agreement or other instrument or agreement under which Obligations are issued.

"Maximum Annual Adjusted Debt Service" means, with respect to a certificate to be delivered in connection with Additional Parity Obligations pursuant to the Master Resolution, as of any date and with respect to the Applicable Parity Obligations, the maximum amount of Debt Service becoming due on the Applicable Parity Obligations in the then current or any future Fiscal Year, as adjusted as provided in this definition and calculated by the Department or by a Consultant. For purposes of calculating Maximum Annual Adjusted Debt Service, the following adjustments and assumptions shall be made with respect to Debt Service on the Applicable Parity Obligations coming due in each Fiscal Year:

(a) in determining the amount of Debt Service constituting principal due in each Fiscal Year, principal payments with respect to Applicable Parity Obligations which are or upon issuance will be, part of a Commercial Paper Program, but which would not constitute Balloon Indebtedness, shall be treated as if such Applicable Parity Obligations were to be amortized with substantially level annual Debt Service payments over a term of 40 years commencing on the date the calculation of Maximum Annual Adjusted Debt Service is made:

(b) if all or any portion or portions of the Applicable Parity Obligations constitute, or upon issuance would constitute, Balloon Indebtedness, then, for purposes of determining Maximum Annual Adjusted Debt Service, each maturity which constitutes, or upon issuance would constitute, Balloon Indebtedness shall be treated as if it were to be amortized with substantially level annual Debt Service payments over a term of 40 years commencing on the date which is the first anniversary of the initial issuance of such Applicable Parity Obligations;

(c) if any Outstanding Parity Obligations constitute Tax-Exempt Variable Rate Indebtedness (except to the extent paragraph (g) applies), the interest rate on such Parity Obligations for any period as to which such interest rate has not been established shall be assumed to be 110% of the daily average interest rate on such Parity Obligations during the 12 months ending with the month preceding the date of calculation, or such shorter period that such Parity Obligations shall have been Outstanding;

(d) if any Outstanding Parity Obligations constitute Variable Rate Indebtedness which is not Tax-Exempt (except to the extent paragraph (g) applies), the interest rate on such Parity Obligations for any period as to which such interest rate has not been established shall be assumed to be 110% of the average One Month USD LIBOR Rate during the calendar quarter preceding the calendar quarter in which the calculation of Maximum Annual Adjusted Debt

Service is made or if the One Month USD LIBOR Rate is not available for such period, another similar rate or index selected by the Department.

(e) if the Additional Parity Obligations proposed to be issued will be Tax-Exempt Variable Rate Indebtedness (except to the extent subsection (h) applies), then the interest rate on such Additional Parity Obligations shall be assumed to be 110% of the average TBMA Index during the calendar quarter preceding the calendar quarter in which the calculation of Maximum Annual Adjusted Debt Service is made, or if that index is no longer published, seventy-five percent (75%) of the One Month USD LIBOR Rate, or if the One Month USD LIBOR Rate is not available, another similar rate or index selected by the Department;

(f) if the Additional Parity Obligations proposed to be issued will be Variable Rate Indebtedness which is not Tax-Exempt (except to the extent subsection (h) applies) then the interest rate on such Additional Parity Obligations shall be assumed to be 110% of the average One Month USD LIBOR Rate during the calendar quarter preceding the calendar quarter in which the calculation is made, or if the One Month USD LIBOR Rate is not available for such period, another similar rate or index selected by the Department;

(g) if a Qualified Swap Agreement has been entered into in connection with any Outstanding Parity Obligations, the interest rate on such Outstanding Parity Obligations for each Fiscal Year or portion thereof during which payments are to be exchanged by the parties under such Qualified Swap Agreement shall be determined for purposes of calculating Maximum Annual Adjusted Debt Service by adding: (1) the amount of Debt Service paid or to be paid by the Department as interest on the Outstanding Parity Obligations during such Fiscal Year or portion thereof (determined as provided in paragraph (c) or (d), as applicable, if such Outstanding Parity Obligations constitute Variable Rate Indebtedness) and (2) the net amount (which may be a negative amount) paid or to be paid by the Department under the Qualified Swap Agreement (after giving effect to payments made and received, and to be made and received, by the Department under the Qualified Swap Agreement) during such Fiscal Year or portion thereof, and for this purpose any variable rate of interest agreed to be paid under the Qualified Swap Agreement shall be deemed to be the rate at which the related Outstanding Parity Obligations constituting Variable Rate Indebtedness is assumed to bear interest;

(h) if a Qualified Swap Agreement has been entered into by the Department with respect to any Additional Parity Obligations proposed to be issued, the interest on such proposed Additional Parity Obligations for each Fiscal Year or portion thereof during which payments are to be exchanged under the Qualified Swap Agreement shall be determined for purposes of calculating Maximum Annual Adjusted Debt service by adding: (1) the amount of Debt Service to be paid by the Department as interest on such Additional Parity Obligations during such Fiscal Year or portion thereof (determined as provided in paragraph (e) or (f), as applicable, if such Additional Parity Obligations are to constitute Variable Rate Indebtedness) and (2) the net amount (which may be a negative amount) to be paid by the Department under the Qualified Swap Agreement (after giving effect to payments to be made and received by the Department under the Qualified Swap Agreement) during such Fiscal Year or portion thereof, and for this purpose any variable rate of interest agreed to be paid under the Qualified Swap Agreement shall be deemed to be the rate at which the related Additional Parity Obligations which are to constitute Variable Rate Indebtedness shall be assumed to bear interest; and

(i) if any of the Applicable Parity Obligations are, or upon issuance will be, Paired Obligations, the interest thereon shall be the resulting linked rate or effective fixed rate to be paid with respect to such Paired Obligations.

"Moody's" means Moody's Investors Service, Inc. and any successor entity rating Parity Obligations at the request of the Department.

"Net Income" means, for any period of time, the net income of the Power System for such period determined in accordance with Generally Accepted Accounting Principles; provided, however, that in no event shall any transfer from the Power Revenue Fund to the reserve fund of the City pursuant to Section 344 of the Charter be considered an expense of the Power System in determining such net income.

"Nominee" means the nominee of the Securities Depository for the Book-Entry Bonds in whose name such Bonds are to be registered. The initial Nominee shall be Cede & Co., as the nominee of DTC.

"Obligations" means (a) obligations with respect to borrowed money and includes bonds, notes or other evidences of indebtedness, installment purchase payments under any contract, and lease payments under any financing or capital lease (determined to be such in accordance with Generally Accepted Accounting Principles), which are payable from the Power Revenue Fund, (b) obligations to replenish any debt service reserve fund with respect to obligations of the Department described in (a) above; (c) obligations secured by or payable from any of obligations of the Department described in (a) above; and (d) obligations payable from the Power Revenue Fund and entered into in connection with, relating to, or otherwise serving as a hedge with respect to, an obligation described in (a), (b) or (c) above under (1) any contract providing for payments based on levels of, or changes in, interest rates, currency exchange rates, stock or other indices, (2) any contract to exchange cash flows or a series of payments, or (3) any contract to hedge payment, currency, rate spread or similar exposure, including but not limited to interest rate swap agreements and interest rate cap agreements; and (e) Credit Provider Reimbursement Obligations.

"One Month USD LIBOR Rate" means the British Banker's Association average of interbank offered rates in the London market for United States dollar deposits for a one month period as reported in the Wall Street Journal or, if not reported in such newspaper, as reported in such other source as may be selected by the Department.

"Opinion of Bond Counsel" means a written opinion signed by an attorney or firm of attorneys of recognized national standing in the field of law relating to municipal securities and to exclusion of interest thereon from income for federal income tax purposes selected by the Department.

"Outstanding" when used as of any particular time with respect to Obligations, means, except as otherwise provided in the Master Resolution, all Obligations theretofore or thereupon executed, authenticated and delivered by the Department or any trustee or other fiduciary, except (a) Obligations theretofore cancelled or surrendered for cancellation; (b) Obligations paid or deemed to be paid within the meaning of any defeasance provisions thereof; (c) Obligations in lieu of or in substitution for which other Obligations have been executed and delivered; and (d) prior to the applicable Crossover Date, Refunding Parity Obligations which are Crossover Refunding Obligations.

"Paired Obligations" shall mean any Series (or portion thereof) of Parity Obligations designated as Paired Obligations in the Issuing Instrument authorizing the issuance thereof, which are simultaneously issued (a) the principal of which is of equal amount maturing and to be redeemed (or cancelled after acquisition thereof) on the same dates and in the same amounts, and (b) the interest rates which, taken together, result in an irrevocably fixed interest rate obligation of the Department for the terms of such Paired Obligations.

"Parity Obligations" means (a) Bonds, (b) the Prior Bonds, and (c) Obligations which are payable from the Power Revenue Fund on a parity with the payment of the Bonds and which satisfy the applicable conditions of the Master Resolution, including payments due under Qualified Swap Agreements.

"Participants" means, with respect to a Securities Depository for Book-Entry Bonds, those participants listed in such Securities Depository's book-entry system as having an interest in such Bonds.

"Paying Agent" means, with respect to the 2013 Bonds, the City Treasurer of the City, or its agent thereof, and its successor or successors appointed in the manner provided in the applicable Supplemental Resolution for the 2013 Bonds.

"Power Revenue Fund" means the fund by that name established by the Charter.

"Power System" means the electric energy rights, lands, facilities and all other interests of the City related to the energy business under the possession, management and control of the Board.

"Preceding Fiscal Year" means the latest prior Fiscal Year with respect to which books of the Department showing Net Income of the Power System have been examined and reported upon by Independent Certified Public Accountants engaged by the Department.

"Principal Account" means the account by that name in the Bond Service Fund established pursuant to the Master Resolution.

"Principal Office" means, with respect to: (i) the Fiscal Agent, the principal office of such Fiscal Agent in Los Angeles, California, except that if a Paying Agent has been appointed as agent for the Fiscal Agent to perform certain of the Fiscal Agent's duties with respect to a Series of Bonds pursuant to the Master Resolution, references to the Principal Office of the Fiscal Agent for purposes of such duties shall refer to the Principal Office of such Paying Agent; (ii) a Paying Agent or a Credit Provider, the office designated as such in writing by such party to the Fiscal Agent.

"Prior Bond Resolutions" means the resolutions of the Board identified in Exhibit A to the Master Resolution.

"Prior Bonds" means the Electric Plant Revenue Bonds and Electric Plant Revenue Refunding Bonds and Electric Plant Short-Term Revenue Certificates of the Department issued pursuant to the Prior Bond Resolutions and identified in Exhibit A to the Master Resolution.

"Procedural Ordinance" means Ordinance No. 172,353 of the City, which appears as Article 6.5 of the Administrative Code of the City, as the same may be amended and supplemented, and any other ordinance which shall constitute the "Procedural Ordinance" for purposes of Section 609 of the Charter.

"Qualified Swap Agreement" means a contract or agreement, payable from the Power Revenue Fund on a parity with the payment of Parity Obligations and satisfying the conditions of the Master Resolution, intended to place Parity Obligations or the applicable investments on the interest rate, currency, cash flow or other basis desired by the Department, including, without limitation, any interest rate swap agreement, currency swap agreement, forward payment conversion agreement or futures contract, any contract providing for payments based on levels of, or changes in, interest rates, currency exchange rates, stock or other indices, any contract to exchange cash flows or a series of payments, or any contract, including, without limitation, an interest rate floor or cap, or an option, put or call, to hedge payment, currency, rate, spread or similar exposure, between the Department and a counterparty.

"Rating Agency" means each of Fitch, Moody's or Standard & Poor's to the extent it is then providing or maintaining a rating on Parity Obligations at the request of the Department, or in the event that Fitch, Moody's or Standard & Poor's no longer maintains a rating on Parity Obligations, any other

nationally recognized rating agency then providing or maintaining a rating on the Bonds at the request of the Department.

"Rating Category" means (1) with respect to any long-term rating category, all ratings designated by a particular letter or combination of letters, without regard to any numerical modifier, plus or minus sign or other modifier and (2) with respect to any short-term or commercial paper rating category, all ratings designated by a particular letter or combination of letters and taking into account any numerical modifier, but not any plus or minus sign or other modifier.

"Rating Confirmation" means written evidence from each Rating Agency then rating Outstanding Parity Obligations at the request of the Department to the effect that, following the event which requires the Rating Confirmation, the then current rating for each Outstanding Parity Obligation will not be lowered or withdrawn solely as a result of the occurrence of such event.

"Record Date" means, with respect to an Interest Payment Date for the Current Interest 2013 Bonds, the fifteenth day of the month preceding the month in which such Interest Payment Date occurs.

"Redemption Fund" means the Power System Revenue Bonds Redemption Fund established pursuant to the Master Resolution.

"Refunding Bonds" means Bonds issued in accordance with the terms and conditions of the Master Resolution for the purposes, and satisfying the conditions of the Master Resolution.

"Refunding Parity Obligations" means Parity Obligations, including Refunding Bonds, issued for the purposes, and satisfying the conditions set forth in the Master Resolution.

"Representation Letter" the letter or letters of representation from the Department to, or other instrument or agreement with, a Securities Depository for Book-Entry Bonds, in which the Department, among other things, makes certain representations to the Securities Depository with respect to the Book-Entry Bonds, the payment thereof and delivery of notices with respect thereto.

"Reserve Fund" means the Power System Revenue Bonds Reserve Fund established pursuant to the Master Resolution.

"Rule 15c2-12" means Rule 15c2-12 of the Securities and Exchange Commission adopted pursuant to the Securities Exchange Act of 1934, as amended, as the same may be amended and supplemented from time to time.

"Securities Depository" means a trust company or other entity which provides a book-entry system for the registration of ownership interests of Participants in securities and which is acting as security depository for Book-Entry Bonds.

"Serial Obligations" means Obligations for which no Sinking Fund Installments are established.

"Serial Parity Obligations" means Serial Obligations which are Parity Obligations.

"Series" means Obligations issued at the same time or sharing some other common term or characteristic and designated in the Issuing Instrument pursuant to which such Obligations were issued as a separate issue or series of Obligations.

"Sinking Fund Account" means the account by that name in the Bond Service Fund established pursuant to the Master Resolution.

"Sinking Fund Installment" means, with respect to any Term Parity Obligations, each amount so designated for such Term Parity Obligations in the Issuing Instrument authorizing the issuance of such Parity Obligations requiring payments by the Department from the Power Revenue Fund to be applied to the retirement of such Parity Obligations on and prior to the stated maturity date thereof.

"Standard & Poor's" means Standard & Poor's Rating Services and any successor entity rating Parity Obligations at the request of the Department.

"State" means the State of California.

"Subordinated Obligation" means any Obligation which is expressly made subordinate and junior in right of payment from the Power Revenue Fund to the payment of Parity Obligations and which complies with the provisions of the Master Resolution.

"Subseries" means, with respect to any Series of Bonds, a portion of the Bonds of such Series identified as a Subseries in the Supplemental Resolution authorizing such Series or the Delivery Certificate relating to such Series or Subseries, which Bonds may bear interest at a different rate or based on a different interest rate determination method or otherwise have terms and conditions which vary from other Bonds of such Series, all to the extent provided in or authorized by the Supplemental Indenture authorizing such Series of Bonds.

"Supplemental Resolution" means any resolution supplemental to or amendatory of the Master Resolution as theretofore in effect, adopted by the Board in accordance with the Master Resolution.

"Surplus" means the equity in the Power System, consisting of the retained income invested in the business and contributions in aid of construction, determined in accordance with Generally Accepted Accounting Principles.

"Tax Certificate" means a certificate relating to the requirements of the Code signed on behalf of the Department and delivered in connection with the issuance of Bonds.

"Tax-Exempt" means, with respect to interest on any obligations of a state or local government, including the Bonds, that such interest is excluded from the gross income of the holders thereof (other than any holder who is a "substantial user" of facilities financed with such obligations or a "related person" within the meaning of Section 147(a) of the Code) for federal income tax purposes, whether or not such interest is includable as an item of tax preference or otherwise includable directly or indirectly for purposes of calculating other tax liabilities, including any alternative minimum tax or environmental tax under the Code.

"Tax-Exempt Securities" means bonds, notes or other securities the interest on which is Tax-Exempt.

"TBMA Index" means The Bond Market Association Municipal Index as of the most recent date for which such index was published or such other weekly, high-grade index comprised of seven-day, Tax-Exempt variable rate demand notes produced by Municipal Market Data, Inc., or its successor, or as otherwise designated by The Bond Market Association; provided, however, that, if such index is no longer produced by Municipal Market Data, Inc. or its successors, then "TBMA Index" shall mean such other reasonably comparable index selected by the Department.

"Tender Indebtedness" means any Parity Obligations or portions of Parity Obligations, a feature of which is an option or obligation, on the part of the owners thereof under the terms of such Parity Obligations, to tender all or a portion of such Parity Obligations to the Department, a fiscal agent, a paying agent, a tender agent or other agent for purchase and requiring that such Parity Obligations or portions thereof be purchased at the applicable Purchase Price if properly presented.

"Term Obligations" means Obligations which are payable on or before their specified maturity dates from Sinking Fund Installments established for that purpose and calculated to retire such Obligations on or before their specified maturity dates.

"Term Parity Obligations" means Term Obligations which are Parity Obligations.

"Treasurer" means the Treasurer of the City, who is also the General Manager of the City's Office of Finance.

"Twenty-Fourth Supplemental Resolution" means Resolution No. 4862 of the Board, as the provisions thereof may be amended or supplemented from time to time in accordance with the terms thereof.

"Twenty-Third Supplemental Resolution" means Resolution No. 4861 of the Board, as the provisions thereof may be amended or supplemented from time to time in accordance with the terms thereof.

"Unrealized Items" mean, with respect to the calculation of Adjusted Net Income for any Calculation Period, any revenues or expenses recognized in accordance with Generally Accepted Accounting Principles which are due to unrealized gains or losses caused by marking assets or liabilities of the Power System to market.

"Variable Rate Indebtedness" means any portion of indebtedness evidenced by Parity Obligations the interest rate on which is not established at the time of incurrence of such indebtedness and has not, at some subsequent date, been established at a rate which is not subject to fluctuation or subsequent adjustment, excluding Paired Obligations.

MASTER RESOLUTION

Authorization of Bonds

The Master Resolution provides certain terms and conditions upon which Bonds of the Department to be designated as "Power System Revenue Bonds" may be issued from time to time as authorized by Supplemental Resolutions. The aggregate principal amount of the Bonds which may be executed, authenticated and delivered under the Master Resolution as supplemented by Supplemental Resolutions is not limited except as may be provided therein or as may be limited by law.

Bonds Payable From Specified Sources

The Bonds shall constitute and evidence special obligations of the Department payable as to principal, premium, if any, and interest only from the Power Revenue Fund and, with respect to any particular Series or Subseries of Bonds, from such other sources as shall be specified in the Supplemental Resolution authorizing the issuance of such Series or Subseries, and the Bonds shall not be payable out of any other fund or moneys of the Department or the City. The Purchase Price for the Bonds of any Series or Subseries shall be payable from such sources as are specified in the Supplemental Resolution

authorizing the issuance of such Series or Subseries. The provisions of the Master Resolution shall not preclude the payment or redemption of Bonds, at the election of the Department, from any other legally available funds. As required by Section 609 of the Charter, the Bonds of each Series shall not constitute or evidence an indebtedness of the City, or a lien or charge on any property or the general revenues of the City but shall constitute and evidence special obligations of the Department payable only from the sources specified in the Master Resolution and the Supplemental Resolution authorizing the issuance of such Series of Bonds. Neither the faith and credit nor the taxing power of the City is or shall be pledged to the payment of the Bonds.

Bond Resolution to Constitute Contract

In consideration of the purchase and acceptance of any and all of the Bonds of each Series by those who shall own the same from time to time, the provisions of the Bonds of such Series, the Master Resolution, the Twenty-Third Supplemental Resolution and the Twenty-Fourth Supplemental Resolution shall be deemed to be and shall constitute a contract between the Department and the Owners of the Bonds of such Series and such provisions shall be enforceable by mandamus or any other appropriate suit, action or proceeding at law or in equity in any court of competent jurisdiction.

No Recourse on Bonds

Neither the members of the Board nor the officers or employees of the Department shall be individually liable on the Bonds or in respect of any undertakings by the Department under the Master Resolution, any Supplemental Resolution or any Bond.

Fiscal Agent

The Treasurer is appointed as the Fiscal Agent for the Bonds of each Series for the purposes of payment of principal of, premium, if any, and interest on such Bonds and for the purpose of administering all funds required to be maintained by the Fiscal Agent for the Bonds of each Series and for all other purposes the Auditor of the Department shall serve as Fiscal Agent.

In connection with the issuance of a Series of Bonds, the Supplemental Resolution authorizing the issuance of such Series may provide for the appointment of a Paying Agent to act as the agent of the Fiscal Agent for the purpose of authentication and transfer of such Series of Bonds, including maintaining that portion of the Bond Register relating to such Series of Bonds, receiving, holding and disbursing funds for the payment of the principal and Purchase Price of, premium, if any, and interest on the Bonds of such Series and performing such other functions with respect to such Series of Bonds as may be provided in the Supplemental Resolution authorizing the issuance of such Series.

General Provisions for Issuance of Bonds

All (but not less than all) the Bonds of each Series shall be executed by the Department for issuance under the applicable Bond Resolution and delivered to the Fiscal Agent and thereupon shall be authenticated by the Fiscal Agent and by it delivered to the Department or upon its order, but only upon the receipt by the Fiscal Agent of the following items (upon which the Fiscal Agent may conclusively rely in determining whether the conditions precedent for the issuance and authentication of such Series of Bonds have been satisfied):

(1) A copy of the Master Resolution, as amended to the date of the initial delivery of such Series of Bonds, and a copy of the Supplemental Resolution authorizing the issuance of such Series of Bonds, each certified by an Authorized Department Representative to be in full force

and effect, which Supplemental Resolution shall specify, or provide for the specification in a Delivery Certificate of: (i) the sources of payment for the Bonds of such Series other than the Power Revenue Fund, if any; (ii) the Series designation of such Bonds; (iii) whether the Bonds of such Series are to be divided into Subseries and the manner of designating such Subseries; (iv) the authorized principal amount of the Bonds of such Series and each Subseries thereof; (v) the purposes for which such Series of Bonds are being issued, which shall be one of the purposes specified in Section 2.05 or 2.06 of the Master Resolution; (vi) the date or manner of determining the date of the Bonds of such Series and each Subseries thereof; (vii) the maturity date or dates of the Bonds of such Series and each Subseries thereof and the principal amount of the Bonds of such Series or Subseries maturing on each such maturity date; (viii) which, if any, of the Bonds of such Series will constitute Serial Obligations and which, if any, will constitute Term Obligations; (ix) the interest rate or rates on the Bonds of such Series and each Subseries thereof or the manner of determining such interest rate or rates; (x) the Interest Payment Dates for the Bonds of such Series and each Subseries thereof or the manner of establishing such Interest Payment Dates; (xi) the Authorized Denominations of, and the manner of numbering and lettering, the Bonds of such Series and each Subseries thereof; (xii) the redemption price or prices, if any, and, subject to the applicable provisions of the Master Resolution, the redemption terms for the Bonds of such Series and each Subseries thereof; (xiii) the Sinking Fund Installments, if any, for the Bonds of such Series and each Subseries thereof which constitute Term Obligations, provided that each Sinking Fund Installment, if any, shall fall upon an Interest Payment Date for the Bonds of such Series or Subseries; (xiv) if any of the Bonds of such Series or any Subseries thereof constitute Tender Indebtedness, the terms and conditions, including Purchase Price, for the exercise by the Owners or Beneficial Owners of such Bonds of the purchase and extension options granted with respect to such Bonds and the terms and conditions, including Purchase Price, upon which the Bonds of such Series or Subseries will be subject to mandatory tender for purchase; (xv) if the Bonds of such Series are not to be Book-Entry Bonds, a statement to such effect; (xvi) the application of the proceeds of the sale of such Series of Bonds including the amount, if any, to be deposited in the funds and accounts under the applicable Bond Resolution; (xvii) the forms of the Bonds of such Series and each Subseries thereof and of the certificate of authentication thereon; and (xviii) the appropriate funds and accounts, if any, relating to such Series of Bonds established under such Supplemental Resolution;

(2) The Delivery Certificate, if any, relating to such Series of Bonds or each Subseries thereof, executed on behalf of the Department by an Authorized Department Representative;

(3) An Opinion of Bond Counsel, dated the date of the initial delivery of such Series of Bonds, to the effect that the Master Resolution, as amended to such date, and the Supplemental Resolution authorizing the issuance of such Series of Bonds, as amended to such date, have been duly adopted by the Board and are in full force and effect;

(4) With respect to any Additional Bonds, the Fiscal Agent shall have received the certificate with respect to the satisfaction of the conditions for the issuance of Additional Parity Obligations contained in the Master Resolution;

(5) With respect to any Refunding Bonds which are not Crossover Refunding Obligations, the Fiscal Agent shall have received a copy of the Opinion of Bond Counsel with respect to the payment of the Parity Obligations to be refunded required by the Master Resolution or with respect to Refunding Bonds constituting Crossover Refunding Obligations, the Accountant's Certificate and Crossover Escrow Instructions required by the Master Resolution, as applicable; and

(6) Such further documents, moneys and securities as are required by the applicable provisions of Master Resolution or of the Supplemental Resolution authorizing the issuance of such Series of Bonds.

After the original issuance of Bonds of any Series, no Bonds of such Series shall be issued except in lieu of or in substitution for other Bonds of such Series pursuant to the applicable Bond Resolution.

Additional Bonds

One or more Series of Additional Bonds may be issued, authenticated and delivered upon original issuance for the purpose of paying all or a portion of the Costs of any Capital Improvement. Additional Bonds may be issued in a principal amount sufficient to pay such Costs, including making of any deposits into the funds or accounts required by the provisions of the applicable Bond Resolution.

Refunding Bonds

One or more Series of Refunding Bonds may be issued, authenticated and delivered upon original issuance for the purpose of refunding all or any portion of the Outstanding Parity Obligations. Refunding Bonds may be issued in a principal amount sufficient to accomplish such refunding including providing amounts for the Costs of Issuance of such Refunding Bonds, and the making of any deposits into the funds and accounts required by the provisions of the applicable Bond Resolution.

Refunding Bonds of each Series shall be authenticated and delivered by the Fiscal Agent only upon receipt by the Fiscal Agent (in addition to the documents required by the Master Resolution and except as otherwise described below with respect to Crossover Refunding Obligations) of an Opinion of Bond Counsel to the effect that the Parity Obligations (or the portion thereof) to be refunded are deemed paid pursuant to the Issuing Instrument authorizing such Parity Obligations. Such Opinion of Bond Counsel may rely upon an Accountant's Certificate as to the sufficiency of available funds to pay such Parity Obligations. The Fiscal Agent may conclusively rely on such Opinion of Bond Counsel in determining whether the conditions precedent for the issuance and authentication of such Series of Refunding Bonds have been satisfied.

A Series of Refunding Bonds which constitute Crossover Refunding Obligations shall be authenticated and delivered by the Fiscal Agent upon the receipt of the Fiscal Agent (in addition to the documents required by the Master Resolution) of: (i) an Accountant's Certificate to the effect that the moneys scheduled to be available in the applicable Crossover Refunding Escrow are sufficient to pay the applicable Crossover Escrow Requirements when due; and (ii) a copy of the Crossover Escrow Instructions relating to such Series of Refunding Bonds and the Parity Obligations to be refunded.

Conditions to Issuance of Parity Obligations

Without regard to the last paragraph under this heading, the Department may at any time issue or enter into an obligation or commitment which is a Qualified Swap Agreement, provided (i) the Qualified Swap Agreement shall relate to a principal amount of Outstanding Parity Obligations or investments held under an Issuing Instrument for Parity Obligations, in each case specified by an Authorized Department Representative; (ii) the notional amount of the Qualified Swap Agreement shall not exceed the principal amount of the related Parity Obligation or the amount of such investments, as applicable; and (iii) the Department has received a Rating Confirmation from each Rating Agency with respect to such Qualified Swap Agreement.

Without regard to the last paragraph under the heading, the Department may at any time issue Refunding Parity Obligations provided that the Fiscal Agent receives an Opinion of Bond Counsel to the effect that the Parity Obligations to be refunded are deemed paid pursuant to the Issuing Instrument authorizing such Parity Obligations; except that, with respect to Refunding Parity Obligations which constitute Crossover Refunding Obligations, in lieu of such Opinion of Bond Counsel, the Fiscal Agent shall have received an Accountant's Certificate to the effect that the moneys scheduled to be available in the applicable Crossover Refunding Escrow are sufficient to pay the applicable Crossover Escrow Requirements when due and a copy of the requested Crossover Escrow Instructions relating to such Refunding Parity Obligations and the Parity Obligations to be refunded.

Without regard to the last paragraph under this heading, the Department may issue the Initial Bonds.

Without regard to the last paragraph under this heading, the Department may enter into Credit Support Instruments or otherwise become obligated for Credit Provider Reimbursement Obligations from time to time.

The Department may, at any time and from time to time, issue any Additional Parity Obligations, provided the Department obtains or provides a certificate or certificates, prepared by the Department or at the Department's option by a Consultant, showing that the Adjusted Net Income for the applicable Calculation Period, which Calculation Period shall be selected by the Department in its sole discretion, shall have amounted to at least 1.25 times the Maximum Annual Adjusted Debt Service on all Parity Obligations to be Outstanding immediately after the issuance of the proposed Additional Parity Obligations. For purposes of preparing the certificate or certificates described in the foregoing, the Department and any Consultant may rely upon the books and records of the Department or any financial statements prepared by the Department which have not been subject to audit by an Independent Certified Public Accountant if audited financial statements for the particular Calculation Period selected by the Department are not available.

Conditions of Issuance of Subordinated Obligations

The Department may, at any time or from time to time, issue Subordinated Obligations without satisfying the requirements relating to Prior Obligations for any purpose in connection with the Power System, including, without limitation, the financing of a part of the cost of acquisition and construction of any additions to or improvements of the Power System or the refunding of any Subordinated Obligations or Outstanding Parity Obligations (or portions thereof). Such Subordinated Obligations shall be payable out of amounts in the Power Revenue Fund as may from time to time be available therefor, provided that any such payment shall be, and shall be expressed to be, subordinate and junior in all respects to the payment of such Parity Obligations as may be Outstanding from time to time, including Parity Obligations issued after the issuance of such Subordinated Obligations.

The resolution, indenture or other instrument authorizing the issuance of Subordinated Obligations shall contain provisions (which shall be binding on all owners of such Subordinated Obligations) not more favorable to the owners of such Subordinated Obligations than the following:

(1) In the event of any insolvency or bankruptcy proceedings, and any receivership, liquidation, reorganization or other similar proceedings in connection therewith, relative to the City, the Department or to its creditors, as such, or to its property, and in the event of any proceedings for voluntary liquidation, dissolution or other winding up of the City or the Department, whether or not involving insolvency or bankruptcy, the owners of all Outstanding Parity Obligations shall be entitled to receive payment in full of all principal and interest due on

all such Parity Obligations in accordance with the provisions of the Issuing Instrument authorizing the issuance of such Parity Obligations before the owners of the Subordinated Obligations are entitled to receive any payment from the Power Revenue Fund on account of principal (and premium, if any) or interest upon the Subordinated Obligations.

(2) In the event that any Subordinated Obligation is declared due and payable before its expressed maturity because of the occurrence of an event of default (under circumstances when the provisions of (1) above shall not be applicable), the owners of all Parity Obligations Outstanding at the time such Subordinated Obligation so becomes due and payable because of such event of default, shall be entitled to receive payment in full of all principal and interest on all such Parity Obligations before the owners of such Subordinated Obligation are entitled to receive any accelerated payment from the Power Revenue Fund of principal (and premium, if any) or interest upon such Subordinated Obligation.

(3) If any default with respect to any Outstanding Parity Obligation shall have occurred and be continuing (under circumstances when the provisions of (1) above shall not be applicable), the owners of all Outstanding Parity Obligations shall be entitled to receive payment in full of all principal and interest on all such Parity Obligations as the same become due and payable before the owners of the Subordinated Obligations are entitled to receive, subject to the provisions of (5) below, any payment from the Power Revenue Fund of principal (and premium, if any) or interest upon the Subordinated Obligations.

(4) No Bondowner shall be prejudiced in his right to enforce subordination of the Subordinated Obligations by any act or failure to act on the part of the Department or the Fiscal Agent.

(5) The Subordinated Obligations may provide that the provisions (1), (2), (3) and (4) above are solely for the purpose of defining the relative rights of the Owners of the Bonds and the owners of all other Outstanding Parity Obligations on the one hand, and the owners of Subordinated Obligations on the other hand, and that nothing therein shall impair, as between the Department and the owners of the Subordinated Obligations, the obligation of the Department, which may be unconditional and absolute, to pay to the owners of such Subordinated Obligations the principal thereof and premium, if any, and interest thereon in accordance with their terms, nor shall anything therein prevent the owners of the Subordinated Obligations from exercising all remedies otherwise permitted by applicable law or thereunder upon default thereunder, subject to the rights under (1), (2), (3) and (4) above of the Owners of Outstanding Bonds and the owners of other Outstanding Parity Obligations to receive payment from the Power Revenue Fund otherwise payable or deliverable to the owners of the Subordinated Obligations; and the Subordinated Obligations may provide that, insofar as a trustee, fiscal agent or paying agent for such Subordinated Obligations is concerned, the foregoing provisions shall not prevent the application by such trustee, fiscal agent or paying agent of any moneys deposited with such trustee, fiscal agent or paying agent for the purpose of the payment of or on account of the principal (and premium, if any) and interest on such Subordinated Obligations if such trustee, fiscal agent or paying agent did not have knowledge at the time of such application that such payment was prohibited by the foregoing provisions.

Any Subordinated Obligations may have such rank or priority with respect to any other Subordinated Obligations as may be provided in the resolution, indenture or other instrument, authorizing the issuance or incurrence, or securing of such Subordinated Obligations and may contain such other provisions as are not in conflict with the provisions of the Master Resolution.

Credit Provider Bonds. Subject only to the provisions of the Master Resolution relating to bonds payable from specified sources, notwithstanding any other provision contained in the Master Resolution to the contrary, Bonds which are Credit Provider Bonds shall have terms and conditions, including terms of maturity, prepayment and interest rate, as shall be specified in the applicable Credit Support Agreement.

Funds and Accounts

Establishment. To ensure the payment when due and payable, whether at maturity or upon redemption, of the principal of, premium, if any, and interest on the Bonds, the Master Resolution establishes the following funds and accounts, to be maintained and applied as in the Master Resolution provided for so long as any of the Bonds are Outstanding: the Power System Revenue Bonds Reserve Fund to be held in the City Treasury by the Treasurer; the Power System Revenue Bonds Bond Service Fund to be held in the City Treasury by the Treasurer, comprised of an Interest Account, a Principal Account and a Sinking Fund Account; and the Power System Revenue Bonds Redemption Fund to be held in the City Treasury by the Treasurer.

In connection with the operation, maintenance, modification, renewal and expansion of the Power System, the Master Resolution establishes the Power System Expense Stabilization Fund, to be held by such bank, trust company or other depository, including the Treasurer, as the Department shall select, to be maintained and applied pursuant to the Master Resolution for so long as any Bonds remain Outstanding.

Reserve Fund. The Treasurer shall, from time to time, set aside and place in the Reserve Fund from the Power Revenue Fund, sums such that the full amount which the Treasurer is required to transfer to the Bond Service Fund and the Redemption Fund pursuant to the applicable Bond Resolution, shall be so set aside in the Reserve Fund, in cash, at the time such transfers are required to be made. Moneys set aside and placed in the Reserve Fund shall be separately invested and remain therein until from time to time transferred to the Fiscal Agent as provided in the Master Resolution, and shall not be used for any other purpose whatsoever except as otherwise permitted by the Master Resolution.

Bond Service Fund. (a) From sums set aside and placed in the Reserve Fund, the Treasurer shall transfer the following amounts at the following times for deposit in the following specified accounts within the Bond Service Fund: (1) for deposit in the Interest Account, on the first Business Day prior to each Interest Payment Date for any Bonds and on the first Business Day prior to each redemption date for any Bonds which is not an Interest Payment Date, an amount equal to the interest payable on the Outstanding Bonds on such Interest Payment Date, or the accrued interest to the redemption date on the Bonds to be redeemed, as applicable; provided, however, that such transfers shall be reduced by any available amounts on deposit in the Interest Account which are to be applied to such upcoming interest payment; (2) for deposit in the Principal Account, on the first Business Day prior to each date on which the principal of Outstanding Bonds which are Serial Obligations mature, an amount equal to the principal of such Outstanding Bonds maturing on such date; provided, however, that such transfers shall be reduced by any available amounts on deposit in the Principal Account which are to be applied to the upcoming principal payment; and (3) for deposit in the Sinking Fund Account, on the first Business Day prior to each Sinking Fund Installment due date for Outstanding Bonds which are Term Bonds, an amount equal to the Sinking Fund Installment due on such Sinking Fund Installment due date; provided, however, that such transfers shall be reduced by any available amounts on deposit in the Sinking Fund Account which are to be applied to the redemption or payment of such Bonds on such Sinking Fund Installment due date and by the amount by which the Department's obligations to place moneys in the Reserve Fund for transfer to the Sinking Fund Account has been satisfied pursuant to paragraph (b) under this heading.

(b) In the event that Bonds for which Sinking Fund Installments have been established are purchased or redeemed at the option of the Department, such Bonds may be cancelled. If such cancelled Bonds are deposited with the Fiscal Agent for the credit of the Sinking Fund Account not less than forty-five 45 days prior to the due date for any Sinking Fund Installment for such Bonds, such deposit will satisfy (to the extent of 100% of the principal amount thereof) any obligation of the Department to set aside and place moneys in the Reserve Fund for transfer to the Sinking Fund Account with respect to such Sinking Fund Installments, and any Bond so cancelled shall no longer be deemed to be Outstanding for any purpose. Upon making the deposit with the Fiscal Agent of Bonds for which Sinking Fund Installments have been established as provided in paragraph (b) under this heading, the Department may specify the dates and amounts of Sinking Fund Installments for such Bonds by which the Department's obligations to place moneys in the Reserve Fund for transfer to the Sinking Fund Account as Sinking Fund Installments for such Bonds shall be satisfied.

(c) Except as hereafter in this paragraph provided: (i) amounts deposited in the Interest Account shall remain therein until expended for the payment of interest on the Bonds; (ii) amounts deposited in the Principal Account shall remain therein until expended for the payment of principal on the Bonds which are Serial Obligations; and (iii) amounts deposited in the Sinking Fund Account shall remain therein until expended for the redemption or payment at maturity of Bonds which are Term Obligations.

In the event one or more Paying Agents have been appointed for a Series of Bonds, moneys may be transferred by the Treasurer to such Paying Agent from the appropriate account in the Bond Service Fund for deposit into a special trust account to ensure the payment when due of the principal of, premium, if any, and interest on such Bonds. In the event that any principal of or interest on any Bond has been paid by a Credit Provider pursuant to a Credit Support Instrument, amounts in the appropriate accounts in the Bond Service Fund with respect to such Bond, and any such amounts transferred by the Treasurer from the Bond Service Fund to a Paying Agent for such Bond pursuant to the Master Resolution, shall be paid to such Credit Provider as a reimbursement of the amounts so paid.

Redemption Fund. At least one Business Day prior to each date fixed for the redemption of Bonds other than from Sinking Fund Installments, the Treasurer shall transfer from the Reserve Fund to the Redemption Fund, an amount equal to the principal of, and any applicable redemption premium on, the Bonds to be redeemed. Said moneys shall be set aside in said Fund and shall be applied on or after the redemption date to the payment of principal of, and premium, if any, on the Bonds to be redeemed and, except as otherwise provided in the Master Resolution, shall be used only for that purpose. Any interest on the Bonds due on or prior to the redemption date shall be paid from the Interest Account in the Bond Service Fund. In the event one or more Paying Agents have been appointed for Bonds which are to be redeemed with moneys in the Redemption Fund, amounts in the Redemption Fund may be transferred from such Fund by the Treasurer to a Paying Agent for the Bonds to be redeemed for deposit into a special trust account held by such Paying Agent to ensure the payment when due the principal of and premium, if any, on the Bonds to be redeemed. In the event that the principal of or any premium on a Bond due upon the redemption thereof has been paid by a Credit Provider pursuant to a Credit Support Instrument, amounts in the Redemption Fund with respect to such principal and premium, and any such amounts transferred by the Treasurer from the Redemption Fund to a Paying Agent for such Bonds pursuant to the Master Resolution, shall be paid to such Credit Provider as a reimbursement of the amounts so paid. If, after all of the Bonds designated for redemption have been redeemed and cancelled or paid and cancelled, there are moneys remaining in the Redemption Fund, said moneys shall be transferred to the Power Revenue Fund; provided, however, that if said moneys are part of the proceeds of Refunding Obligations said moneys shall be applied as provided in the Issuing Instrument authorizing the issuance of such Refunding Obligations.

Expense Stabilization Fund. Moneys shall be deposited in the Expense Stabilization Fund in such amounts, at such times and from such sources as shall be determined by the Department in its sole discretion. Moneys on deposit in the Expense Stabilization Fund may be withdrawn at any time upon the order of the Auditor or Assistant Auditor and applied to any lawful purpose in connection with the Power System, including without limitation payment of the costs and expenses of operating and maintaining of the Power System, payment of Debt Service on Parity Obligations, payments of principal, premium or interest on Subordinated Obligations, payment of Costs of Capital Improvements, payment of the Costs of Issuance of Parity Obligations or payment of the costs of issuance of Subordinated Obligations.

Moneys Held for Certain Bonds. Moneys held by the Treasurer in the Bond Service Fund and the Redemption Fund, and moneys transferred by the Treasurer to any Paying Agent for Bonds from the Bond Service Fund or the Redemption Fund, in each case for the payment of the interest, principal or redemption premium due on any date with respect to particular Bonds shall, on and after such date and pending such payment, be set aside on its books and held in trust without liability for further interest thereon for the Owners entitled thereto.

Investments. Moneys held in the Reserve Fund, the Bond Service Fund, the Redemption Fund and the Expense Stabilization Fund may, subject to the Tax Certificates, be invested and reinvested to the fullest extent practicable in any investment in which the City can legally invest its funds, which mature not later than such times as shall be necessary to provide moneys when needed for payments to be made from such Funds. Any investment earnings on moneys on deposit in the Reserve Fund, the Bond Service Fund, the Redemption Fund and the Expense Stabilization Fund shall be deposited in such respective Funds and be used in the same manner as other amounts on deposit in such Funds.

Covenants

No Priority. The Department shall not issue any Obligation the payments from the Power Revenue Fund with respect to which from the Power Revenue Fund are senior or prior in right to the payment from the Power Revenue Fund of the Bonds.

Sale of Power System. The Power System shall not be sold or otherwise disposed of, as a whole or substantially as a whole, unless such sale or other disposition be so arranged as to provide for a continuance of payments into the Power Revenue Fund sufficient in amount to permit payment therefrom when due, at maturity or upon redemption, of the principal of, premiums, if any, and interest on all Outstanding Bonds, or to provide for a continuance of payments sufficient for such purposes into some other fund charged with the payment of such principal, interest and premiums.

Restrictions on Transfers. No transfers out of the Power Revenue Fund under the provisions of Section 344 of the Charter shall be made in any Fiscal Year: (1) in excess of the Net Income of the Power System, after depreciation, amortization and interest chargeable to income account, as shown by the books of the Department for the Preceding Fiscal Year; or (2) which would result in the amount of the Surplus derived from the operation of the Power System as shown by the books of the Department as of the end of the Preceding Fiscal Year, less the aggregate of all such transfers which have been made since the close of the Preceding Fiscal Year and of all such transfers not then made, but to the making of which the consent of the Board has been given, being less than thirty-three and one-third percent (33-1/3%) of the total indebtedness, including current liabilities, payable out of the Power Revenue Fund and outstanding as of the date not more than ten days prior to the date of such transfer.

Audits. The Department will cause the books and accounts of the Power System, including the Power Revenue Fund, to be audited annually by Independent Certified Public Accountants and will make available for inspection by the Owners of the Outstanding Bonds, at the Principal Office of the Fiscal

Agent, a copy of the report of such accountants and will also furnish a copy thereof, upon request, to any Owner of an Outstanding Bond.

Payments From Power Revenue Fund. All revenues from every source collected by the Department in connection with its possession, management and control of the Power System will be deposited in the City Treasury to the credit of the Power Revenue Fund. From amounts in the Power Revenue Fund, the Department will pay, without priority: (a) the costs and expenses of operating and maintaining the Power System; (b) the principal, redemption premium, if any, and interest on the Outstanding Bonds and other Parity Obligations; and (c) all other obligations payable from the Power Revenue Fund which are not, by their terms, Subordinated Obligations.

Tax Matters. In order to maintain the exclusion from gross income for federal income tax purposes of interest on the Bonds which are Tax-Exempt Securities, the Department covenants to comply with each applicable requirement of Section 103 and Sections 141 through 150 of the Code. In furtherance of this covenant, the Department agrees to comply with the covenants contained in each of the Tax Certificates. The Fiscal Agent shall comply with any instructions received from the Department in order to comply with the Tax Certificates.

Punctual Payment. The Department will punctually pay or cause to be paid the principal and interest to become due on the Outstanding Parity Obligations in strict conformity with the terms of the applicable Issuing Instrument, and will faithfully observe and perform all of the conditions, covenants and requirements of the Outstanding Parity Obligations and the applicable Issuing Instruments.

Against Encumbrances. The Department will not create, or permit the creation of, any mortgage, pledge, encumbrance or lien upon the Power System or any property essential to the proper operation of the Power System or to the maintenance of the Power Revenue Fund.

Maintenance and Operation of the Power System. The Department will cause the Power System to be maintained in good repair, working order and condition at all times, and will continuously operate the Power System in an efficient and economical manner, and so that all lawful orders of any governmental agency or authority having jurisdiction in the premises shall be compiled with, but the Department shall not be required to comply with any such orders so long as the validity or application thereof shall be contested in good faith or the failure to comply will not have a material adverse effect on the operation or financial condition of the Power System. The Department further covenants and agrees that it will at all times maintain and comply with all necessary permits and licenses issued by governmental authorities having jurisdiction unless the lawful requirement thereof is being contested in good faith or the failure to comply will not have a material adverse effect on the operation or financial condition of the Power System.

Payment of Taxes and Claims. The Department will, from time to time, duly pay and discharge, or cause to be paid and discharged, any taxes, assessments or other governmental charges lawfully imposed upon the Power System or upon the Power Revenue Fund when the same shall become due (except to the extent such charges may be contested in good faith), as well as any lawful claim for labor, materials or supplies which, if unpaid, might by law become a lien or charge upon the Power Revenue Fund or the Power System.

Amendments to Master Resolution

The provisions of the Master Resolution may be modified, amended or supplemented from time to time and at any time when the written consent of each Credit Provider whose consent is required by a Supplemental Resolution or Credit Support Agreement and of the Owners of at least a majority in

aggregate principal amount of the Bonds then Outstanding, shall have been filed with the Fiscal Agent; or if less than all of the Outstanding Bonds are affected the written consent of the Owners of at least a majority in aggregate principal amount of all affected Outstanding Bonds; provided that if such modification, amendment or supplement shall, by its terms, not take effect so long as any Bonds of any particular Series, Subseries and maturity remain Outstanding, and, with respect to Bonds which are Tender Indebtedness if the conditions described below with respect to Tender Indebtedness are satisfied, the consent of the Owners of such Bonds shall not be required and such Bonds shall not be deemed to be Outstanding for the purpose of any such calculation of Outstanding Bonds. No such modification, amendment or supplement shall (1) reduce the aforesaid percentage of Bonds the consent of the Owners of which is required to effect any such modification, amendment or supplement without the consent of the Owners of all of the Bonds then Outstanding; or (2) modify the rights or obligations of any Fiduciary without the consent of such Fiduciary; or (3) modify the rights of the Holders of the Outstanding Corresponding Prior Bonds described in the next paragraph without the written consent of the Holders of at least sixty percent (60%) of the aggregate principal amount of each issue of the Outstanding Prior Bonds which would be affected by such modification..

In the event any Supplemental Resolution would amend, modify or supplement any of the covenants contained in the Master Resolution and such amendment, modification or supplement will result in an amendment, modification or supplement of any Corresponding Prior Bond Resolution for Outstanding Corresponding Prior Bonds, then such Supplemental Resolution may be adopted by the Board only when the written consent of each Credit Provider whose consent is required by a Supplemental Resolution or Credit Support Agreement and of the Owners and/or Holders of at least a majority in combined aggregate principal amount of the then Outstanding Bonds and Corresponding Prior Bonds shall have been filed with the Fiscal Agent or, if less than all of the then Outstanding Bonds or Outstanding Corresponding Prior Bonds are affected, the written consent of the Owners and/or Holders of at least a majority in combined aggregate principal amount of all affected Outstanding Bonds and Outstanding Corresponding Prior Bonds; provided that if such modification or amendment shall, by its terms, not take effect so long as any Bonds of any particular Series, Subseries and maturity or Outstanding Corresponding Prior Bonds of any issue and maturity remain Outstanding, and, with respect to Bonds which are Tender Indebtedness if the conditions described in the next paragraph are satisfied, the consent of the Owners of such Bonds and the Holders of such Outstanding Corresponding Prior Bonds shall not be required and such Bonds and such Corresponding Prior Bonds shall not be deemed to be Outstanding for the purpose of any such calculation of Outstanding Bonds and Corresponding Prior Bonds.

Notwithstanding anything to the contrary under this heading, the provisions of the Master Resolution may also be modified, amended or supplemented by a Supplemental Resolution or Supplemental Resolutions, including amendments which would otherwise be described in the first paragraph under this heading, without the consent of the Owners of Bonds constituting Tender Indebtedness if either (i) the effective date of such Supplemental Resolution is a date on which such Bonds are subject to mandatory tender for purchase pursuant to the applicable Bond Resolution or (ii) the notice provided in the Master Resolution is given to Owners of such Bonds at least thirty (30) days before the effective date of such Supplemental Resolution, and on or before such effective date, the Owners of such Bonds have the right to demand purchase of such Bonds pursuant to the applicable Bond Resolution.

For purposes of the foregoing, it shall not be necessary that consents with respect to any particular percentage of Outstanding Bonds or Outstanding Corresponding Prior Bonds be obtained but it shall be sufficient for such purposes if consent of the Owners and/or Holders of a majority in aggregate principal amount of the combination of Outstanding Bonds and Outstanding Corresponding Prior Bonds (or the affected Outstanding Bonds and Outstanding Corresponding Prior Bonds) shall be obtained.

Prior to the adoption of any Supplemental Resolution requiring Bondowner consent, the Department shall cause notice of the proposed adoption of such Supplemental Resolution to be mailed, by first class mail, postage prepaid, to the Owners of all Outstanding Bonds (or the affected Outstanding Bonds) at their addresses appearing on the Bond Register and to the Holders of all Outstanding Corresponding Prior Bonds (or the affected Outstanding Corresponding Prior Bonds). Such notice shall briefly set forth the nature of the proposed Supplemental Resolution and shall state that copies thereof are on file at the office of the Fiscal Agent for inspection by each Owner of an Outstanding Bond and to each Holder of an Outstanding Corresponding Prior Bond.

The Master Resolution may be supplemented, without the consent of any Owner of Bonds, to provide for the issuance of a Series of Additional Bonds or a Series of Refunding Bonds in accordance with the terms and conditions of the Master Resolution, and establishing the terms and conditions thereof, including the rights of any Credit Provider for such Additional Bonds or Refunding Bonds, which may include permitting such Credit Provider to act for and on behalf of the Owners of such Additional Bonds or Refunding Bonds for any or all purposes of the applicable Bond Resolution except that no such Credit Provider shall be authorized to extend the fixed maturity of any Bond, or reduce the principal amount thereof, or reduce the amount of any Sinking Fund Installment therefor, or extend the due date of any such Sinking Fund Installment, or reduce the rate of interest thereon or extend the time of payment of interest thereon, without the consent of the Owner of each Bond so affected; or except as otherwise provided with respect to a Bond constituting Tender Indebtedness in the Supplemental Resolution authorizing such Bond and subject to the satisfaction of the conditions of the Master Resolution, reduce any redemption premium due on the redemption of any Bond or change the date or dates when any Bond is subject to redemption.

The Master Resolution and the rights and obligations of the Department, the Fiduciaries and the Owners of the Outstanding Bonds may also be modified, amended or supplemented in any respect with the consent of each Credit Provider whose consent is required by a Supplemental Resolution or a Credit Support Agreement but without the consent of any Owners of Bonds (but with the consent of any affected Fiduciary), so long as such modification, amendment or supplement shall not materially, adversely affect the interests of the Owners of the Outstanding Bonds.

Notwithstanding anything to the contrary in the Master Resolution, the provisions of the Master Resolution may also be modified, amended or supplemented, including amendments which would otherwise require Bondowner consent, without the consent of the Owners of Bonds constituting Tender Indebtedness if either (i) the effective date of such modification or amendment is a date on which such Bonds are subject to mandatory tender for purchase pursuant to the applicable Bond Resolution or (ii) the notice provided in the Master Resolution is given to Owners of such Bonds at least thirty (30) days before the effective date of such Supplemental Resolution, and on or before such effective date, the Owners of such Bonds have the right to demand purchase of such Bonds pursuant to the applicable Bond Resolution.

If the Supplemental Resolution authorizing the issuance of a Series of Bonds provides that a Credit Provider for all or any portion of the Bonds of such Series shall have the right to consent to Supplemental Resolutions which require Bondowner consent, then for the purposes of sending notice of any proposed Supplemental Resolution and for determining whether the Owners of the requisite percentage of Bonds have consented to such Supplemental Resolution, but references to the Owners of such Bonds shall be deemed to be to the applicable Credit Provider.

Upon the adoption of any Supplemental Resolution pursuant to the applicable provisions of the Master Resolution, the Master Resolution shall be deemed to be modified, amended and supplemented in accordance therewith, and the respective rights, duties and obligations under the Master Resolution of the Department, the Fiduciaries and all Owners of Outstanding Bonds shall thereafter be determined,

exercised and enforced subject in all respects to such modification, amendment and supplement, and all the terms and conditions of any such Supplemental Resolution shall be deemed to be part of the terms and conditions of the Master Resolution for any and all purposes.

For purposes of modifications, amendments and supplements to the Master Resolution, Bonds owned or held by or for the account of the Department, the City, or any funds of the Department or the City, shall not be deemed Outstanding for the purpose of consent or other action or any calculation of Outstanding Bonds, and neither the Department nor the City shall be entitled with respect to such Bonds to give any consent or take any other action provided for in the Master Resolution with respect to Bondowner consent.

Notwithstanding anything to the contrary described under this heading, if authorized by the Supplemental Resolution authorizing the issuance of a Bond constituting Tender Indebtedness, any premium due on the redemption of such Bond and the date or dates when such Bond is subject to redemption may be modified, amended or supplemented as provided in such Supplemental Resolution if either: (i) the effective date of such modification or amendment is a date on which such Bond is subject to mandatory tender for purchase pursuant to such Supplemental Resolution; or (ii) notice of such modification or amendment has been mailed to the Owner of such Bond at the address set forth in the Bond Register at least thirty (30) days before the effective date of such modification or amendment and on or before such effective date, the Owner of such Bond has the right to demand purchase of such Bond pursuant to such Supplemental Resolution.

Defeasance

Bonds (or portions of Bonds), or interest installments on Bonds, for the payment or redemption of which moneys shall have been set aside and shall be held in trust by an Escrow Agent (through deposit pursuant to a Bond Resolution of funds for such payment or redemption or otherwise) at the maturity, redemption date, or interest payment date thereof, as applicable, shall be deemed to have been paid within the meaning and with the effect expressed in the Master Resolution. Any Outstanding Bond (or any portion thereof such that both the portion thereof which is deemed paid and the portion which is not deemed paid pursuant to the Master Resolution shall be in an Authorized Denomination) shall prior to the maturity or redemption date thereof be deemed to have been paid within the meaning and with the effect expressed in the Master Resolution (except that the obligations under the applicable Bond Resolution with respect to the payment of the principal amount of, and any redemption premiums on, and the interest on the Bonds from the sources provided, to the transfer and exchange of Bonds and to the giving of the notices of the redemption of Bonds to be redeemed as provided in the Master Resolution shall continue) if (1) in case said Bond (or portion thereof) is to be redeemed on any date prior to maturity, the Department shall have given the Fiscal Agent irrevocable instructions to give notice of redemption of such Bond (or portion thereof) on said date as provided in the Master Resolution, (2) there shall have been deposited with an Escrow Agent either moneys in an amount which shall be sufficient, or Defeasance Securities, the principal of and the interest on which when due shall provide moneys which, together with the moneys, if any, deposited with such Escrow Agent at the same time, shall be sufficient, in each case as evidenced by an Accountant's Certificate, to pay when due the principal amount of, and any redemption premiums on, said Bond (or portion thereof) and interest due and to become due on said Bond (or portion thereof) on and prior to the redemption date or maturity date thereof, as the case may be, and (3) if such Bond (or portion thereof) is not to be paid or redeemed within 60 days of the date of the deposit required by (2) above, the Department shall have given the Fiscal Agent, in form satisfactory to it, instructions to mail, as soon as practicable, by first class mail, postage prepaid, to the Owner of such Bond, at the last address, if any, appearing upon the Bond Register, a notice that the deposit required by (2) above has been made with an Escrow Agent and that said Bond (or the applicable portion thereof) is deemed to have been paid in accordance with the Master Resolution and stating such maturity or redemption date upon which

moneys are to be available for the payment of the principal amount of, and any redemption premiums on, said Bond. Any notice given pursuant to clause (3) of this paragraph with respect to Bonds which constitute less than all of the Outstanding Bonds of any Series, Subseries and maturity shall specify the letter and number or other distinguishing mark of each such Bond.

Any notice given pursuant to clause (3) of the preceding paragraph with respect to less than the full principal amount of a Bond shall specify the principal amount of such Bond which shall be deemed paid and notify the Owner of such Bond that such Bond must be surrendered as provided in the Master Resolution. The receipt of any notice required by the Master Resolution in connection with the defeasance of Bonds shall not be a condition precedent to any Bond being deemed paid in accordance with the applicable Bond Resolution and the failure of any Owner to receive any such notice shall not affect the validity of the proceedings for the payment of Bonds.

Neither Defeasance Securities nor moneys deposited with an Escrow Agent for the payment of Bonds or the interest thereon, nor principal or interest payments on any such Defeasance Securities, shall be withdrawn or used for any purpose other than, and shall be held in trust for, the payment of the principal amount of, and any redemption premiums on, said Bonds and the interest thereon; provided that any cash received from principal or interest payments on such Defeasance Securities deposited with an Escrow Agent, (A) to the extent such cash shall not be required at any time for such payment, as evidenced by an Accountant's Certificate, shall be paid over upon the written direction of an Authorized Department Representative, free and clear of any trust, lien, pledge or assignment securing said Bonds, and (B) to the extent such cash shall be required for such payment at a later date, shall, to the extent practicable, at the written direction of an Authorized Department Representative, be reinvested in Defeasance Securities maturing at times and in amounts, which together with the other funds to be available to the Escrow Agent for such purpose, shall be sufficient to pay when due the principal amount of, and any redemption premiums on, said Bonds and the interest to become due on said Bonds on and prior to such redemption date or maturity date thereof, as the case may be, as evidenced by an Accountant's Certificate.

Nothing in the Master Resolution shall prevent the Department from substituting for the Defeasance Securities held for the payment or redemption of Bonds (or portions thereof) other Defeasance Securities which, together with the moneys held by the Escrow Agent for such purpose, as evidenced by an Accountant's Certificate, shall be sufficient to pay when due the principal of, and any redemption premiums and the interest on, the Bonds (or portions thereof) to be paid or redeemed, and the interest due on the Bonds (or portions thereof) to be paid or redeemed at the times established with the initial deposit of Defeasance Securities for such purpose provided that the Department shall deliver to the Escrow Agent a Favorable Opinion of Bond Counsel with respect to such substitution.

If there shall be deemed paid pursuant to the Master Resolution less than all of the full principal amount of a Bond, the Department shall execute and the Fiscal Agent shall authenticate and deliver, upon the surrender of such Bond, without charge to the Owner of such Bond, a new Bond or Bonds for the principal amount of the Bond so surrendered which is deemed paid pursuant to the Master Resolution and another new Bond or Bonds for the balance of the principal amount of the Bond so surrendered, in each case of like Series, Subseries, maturity and other terms, and in any of the Authorized Denominations.

Upon the deposit with an Escrow Agent, in trust, at or before maturity or the applicable redemption date, of money or Defeasance Securities in the necessary amount to pay or redeem Outstanding Bonds (or portions thereof), and to pay the interest thereto to such maturity or redemption date, as applicable (provided that, if such Bonds are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the Master Resolution or provision satisfactory to the Fiscal Agent shall have been made for giving such notice), all liability of the Department in respect of

such Bonds shall cease, terminate and be completely discharged, except that the Department shall remain liable for such payment but only from, and the Bondowners shall thereafter be entitled only to payment (without interest accrued thereon after such redemption date or maturity date, as applicable) out of, the money and Defeasance Securities deposited with the Escrow Agent as aforesaid for their payment; provided that no Bond which constitutes Tender Indebtedness shall be deemed to be paid within the meaning of the applicable Bond Resolution unless the Purchase Price of such Bond, if tendered for purchase in accordance with the applicable Bond Resolution, could be paid when due from such moneys or Defeasance Securities (as evidenced by an Accountant's Certificate) or a Credit Support Instrument provided in connection with the Purchase Price.

Credit Providers

Except as limited by the Master Resolution, a Supplemental Resolution authorizing a Series of Bonds may provide that any Credit Provider providing a Credit Support Instrument with respect to Bonds of such Series may exercise any right under the Master Resolution or the Supplemental Resolution authorizing the issuance of such Series of Bonds given to the Owners of the Bonds to which such Credit Support Instrument relates.

Unclaimed Moneys

Anything in the Master Resolution or any Supplemental Resolution to the contrary notwithstanding, any moneys held by the Fiscal Agent, an Escrow Agent or any Paying Agent in trust for the payment and discharge of any of the Bonds which remain unclaimed for two years after the date when such Bonds have become due and payable, either at their stated maturity dates, tender for purchase or by call for redemption, if such moneys were held by the Fiscal Agent, an Escrow Agent or a Paying Agent at such date, or for two years after the date of deposit of such moneys if deposited with the Fiscal Agent, an Escrow Agent or a Paying Agent after the date when such Bonds or the Purchase Price thereof became due and payable, shall, at the written request of an Authorized Department Representative be repaid by such Fiscal Agent, Escrow Agent or Paying Agent to the Department, as its absolute property and free and clear of any trust, lien, pledge or assignment securing said Bonds, and such Fiscal Agent, Escrow Agent or Paying Agent shall thereupon be released and discharged with respect thereto and the Owners of such Bonds shall look only to the Department for the payment of such Bonds; provided, however, that before being required to make any such payment to the Department, the Fiscal Agent, the Escrow Agent or the Paying Agent, as applicable, shall, at the expense of the Department, mail, postage prepaid, to the Owners of such Bonds, at the last address, if any, appearing upon the Bond Register, a notice that said moneys remain unclaimed and that, after a date named in said notice, which date shall be not less than 30 days after the date of the mailing of such notice, the balance of such moneys then unclaimed shall be returned to the Department.

TWENTY-THIRD SUPPLEMENTAL RESOLUTION

References to Auditor

Whenever in the Master Resolution reference is made to the Auditor, such references are deemed to refer to the Chief Financial Officer.

Amendments Permitted

The provisions of the Twenty-Third Supplemental Resolution and the rights and obligations of the Department and the Owners of the Outstanding Series B Bonds and of the Fiduciaries of the Series B Bonds may be modified, amended, or supplemented from time to time and at any time by a Supplemental Resolution or Supplemental Resolutions when the written consent of the Owners of at least a majority in

aggregate principal amount of the Series B Bonds then Outstanding shall have been filed with the Fiscal Agent, or if less than all of the Outstanding Series B Bonds are affected the written consent of the Owners of at least a majority in aggregate principal amount of all affected Outstanding Series B Bonds; provided that if such modification, amendment or supplement shall, by its terms, not take effect so long as any Series B Bonds of any particular maturity remain Outstanding, the consent of the Owners of such Series B Bonds shall not be required and such Series B Bonds shall not be deemed to be Outstanding for the purpose of any such calculation of Series B Bonds Outstanding. No such modification, amendment or supplement shall (1) extend the fixed maturity of any Series B Bond, or reduce the principal amount thereof or any redemption premium thereon, or reduce the amount of any Sinking Fund Installment therefor, or extend the due date of any Sinking Fund Installment, or reduce the rate of interest thereon or extend the time of payment of interest thereon, without the consent of the Owner of each Series B Bond so affected; or (2) reduce the aforesaid percentage of Series B Bonds, the consent of the Owners of which is required to effect any such modification, amendment or supplement without the consent of the Owners of all of the Series B Bonds then Outstanding; or (3) modify the rights or obligations of any Fiduciary for the Series B Bonds without the consent of such Fiduciary.

The Twenty-Third Supplemental Resolution and the rights and obligations of the Department, the Fiduciaries, and the Owners of the Series B Bonds may also be modified, amended, or supplemented in any respect from time to time and at any time by a Supplemental Resolution or Supplemental Resolutions, which the Board may adopt without the consent of any Owners of Series B Bonds (but with the consent of any affected Fiduciary), so long as such modification, amendment or supplement shall not materially, adversely affect the interests of the Owners of the Series B Bonds.

Prior to the adoption of any Supplemental Resolution for any purpose, the Department shall cause notice of the proposed adoption of such Supplemental Resolution to be mailed, by first class mail, postage prepaid, to the Owners of all Outstanding Series B Bonds (or the affected Outstanding Series B Bonds) at their addresses appearing on the Bond Register. Such notice shall briefly set forth the nature of the proposed Supplemental Resolution and shall state that copies thereof are on file at the Principal Office of the Fiscal Agent for inspection by each Owner of an Outstanding Series B Bond.

Upon the adoption of any Supplemental Resolution amending, modifying or supplementing the provisions of the Twenty-Third Supplemental Resolution, (a) the Twenty-Third Supplemental Resolution shall be deemed to be modified, amended and supplemented in accordance with, and the respective rights, duties and obligations under the Twenty-Third Supplemental Resolution of the Department, the Fiduciaries for the Series B Bonds and all Owners of Outstanding Series B Bonds shall thereafter be determined, exercised and enforced subject in all respects to such modification and amendment, (b) all the terms and conditions of any such Supplemental Resolution shall be deemed to be part of the terms and conditions of the Twenty-Third Supplemental Resolution for any and all purposes, and (c) no Owner of any Series B Bond shall have any right to object to the adoption of such Supplemental Resolution, or to object to any of the terms and provisions contained therein or the operation thereof or in any manner to question the propriety of the adoption thereof, or to enjoin or restrain the Board from adopting the same or the Department from taking any action pursuant to the provisions thereof.

For purposes of obtaining consents to amendments to the Twenty-Third Supplemental Resolution, Series B Bonds owned or held by or for the account of the Department, the City, or any funds of the Department or the City, shall not be deemed Outstanding.

TWENTY-FOURTH SUPPLEMENTAL RESOLUTION

References to Auditor

Whenever in the Master Resolution reference is made to the Auditor, such references are deemed to refer to the Chief Financial Officer.

Amendments Permitted

The provisions of the Twenty-Fourth Supplemental Resolution and the rights and obligations of the Department and the Owners of the Outstanding Series C Bonds and of the Fiduciaries of the Series C Bonds may be modified, amended, or supplemented from time to time and at any time by a Supplemental Resolution or Supplemental Resolutions when the written consent of the Owners of at least a majority in aggregate principal amount of the Series C Bonds then Outstanding shall have been filed with the Fiscal Agent, or if less than all of the Outstanding Series C Bonds are affected the written consent of the Owners of at least a majority in aggregate principal amount of all affected Outstanding Series C Bonds; provided that if such modification, amendment or supplement shall, by its terms, not take effect so long as any Series C Bonds of any particular maturity remain Outstanding, the consent of the Owners of such Series C Bonds shall not be required and such Series C Bonds shall not be deemed to be Outstanding for the purpose of any such calculation of Series C Bonds Outstanding. No such modification, amendment or supplement shall (1) extend the fixed maturity of any Series C Bond, or reduce the principal amount thereof or any redemption premium thereon, or reduce the amount of any Sinking Fund Installment therefor, or extend the due date of any Sinking Fund Installment, or reduce the rate of interest thereon or extend the time of payment of interest thereon, without the consent of the Owner of each Series C Bond so affected; or (2) reduce the aforesaid percentage of Series C Bonds, the consent of the Owners of which is required to effect any such modification, amendment or supplement without the consent of the Owners of all of the Series C Bonds then Outstanding; or (3) modify the rights or obligations of any Fiduciary for the Series C Bonds without the consent of such Fiduciary.

The Twenty-Fourth Supplemental Resolution and the rights and obligations of the Department, the Fiduciaries, and the Owners of the Series C Bonds may also be modified, amended, or supplemented in any respect from time to time and at any time by a Supplemental Resolution or Supplemental Resolutions, which the Board may adopt without the consent of any Owners of Series C Bonds (but with the consent of any affected Fiduciary), so long as such modification, amendment or supplement shall not materially, adversely affect the interests of the Owners of the Series C Bonds.

Prior to the adoption of any Supplemental Resolution for any purpose, the Department shall cause notice of the proposed adoption of such Supplemental Resolution to be mailed, by first class mail, postage prepaid, to the Owners of all Outstanding Series C Bonds (or the affected Outstanding Series C Bonds) at their addresses appearing on the Bond Register. Such notice shall briefly set forth the nature of the proposed Supplemental Resolution and shall state that copies thereof are on file at the Principal Office of the Fiscal Agent for inspection by each Owner of an Outstanding Series C Bond.

Upon the adoption of any Supplemental Resolution amending, modifying or supplementing the provisions of the Twenty-Fourth Supplemental Resolution, (a) the Twenty-Fourth Supplemental Resolution shall be deemed to be modified, amended and supplemented in accordance with, and the respective rights, duties and obligations under the Twenty-Fourth Supplemental Resolution of the Department, the Fiduciaries for the Series C Bonds and all Owners of Outstanding Series C Bonds shall thereafter be determined, exercised and enforced subject in all respects to such modification and amendment, (b) all the terms and conditions of any such Supplemental Resolution shall be deemed to be part of the terms and conditions of the Twenty-Fourth Supplemental Resolution for any and all purposes, and (c) no Owner of any Series C Bond shall have any right to object to the adoption of such

Supplemental Resolution, or to object to any of the terms and provisions contained therein or the operation thereof or in any manner to question the propriety of the adoption thereof, or to enjoin or restrain the Board from adopting the same or the Department from taking any action pursuant to the provisions thereof.

For purposes of obtaining consents to amendments to the Twenty-Fourth Supplemental Resolution, Series C Bonds owned or held by or for the account of the Department, the City, or any funds of the Department or the City, shall not be deemed Outstanding.

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APPENDIX E

FORM OF BOND COUNSEL OPINION

Upon the delivery of the 2013 Bonds, Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Department, proposes to deliver its final approving opinion with respect to the 2013 Bonds in substantially the following form:

Board of Water and Power Commissioners
of the City of Los Angeles

Department of Water and Power of the City of Los Angeles
Power System Revenue Bonds, 2013 Series B

and

Department of Water and Power of the City of Los Angeles
Power System Revenue Bonds, 2013 Series C
(Final Opinion)

Ladies and Gentlemen:

We have acted as Bond Counsel to the Department of Water and Power of the City of Los Angeles (the "Department") in connection with the issuance of $452,145,000 aggregate principal amount of its Power System Revenue Bonds, 2013 Series B (the "2013 Series B Bonds"), issued pursuant to The Charter of The City of Los Angeles (the "Charter") and pursuant to Resolution No. 4596, adopted by the Board of Water and Power Commissioners (the "Board") on February 6, 2001 (the "Master Resolution"), as supplemented by Resolution No. 4861, adopted by the Board on April 2, 2013 (the "Twenty-Third Supplemental Resolution") and $27,855,000 aggregate principal amount of its Power System Revenue Bonds, 2013 Series C (the "2013 Series C Bonds" and together with the 2013 Series B Bonds, the "2013 Bonds"), issued pursuant to the Charter and pursuant to the Master Resolution, as supplemented by Resolution No. 4862, adopted by the Board on April 2, 2013 (the "Twenty-Fourth Supplemental Resolution" and, collectively with the Twenty-Third Supplemental Resolution and the Master Resolution, the "Bond Resolutions"). Capitalized terms not otherwise defined herein shall have the meanings set forth in the Bond Resolutions.

In such connection, we have reviewed the Bond Resolutions, the 2013 Series B Bonds Tax Certificate, certificates of the Department and others, opinions from the Office of the City Attorney of the City of Los Angeles and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

The Bond Resolutions provide that the 2013 Bonds are special obligations of the Department payable from the Power Revenue Fund on a parity with the costs and expenses of operating and maintaining the Power System, the Outstanding Parity Obligations and any Parity Obligations that may be issued hereafter, and all other obligations payable from the Power Revenue Fund which are not Subordinated Obligations.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may

be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the date hereof. Accordingly, this letter speaks only as of its date is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the 2013 Bonds has concluded with their issuance, and we disclaim any obligation to update this opinion. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by, and validity against, any parties other than the Department. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents, and of the legal conclusions contained in the opinions, referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Bond Resolutions and the 2013 Series B Bonds Tax Certificate, including without limitation covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the 2013 Series B Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the 2013 Bonds, the Bond Resolutions and the 2013 Series B Bonds Tax Certificate and their enforceability may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against municipal corporations in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), arbitration, judicial reference, choice of law, choice of venue, choice of forum, waiver or severability provisions contained in the foregoing documents. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the 2013 Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bond Resolutions have been duly adopted by the Board and constitute the valid and binding obligations of the Department.

2. The 2013 Bonds constitute the valid and binding special obligations of the Department payable only from the Power Revenue Fund and not out of any other fund or moneys of the Department or the City. The 2013 Bonds do not constitute or evidence an indebtedness of the City or a lien or charge on any property or the general revenues of the City. Neither the faith and credit nor the taxing power of the City is pledged to the payment of the 2013 Bonds.

3. Interest on the 2013 Series B Bonds is excluded from gross income for federal income tax purposes under section 103 of the Internal Revenue Code of 1986. Interest on the 2013 Series B Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although we observe that it is included in adjusted current earnings in calculating corporate alternative minimum taxable income. Interest on the 2013 Bonds is exempt from State of California personal income taxes. We express no opinion regarding other tax consequences relating to the ownership or disposition of, or the accrual or receipt of interest on, the 2013 Bonds.

APPENDIX F

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the Department of Water and Power of the City of Los Angeles (the "Department") in connection with the issuance of [$452,145,000][$27,855,000] aggregate principal amount of the Department's Power System Revenue Bonds, 2013 Series [B][C] (the "Bonds"). The Bonds are being issued pursuant to Section 609 of The Charter of The City of Los Angeles (the "Charter"), Resolution No. 4596 of the Board of Water and Power Commissioners of the City of Los Angeles (the "Board") and Resolution No. [4861][4862] of the Board relating to the Bonds (collectively, the "Bond Resolution"). The Department covenants and agrees as follows:

SECTION 1. *Purpose of this Disclosure Certificate*. This Disclosure Certificate is being executed and delivered by the Department for the benefit of the Owners and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with the Rule.

SECTION 2. *Definitions*. In addition to the definitions set forth in the Bond Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Report" shall mean any Annual Report provided by the Department pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Beneficial Owner" shall mean any person that (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

"Dissemination Agent" shall mean the Department, acting in its capacity as Dissemination Agent hereunder, or any other successor Dissemination Agent designated in writing by the Department.

"EMMA System" shall mean the MSRB's Electronic Municipal Market Access system, or such other electronic system designated by the MSRB.

"Fiscal Year" shall mean the one-year period ending on June 30 of each year or such other period of 12 months designated by the Department as its Fiscal Year.

"GASB" shall mean the Governmental Accounting Standards Board.

"Listed Events" shall mean any of the events listed in Section 5(a) or (b) of this Disclosure Certificate.

"MSRB" shall mean the Municipal Securities Rulemaking Board, or any successor thereto.

"Official Statement" shall mean the final official statement of the Department relating to the Bonds.

"Owner" shall mean a registered owner of the Bonds.

"Participating Underwriter" shall mean any of the original underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

"Rule" shall mean Rule 15c2-12 adopted by the SEC under the Securities Exchange Act of 1934, as the same may be amended from time to time.

"SEC" shall mean the Securities and Exchange Commission.

"State" shall mean the State of California.

SECTION 3. *Provision of Annual Reports.*

(a) The Department shall, or shall cause the Dissemination Agent, if the Dissemination Agent is other than the Department, to, not later than 270 days following the end of each Fiscal Year of the Department (which Fiscal Year currently ends on June 30), commencing with the report for Fiscal Year 2013, provide to the MSRB through the EMMA System, in an electronic format and accompanied by identifying information all as prescribed by the MSRB, an Annual Report relating to the immediately preceding Fiscal Year that is consistent with the requirements of Section 4 of this Disclosure Certificate, which Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided that any audited financial statements may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the Fiscal Year for the Department changes, the Department shall give notice of such change in the same manner as for a Listed Event under Section 5(e).

(b) If in any year, the Department does not provide the Annual Report to the MSRB by the time specified above, the Department shall instead file a notice to the MSRB through the EMMA System stating that the Annual Report has not been timely completed and, if known, stating the date by which the Department expects to file the Annual Report.

(c) If the Dissemination Agent is not the Department, the Dissemination Agent shall:

1. file a report with the Department certifying that the Annual Report has been filed pursuant to this Disclosure Certificate and listing the date(s) of the filing(s); and

2. take any other actions mutually agreed to between the Dissemination Agent and the Department.

SECTION 4. *Content of Annual Reports*. The Annual Report shall contain or incorporate by reference the following:

1. The audited financial statements of the Department's Power System for the prior fiscal year, prepared in accordance with generally accepted accounting principles as promulgated from time to time by GASB and all statements and interpretations issued by the Financial Accounting Standards Board which are not in conflict with the statements issued by GASB. If the Department's Power System audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

2. An update of the information contained in the table entitled "POWER SYSTEM – SELECTED OPERATING INFORMATION" under "OPERATING AND FINANCIAL INFORMATION – Summary of Operations" in the Official Statement, for the most recently completed fiscal year.

3. An update of the information contained in the table entitled "POWER SYSTEM – SELECTED FINANCIAL INFORMATION" under "OPERATING AND FINANCIAL INFORMATION – Financial Information" in the Official Statement for the most recently completed fiscal year.

4. An update of the information contained in the table entitled "POWER SYSTEM – SUMMARY OF REVENUES, EXPENSES AND DEBT SERVICE COVERAGE" under "OPERATING AND FINANCIAL INFORMATION – Financial Information" in the Official Statement for the most recently completed fiscal year.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the Department or related public entities, that have been submitted to the MSRB through the EMMA System.

SECTION 5. *Reporting of Significant Events.*

(a) The Department shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds not later than ten business days after the occurrence of the event:

1. Principal and interest payment delinquencies;

2. Unscheduled draws on debt service reserves reflecting financial difficulties;

3. Unscheduled draws on credit enhancements reflecting financial difficulties;

4. Substitution of credit or liquidity providers, or their failure to perform;

5. Issuance by the Internal Revenue Service of proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);

6. Tender offers;

7. Defeasances;

8. Rating changes; or

9. Bankruptcy, insolvency, receivership or similar event of the obligated person;

Note: for the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) The Department shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material, not later than ten business days after the occurrence of the event:

1. Unless described in paragraph 5(a)(5), adverse tax opinions or other material notices or determinations by the Internal Revenue Service with respect to the tax status of the Bonds or other material events affecting the tax status of the Bonds;

2. Modifications to rights of the Owners of the Bonds;

3. Optional, unscheduled or contingent Bond calls;

4. Release, substitution or sale of property securing repayment of the Bonds;

5. Non-payment related defaults;

6. The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; or

7. Appointment of a successor or additional trustee or the change of name of a trustee;

(c) The Department shall give, or cause to be given, in a timely manner, notice of a failure to provide the annual financial information on or before the date specified in Section 3(a), as provided in Section 3.

(d) Whenever the Department obtains knowledge of the occurrence of a Listed Event described in Section 5(b), the Department shall determine if such event would be material under applicable federal securities laws.

(e) If the Department learns of an occurrence of a Listed Event described in Section 5(a), or determines that knowledge of a Listed Event described in Section 5(b) would be material under applicable federal securities laws, the Department shall within ten business days of occurrence file a notice of such occurrence with the MSRB through the EMMA System in electronic format, accompanied by such identifying information as is prescribed by the MSRB. Notwithstanding the foregoing, notice of the Listed Event described in subsections (a)(7) or (b)(3) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Owners of affected Bonds pursuant to the Bond Resolution.

SECTION 6. *Customarily Prepared and Public Information*. Upon request, the Department shall provide to any person financial information and operating data regarding the Department which is customarily prepared by the Department and is publicly available at a cost not exceeding the reasonable cost of duplication and delivery.

SECTION 7. *Termination of Obligation*. The Department's obligations under this Disclosure Certificate shall terminate upon the maturity, legal defeasance, prior redemption or payment in full of all of the Bonds. In addition, in the event that the Rule shall be amended, modified or repealed such that compliance by the Department with its obligations under this Disclosure Certificate no longer shall be required in any or all respects, then the Department's obligations hereunder shall terminate to a like

extent. If such termination occurs prior to the final maturity of the Bonds, the Department shall give notice of such termination in the same manner as for a Listed Event under Section 5(e).

SECTION 8. *Dissemination Agent*. The Department may, from time to time, appoint or engage a dissemination agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such dissemination agent, with or without appointing a successor dissemination agent. If at any time there is not any other designated dissemination agent, the Department shall be the dissemination agent. The initial dissemination agent shall be the Department.

SECTION 9. *Amendment; Waiver*. Notwithstanding any other provision of this Disclosure Certificate, the Department may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that, in the opinion of nationally recognized bond counsel, such amendment or waiver is permitted by the Rule. The Department shall give notice of any amendment in the same manner as for a Listed Event under Section 5(e).

SECTION 10. *Additional Information*. Nothing in this Disclosure Certificate shall be deemed to prevent the Department from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the Department chooses to include any information in any notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the Department shall not thereby have any obligation under this Disclosure Certificate to update such information or include it in any future notice of occurrence of a Listed Event.

SECTION 11. *Default*. In the event of a failure of the Department to comply with any provision of this Disclosure Certificate, any Owner or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Department to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed a default under the Bond Resolution and the sole remedy under this Disclosure Certificate in the event of any failure of the Department to comply with this Disclosure Certificate shall be an action to compel performance. Under no circumstances shall any person or entity be entitled to recover monetary damages hereunder in the event of any failure of the Department to comply with this Disclosure Certificate.

No Owner or Beneficial Owner of the Bonds may institute such action, suit or proceeding to compel performance unless they shall have first delivered to the Department satisfactory written evidence of their status as such, and a written notice of and request to cure such failure, and the Department shall have refused to comply therewith within a reasonable time.

SECTION 12. *Duties, Immunities and Liabilities of Dissemination Agent*. Any Dissemination Agent appointed hereunder shall have only such duties as are specifically set forth in this Disclosure Certificate, and shall have such rights, immunities and liabilities as shall be set forth in the written agreement between the Department and such Dissemination Agent pursuant to which such Dissemination Agent agrees to perform the duties and obligations of Dissemination Agent under this Disclosure Certificate.

SECTION 13. *Beneficiaries*. This Disclosure Certificate shall inure solely to the benefit of the Department, the Dissemination Agent, if any, the Participating Underwriter and Owners and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity. This Disclosure Certificate is not intended to create any monetary rights on behalf of any person based upon the Rule.

SECTION 14. *Partial Invalidity*. If any one or more of the agreements or covenants or portions thereof required hereby to be performed by or on the part of the Department shall be contrary to law, then such agreement or agreements, such covenant or covenants or such portions thereof shall be null and void and shall be deemed separable from the remaining agreements and covenants or portions thereof and shall in no way affect the validity hereof, and the Beneficial Owners of the Bonds shall retain all the benefits afforded to them hereunder. The Department hereby declares that it would have executed and delivered this Disclosure Certificate and each and every other article, section, paragraph, subdivision, sentence, clause and phrase hereof irrespective of the fact that any one or more articles, sections, paragraphs, subdivisions, sentences, clauses or phrases hereof or the application thereof to any person or circumstance may be held to be unconstitutional, unenforceable or invalid.

SECTION 15. *Governing Law*. This Disclosure Certificate was made in the City of Los Angeles and shall be governed by, interpreted and enforced in accordance with the laws of the State of California and the City of Los Angeles, without regard to conflict of law principles. Any litigation, action or proceeding to enforce or interpret any provision of this Disclosure Certificate or otherwise arising out of, or relating to this Disclosure Certificate, shall be brought, commenced or prosecuted in a State or Federal court in the County of Los Angeles in the State of California. By its acceptance of the benefits hereof, any person or entity bringing any such litigation, action or proceeding submits to the exclusive jurisdiction of the State of California and waives any defense of forum non conveniens.

IN WITNESS WHEREOF, the Department has executed this Disclosure Certificate as of the date first above written.

Dated: _____

DEPARTMENT OF WATER AND POWER
OF THE CITY OF LOS ANGELES

By: _____

Title: _____

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APPENDIX G

GLOSSARY OF DEFINED TERMS

The following terms used in this Official Statement and not defined in the Bond Resolution shall have the meanings specified in this Appendix G.

"AB32" means the California Global Warming Solutions Act of 2006 codified at Division 25.5 of the California Health and Safety Code, Section 38500 and following.

"AC" means alternating current.

"Annual Report" means the annual report containing certain financial information and operating data relating to the Power System to be delivered by the Department pursuant to the Continuing Disclosure Certificate described in Appendix F.

"APS" means Arizona Public Service Company.

"AQMP" means an Air Quality Management Plan prepared by the SCAQMD.

"BACT" means best available control technology for purposes of a PSD permit issued by the EPA.

"BART" means Best Available Retrofit Technology for purposes of the Clean Air Visibility Rule.

"BCF" means billion cubic feet.

"Biological Assessment" means the Bureau of Reclamation's assessment on endangered species in the lower Colorado River with respect to, among other things, the operations of the Hoover Power Plant.

"Board" means the Board of Water and Power Commissioners of the City of Los Angeles.

"Board Action" means an action by a City commission or board.

"Bond Counsel" means Orrick, Herrington & Sutcliffe LLP, bond counsel to the Department for the 2013 Bonds.

"BTA" means best technology available.

"BTS" means SoCalGas's Basic Transportation Service program for the transportation of natural gas.

"Bureau of Reclamation" means the United States Bureau of Reclamation.

"California Thermal Plan" means the California State Water Resources Control Board's Water Quality Control Plan for Control of Temperature in the Coastal and Interstate Waters and Enclosed Bay and Estuaries of California.

"Cal ISO" means the California Independent System Operator Corporation.

"Cal ISO Grid" means the electric transmission facilities controlled by Cal ISO.

"Cap-and-Trade Regulations" means the cap-and-trade regulations which became effective on January 1, 2012 pursuant to Resolution 11-32 adopted by CARB on October 20, 2011.

"CARB" means the California Air Resources Board.

"Castaic Plant" means the Castaic Pump Storage Power Plant, the seven unit hydroelectric generating plant located in Castaic, California.

"CEC" means the California Energy Resources Conservation and Development Commission, commonly referred to as the California Energy Commission.

"CERCLA" means the Comprehensive Environmental Responsibility, Compensation and Liability Act, codified at 42 U.S.C.A. Section 601 and following.

"Charter" means The Charter of The City of Los Angeles.

"Chief Financial Officer" means the Chief Financial Officer of the Department.

"Civil Service System" means the Charter-established civil service system.

"Clean Air Act" means the Clean Air Act of 1970, as amended, codified at 42 U.S.C.A. Section 7401 and following.

"Clean Air Visibility Rule" means an alternative emissions trading program that gives flexibility for states and tribal governments in ways to apply BART, adopted pursuant to the Clean Air Act.

"Clean Water Act" means the Water Pollution Control Act, as amended, codified at 33 U.S.C.A. Section 1251 and following.

"CLEO" means Commercial Lighting Efficiency Offer.

"Commissions" means collectively CARB, CEC and CPUC.

"County" means the County of Los Angeles, California.

"CO2e" means carbon dioxide equivalent.

"CPUC" means the California Public Utilities Commission.

"DC" means direct current.

"Department Investment Committee" means the Investment Committee for the Department's Trust Funds, comprised of the City Controller, a Board member designated by the Board President, the General Manager and the Chief Financial Officer.

"Devers-Palo Verde Agreement" means the exchange agreement between the Department and Edison with respect to the Devers-Palo Verde No. 1 Transmission Line.

"DG" means the Distributed Generation.

"DTC" means The Depository Trust Company, New York, New York.

"DTCC" means The Depository Trust & Clearing Corporation.

"Earthquake Forecast" means the Uniform California Earthquake Rupture Forecast, dated April, 2008.

"ECAF" means the energy cost adjustment factor of the Rate Ordinance.

"Edison" means the Southern California Edison Company.

"EGUs" means electric generating units.

"Electric Rates" means the rates for electric service from the Power System as set forth in the Rate Ordinance.

"EMMA" means the MSRB's Electronic Municipal Market Access system.

"Endorsement" means the Terrorism Limits and TRIEA Endorsement purchased by the Department as part of its liability insurance.

"EPA" means the United States Environmental Protection Agency.

"EPAct 1992" means the Energy Policy Act of 1992, codified at 42 U.S.C.A. Section 1301 and following.

"EPAct 2005" means the Energy Policy Act of 2005, codified at 42 U.S.C.A. Section 15801 and following.

"EPS" means the emissions performance standard established by CARB for purposes of SB 1368.

"Exchange Act" means the United States Securities Exchange Act of 1934, as amended, codified at 15 U.S.C.A. Section 78 and following.

"FEMA" means the Federal Emergency Management Agency.

"FERC" means the Federal Energy Regulatory Commission.

"Financial Advisor" means Public Resources Advisory Group, as financial advisor to the Department with respect to the 2013 Bonds.

"FiT Program" means the Department's program for connecting renewable energy projects to the Power System.

"Fitch" means Fitch Ratings.

"General Manager" means the General Manager of the Department.

"Generating and Switching Stations" means the Department's electric generating and switching stations.

"GHG" means greenhouse gases for purposes of AB32.

"Glendale" means the City of Glendale, California.

"HAPS" means hazardous air pollutants for purposes of the Clean Air Visibility Rule.

"Healthcare Plan" means the Department's healthcare benefits plan for its current and retired employees.

"HIRE Act" means the Hiring Incentives to Restore Employment Act.

"IBEW" means the International Brotherhood of Electrical Workers.

"IID" means the Imperial Irrigation District.

"IM" means impingement mortality for purposes of Rule 316(b).

"Intermountain Generating Station" means the IPA two-unit coal-fired, steam-electric generating plant located near Delta, Utah.

"IOUs" means investor owned utilities.

"IPA" means the Intermountain Power Agency.

"IPP" means the Intermountain Power Project.

"IPP Contract" means the Power Sales Contract between the Department and IPA with respect to the IPP.

"IPP Excess Power Sales Agreement" means the excess power sales agreement between the Department and certain other IPP participants with respect to the IPP.

"IRS" means the United States Internal Revenue Service.

"K-12" means school grades kindergarten through 12th grade.

"kV" means kilovolts.

"LACERS" means the Los Angeles City Employees' Retirement System.

"LARWQCB" means the Los Angeles Regional Water Quality Control Board.

"LAUSD" means the Los Angeles Unified School District.

"Linden Project" means the Linden Wind Energy Project.

"Los Angeles Basin Stations" means the Department's Harbor Station, Haynes Station, Scattergood Station and Valley Station.

"Master Resolution" means Resolution No. 4596, adopted by the Board on February 6, 2001.

"MATS" means the Mercury and Air Toxics Standards rule promulgated by the EPA.

"Milford I Facility" means the 203.5 MW nameplate capacity wind farm comprised of 97 wind turbines located near Milford, Utah.

"Milford I Project" means the Milford Wind Corridor Phase I Project.

"Milford II Facility" means the 102 MW nameplate capacity wind farm comprised of 68 wind turbines located near Milford, Utah.

"Milford II Project" means the Milford Wind Corridor Phase II Project.

"MMBtus" means Million Metric British Thermal Units.

"Moody's" means Moody's Investors Service.

"MSRB" means the Municipal Securities Rulemaking Board.

"MWs" means megawatts.

"MWhs" means megawatt-hours.

"NAAQS" means National Ambient Air Quality Standards adopted by the EPA pursuant to the Clean Air Act.

"NERC" means the North American Electric Reliability Corporation.

"Northwest Wind" means Northwest Wind Partners, LLC.

"NOx" means nitrogen oxide.

"NPDES" means National Pollutant Discharge Elimination System of the EPA pursuant to the Clean Air Act.

"NRC" means the United States Nuclear Regulatory Commission.

"NSPS" the New Source Performance Standards of the EPA pursuant to the Clean Air Act.

"OIR" means a CEC Order Instituting Rulemaking proceeding.

"OPA" means the City's Office of Public Accountability.

"Owens Gorge and Owens Valley Hydroelectric Generation" means the Department's Owens Gorge and Owens Valley Hydroelectric generating units.

"PG&E" means Pacific Gas & Electric Company.

"Plan" means the Department's retirement, disability and death benefit plan for its current and retired employees.

"Plans" means the Department's Plan and the Healthcare Plan.

"POUs" means publicly owned electric utilities.

"Power Fund Transfer" means the transfer of surplus money in the Power Revenue Fund to the City's reserve fund.

"Power Reliability Program" means the Department's comprehensive, long-term power reliability program for the Power System.

"Premium Bonds" means 2013 Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date).

"PSD" means the Prevention of Significant Deterioration Permit Program of the EPA pursuant to the Clean Air Act.

"Public Utilities Code" means the California Public Utilities Code.

"PURPA" means the Public Utility Regulatory Policies Act of 1978, codified at 16 U.S.C.A. Section 2601 and following.

"PVNGS" means the Palo Verde Nuclear Generating Station.

"QFs" means qualified facilities for purposes of PURPA.

"Rate Ordinance" means the City ordinance approving the rates for service from the Power System.

"RCAF" means the reliability cost adjustment factor of the Rate Ordinance.

"RCRA" means the Resource Conservation and Recovery Act of 1976, codified at 42 U.S.C.A. Section 6901 and following.

"RECLAIM" means the Regional Clean Air Incentives Market established by CARB pursuant to AB32.

"Recovery Act" means the American Recovery and Reinvestment Act of 2009.

"Regulation Section 2922" means Section 2922 of Chapter 22 of Division 3 of Title 23 of the California Code of Regulations adopted by the State Water Resources Control Board.

"Renewable Energy Trust Fund" means the Department's Renewable Energy and Energy Efficiency Trust Fund.

"RES Policy" means the CARB's Renewable Electricity Standard policy.

"RPS" means the Renewable Portfolio Standard.

"RPS Policy" means the California Renewable Portfolio Standard Policy, adopted pursuant to AB32.

"RTCs" means RECLAIM trading credits.

"RTOs" means regional transmission organizations for purposes of the EPAct 2005.

"Rule 15c2-12" means Rule 15c2-12(b)(5) adopted by the SEC under the Exchange Act.

"Rule 316(b)" means EPA Rule 316(b) under the Clean Water Act.

"S&P" means Standard & Poor's Rating Service, a Division of the McGraw-Hill Companies, Inc.

"Salt River Project" means the Salt River Project Agricultural Improvement and Power District, a political subdivision of the state of Arizona, and the Salt River Valley Water Users' Association, a corporation.

"SB-1" means the California Solar Initiative codified at California Public Resources Code Section 25780 and following.

"SB 1368" means the California Renewable Energy Resources Program codified at California Public Resources Code Section 25740 and following.

"SBDI" means the Department's Small Business Direct Install Program.

"SBX1-2" means the California Renewable Energy Resources Act, enacted as Chapter 1 of First Extra Session of the California Legislature for 2011-2012.

"SCAQMD" means the South Coast Air Quality Management District.

"SCPPA" means the Southern California Public Power Authority.

"SEC" means the United States Securities and Exchange Commission.

"Series B Bonds" means the Department of Water and Power of the City of Los Angeles Power System Revenue Bonds, 2013 Series B.

"Series C Bonds" means the Department of Water and Power of the City of Los Angeles Power System Revenue Bonds, 2013 Series C.

"Series C Projects" means costs of Capital Improvements of the Power System, which are eligible to be financed with proceeds of Qualified Energy Conservation Bonds, including, but not limited to expenditures pursuant to the Department's solar incentive programs and its energy efficiency programs.

"SoCalGas" means the Southern California Gas Company.

"State" means the State of California.

"State Water Project" means the water conveyance system operated by the California Department of Water Resources for the transfer of water from the northern portion of the State to the southern portion of the State.

"STS" means the +/- 500 kV electric transmission line from the Intermountain Generating Station to Adelanto, California.

"Tesoro" means Tesoro Refining and Marketing Company.

"TRECs" means tradable renewable energy credits for purposes of AB32.

"TRIEA" means the Terrorism Risk Insurance Act of 2002, as amended, codified at 15 U.S.C.A. Section 6701 and following.

"Trust Funds" means special-purpose trust or escrow funds more fully described in "Note (7) – Cash, Cash Equivalents, and Investments" in Appendix A.

"Trust Funds Investment Policy" means the Department's investment policy for the Trust Funds.

"Twenty-Fourth Supplemental Resolution" means Resolution No. 4862, adopted by the Board on April 2, 2013.

"Twenty-Third Supplemental Resolution" means Resolution No. 4861, adopted by the Board on April 2, 2013.

"2013 Bonds" means the Series B Bonds and the Series C Bonds.

"Underwriters" means the underwriters listed on the front cover of the Official Statement for the 2013 Bonds.

"UP&L" means Utah Power & Light Company.

"UP&L Contract" means the Power Purchase Agreement between the Department and UP&L with respect to the IPP.

"U.S.C.A." means the United States Code Annotated.

"UCSC" means the University of California, Santa Cruz.

"Utah Dairy Case" means *Gunn Hill Dairy Properties, LLC, et al. v. Los Angeles Department of Water and Power, et al.*, Case No. 050700157 in the Utah Court of Appeals.

"Valley Station" means the Valley Generating Station.

"WECC" means the Western Electricity Coordinating Council.

"Wild Rose Project" means the 16.2 MW nameplate capacity binary geothermal power plant comprised of eight drilled commercial wells located in Mineral County, Nevada.

"Windy Flats" means Windy Flats Partners, LLC.

"Windy Point Project" means the 262.2 MW nameplate capacity wind farm comprised of 114 wind turbines located in the Columbia Hills area of Klickitat County, Washington near the city of Goldendale.

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Los Angeles Department of Water & Power

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